



SUPREME COURT REPORTS

The Official Law Report
Fortnightly

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Kumud Lall
v.
Suresh Chandra Roy (Dead) Through Lrs and Others
(Civil Appeal No(s). 6893-6894 of 2026)

04 May 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Issue arose whether, upon death of the doctor during pendency of proceedings at appellate stage, the legal heirs can be impleaded and held liable for the alleged act of medical negligence of the deceased doctor, and if yes, then to what extent.

Headnotes[†]

Consumer Protection Act, 1986 – ss.13(7), 2(b)(v) – Consumer Protection Act, 2019 – ss.38(12), 2(5)(vi) – Succession Act, 1925 – s.306 – Legal Representatives Suits Act, 1855 – Code of Civil Procedure, 1908 – Ord. 22, r.4 – Continuation of ‘right to sue’ – Death of the alleged medically negligent doctor – Impleading of legal heirs – Complaint against the doctor by the husband alleging deficiency in service by the doctor while performing eye surgery of his wife, resulting in loss of her vision – District Forum partly allowed the complaint holding the doctor negligent for deficiency in service, and awarded compensation – Appeal by the complainant-husband and the doctor – State Commission dismissed the appeal filed by the complainant, however allowed the appeal of the doctor holding that in absence of expert evidence to substantiate the allegation of medical negligence leading to loss of vision, holding the doctor guilty for the same not sustainable – During the pendency of the revision petition, the doctor passed away – Complainant-husband filed application for substitution of legal heirs (wife and son) of the doctor, which was allowed – Legal heirs-appellant filed applications u/Ord.22 rr.1 and 2 CPC, praying to drop their names from the proceedings, which was dismissed – Correctness:

* Author

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Held: The 1986 Act with 2019 Act, by expressly providing for legal representative for complainant/consumer, the legislative intent is clear, that the claim of the complainant shall not automatically perish upon his death and shall survive through his legal heirs – Legal representative of the deceased can institute a fresh suit or be sued afresh in terms of the 1855 Act or in terms of s.306 – Continuation of suit by or against the legal representative of the deceased has to be in terms of s.306 (substantive law) – Continuation of ‘right to sue’ u/Ord.XXII r.2 r/w r.4 is to be seen on the date of death – Generally, all rights and liabilities to maintain a suit are carried to the legal representative u/s.306 – However, when adjudicating claims under 1st exception to s.306, personal injury claims abate, while claims for or against the estate of the deceased survive – In view thereof, death of the alleged medically negligent doctor, his/her legal heirs can be impleaded and brought on record – Extent of liability will be determined based on the pleadings and evidence presented – Complainant had succeeded before the District Forum and was awarded compensation – However, when taken in appeal by doctor, the State Commission allowed the same and set-aside the award – Aggrieved, the complainant preferred revision before National Commission, pending which, the doctor passed away – As borne from records, ‘right to sue’ if any subsists *qua* claims against the estate on the death of the opposite party in terms of s.306 r/w Ord. XXII rr.2 and 4 – In order to establish the claims, the National Commission duty bound to adjudicate the negligence aspect, if any by the deceased doctor and resultantly adjudicate the surviving claims – Question as to what claim can be attributed to the accretion of the deceased defendant’s estate needs to be carefully analyzed by NCDRC, depending upon pleadings and proof brought before the Court – Claimant has the duty to first establish the negligence of the deceased doctor and the claims on the estate recoverable as per s.306 – Impugned order confuses claims attributable to estate and holds that any adjudication on merits can be recoverable from the estate of the deceased doctor – Rather, the Court has to only look at claims which are maintainable as against the estate, rather than adjudicating personal claims which have elapsed with the death of the doctor – Matter remitted to NCDRC to be adjudicated within

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the stipulated period – Impugned orders set aside. [Paras 35, 39, 40, 51, 56, 59, 64-72]

Maxim – *Actio personalis moritur cum persona* – Explained.
[Paras 25-27, 64]

Case Law Cited

Melepurath Sankunni Ezhuthassan v. Thekittil Geopalankutty Nair [1985] Supp. 3 SCR 805 : (1986) 1 SCC 118; *M. Veerappa v. Evelyn Sequeira* [1988] 2 SCR 606 : (1988) 1 SCC 556; *State of Punjab v. Gurdev Singh* [1991] 3 SCR 663 : (1991) 4 SCC 1; *Indian Evangelical Lutheran Church Trust Association v. Sri Bala & Co.* [2025] 1 SCR 542 : 2025 INSC 42; *Dahiben v. Arvindbhai Kalyanji Bhanusali (Gajra) Dead Through Legal Representatives* [2020] 5 SCR 694 : (2020) 7 SCC 366; *Vinayak Purshottam Dube v. Jayashree Padamkar Bhat* [2024] 3 SCR 127 : (2024) 9 SCC 398 – referred to.

G. Jayaprakash v. State of Andhra Pradesh, AIR 1977 (AP) 20; *Haridas Ramdas v. Ramdas Mathuradas* (1889) I.L.R. 13 Bom; *Rustomji Dorabji v. W.H.Nurse*, AIR 1921 Mad 1; *Neeraj Amarnath Dora v. Nandan Hospital and Others*, II 2011 CPJ 171 (NC); *Balbir Singh Makol v. Chairman, M/s Gangaram Hospital and Others*, 2001 (1) CPR 45 (NC) – referred to.

Hambly v. Trott, 1776 1 COWP 371; *Phillips v. Homfray* (1883) 24 Ch.D., 439; *Cooke v. Gill* (1873) LR 8 CP 107; *Letang v. Cooper* [1965] 1 QB 232 – referred to.

Books and Periodicals Cited

Percy H. Winfield, 'Death as Affecting Liability in Tort', Columbia Law Review, Vol. 29, No.3 (Mar., 1929), pp. 239-254; P.J. Fitzgerald, Salmond on Jurisprudence, p. 238 (Universal Law Publishing Co. Pvt. Ltd., 12th Edn., 1966); Whitley Stokes, Commentary on Indian Succession Act, 1865, R. C. Lepage and Co., pg. 170 – referred to.

List of Acts

Consumer Protection Act, 1986; Code of Civil Procedure, 1908; Succession Act, 1925; Consumer Protection Act, 2019; Civil Procedure Act, 1833; Administration of Estates Act, 1925; Employer's Liability Act; Workman's Compensation Act, 1897;

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Workman's Compensation Act, 1906; Fatal Accidents Act, 1846; English Law Reform (Miscellaneous Provisions) Act 1935; Indian Succession Act, 1865; Fatal Accidents' Act, 1855; Legal Representatives' Suits Act, 1855; Probate and Administration Act, 1881; Kerala Torts (Miscellaneous Provisions) Act, 1976.

List of Keywords

Haryana Law Commission; Law Commission of India, 178th report; *actio personalis moritur cum persona*; Right to sue ; Medical negligence; Substitution of legal heirs; Cause of action; Legal representative; Death of the doctor during pendency of proceedings at appellate stage; Impleading of legal heirs; Continuation of 'right to sue'; Deficiency in service by the doctor while performing eye surgery; Loss of vision; Compensation; Absence of expert evidence.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 6893-6894 of 2026

From the Judgment and Order dated 24.05.2018 and 26.05.2010 of the National Consumers Disputes Redressal Commission, New Delhi in MA No. 324 of 2011 and MA No. 1214 of 2009.

With

Civil Appeal No(s). 6895-6896 of 2026.

Appearances for Parties

Raghenth Basant, Sr. Adv./Amicus Curiae, Akshay Sahay, Ms. Bagavathy Vennimalai, Ms. Kaushitak Sharma, Ms. Hima Bhardwaj.

Advs. for the Appellant(s):

Akshay Sahay, Ms. Bagavathy Vennimalai, Ms. Kaushitak Sharma, Ms. Hima Bhardwaj, Ms. Sarvshree, Ms. Somyashree.

Advs. for the Respondent(s):

Shyam Padman, Sr. Adv., Umesh Sinha, Gunnam Venkateswara Rao, Ms. Shefali, Anil Kumar Singh, Ms. Himani Chhabra, Ms. Devyani Mahra, Jaimon Andrews, Ms. Piyo Harold Jaimon, Ms. Asitwathi Shyam, Ms. Firdousecp, Naresh Kumar.

Petitioner-in-person.

Kumud Lall v. Suresh Chandra Roy (Dead) Through Lrs and Others**Judgment / Order of the Supreme Court****Judgment****J.K. Maheshwari J.**

1. Leave granted.
2. The present appeals arise out of the challenge preferred by the legal heirs¹ of the alleged medically negligent doctor (deceased now), to the order² passed by the National Consumer Dispute Redressal Commission, New Delhi (in short '**NCDRC**'), thereby allowing the application filed by the complainant (deceased now) seeking substitution of the legal heirs of the doctor, pending revision and directing them to be brought on record. On filing review, it was also dismissed³ observing that the legal heirs shall be liable to satisfy the decretal amount to the extent payable from the estate left behind, on conclusion of the proceedings. Hence, the instant appeals to assail the orders passed in main case and review.

BRIEF FACTS

3. The case as set up by the complainant before District Forum, Munger, Bihar (in short '**District Forum**') was that he consulted Dr. P.B. Lall (deceased) at his private clinic on 10.02.1990 due to complain of severe pain by his wife in her right eye. On examination, Dr. Lall advised immediate operation, which was done on 11.02.1990. However, the pain reoccurred on 16.03.1990 and she was taken back to Dr. Lall. Despite further treatment, there was no relief. The complainant consulted with other doctors at Bhagalpur and Aligarh, but having no respite, he consulted Dr. B. Sridhar at Shankar Netralaya, Madras. As alleged, he informed that his wife had already lost vision of right eye due to wrong treatment and operation, which can further affect the vision in her left eye. On advice of surgery of his wife's left eye, she was operated on 05.05.1994. Consequently,

1 Wife and son.

2 26.05.2010 (**Impugned Order I**) in M.A. No. 1214 of 2009 (**Application for substitution**) in Revision Petition No. 432 of 2006.

3 vide order dated 24.05.2018 (**Impugned Order II**) passed in M.A. No. 324 of 2011 (**Review**) in Revision Petition No. 432 of 2006 and R.A. No. 70 of 2011 (**Review**) in Revision Petition No. 432 of 2006

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the complainant had to visit Madras multiple times, and the treatment of his wife with local doctor continued till 05.08.1997.

4. The consumer complaint under the Consumer Protection Act, 1986 (in short '**1986 Act**') was filed on 13.08.1997 against Dr. Lall for alleged deficiency in service, claiming compensation as follows –

- | | | |
|----|--|----------------------------|
| a. | <i>Operation charges and clinic charges, medicine etc. paid to the opp. party at Munger.</i> | <i>Rs. 5000/-</i> |
| b. | <i>Doctor's fee at Bhagalpur, Munger, two operation charges at Madras, expenditure, train fare, fooding, lodging, medicine etc. at Aligarh and Madras correspondence</i> | <i>Rs. 75,000/-</i> |
| c. | <i>Compensation for damage for loss of eyes</i> | <i>Rs. 3,50,000/-</i> |
| d. | <i>Mental agony and harassment</i> | <i><u>Rs. 20,000/-</u></i> |
| | | <i>Rs. 4,50,000/-</i> |

5. The District Forum *vide* order dated 05.11.2003 partly allowed the complaint holding the doctor negligent for deficiency in service and held him liable to pay compensation of Rs. 2,00,000/- for loss of vision. In addition, Rs. 35,000/- for expenditure and treatment, and Rs. 25,000/- for mental agony, making total Rs. 2,60,000/- be paid within 3 months.
6. Being aggrieved, complainant and Dr. Lall both approached State Consumer Disputes Redressal Commission, Patna, Bihar (in short '**SCDRC**') filing Appeal Nos. 598 of 2003 and 607 of 2003 respectively. Both the appeals were decided *vide* common order on 02.12.2005, and the appeal filed by the complainant was dismissed, while the appeal of Dr. Lall was allowed, setting aside the order of District Forum. The SCDRC noted that the loss of vision of the wife of complainant was due to glaucoma and not curable even after the surgery was done desperately by Dr. Lall with intent to relieve her from pain. The surgery performed was acceptable under the medical ethics and with the best of the abilities by Dr. Lall. The complainant has not produced any report from any expert of medical board or any expert to show that in doing surgery Dr. Lall was negligent. In absence of expert evidence to substantiate the allegation of medical

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negligence leading to loss of vision, holding the doctor guilty for the same is not sustainable.

7. Dissatisfied, the complainant preferred Revision Petition No. 432 of 2006 before NCDRC assailing the order of SCDRC, pending which, Dr. Lall passed away on 04.08.2009. The complainant filed M.A. No. 1214 of 2009 for substitution of legal heirs (wife and son) in the revision petition, which was allowed by NCDRC on 26.05.2010 (Impugned Order I), substituting the appellants herein as legal heirs. On notice, both wife and son filed applications⁴ under Order XXII⁵ Rule 1⁶ and 4⁷ read with Section 151⁸ of Code of Civil Procedure (in short '**CPC**') and Section 22⁹ of 1986 Act, praying to drop their names from the proceedings, to dismiss the recall by the order dated 26.05.2010. It was said, since Dr. Lall had succeeded in the appeal before SCDRC, and died during the pendency of the revision, no subsisting decree existed on the date of his death, hence, the proceedings would stand abated. Further, the applicants were never served with any notice at any stage before joining them as party to the revision petition. In the meantime, the original complainant also died on 16.01.2014 and her legal heirs were substituted.
8. NCDRC *vide* order dated 24.05.2018 (Impugned Order II) dismissed both the applications and posted the matter for final hearing on 20.09.2018. Aggrieved by the said order, the present appeals have been filed wherein after issuing notice, stay on further proceeding was granted on 18.12.2019. Having regard to the nature of the controversy, this Court by order dated 13.01.2026 appointed Mr. Raghenth Basant, learned senior counsel and Mr. Varun Kapoor, learned counsel as *amicus curiae* to assist the Court, on the issue as involved.

SUBMISSION OF THE APPELLANTS

9. Ms. Sarvshree, learned counsel appearing on behalf of the appellants submits that the alleged incident of medical negligence is of 11.02.1990, though the complaint was filed on 13.08.1997, almost

4 MA No. 324 of 2011 (by wife) and R.A. No. 70 of 2011 (by son).

5 Death, Marriage and Insolvency of Parties.

6 No abatement by party's death if right to sue survives.

7 Procedure in case of death of one of several defendants or of sole defendant.

8 Saving of inherent powers of Court.

9 Power of and procedure applicable to the National Commission.

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a delay of 7 ½ years. There is no proximity between the date of alleged incident and the date of filing complaint. The complainant took his wife to multiple other doctors for treatment but of no avail. Dr. Lall had unblemished record and was a specialist having MBBS (Pat), M.S. (Eye), M.S. (ENT), DO (London) degrees, were qualified and well respected.

10. Learned counsel further submits that the complaint was dismissed by SCDRC and during pendency of revision Dr. Lall passed away. Therefore, on the date of death of Dr. Lall, no formal decree of any forum/Commission exist against him. In such eventuality, the proceedings ought to have been closed as abated, and for alleged negligence of deceased, no right to sue survive against the legal representatives. Nonetheless no loss to estate is claimed by an enrichment of estate of Dr. Lall LRs, and hence cannot be substituted. Therefore, in absence of decree, recording finding of personal injury due to medical negligence, no proceedings can continue against the legal heirs of the doctors in view of Section 306¹⁰ of the Indian Succession Act, 1925 (in short ‘**1925 Act**’).
11. It is also urged, in the 1986 Act, opposite party has not been defined and in case of death of opposite party rendered service in person, his/her legal heirs cannot be substituted for any negligent act of individual Doctor. To buttress the submissions, reliance has been placed on ***Melepurath Sankunni Ezhuthassan Vs. Thekittil Geopalankutty Nair***¹¹, ***M. Veerappa Vs. Evelyn Sequeira***¹², ***Balbir Singh Makol Vs. Chairman, M/s Gangaram Hospital and Others***¹³, ***Neeraj Amarnath Dora Vs. Nandan Hospital and Others***¹⁴, ***G. Jayaprakash Vs. State of Andhra Pradesh***.¹⁵

SUBMISSION OF THE RESPONDENTS

12. Mr. Umesh Sinha, learned counsel appearing for respondents vehemently argued and said the provisions of CPC are applicable to

¹⁰ Demands and rights of action of or against deceased survive to and against executor or administrator.

¹¹ (1986) 1 SCC 118

¹² (1988) 1 SCC 556

¹³ 2001 (1) CPR 45 (NC)

¹⁴ II 2011 CPJ 171 (NC)

¹⁵ AIR 1977 (AP) 20

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1986 Act, and in terms of Order XXII Rule 4, even if sole defendant dies, his legal heirs ought to be substituted when right to sue survive. He submits that, the legal heirs of Dr. Lall inherited his estate and in case, liability, if any, is fixated for his negligence, it may be recoverable to such extent from his estate. The legal heirs of Dr. Lall stepped into his shoes by virtue of Section 2(11) of CPC, which defines 'legal representative' a person in law who represents the estate of the deceased.

13. He further submits that Section 13(7) of the 1986 Act provides for applicability of Order XXII where the complainant or the opposite party dies. Rule 4 of Order XXII prescribe the procedure on death of one of several defendants or of sole defendant, hence, NCDRC was right in continuing the proceeding, substituting the legal heirs of Dr. Lall.
14. Countering the applicability of Section 306 of 1925 Act, it is submitted that maxim '*actio personalis monitor cum persona*' (*a personal action dies with the person*) has been stated to be 'unworkable' in today's social jurisprudence as per 178th Report¹⁶ of the Law Commission of India and recommended for the amendment. Same view has been subscribed in the 8th report¹⁷ of the Haryana Law Commission. He further submits that no fault is attributable to him in the present case, as he has been pursuing the case diligently. At this stage, merely pecuniary claim survives, which can be satisfied from the estate of the opposite party, in case, the claim is decided in his favour. It is said, the application seeking substitution has rightly been allowed, otherwise, it would be amounting to reject the claim at the threshold at revisional stage without touching the merit.

SUBMISSION OF INTERVENOR

15. Mr. Shyam Padman, learned senior counsel, representing Indian Medical Association, Kerala State Branch, submitted that the 1986 Act does not provide any definition of 'opposite party', indicating a conscious legislative intent to survive any claim or to continue such claim against the estate of the opposite party after death. The procedure to follow is provided in Section 13(7) of the 1986 Act or

¹⁶ December, 2001.

¹⁷ 02.12.2022

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Section 38¹⁸(12) of the Consumer Protection Act, 2019 (in short ‘**2019 Act**’), which refers the procedure of Order XXII of CPC. Since both the Acts are silent on the issue of abatement and nor do they override Section 306 of 1925 Act, therefore entire domain is governed by Order XXII of CPC read with substantive law on the issue.

16. It is submitted Section 306 of 1925 Act is subject to qualify that such proceedings may continue against the executor or administrator where the right to sue survives. In case, the proceedings do not reach to a final conclusion, no liability can be said to be crystallized against the opposite party and if party dies in absence, no transmissible obligations persist.

SUBMISSION OF AMICUS CURIAE

17. Mr. Raghenath Basant, learned senior counsel, and assisted by Mr. Varun Kumar Kapoor, learned counsel, appearing as amicus submitted that Section 13(7) of 1986 Act addresses the contingency where either party to a pending proceeding dies and provides, the matter be dealt in accordance with Order XXII of CPC. In the present case, the opposite party had succeeded in appeal, the question remains as to whether on his death during pendency of revision, the right to sue survives or not. To ascertain, substantive law has to be looked into vis-à-vis the general principle under Section 306 of 1925 Act.
18. He submits that, Section 306 of 1925 Act carves out an exception to the transmissibility of right to sue or to be sued, to the executors or administrators of deceased party. The exception being ‘*personal injuries not causing death of the party*’, applies to claims, not resulting in death, implying such personal cause of action do not survive and end with the death of the person.
19. Supplementing the arguments of the respondents, he drew our attention to the 178th report of the Law Commission of India, 8th report of the Haryana Law Commission, Kerala Torts (Miscellaneous Provisions) Act, 1976¹⁹ and practices of other common law countries who have dispensed with the application of maxim ‘*actio personalis moritur cum persona*’.

¹⁸ Procedure on admission of complaint.

¹⁹ which allows all causes of action to continue except defamation, seduction or adultery.

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20. Lastly, placing emphasis on the legislative intent underlying Section 13(7) of 1986 Act read with Order XXII of the CPC, he submits that if the principle laid down in *Balbir Singh Makol (supra)* is applied, it would result in material inconsistency. According to him, the right to sue would not survive if the opposite party dies during the pendency of the complaint, yet it would survive where the death occurs during the pendency of an appeal against a decree passed against the opposite party.
21. Learned amicus has also suggested possible interpretations, whether or not the right to sue survives on death of the complainant or opposite party (medical professional/doctor). The suggested interpretations are for convenience as quoted –

On death of complainant

Interpretation A – *All claims shall survive on death of complainant because of 1986 Act and 2019 Act being subsequent and special laws, they shall govern the field.*

- The 1986 Act defines the word complainant to include consumer's legal heirs and the definition given under Section 2(5)(v) makes it clear that upon death of original consumer, the LRs can step into his shoes, meaning thereby, the claim can continue through LRs and is not meant to extinguish, reflecting conscious legislative intent.
- Similar is the situation in the subsequent 2019 Act, where similar definition has been provided under Section 2(5)(vi) and once again Parliament has recognized the right of the consumer to seek redressal of his claim after his death through LRs.

Interpretation B – *Only claims amounting to 'loss to estate' can survive.*

- Personal injury stipulated under Section 306 of 1925 mistakenly assumes to cover all tortious acts and negligence where direct injury is suffered.
- Loss to the estate following such injury ought to be extricated from the ambit personal injury, since any such loss to the estate from an actionable wrong does not partake the character of personal injury. For eg. – In motor accident cases, award under

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tab for loss of future income, medical expenses etc. are exclusive to personal injury. Hence, such claims can be protected from the rigor of Section 306 of 1925 Act.

On death of opposite party (medical professional/doctor)

Interpretation A – *If ‘loss to estate’ is not reckoned as a claim for ‘personal injury’, at least this claim can survive even on the doctor’s death, against his estate.*

- Claim for loss of estate stand on a different footing from personal injury. Such claim represents quantifiable economic loss and does not fall within exception enumerated in Section 306 of 1925 Act.
- The Parliament did not provide for mandatory abatement of proceedings in case of death of opposite party. Had it been the intention, it would have provided an express provision in the 1986 Act or the 2019 Act. Rather, Order XXII of CPC has been made applicable to ensure proceedings are continued in such cases.

Interpretation B – *Even a claim for ‘personal injury’ could be sustainable against the estate of the deceased doctor.*

- a. *An interpretation that avoids anomalous or irrational consequences is to be preferred.*
 - Any construction that would permit consumer to establish negligence and recover secondary loss as a consequence thereof, though bar him from recovering the primary loss because of injury suffered due to same, would lead to a situation where principal wrong itself is rendered illegally irrelevant solely because the wrongdoer has died.
 - Such interpretation of the maxim ‘*actio personalis moritur cum persona*’ defeats the very purpose of 1986 Act/2019 Act, which is a beneficial legislation.
 - This anomaly has been criticized by the Law Commission of India in its 178th Report, deprecating the mechanical application of this maxim being inconsistent with the modern social jurisprudence and also by the Haryana Law Commission in its 8th Report.

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- b. Comparative common law as a persuasive interpretative tool.*
- The maxim finds statutory expression in Section 306 of Indian Succession Act, 1925 and is a doctrine of common-law origin traceable to English Law.
 - United Kingdom by enacting Law Reform (Miscellaneous Provisions) Act, 1934, abrogated the principle that personal causes of action perish with the person. Other jurisdictions have followed.
- c. Section 13(7) of 1986 Act and Section 38(12) of the 2019 Act will not be rendered otiose.*
- The above interpretations do not violence the text of Section 13(7) of 1986 Act and 38(12) of 2019 Act, which mandate recourse to Order XXII of CPC in case of death of a party including opposite party.
 - What is urged is a relief specific inquiry into survivability, fully consistent with the aforesaid Order, not confined to monetary compensation, but also include directions for performance of specific obligations including removal of defects or any other acts incapable of being carried out after death of opposite party.

Suggestions**On death of the opposite party (medical professional/doctor)**

- a. Upon the death of the medical professional, claims for compensation arising out of medical negligence, including claims for person Upon the death of the medical professional, claims for compensation arising out of medical negligence, including claims for personal injury suffered by a consumer, ought to survive against the estate of the deceased. The Consumer Protection Act, being a special, beneficial and subsequent legislation, must govern the field in preference to the general provisions of the Indian Succession Act, 1925.*
- b. In the alternative, even if claims for personal injury are not held to survive in their entirety, claims for loss to estate of the complainant must, in any event, be held maintainable against the estate of the deceased doctor. Loss to estate constitutes*

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a distinct and independent head of claim, representing compensatory civil liability rather than a personal cause of action, and therefore survives even on a strict construction of Section 306 of the Indian Succession Act, 1925. al injury suffered by a consumer, ought to survive against the estate of the deceased. The Consumer Protection Act, being a special, beneficial and subsequent legislation, must govern the field in preference to the general provisions of the Indian Succession Act, 1925.

On death of the consumer/complainant

- a. *All claims maintainable under the Consumer Protection Act, including claims involving personal injury, may be permitted to survive at the instance of the legal representatives. Such survivability flows from the inclusive definition of ‘complainant’ under the Consumer Protection Act and the legislative intent to treat consumer grievances as statutory rights rather than purely personal torts. The Consumer Protection Act, being a special and subsequent legislation, must govern the field in preference to the general provisions of the Indian Succession Act, 1925. Concerns of unjust enrichment by the kin of the deceased consumer/complainant can be adequately addressed through moderation of quantum, particularly in respect of non-pecuniary heads, consistent with the principle of just compensation.*
- b. *In the alternative, and at the very least, claims representing loss to estate, such as medical expenses incurred, loss of income during the lifetime of the consumer, or other pecuniary loss, must necessarily survive. Even on a restrictive application of Section 306 of the Indian Succession Act, 1925 such claims do not fall within the exception relating to personal injury and are transmissible to the legal representatives.*

ANALYSIS AND FINDINGS

22. We have heard the learned counsel for the parties, the intervenor, and learned *amicus curiae* at considerable length. It is an exceptional case indeed in the sense that in spite of the best assistance of the *amicus*, this Court had to indulge in legal research to dredge out older statutory provisions which may seek to answer this issue. However, the law seems to have been lost to the pages of history

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due to less tort actions being litigated in India. In posterity, this case may be lesson to the students and stakeholders, to have a strong emphasis on legal history and jurisprudence.

23. Upon a careful consideration of the submissions advanced, the material placed on record, and the applicable legal framework, the question that arises for our consideration is –

“Whether, upon death of the doctor during pendency of proceedings at appellate stage, the legal heirs can be impleaded and held liable for the alleged act of medical negligence of the deceased doctor? If yes, to what extent?”

24. Aforesaid question assumes importance as the implication of the holdings in this case also applies to numerous types of tortious claims, including personal injuries which does not amount to death, including motor vehicle accidents, and other industrial accidents. In this context, we only state the principle of law as applicable, without considering any additional policy consideration which may be relevant to be considered elsewhere under different enactments.
25. Before we advert to the merits of the submissions, it is necessary to first understand the legal landscape. At the outset it becomes imperative to refer to common law maxim ‘*actio personalis moritur cum persona*’, which translates to ‘*a personal right of action dies with the person*’. This maxim was entrenched in the common law at least since 15th century. Percy H. Winfield²⁰ has written greatly about the evolution of this principle in common law as having dark corners.
26. English law, in light of societal changes, identified early on the need and necessity to create exceptions. In ***Hambly v. Trott***²¹, a simple case wherein defendant had wrongfully converted and used the Plaintiff’s sheep (a tort of conversion/trespass), while deciding the liability of defendant’s executor/estate, Lord Mansfield observed –

*“... The maxim, actio personalis moritur cum persona, upon which the objection is founded, not being generally true, and much less universally so, **leaves the law undefined***

20 Percy H. Winfield, ‘Death as Affecting Liability in Tort’, Columbia Law Review, Vol. 29, No. 3 (Mar., 1929), pp. 239-254]

21 1776 1 COWP 371

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as to the kind of personal actions which die with the person, or survive against the executor.....

..... Here therefore is a fundamental distinction. If it is a sort of injury by which the offender acquires no gain to himself at the expense of the sufferer, as beating or imprisoning a man, &c. there, the person injured has only a reparation for the delictum in damages to be assessed by a jury. But where, besides the crime, property is acquired which benefits the testator, there an action for the value of the property shall survive against the executor. As for instance, the executor shall not be chargeable for the injury done by his testator in cutting clown another man's trees, but for the benefit arising to his testator for the value or sale of the trees he shall.

So far as the tort itself goes, an executor shall not be liable; and therefore it is, that all public and all private crimes die with the offender, and the executor is not chargeable; but so far as the act of the offender is beneficial, his assets ought to be answerable; and his executor therefore shall be charged.....

(emphasis supplied)

This case clearly demarcated that death although ends personal liability for torts, however, any advantage gained by the defendant therein is answerable by the successor interest in the property.

27. The maxim which means 'a personal claim dies with the person' was a general rule applicable to torts and prevents representatives of the deceased from suing in his right for the suffering and pecuniary loss caused to the deceased during his lifetime by reason of the injury of which the deceased ultimately died. The result was that the person who caused the death of other cannot be sued in tort, though if death had not been caused but only injury had been caused, the injured would be entitled to sue and recover damages for the tortious act.
28. An Act of 1330 (4 Ed. III, c. 7) as amended by an Act of 1351-1352 (25 Ed. III, st. 5, c. 5.), enabled the personal representatives to sue for any injury done to the personal estate of one since deceased. The Civil Procedure Act, 1833, filled up most of the gaps left by the Act

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of 1330, at any rate so far as injuries to property were concerned. Its' provisions on this point were embodied under the Administration of Estates Act, 1925. Under the aforesaid enactment, the personal representatives could maintain for any injury committed to the real estate of the deceased, within six months before his death, any action which the deceased himself could have maintained, but the action had to be brought within one year after his death. Further, an action might be maintained against the personal representative of a deceased person for any wrong committed by the deceased within six months before his death, to another person's real or personal property, but the action had to be brought within six months after the personal representative had taken out representation.²² Various other enactments have created exceptions, which are Fatal Accidents Act, 1864, Employer's Liability Act (43 and 44 Vict., c.42), Workman's Compensation Act, 1897 (60 and 61 Vic., c.37), Workman's Compensation Act, 1906 (6 Edw. VII, C. 58).

29. The position at one point in England was '*it was cheaper to kill than to maim or cripple*'. The above unsatisfactory state of law in England was overcome by the passing of the Fatal Accidents Act, 1846, which is commonly known as Lord Campbell's Act and English Law Reform (Miscellaneous Provisions) Act 1935.
30. First set of statutory exception was carved under Fatal Accidents Act, 1846 (Lord Campbell Act). The English enactment, was adopted into India in 1855, giving a 'right to sue' to certain relative consequent upon the death of another as the result of a tort, providing the deceased would have been able to sue in person had he survived. This act survives in India even today, albeit in limited context wherein the right to sue for Plaintiff is preserved through statutory exceptions, when fatal accidents occur.
31. In **Phillips v. Homfray**²³, Lord Bowen who delivered the judgment of Lord Justice Cotton and himself deals fully with the application of the maxim and its limitations. He observes as thus (at page 454) –

"The only case in which, apart from the question of breach of contract express or implied, a remedy for a wrongful act

²² P H Winfield, Recent Legislation on the English Law of Tort, 1936 14-8 *Canadian Bar Review* 639;

²³ (1883) 24 Ch.D., 439

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can be pursued against the estate of a deceased person who has done the act, appears to be those in which property or the proceeds or value of property belonging to another have been appropriated by a deceased person and added to his own estate or moneys.”

32. Further under English law, second set of exception for other tortious claims other than fatal accidents were created with the introduction of the English Law Reform (Miscellaneous Provisions) Act 1935, which allowed actions to be brought on behalf of a deceased plaintiff or against the estate of a deceased defendant. It may be beneficial herein to note certain provisions of the English Law Reform (Miscellaneous Provisions) Act 1935. Section 1(1) of the aforesaid Act, states as under-

“1. Effect of death on certain causes of action.

- (1) *Subject to the provisions of this section, on the death of any person after the commencement of this Act all causes of action subsisting against or vested in him shall survive against, or, as the case may be, for the benefit of, his estate. Provided that this subsection shall not apply to causes of action for defamation.*
- (1A) *The right of a person to claim under section 1A of the Fatal Accidents Act 1976 (bereavement) shall not survive for the benefit of his estate on his death.]*
- (2) *Where a cause of action survives as aforesaid for the benefit of the estate of a deceased person, the damages recoverable for the benefit of the estate of that person —*
 - [(a) shall not include —*
 - (i) any exemplary damages;*
 - (ii) any damages for loss of income in respect of any period after that person’s death;]*
 - (b)*
 - (c) Where the death of that person has been caused by the act or omission which gives rise to the cause of action, shall be calculated without*

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reference to any loss or gain to his estate consequent on his death, except that a sum in respect of funeral expenses may be included.

- (3)
- (4) *Where damage has been suffered by reason of any act or omission in respect of which a cause of action would have subsisted against any person if that person had not died before or at the same time as the damage was suffered, there shall be deemed, for the purposes of this Act, to have been subsisting against him before his death such cause of action in respect of that act or omission as would have subsisted if he had died after the damage was suffered.*
- (5) *The rights conferred by this Act for the benefit of the estates of deceased persons shall be in addition to and not in derogation of any rights conferred on the dependants of deceased persons by the Fatal Accidents Acts 1846 to 1908,..... and so much of this Act as relates to causes of action against the estates of deceased persons shall apply in relation to causes of action under the said Acts as it applies in relation to other causes of action not expressly excepted from the operation of subsection (1) of this section.*
- (6) *In the event of the insolvency of an estate against which proceedings are maintainable by virtue of this section, any liability in respect of the cause of action in respect of which the proceedings are maintainable shall be deemed to be a debt provable in the administration of the estate, notwithstanding that it is a demand in the nature of unliquidated damages arising otherwise than by a contract, promise or breach of trust.*

The position of the earlier quoted maxim in England is presently largely academic, since the question of survival of cause of action is almost entirely governed by statute. Under Section 1(1) of the above enactment, all such cause of action, including an entirely 'personal' ones such as claim for damages for pain and suffering,

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survive in favor or against deceased person's estate provided they are vested in it at the time of death. As apparent from the reading of the above provision, there are four statutory exceptions: the estate cannot sue for damages for defamation, bereavement, prospective income which the deceased would have earned after his death, or for any sum by way of punitive damages. For the present purpose, we may not be required to go much into the English law.

33. However, India took a different turn in this regard. We will come back to adumbrating the Indian substantive law after referring to the procedural law involved in this issue and how the same has to be interpreted supporting the substantive law as it exists presently.
34. In the present case, the proceedings were initiated under the 1986 Act, which was in operation on the date of death of opposite party – Dr. Lall, who passed away on 04.08.2009. There is no gainsaying that the nature of proceedings initiated against Dr. Lall is a tortious claim for negligence by a doctor in treating a patient. The 1986 Act does not define 'opposite party', however Section 13 deals with the 'procedure on the receipt of complaint'. As the Marginal note suggests, Section 13 prescribes procedural prescriptions. Sub-section (7) thereof caters to the exigencies in case where death of the consumer/complainant or the opposite party takes place. The said Section is relevant and hence reproduced below for ready reference –

“13. Procedure on receipt of complaint

- (1) *The District Forum shall, on receipt of a complaint, if it relates to any goods –*
 - (a) *refer a copy of the complaint to the opposite party mentioned in the complaint directing him to give his version of the case within a period of thirty days or such extended period not exceeding fifteen days as may be granted by the District Forum;*
 - (b) *where the opposite party on receipt of a complaint referred to him under clause (a) denies or disputes the allegations contained in the complaint, or omits or fails to take any action to represent his case within the time given by the District Forum, the District Forum shall*

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proceed to settle the consumer dispute in the manner specified in clauses (c) to (g);

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- (7) *In the **event of death of a complainant who is a consumer or of the opposite party against whom the complaint has been filed, the provisions of Order XXII of the First Schedule to the Code of Civil Procedure, 1908 (5 of 1908) shall apply subject to the modification that every reference therein to the plaintiff and the defendant shall be construed as reference to a complainant or the opposite party, as case may be.)***”

35. Bare reading of sub-section (7) reveals that in event of death of either consumer/complainant or the opposite party, Order XXII of the First Schedule to CPC shall apply. Order XXII of CPC deals with ‘Death, Marriage and Insolvency of Parties’, rules whereof, in particular Rule 2, 4 and 11 are relevant and are reproduced hereinunder –

“2. Procedure where one of several plaintiffs or defendants dies and right to sue survives –

Where there are more plaintiffs or defendants than one, and any of them dies, and where the right to sue survives to the surviving plaintiff or plaintiffs alone, or against the surviving defendant or defendants alone, the Court shall cause an entry to the effect to be made on the record, and the suit shall proceed at the instance of the surviving plaintiff or plaintiffs, or against the surviving defendant or defendants.

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4. Procedure in case of death of one of several defendants or of sole defendant –

- (1) *Where one of two or more defendants dies and the right to sue does not survive against the surviving defendant or defendants alone or a **sole defendant or sole surviving defendant dies and the right to sue survives, the Court, on an application made***

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in that behalf, shall cause the legal representative of the deceased defendants to be made a party and shall proceed with the suit.

- (2) Any person so made a party may make **any defence appropriate** to his character as legal representative of the deceased defendant.
- (3) Where within the time limited by law no application is made under sub-rule (1), the suit shall abate as against the deceased defendant.
- (4) The Court whenever it thinks fit, may exempt the plaintiff from the necessity of substituting the legal representatives of any such defendant who has failed to file a written statement or who, having filed it, has failed to appear and contest the suit at the hearing; and judgment may, in such case, be pronounced against the said defendant notwithstanding the death of such defendant and shall have the same force and effect as if it has been pronounced before death took place.
- (5) Where—
 - (a) the plaintiff was ignorant of the death of a defendant, and could not, for that reason, make an application for the substitution of the legal representative of the defendant under this rule within the period specified in the Limitation Act, 1963 (36 of 1963), and the suit has, in consequence, abated, and
 - (b) the plaintiff applies after the expiry of the period specified therefore in the Limitation Act, 1963 (36 of 1963), for setting aside the abatement and also for the admission of that application under section 5 of that Act on the ground that he had, by reason of such ignorance, sufficient cause for not making the application within the period specified in the said Act,

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the Court shall, in considering the application under the said section 5, have due regard to the fact of such ignorance, if proved.]

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11. Application of Order to appeals —

In the application of this Order to appeals, so far as may be, the word “Plaintiff” shall be held to include an appellant, the word “defendant” a respondent, and the word “suit” an appeal.”

36. Rule 2 deals with a situation where one of the several plaintiffs or defendants dies and the right to sue survives to the remaining plaintiffs or against the surviving defendants alone. In such a case, no substitution of legal representatives is necessary, and the suit continues at the instance of or against the surviving parties. There is no abatement of the suit falling under this Rule.
37. On the other hand, Rule 4 addresses the situation where the sole defendant, or one of several defendants, dies and the right to sue survives only against the deceased defendant and not against the surviving defendants alone. In such a case, the suit cannot proceed against a dead person. Therefore, in terms of this Rule, the legal representatives of the deceased defendant must be brought on record, which must be effected through an application made in that behalf within the prescribed limitation. Upon such application being allowed and the legal representatives being impleaded, the Court shall proceed with the suit as if the legal representatives had originally been parties. However, if no such application is made within the limitation period, the suit abates as against the deceased defendant.
38. Rule 11 makes it clear that Order XXII is applicable to appeals also.
39. Thus, the position which emerges on combined reading of Rule 2 and Rule 4 is that the continuation of a suit/proceedings upon the death of a party fundamentally depends on whether the right to sue survives or not. When we speak of ‘right to sue/cause of action’ we speak of substantive law, as opposed to procedural aspects.
40. On a comparative reading of 1986 Act with 2019 Act, it is worthwhile to state that the procedure prescribed under Section 13(7) of the

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1986 Act has been continued under Section 38(12) of the 2019 Act. Insofar as ‘complainant’ is concerned, as per Section 2(b)(v) of the 1986 Act, a ‘complainant’ means his legal heir or legal representative in case of his death. Similarly, in 2019 Act, the same definition has been carried under Section 2(5)(vi) of complainant. By expressly providing for legal representative for complainant/consumer, the legislative intent is clear, i.e., the claim of the complainant shall not automatically perish upon his death and shall survive through his legal heirs.

41. Classic definition of ‘cause of action’ is given by Brett J in **Cooke v Gill**²⁴, as ‘every fact which is material to be proved to entitle the plaintiff to succeed’, and by Diplock LJ in **Letang v Cooper**²⁵, as ‘simply a factual situation the existence of which entitles one person to obtain from the court a remedy against another person’. ‘Right to sue’ ordinarily means the right to seek relief by means of legal proceedings. The right accrues only when the cause of action arises, that is, the right to prosecute to obtain relief by legal means²⁶. In **Indian Evangelical Lutheran Church Trust Association vs. Sri Bala & Co.**²⁷, this Court observed that –

*“9.8 Thus, “right to sue” means the right to seek relief by means of legal procedure when the person suing has a substantive and exclusive right to the claim asserted by him and there is an invasion of it or a threat of invasion. When the right to sue accrues, depends, to a large extent on the facts and circumstances of a particular case keeping in view the relief sought. It accrues only when a cause of action arises and for a cause of action to arise, it must be clear that the averments in the plaint, if found correct, should lead to a successful issue. **The use of the phrase “right to sue” is synonymous with the phrase “cause of action” and would be in consonance when one uses the word “arises” or “accrues” with it.***

(emphasis supplied)

²⁴ (1873) LR 8 CP 107 – Pg. 116.

²⁵ [1965] 1 QB 232 – Pg. 242- 243.

²⁶ State of Punjab v. Gurdev Singh, (1991) 4 SCC 1

²⁷ 2025 INSC 42

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42. Cause of action means every fact which would be necessary for the plaintiff to prove, if traversed, in order to support his right to judgment. It consists of a bundle of material facts, which are necessary for the plaintiff to prove in order to entitle him to the reliefs claimed in the suit.²⁸
43. In the said context, to ascertain whether right to sue survives in favour of legal representatives of complainant or opposite party, in cases of medical negligence, we need to adumbrate the substantive law as it exists in India and its legal history.
44. For torts/accidents which caused death, the Indian Fatal Accidents Act (XIII of 1855) followed the above English Act of 1846. Under Section 1-A of the Fatal Accidents Act, a new right is created in favour of certain dependants who are named therein, to maintain an action or suit for damages in respect of the death of a person. The dependants for whose benefit an action can be maintained under Section 1-A of the Act are the wife, husband, parents (which term includes not only father and mother but also grandfather and grandmother) and child (which term includes not only son and daughter but also grandson and grand-daughter and step-son and step-daughter). For those torts and liabilities which did not cause death, however the plaintiff passed away independently, the Legal Representatives' Suits Act of 1855 was passed. It may not be out of context to note that the Indian Fatal Accidents Act and the Legal Representatives' Suits Act of 1855 came into force on one and the same date, viz., 27th March, 1855.
45. The Legal Representatives' Suits Act enacted in India in the year 1855 (Act XII of 1855), is in existence as to this date. It is absolutely necessary to have a look at provisions of this Act –

“1. Executors may sue and be sued in certain cases for wrongs committed in lifetime of deceased.

An action may be maintained by the executors, administrators or representatives of any person deceased, for any wrong committed in the time of such person, which has occasioned pecuniary loss to his estate, for which

²⁸ *Dahiben v. Arvindbhai Kalyanji Bhanusali (Gajra) dead through legal representatives*, (2020) 7 SCC 366, (Para 24)

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*wrong an action might have been maintained by such person, so as such wrong shall have been committed within one year before his death ^{1***}; and the damages, when recovered, shall be part of the personal estate of such person;*

*and further, an action may be maintained against the executors or administrators or heirs or representatives of any person deceased for any wrong committed by him in his lifetime for which he would have been subject to an action, so as such wrong shall have been committed within one year before such person's death ^{2***} and the damages to be recovered in such action shall, if recovered against an executor or administrator bound to administer according to the English law, be payable in like order of administration as the simple contract debts of such person.*

2. Death of either party not to abate suit. Proviso. —
No action commenced under the provisions of this Act shall abate by reason of the death of either party, but the same may be continued by or against the executors, administrators or representatives of the party deceased: Provided that, in any case in which any such action shall be continued against the executors, administrators or representatives of a deceased party, such executors, administrators or representatives may set up a want of assets as a defence to the action, either wholly or in part, in the same manner as if the action had been originally commenced against them.

These provisions are applicable to institution of suits filed under the aforesaid enactment, by legal representatives etc., after the death of a person. It is clear that only suits for damages concerning pecuniary loss of estate can be maintained by legal representative, for any wrong committed by him within one year before the death of such person. Before the enactment of the Legal Representatives' Suits Act, such right to loss of estate died with the wronged and the same did not survive to the executors, administrators or representatives of the deceased. After the passing of the said Act, the executors or administrators or representatives of the deceased, as the case may be, can maintain a suit for loss of estate of the deceased. However,

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death of defendant/tortfeasor has been dealt differently, wherein any action or claim is maintainable against the legal representative, provided the wrong is committed within one year before the death.

46. The remedy provided under the Legal Representatives' Suits Act 1855 is, however, confined to suits brought subsequent to the death of the person, and did not enable suits brought by him to be continued after his death. In **Haridas Ramdas v. Ramdas Mathuradas**²⁹, the plaintiffs therein sued to recover damages for wrongful arrest and malicious prosecution. The defendant died pending suit and the plaintiff sought to continue the suit against the executors of the deceased or his legal representatives. The objection taken was that the suit abated. It was held by Haridas and Parsens, JJ., that Legal Representatives' Suits Act, 1855 did not apply as it related only to suits brought against the heirs of a deceased person for wrongs committed by him in his lifetime.
47. Though the legislature went much further than the English Act of 1833 when it enacted Clause (2) of Section 1 of Legal Representatives' Suits Act, 1855 and gave a fresh right of suit, it confined demands and rights to prosecute or defend suits or special proceedings by executors or administrators in the Succession Act of 1865 to suits other than personal injuries not causing the death of the party, and also cases where the death of the party rendered the granting of any relief useless. As the Succession Act did not apply to Hindus, Muhammadans or Buddhists, a similar provision was also enacted in the Probate and Administration Act 1881, in particular Section 89, which runs as follows –

“All demands whatever and all rights to prosecute or defend any suit or other proceeding existing in favour of or against a person at the time of his decease survive to and against his executors or administrators except causes of action for defamation, assault as defined in the Indian Penal Code or other personal injuries not causing the death of the party and except also cases when after the death of the party the relief sought could not be enjoyed or granting it would be nugatory.”

29 (1889) I.L.R., 13 Bom., 677

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48. As noted above, Section 306 of 1925 Act, is not a new provision and has been in the statute books of India under different legislation at least since 1865 (See Indian Succession Act, 1865, Section 268 later under Section 89 of Probate and Administration Act of 1881 (applicable to Hindus, Buddhists etc.). These earlier enactments were consolidated during colonial period and 1925 Act was enacted, which is applicable herein. Presently, Section 306 of 1925 Act can be profitably referred herein –

“306. Demands and rights of action of or against deceased survive to and against executor or administrator.—

All demands whatsoever and all rights to prosecute or defend any action or special proceeding existing in favour of or against a person at the time of his decease, survive to and against his executors or administrators; except causes of action for defamation, assault, as defined in the Indian Penal Code, 1860 (45 of 1860) or other personal injuries not causing the death of the party; and except also cases where, after the death of the party, the relief sought could not be enjoyed or granting it would be nugatory.

Illustrations

- (i) *A collision takes place on a railway in consequence of some neglect or default of an official, and a passenger is severely hurt, but not so as to cause death. He afterwards dies without having brought any action. The cause of action does not survive.*
- (ii) *A sues for divorce. A dies. The cause of action does not survive to his representative.”*

The aforesaid section *inter-alia* provides that all rights to prosecute any action or special proceeding existing in favour of a person at the time of his death, survive to his executors or administrators except cause of action for personal injuries not causing death of the party. Thus, under Section 306, the executor/administrator of a deceased will have a right to prosecute or continue any action or special proceeding existing in favour of the deceased at the time of his death, except causes of action for personal injury not causing death of an party.

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49. While commenting on Section 268 of Indian Succession Act, 1865 which is similar to Section 306 of 1925 Act, Whitley Stokes, observed in his commentary³⁰ as under-

“This is nearly the English law as to personal injuries. But the Indian Act goes further. By English law actions founded on what are technically called wrongs to the freehold do not survive except in the cases mentioned in 3 & 4 Will. IV, c. 42, s. 2 — Act XII of 1855, sec. 1, Wm. Exor. 707. But it is clear that this section extends to such injuries, and that an executor or administrator may, for example, bring a suit for diverting a watercourse, obstructing lights or cutting down trees in the lifetime of his testator or intestate.

*Personal injuries not causing the death of the party. — If they do cause his death, where the deceased could have maintained the action, if alive, a suit for damages may be brought under Act No. XII of 1855 (“An Act to provide compensation to families for loss occasioned by the death of a person caused by actionable wrong”). This Act is the English Statute 9 & 10 Vic., cap. 93 (Lord Campbell’s Act), with the additional provision that in any such suit **“the executor, administrator or representative of the deceased may insert a claim for, and recover any pecuniary loss to the estate of the deceased caused by the wrongful act, neglect or default; which sum, when recovered, shall be deemed part of the assets of the deceased.”** See Acts XII and XIII of 1855 in the Appendix.”*

(emphasis supplied)

50. On the similar lines, Mahendra Chandra Majumdar, interprets Section 268 of Indian Succession Act in his commentary³¹ in the following manner –

³⁰ Whitley Stokes, Commentary on Indian Succession Act, 1865, R. C. Lepage and Co., pg. 170.

³¹ **Mahendra Chandra Majumdar**, M. Krishnamachariar (eds.), The Indian Succession Act (Act X of 1865) with elaborated notes and commentaries, p. 909-910.

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*“5. **Except causes of action for defamation, & c.** – It will appear from the above that an executor or administrator can maintain an action in his representative character only in cases where the estate of the deceased suffers any loss on account of the wrongful act committed by another during his lifetime. Therefore, where the wrong or injury is merely a personal one, as in the case of defamation or assault, &c., and no pecuniary loss has been occasioned to the estate of the deceased, no action is maintainable after the death of such deceased. In such cases, the rule of law, embodied in the maxim **Actio personalis moritur cum persona** (a personal right of action dies with the person) shall evidently apply, subject to the modifications effected by the above-mentioned Acts. This rule is, that, if any injury is done by one person either to the person or property of another for which damages only is recoverable in satisfaction, the action dies with the person by whom the wrong is committed. Thus, an action for deceit will not lie against the representatives of a person who has fraudulently induced another to take shares in a company [Peek v. Gurney L. R. 6 H. L. 377] or even to purchase shares from the deceased himself [Re Duncan; Tervy v. Sweeting, (1899) 1 Ch. 387].*

“Executors and administrators are the representatives of the temporal property, that is, the debts and goods of the deceased but not of their wrongs, except where those wrongs operate to the temporal injury of their personal estate” [Lord Ellenborough in Chamberlain v. Williamson, 2 M. 408. But this rule “was never extended to such personal actions as were founded upon any obligation contract, debt, covenant or any other duty to be performed; for, there, the action survived.” [Davies v. Hood 88 L. J. 19]. ...”

51. Coming back to Section 306 of the 1925 Act, the fundamental principle enshrined under the above provision is that all rights and liabilities to maintain a suit succeed the death of a person and can be foisted on his successors. To this rule, exceptions are craved out namely, cause of action for defamation, assault and other personal injuries not causing death; or cause of action wherein

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relief cannot be enjoyed by the deceased or is nugatory. What requires our attention is the first set of exceptions, which needs to be interpreted herein.

52. While interpreting *mutatis mutandis* exception provided under Section 89 of Probate and Administration Act, 1881, a full bench of the Madras High Court in **Rustomji Dorabji vs W.H. Nurse**,³², held that –

“16. It cannot be said that when the legislature enacted the Succession Act of 1865 or the Probate and Administration Act of 1881 it had not before it the earlier enactment, Act XII of 1855. Though there was no exception as regards causes of action in Section 1, Clause 2, of the Act of 1855 which would cover suits excepted by the Acts of 1865 and 1881 it was thought necessary to make some exceptions in the latter Acts. It would be unreasonable to suppose that the legislature out of the large number of personal injuries actionable in law made a random selection of defamation on the one side and assault and other physical injuries not resulting in death on the other, and left several personal wrongs more serious than simple assault unprovided for. If the words “other personal injuries not causing the death of the party” be read ejusdem generis only with assault the executors or administrators of a person who wrongfully restrains another (without assaulting him) for a few minutes would be liable to be proceeded against in the suit while those of one who committed grievous bodily harm not severe enough to cause death would escape. It should be remembered that assault as defined in the Indian Penal Code includes the most trivial forms of personal violence and no reasonable explanation can be given for the legislature picking out some offences and excluding others, some of which are of a serious nature. It would have been easy to use the word physical injuries instead of the word personal injuries or to add the word “and” before assault, if only acts of personal violence were intended to be excluded.

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17. *The words “personal injuries” represent a classification well known to law and in ordinary legal phraseology are not confined, to merely physical injuries. Blackstone in dealing with private wrongs observes:*

Personal acts are such whereby a man claims a debt or personal duty or damages in lieu thereof and likewise whereby a man claims a satisfaction in damages for some injury done to his person or property. The former are said to be founded on contracts and the latter upon torts or wrongs. Of the former nature are all actions upon debt or promises; of the latter all actions for trespass, nuisances, assaults, defamatory words and the like.

18. *He then proceeds to deal with injuries which affect the personal security of individuals and divides them into injuries against their lives, their limbs, their bodies, their health or their reputation, and in the last class includes both defamation, and malicious prosecution (Bk. III, Clause 8). He divides all injuries into injuries without force or violence, as slander, and others coupled with force or violence, as batteries. As pointed out by Pollock and Maitland in the History of the English Law and by Street in his work on the Foundations of Legal Liability (Volume 1, page 327) malicious prosecution was regarded only as an aggravated form of defamation.*

19. ***Bearing in mind this classification and having regard to the fact that in the English Civil Procedure Act of 1883 the remedy was confined to injuries to the real or personal estate of the deceased and not to purely personal wrongs as understood in English Jurisprudence, and that the same limitation is placed by Section 1, Clause 1, of Act XII of 1855, and the anomalies that would result if the legislature picked out arbitrarily some personal wrongs and excluded them and desired to include at the same time wrongs of a much less serious character, I think the intention of the legislature in 1865 and 1881, when the Succession and the Probate and Administration Acts were passed, was to assimilate the law in India as far as possible***

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to what it was in England and to exclude from the operation of Sections 268 of the Succession Act and 89 of the Probate and Administration Act suits which by the law as administered in England would fall under the maxim actio personalis moritur cum persona. If the words were simply “all personal injuries not causing the death of the party” and omitted defamation or assault, it may be argued that personal meant only physical and that causes of action for defamation and other similar injuries survived. The legislature took two types of personal injuries, one physical and the other not, and used them by way of illustration of what it meant to exclude. In this view, the words “other personal injuries not causing the death of the party” must be read with “defamation” and “assault”.

(Emphasis supplied)

From the above it is clear that the exceptions adumbrated have to be taken as species mentioned therein.

53. In **Melepurth Sankunni Ezhuthassan v. Thekittil Geopalankutty Nair**³³, this Court while interpreting Section 306 of 1925 Act, held as under –

“7. Where a suit for defamation is dismissed and the plaintiff has filed an appeal, what the appellant-plaintiff is seeking to enforce in the appeal is his right to sue for damages for defamation and as this right does not survive his death, his legal representative has no right to be brought on the record of the appeal in his place and stead if the appellant dies during the pendency of the appeal. The position, however, is different where a suit for defamation has resulted in a decree in favour of the plaintiff because in such a case the cause of action has merged in the decree and the decretal debt forms part of his estate and the appeal from the decree by the defendant becomes a question of benefit or detriment to the estate of the plaintiff respondent which his legal representative is

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entitled to uphold and defend and is, therefore, entitled to be substituted in place of the deceased respondent plaintiff.

8. *Section 306 further speaks only of executors and administrators but on principle the same position must necessarily prevail in the case of other legal representatives, for such legal representatives cannot in law be in better or worse position than executors and administrators and what applies to executors and administrators will apply to other legal representatives also.*

9. *The position, therefore, is that had the appellant died during the pendency of his suit, the suit would have abated. Had he died during the pendency of the appeal filed by him in the district court, the appeal would have equally abated because his suit had been dismissed by the trial court. Had he, however, died during the pendency of the second appeal filed by the respondent in the High Court, the appeal would not have abated because he had succeeded in the first appeal and his suit had been decreed. As however, the High Court allowed the second appeal and dismissed the suit, the present appeal by special leave must abate because what the appellant was seeking in this appeal was to enforce his right to sue for damages for defamation. This right did not survive his death and accordingly the appeal abated automatically on his death and his legal representatives acquired no right in law to be brought on the record in his place and stead.*

We must note that this Court was confined with the question of defamation, which usually is a personal action and does not give rise to claims based on pecuniary damages to estate of the deceased. As a caveat, this Court has to be cognizant of a situation wherein monetary loss may occur to estate from an reputational loss. Therefore, the ratio in the above case has to be narrowly confined to cases of purely personal claims arising out of defamation which abates on the death in terms of Section 306 of the Indian Succession Act, 1925.

54. In ***M Veerappa v. Evelyn Sequeira***³⁴, this Court was concerned with a suit to seek damages for professional negligence against a

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lawyer for filing a Special Leave Petition with considerable delay. It is during the pendency of the suit that the original plaintiff passed away. The defendant therein opposed the suit on the maxim *actio personalis cum moritur persona*. While dismissing the appeal of the plaintiff therein, it was observed as under –

“10. The maxim “actio personalis cum moritur persona” has been applied not only to those cases where a plaintiff dies during the pendency of a suit filed by him for damages for personal injuries sustained by him but also to cases where a plaintiff dies during the pendency of an appeal to the appellate court, be it the first appellate court or the second appellate court against the dismissal of the suit by the trial court and/or the first appellate court as the case may be. This is on the footing that by reason of the dismissal of the suit by the trial court or the first appellate court as the case may be, the plaintiff stands relegated to his original position before the trial court. Vide the decisions in Punjab Singh v. Ramautar Singh [AIR 1920 Pat 841 : (1919) 4 Pat LJ 676], Irulappa v. Madhava [(1916) 31 MLJ 772] Maniramlala v. Chattibai [AIR 1937 Nag 216 : ILR 1938 Nag 280], Baboolal v. Ramlal [AIR 1952 Nag 408] and Melepurath Shankunni Ezhuthassan v. Thekittil Geopalankutty [(1986) 1 SCC 118 : AIR 1986 SC 411]. In Palaniappa Chettiar v. Rajah of Ramnad [ILR 49 Mad 208], and Motilal v. Harnarayan [AIR 1923 Bom 408 : 25 Bom LR 435 : ILR 47 Bom 716] it was held that a suit or an action which has abated cannot be continued thereafter even for the limited purpose of recovering the costs suffered by the injured party. The maxim of actio personalis cum moritur persona has been held inapplicable only in those cases where the injury caused to the deceased person has tangibly affected his estate or has caused an accretion to the estate of the wrong-doer vide Rustomji Dorabji v. W.H. Nurse [ILR 44 Mad 357] and Ratanlal v. Baboolal [AIR 1960 MP 200] as well as in those cases where a suit for damages for defamation, assault or other personal injuries sustained by the plaintiff had resulted in a decree in favour of the plaintiff because in such a case the cause of action becomes merged in the decree and

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the decretal debt forms part of the plaintiff's estate and the appeal from the decree by the defendant becomes a question of benefit or detriment to the estate of the plaintiff which his legal representatives are entitled to uphold and defend (vide Gopal v. Ramchandra [ILR 26 Bom 597] and Melepurath Sankunni v. Thekittil [(1986) 1 SCC 118 : AIR 1986 SC 411]).

11. *Though Section 306 speaks only for executors and administrators and **Order 22 of Rule 3 Civil Procedure Code sets out the rights of legal representatives to continue the proceedings instituted earlier by a deceased plaintiff if the right to sue survives, the courts have taken the view that the legal representatives stand on par with executors and administrators regarding their right to seek impleadment in order to continue the suit.** We may in this connection only quote the following passage occurring in Melepurath Sankunni case [(1986) 1 SCC 118 : AIR 1986 SC 411] : (SCC p. 121, para 8)*

"Section 306 further speaks only of executors and administrators but on principle the same position must necessarily prevail in the case of other legal representatives, for such legal representatives cannot in law be in better or worse position than executors and administrators and what applies to executors and administrators will apply to other legal representatives also."

12. *Thus it may be seen that there is unanimity of view among many High Courts in the country regarding the interpretation to be given to the words "other personal injuries not causing the death of the party" occurring in Section 306 of the Indian Succession Act and that the contrary view taken by the Calcutta and Rangoon High Courts in the solitary cases referred to above has not commended itself for acceptance to any of the other High Courts. The preponderant view taken by several High Courts has found acceptance with this Court in its decision in Melepurath Sankunni Ezhuthassan case [AIR*

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1951 Mad 733]. It is on account of these factors we have expressed our disapproval at the outset itself of the view taken by the High Court in this case.

55. In light of the law laid down above, exceptions intended under Section 306 of 1925 Act are meant to restrain the ambit of the enacting clause to particular cases. It is true that there is a possibility to adopt two interpretations when it comes to the 1st exception. As alluded by the learned amicus, first interpretation could bar all cause of action relatable to personal injury irrespective of claim being personal or against the estate of the deceased. Second interpretation could mean that only cause of action relatable to claims for personal injury are barred and any claim against the property/estate of the deceased may continue. We are of the opinion that later interpretation is to be preferred over the former for the reason that exceptions have to be strictly interpreted. The scope of exception cannot be allowed to chew the enabling provision which sets the tone for liabilities to be carried by legal representatives for a deceased person. Additionally, the development of common law also points towards distinction in cause of action which are personal as against estate claims. Even in India, aforesaid interpretation is to be favored as per the *ratio* in ***Evelyn Sequeira*** (supra). Moreover, the parties have not been able to provide any reason as to why distinct claims against the estate needs to be barred under 1st exception to Section 306 of 1925 Act.
56. Therefore, the 'right to sue/cause of action' mentioned under Order XXII Rule 2 and 4 have to be located under substantive law to be found in Section 306 of 1925 Act. The extent of survival of right/cause depends on the facts and remedy sought in the suit. A suit can be filed for seeking damages *ex delicto* or/and claim from estate or property of the defendant. For example, a claim for trespass can be an unliquidated damage for trespass *per se*, however, this can be coupled with conversion of a property such as taking away trees on plaintiff land. It is the nature of the claim that determines the cause of action and its survival.
57. Viewed differently, the answer can be traced in the definition of legal representative provided under Section 2(11) of the CPC, wherein the legal representative represents only the estate of the deceased. His representation cannot be extended to the personal rights which have extinguished with the death of his predecessor. Now the

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same position is also confirmed by the suits instituted under Legal Representatives Suits Act, 1855, wherein suits can only be instituted for cause concerning the pecuniary interest of the estate of deceased and nothing more. When this is the situation for instituting a suit, a higher right or a different standard cannot be set for substituting a legal representative during an appeal process. The procedural law under CPC, 1986 Act, 2019 Act and substantive law under 1925 Act or Legal representatives' Suits Act, 1855 has to be harmoniously construed.

58. It was also argued that the 1986 Act and 2019 Act, being a welfare legislation, needs to be interpreted broadly to continue the cause of action of personal claims. The purpose of the legislation was to protect the consumer and ensure that proper services are provided by professionals. Although, the argument looks enticing, we need to interpret the law based on the statutory language. Section 13 (7) of the 1986 left this aspect to be governed by Order XXII of CPC and did not create any such right to continue. Any interpretation to militate against the same, would be against the statutory intention. In any case, we are unable to locate a substantive provision within 1986 enactment or 2019 enactment to allow continuation of such personal claims.
59. From the above, it is clear that the exceptions provided under Section 306 of 1925 Act have to be limited to those espousing personal cause which do not continue once the plaintiff dies, such as personal claims arising *ex delicto* like defamation, personal injury etc., however, any claim on pecuniary interest of the deceased estate continues. In order to explain the classification of rights, jurisprudentially, Salmond classified proprietary rights and personal rights as under³⁵ –

“Proprietary and personal rights. Another important distinction is that between proprietary and personal rights. The aggregate of a man’s proprietary rights constitutes his estate, his assets, or his property in one of the many senses of that most equivocal or legal term. The sum total of a man’s personal rights, on the other hand, constitutes his status or personal condition, as opposed to his estate.

35 P.J. Fitzgerald, Salmond on Jurisprudence, p. 238 (Universal Law Publishing Co. Pvt. Ltd., 12th Edn., 1966)

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If he owns land, or chattels, or patent rights, or the goodwill of a business, or shares in a company, or if debts are owing to him, all these are rights pertain to his estate. But if he is a free man and a citizen, a husband and a father, the rights which he has as such pertain to his status or standing in the law.”

60. This Court in **Vinayak Purshottam Dube Vs. Jayashree Padamkar Bhat**³⁶, while deciding the liability of legal heirs of the deceased opposite party-developer to provide completion certificate, conveyance deed etc., to the complainant in addition to the monetary payment arising out of a development agreement, made the following classification between proprietary and personal rights –

	<i>Proprietary rights</i>	<i>Personal rights</i>
1.	<i>Proprietary rights mean a person’s right in relation to his own property. Proprietary rights have some economic or monetary value.</i>	<i>Personal rights are rights arising out of any contractual obligation or rights that relate to status.</i>
2.	<i>Proprietary rights are valuable.</i>	<i>Personal rights are not valuable in monetary terms.</i>
3.	<i>Proprietary rights are not residual in character.</i>	<i>Personal rights are the residuary rights which remain after proprietary rights have been subtracted.</i>
4.	<i>Proprietary rights are transferable.</i>	<i>Personal rights are not transferable.</i>
5.	<i>Proprietary rights are the elements of wealth for man.</i>	<i>Personal rights are merely elements of his well-being.</i>
6.	<i>Proprietary rights possess not merely judicial but also economic importance.</i>	<i>Personal rights possess merely judicial importance.</i>

In the light of the above, it is clear that in distinction to an individual’s personal right which is attached to his status, the proprietary right relates to his estate. On the other hand, personal right or claim

36 (2024) 9 SCC 398

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usually includes damages for loss of reputation, pain, and suffering, etc.

61. A contrary interpretation wherein any claim (inclusive of personal and proprietary claim) concerning defamation, assault, and other personal injuries not causing the death of the party, being barred under Section 306 of 1925 Act, would entail different standards being adopted for institution of suits under Legal Representative's Suits Act, 1855 and continuation of pre-existing suit. The law has to be read harmoniously. There is no logical or legal reasoning which can support a contrary interpretation to not allow estate claims with respect to the categories of exceptions identified above.
62. It needs to be cleared that suppose a decree stands during an appeal process in favor of the plaintiff and the defendant dies, then the entire claim is maintainable in appeal. As the decretal amount has to be satisfied from the estate of the deceased, then the legal representatives/executors/Administrator of the deceased defendant may have to prosecute the appeal. However, in case the plaintiff does not have a decree on the date of his death, then right to continue necessarily have to be determined in terms of Section 306 of 1925 Act.
63. We may note that this Court herein is only answering the question on interpretation of the applicable law and not expounding on the normative requirement as to whether the policy adopted by the law applicable is correct or there is a need to change. English law appears to have gone further to preserve tortious liabilities of the deceased defendant. To this court, even judgments and Haryana Law Commission have also taken a view to recommend amendments. We feel that it is appropriate to engage policy experts to debate the need and necessity of expanding scope of Section 306 of 1925 Act. The policy consideration is best left to the Law Commission to see whether there is a need to have a re-look at these provisions for future.
64. What falls from the above discussion are as under –
 - i. The common law maxim '*actio personalis moritur cum persona*' in India has been statutorily modified by various statutory instruments such as Fatal Accidents' Act of 1855, Legal representatives' Suits Act of 1855, Indian Succession Act of 1925, etc.;

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- ii. That the legal representative of the deceased can institute a fresh suit or be sued afresh in terms Legal Representatives Suits Act, 1855 or in terms of Section 306 of Indian Succession Act, 1925;
 - iii. Continuation of suit by or against the legal representative of the deceased has to be in terms of Section 306 of Indian Succession Act, 1925 (substantive law);
 - iv. Procedural prescription under Order XXII of CPC, concerning substitution of legal representative of the deceased party should be harmoniously construed with Section 306 of Indian Succession Act.
 - v. The continuation of 'right to sue' under Order XXII Rule 2 read with Rule 4 is to be seen on the date of death.
 - vi. Generally, all rights and liabilities to maintain a suit are carried to the legal representative under Section 306 of Indian Succession Act, 1925. However, when adjudicating claims under 1st exception to Section 306 of the Indian Succession Act, 1925, personal injury claims abate, while claims for or against the estate of the deceased survive.
65. Having understood the law, suppose, a doctor/opposite party in a consumer complaint involving allegations of medical negligence meets an unfortunate demise during the pendency of complaint. As such, the question of medical negligence remains undecided due to unproven allegations. Likewise, if such demise takes place at the appellate stage³⁷, the issue of medical negligence already stands adjudicated, either in favour of or against the doctor by the lower forum. There might be concurrent findings qua medical negligence or conflicting decisions or reversal at the appellate stage. Ultimately, as on the date of the doctor's demise, only two situations can arise, i.e., either an enforceable decree exists against him, or the consumer complaint against him stands dismissed. Therefore, what becomes essential at the relevant stage is to see, whether any enforceable decree against the doctor existed as on the date of the death of his doctor.

37 Inclusive of revisional stage.

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66. Before we part, a reference needs to be made to five judge bench judgment of NCDRC in **Balbir Singh Makol Vs. Chairman, Sir Ganga Ram Hospital and Others**³⁸, wherein while dealing with the issue regarding payment of compensation concerning medical negligence by the alleged negligent doctor who had died during pendency of complaint, it was observed as thus –

*“10. In the complaint the main allegation of negligence is against Dr. Makhani who performed the operation at Sir Ganga Ram Hospital who was the Doctor-in-charge in the said case. Before the case could reach its culmination the said Doctor, i.e. Dr. Makahni, died. Thus, the allegations could neither be rebutted nor could he have an opportunity to defend himself. In a tort of medical negligence, the cause of action is personal against the person who has been negligent in discharging his duties and that the cause of action does not survive against his estate or the Legal Representatives. However, in case the trial had been completed and a decree/judgment had been passed against the said deceased, that amount payable under the decree could be recovered from the estate of the deceased and the deceased and in such event the legal representatives of the deceased could be brought on record. But, that did not happen in the present case and even the question whether Dr. Makhani had been negligent in the discharge of his duties as a Surgeon could not be adjudicated upon. In this view of the matter, the maxim *actio personalis moritur cum persona*, as a general rule is applicable to actions in torts and, therefore, the cause of action against the party against whom an action in tort is brought is extinguished on his death. The maxim means that personal right of action dies with the person in other words death destroys the right of action. The right to sue will be extinguished. In this connection a reference be made to the following, among other, rulings.*

11. In *G. Jayaprakash v. The State of Andhra Pradesh* reported in AIR 1977 A.P. 20 (22) the Hon'ble Supreme Court held as under:

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“The death of the doctor extinguished his liability for damages and the suit against him stood abated. The maxim, “actio personalis meretur cum persona” applied to the case.

In the 8th Edn. Of Winfield on Tort at p.740. the following passage occurs:

In case of a lawful surgical operation in general negatives the liability. But in a case where actionable negligence is committed by the doctor which amounts to a personal wrong done by him, he may be liable of damages. But his death extinguishes his liability in tort and the right to sue also gets extinguished. So, I see no force in the contention that the 3rd defendant’s estate was benefited by the wrong done by him.”

13. *The Hon’ble Supreme Court while considering the question of bringing on record the legal representatives of the deceased who was sued for damages in a tort of defamation was considered and answered likewise in the case of Melepurath Sankunni Ezhuthassan v. Thekittil Geopalankutty Nair, reported in AIR 1986 SC 411. That was the case where the suit for defamation had been dismissed and the plaintiff had filed an appeal. During the pendency of the appeal, the Defendant who was being sued for defamation had died. The Supreme Court held that his legal representatives could not be brought on record as the cause of action stood extinguished.*

14. *In paragraph 7, the Hon’ble Supreme Court has observed as under:*

“Where a suit for defamation is dismissed and the plaintiff has filed an appeal, what the appellant-plaintiff is seeking to enforce in the appeal in his right to sue for damages of defamation and as this right does

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not survive his death, his legal representative has no right to be brought on the record of the appeal in his place and stead if the appellant dies during the pendency of the appeal. The position, however, is different where a suit for defamation has resulted in a decree in favour of the plaintiff because in such a case the cause of action has merged decree and the decretal debt forms part of his estate and the appeal from the decree by the defendant becomes a question of benefit or detriment to the estate of the plaintiff-respondent which his legal representatives is entitled to uphold and defend and is, therefore, entitled to be substituted in place of the deceased respondent-plaintiff.”

In light of the law discussed above, we do not subscribe to the ratio of NCDRC in **Balbir Singh Makol Case** (supra). Five judge bench of NCDRC therein seem to have erred on following counts –

- (a.) Applied common law maxim *actio personalis moritur cum persona*, by failing to read the statutory modification which are carried out by various enactments in India;
 - (b.) Misread the ratio in **Melepurath Sankunni Ezhuthassan Case** (supra) and failed to limit the same to facts of the case, which was solely arising from personal injury claim;
 - (c.) Made the first category of exceptions under Section 306 of 1925 Act absolute and extended the bar to claims of pecuniary loss against the estate as well;
67. In the context of Rule 4 of Order XXII of CPC, one has to understand and see whether the right to sue against such alleged medically negligent doctor survives or not upon his death. As discussed earlier, the ‘right to sue’ means the right to seek relief through legal proceedings. Such proceedings, in a general sense, are instituted against the opposite party/defendant(s), who possess a corresponding right to defend, as opposed to the claimant’s right to prosecute. The right to defend is intrinsically linked to, and arises from the right to prosecute, and vice-versa. Therefore, for the continuation of proceedings, it is essential that both rights co-exist. Nonetheless, in view of the preceding discussion and the

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statutory framework provided in 1986 Act as well as 2019 Act, we conclude that upon the death of the alleged medically negligent doctor, his/her legal heirs can be impleaded and brought on record. Consequently, the extent of liability will be determined based on the pleadings and evidence presented. The question is answered accordingly.

68. The complainant had succeeded before the District Forum and was awarded compensation. However, when taken in appeal by doctor, the SCDRC allowed the same and set-aside the award. Aggrieved, the original complainant preferred revision before NCDRC, pending which, the doctor/opposite party passed away on 04.08.2009. As borne from records, 'right to sue' if any subsists qua claims against the estate on the death of the opposite party in terms of Section 306 of Indian Succession Act, 1925 read with Order XXII Rule 2 and 4 of CPC. In order to establish the claims, the NCDRC is duty bound to adjudicate the negligence aspect, if any by the deceased doctor and resultantly adjudicate the surviving claims.
69. Before we conclude, it is necessary to state that question as to what claim can be attributed to the accretion of the deceased defendant's estate needs to be carefully analyzed by NCDRC as we have dealt only with the question of law. Of course, exhaustive list of these items cannot be given, since it would depend upon pleadings and proof brought before the Court. It may be relevant to note that the Claimant has the duty to first establish the negligence of the deceased doctor and the claims on the estate recoverable as per Section 306 of the 1925 Act.
70. We may add that the Impugned Order II confuses claims attributable to estate and holds that any adjudication on merits can be recoverable from the estate of the deceased doctor. Rather, the Court has to only look at claims which are maintainable as against the estate, rather than adjudicating personal claims which have elapsed with the death of the doctor.
71. We must also place on record appreciation for the invaluable assistance of the Amicus Curiae, Mr. Raghenth Basant, learned senior counsel and Mr. Varun Kapoor, learned counsel, whose erudite submissions have been of immense help to this Court.

Supreme Court Reports**CONCLUSION**

72. In light of law laid down in para 64 above, the matter is remitted to NCDRC to be adjudicated within six months from date of this order. Consequently, the impugned order dated 26.05.2010 (Impugned Order I) passed in M.A. No. 1214 of 2009 (Application for substitution) in Revision Petition No. 432 of 2006 and order dated 24.05.2018 (Impugned Order II) passed in M.A. No. 324 of 2011 (Review) in Revision Petition No. 432 of 2006 and R.A. No. 70 of 2011 (Review) in Revision Petition No. 432 of 2006 are hereby set-aside and the revision petition is restored to its original number.
73. Accordingly, the present appeals stand disposed of in above terms. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals disposed of.

†Headnotes prepared by: Nidhi Jain

**Dr. Bais Surgical and Medical Institute Pvt. Ltd & Ors.
v.
Dhananjay Pande**

(Civil Appeal No. 8973 of 2010)

04 May 2026

[Pamidighantam Sri Narasimha and Alok Aradhe, JJ.]

Issue for Consideration

Whether, in the absence of a formal entry of the respondent no.1's name in the register of members, he could nonetheless be regarded as a "member" of the appellant-company so as to invoke the jurisdiction of the Company Law Board u/ss.397 and 398 of the Companies Act, 1956.

Headnotes[†]

Companies Act, 1956 – ss.2(27), 41, 397, 398, 399 – “member” – High Court and the Company Law Board upheld respondent no.1 as a deemed member of the company, entitled to maintain a petition u/ss.397 and 398 – Whether the respondent no.1 could be regarded as a “member” of the appellant-company so as to maintain a petition u/ss.397 and 398, despite the absence of formal entry of his name in the register of members at the relevant point of time:

Held: Yes – The requirement that an agreement to become a member be “in writing”, introduced by the Amendment Act of 1960, was intended to ensure reliable proof of consent and to prevent fraudulent inclusion of names in the register, and not to impose entry in the register as the sole or exclusive mode of acquiring membership – The equitable foundation of ss.397 and 398 must be a guiding factor to not construe the expression “member” in an unduly restrictive or technical manner confined solely to formal entry in the register, frustrating the remedial purpose underlying the legislative scheme – A conjoint reading of ss.397, 398 and 399 indicates that the expression “member” cannot be construed in isolation or confined to the technical formulation contained in s.41(2) – Rather, the broader definition embodied in s.2(27) assumes significance in determining whether a person is entitled to invoke the remedies contemplated under the Act – It would

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be contrary to settled principles of interpretation to attribute to the Legislature an intention to create conflicting meanings of the same expression within the statute – The expression “member”, when employed in the context of remedies u/ss.397 and 398, must therefore be construed with reference to the wider definitional framework provided in s.2(27) and allied provisions governing the rights of members – The conclusion treating respondent no.1 as a member was founded upon a consistent and cumulative chain of factual circumstances demonstrating recognition of his proprietary interest in the appellant company – On facts, respondent no.1 was consistently treated as a stakeholder having interest in the appellant company rather than as a mere investor or creditor – High Court also relied upon the financial and operational conduct of the company, which showed that respondent no.1’s investment was accepted and utilised for the expansion of the company’s business, resulting in increased authorised share capital and profitability – Respondent no. 1 had, in substance, acquired the status of a shareholder whose interest stood recognised by the company over a considerable period – High Court was justified in affirming the finding that respondent no.1 was entitled to be treated as a member for the purposes of maintaining proceedings u/ss.397 and 398. [Paras 21, 23, 29-31]

Companies Act, 1956 – ss.2(27), 41, 397, 398, 399 – “member” – Inclusive definition of “member” u/s.2(27) *vis-à-vis* s.41 dealing with acquisition of membership – Whether the expression “member” as appearing u/ss.397 and 398 is to be construed strictly in accordance with s.41 or it must be understood in the broader sense contemplated u/s.2(27) – Meaning and scope of the expression “member”, as occurring in ss.397, 398 and 399:

Held: The statutory framework under the Act, 1956 draws a clear distinction between the inclusive definition of the term “member” contained in s.2(27) and the provisions governing acquisition of membership set out in s.41 – s.2(27) employs language of wide amplitude and, in relation to a company, embraces every category of member, subject only to the limited exclusion of a bearer of a share-warrant issued u/s.114 of the Act – Whereas, s.41 operates in a different sphere and prescribes the recognised modes by which membership may arise – It contemplates, first, deemed membership in the case of subscribers to the memorandum; secondly, persons

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who agree in writing to become members; thirdly, entry of a person's name in the register of members, which ordinarily constitutes conclusive evidence of membership; and lastly, persons reflected as beneficial owners in the records of a depository – The requirement that an agreement to become a member be “in writing”, introduced by the Amendment Act of 1960, was intended to ensure reliable proof of consent and to prevent fraudulent inclusion of names in the register, and not to impose entry in the register as the sole or exclusive mode of acquiring membership – A more fundamental consideration arises from the nature of jurisdiction conferred u/ ss.397 and 398, which has consistently been recognised as equitable in character – These provisions, situated in Chapter VI, are designed to afford remedies to minority shareholders against acts of oppression and mismanagement – The entitlement to invoke such jurisdiction is regulated by s.399, which prescribes the eligibility criteria for maintaining an application u/ss.397 and 398 – Accordingly, the relevant enquiry, while determining maintainability, must center on whether the applicant satisfies the conditions prescribed u/s.399, rather than on a mechanical application of the procedural requirements found in s.41(2) – The equitable foundation of ss.397 and 398 must be a guiding factor to not construe the expression “member” in an unduly restrictive or technical manner confined solely to formal entry in the register, thereby frustrating the remedial purpose underlying the legislative scheme. [Paras 21, 22]

Case Law Cited

M/s World Wide Agencies Pvt. Ltd. and Anr. v. Margarat T. Desor and Ors [1989] 2 SCR 545 : (1990) 1 SCC 536; *Needle Industries (India) Ltd. & Ors. v. Needle Industries Newey (India) Holdings Ltd. and Ors.* [1981] 3 SCR 698 : (1981) 3 SCC 333 – **relied on.**

Balkrishan Gupta and Ors. v. Swadeshi Polytex Ltd. and Anr [1985] 2 SCR 854 : (1985) 2 SCC 167; *Nanlal Zaver and Anr. v. Bombay Life Assurance Co. Ltd. and Ors.* [1950] 1 SCR 391; *Severn Trent Water Purification Inc. v. Chloro Controls (India) Private Ltd. and Anr.* (2008) 4 SCC 380 – **referred to.**

Shri Balaji Textile Mills Pvt. Ltd. and Anr. v. Ashok Kavle and Ors., 1988 SCC OnLine Kar 80; *Umesh Kumar Baveja and Ors. v. IL and FS Transportation Network Ltd. and Ors.*, 2013 SCC OnLine Del 6436; *Shri Gulabrai Kalidas Naik and Ors. v. Shri Laxmidas*

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Lallubhai Patel of Baroda and Ors., 1977 SCC OnLine Guj 47;
S.V.T. Spinning Mills P. Ltd. and Ors. v. M. Palanisami and Ors.,
2009 SCC OnLine Mad 3260 – referred to.

Books and Periodicals Cited

Buckley on Companies Acts, 2000 edition.

List of Acts

Companies Act, 1956.

List of Keywords

“Member”; Register of members; Formal entry of name in register of members; Absence of name in register of members; Absence of formal entry of name in register of members; Member of company; Member for purposes of maintaining proceedings under Sections 397 and 398 of the Companies Act, 1956; Sections 397 and 398 of the Companies Act, 1956; Oppression and mismanagement; Deemed member of company; Section 2(27) of the Companies Act, 1956; Section 41 of the Companies Act, 1956; Acquisition of membership; Recognition of proprietary interest in company; Stakeholder; Interest in company; Status of a shareholder acquired; Interest recognised by company; “in writing”; Fraudulent inclusion of names in register of members; Mode of acquiring membership; Minority shareholders; Failure to issue share certificates; Increase in authorised share capital and profitability.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 8973 of 2010

From the Judgment and Order dated 08.06.2009 of the High Court of Judicature at Bombay at Nagpur in CA No. 7 of 2004.

With

Civil Appeal No. 9456 of 2010

Appearances for Parties

Advs. for the Appellant(s):

Shyam Mehta, Sr. Adv., Gagan Sanghi, Varad Kilor, Ms. Farah Hashmi, Rameshwar Prasad Goyal.

**Dr. Bais Surgical and Medical Institute Pvt. Ltd & Ors. v.
Dhananjay Pande**

Advs. for the Respondent(s):

Mrs. Haripriya Gopal Shankar, Shailesh Mandiyal, Sr. Advs.,
Mugdha Pande, Shiv Vinayak Gupta, Ms. Anushka Rawal, Ms.
Himani Singh, Mrs. Bina Gupta, Tungesh, Deepak Sabharwal,
Anurya Sabharwal, Ms. Snigdha Jha.

Judgment / Order of the Supreme Court

Judgment

1. The present appeals arise from the judgments of the High Court¹, whereby the appeals preferred by the appellants against the orders of the Company Law Board² came to be dismissed. The principal question which arises for consideration in these appeals is whether, in the absence of a formal entry of the respondent no. 1's name in the register of members, he could nonetheless be regarded as a "member" of the company so as to invoke the jurisdiction of the Company Law Board under Sections 397 and 398 of the Companies Act, 1956. The facts necessary for the adjudication of the present controversy are set out hereunder.
2. Appellant no. 1 is a company incorporated on 14.11.1994. Appellants no. 3 and 4 are its shareholders and directors. Appellant no. 2, along with his wife, established and constructed a hospital intended to be operated by appellant no. 1. The hospital commenced its operations but, within a short span, encountered financial constraints. At that juncture, respondent no.1 approached the appellants with a proposal to infuse funds into the company, subject to the condition that he be appointed as Managing Director and that the hospital be converted into a specialized cardiac facility. Acting upon the said proposal, respondent no.1 was appointed as Managing Director with effect from 01.01.1998 for a period of five years, and the hospital was thereafter converted into a heart institute.
3. It is the case of respondent no. 1, though disputed by the appellants, that at a meeting of the Board of Directors held on 15.07.1999,

¹ Vide judgement dated 08.06.2009 in Company Appeal No. 7 of 2004 and judgement dated 21.04.2010 in Company Appeal No. 9 of 2008.

² Vide order dated 02.12.2004 in Company Petition No. 9 of 2001 and order dated 14.03.2008 in Company Petition No. 1 of 2005.

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14,75,998 shares were allotted to him against the share application money paid by him to the company. Subsequently, disputes arose between the parties, culminating in a decision of the Board of Directors to suspend respondent no. 1, inter alia, on account of mounting liabilities of the company. In an attempt to resolve the disputes, the parties participated in conciliation proceedings held between 27.05.2000 and 29.05.2000. Upon conclusion of the conciliation proceedings, the order of suspension was withdrawn, and respondent no. 1, in turn, withdrew from the day-to-day affairs of the company.

4. In January 2001, respondent no.1 instituted the first company petition under Sections 397 and 398 of the Companies Act, 1956, alleging acts of oppression and mismanagement on part of the appellants. The principal grievance urged therein pertained to the failure of the appellants to issue share certificates despite the receipt of share application money by the company. At the threshold, the appellants raised an objection to the locus standi of respondent no. 1 under Section 399 of the Act, contending that he did not qualify as a “member” so as to maintain a petition under Sections 397 and 398.
5. During the pendency of the above petition, respondent no. 1 withdrew his offer to acquire shares of the appellant company owing to inordinate delay in allotment. Furthermore, he instituted civil suits seeking recovery of the share application money along with interest thereon and recovery of money spent on supplying consumables to the appellant company.
6. By order dated 02.12.2004, the Company Law Board allowed the company petition, proceeding on the footing that respondent no. 1 was a member of the company, and directed the appellant company either to allot shares corresponding to respondent no.1’s investment or, in the alternative, to refund the invested amount together with interest. Aggrieved by the treatment of respondent no. 1 as a member, the appellants preferred an appeal on 13.12.2004. At this stage, it may be noted, without disturbing the chronological narration, that the said appeal came to be dismissed by the High Court vide the impugned judgment dated 08.06.2009, wherein the preliminary objection raised by the appellants regarding maintainability was rejected. The reasoning adopted by the High Court will be adverted to at a later stage, after setting out the relevant facts pertaining to the connected proceedings.

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7. The second tranche of proceedings arose from a meeting of the Board of Directors held on 25.12.2004, wherein the Board of the appellant company allotted 14,75,998 shares to respondent no. 1 and also allotted shares to appellants nos. 2, 5, 6 and 7 against their earlier investments. On the same day, appellant no. 2 was further allotted 60,00,000 shares as consideration for the transfer of the land and building in which the hospital was functioning, such transfer being a pre-condition for execution of a Management Agreement with Wockhardt Hospitals Ltd. The said allotment of 60,00,000 shares to appellant no. 2 was challenged by respondent no. 1 by instituting a second company petition under Sections 397 and 398 of the Companies Act, 1956, dated 07.01.2005, inter alia, on the ground that the allotment was intended to dilute his shareholding from 49% to 15%. It was further alleged that the appellant company was in the process of handing over complete control to Wockhardt Hospitals Ltd., contrary to the interests of respondent no. 1 as well as the company. By order dated 10.01.2005, the Company Law Board directed the parties to maintain status quo with respect to the property and shareholding of the company. During the pendency of the proceedings, the appellants and Wockhardt Hospitals Ltd. executed a Management Agreement on 02.03.2005, whereby the management of the hospital was handed over to Wockhardt.
8. Subsequently, by order dated 14.03.2008, the Company Law Board held that the allotment of shares to appellant no. 2 against the transfer of property was oppressive in nature and that such allotment had been affected with a view to deprive respondent no. 1 of the benefit of the earlier order directing allotment of shares in his favour. The Board further found that the manner in which the appellant company entered into the Management Agreement with Wockhardt Hospitals Ltd. was not proper. In view thereof, the second company petition was disposed of with a direction to the appellants or Wockhardt Hospitals Ltd. to purchase the shares allotted to respondent no. 1, together with interest at the rate of 6% per annum from the date of investment until the date of payment, on or before 31.07.2008, so as to bring an end to the disputes between the parties. The said order was assailed by the appellants in appeal, which came to be dismissed by the High Court vide the impugned judgment dated 21.04.2010, upon holding that no substantial question of law arose for consideration. The High Court observed that although shares

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had been allotted to respondent no. 1, the failure to issue share certificates indicated an intention on the part of the appellants to keep respondent no. 1 out of effective participation in the company until the situation was altered through third-party intervention.

9. When the Special Leave Petition against said judgment came up for hearing before this Court on 16.07.2010, it was directed to be listed along with the main appeal. Subsequently, by order dated 02.08.2010, this Court directed the appellants to deposit Rs. 2,59,18,525/- which included interest at the rate of 6% up to 01.08.2009.
10. By order dated 18.10.2010, this Court admitted both the petitions and they have now surfaced before us for final hearing.
11. We have heard Mr. Shyam Mehta, learned senior counsel appearing on behalf of the appellants, and Mr. Shailesh Mandiyal and Mrs. Haripriya Gopal Shankar, learned senior counsels appearing on behalf of the respondent no. 1.

A. Submissions on behalf of the appellants:

12. Mr. Shyam Mehta, learned senior counsel, argued with sobriety and persuasion. He has confined his submission to a neat question of law relating to the scope and ambit of the expression 'member' appearing in Sections 397 and 398 of the Act, 1956, and even we have confined our enquiry to that extent. Hence, the principal controversy in the present case revolves around whether respondent no. 1 could claim the status and entitlements of a member without fulfilling the statutory requirements prescribed under the Act, 1956, particularly Section 41 thereof.
 - 12.1 Respondent no. 1 was never a member of the company within the meaning of Section 41 of the Act, 1956. Learned senior counsel submitted that it is the consistent position of law that unless a person's name is entered in the register of members, such person can neither be treated as a member of the company, nor can he exercise statutory rights available exclusively to members.
 - 12.2 Existence of membership constitutes a jurisdictional fact for invoking the provisions relating to oppression and mismanagement under Sections 397 and 398 of the Act, 1956. Unless such jurisdictional fact is established, the Company

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Law Board could not have assumed jurisdiction to entertain the petition. According to the appellants, respondent no. 1 approached the Company Law Board on the assertion that shares had been allotted to him; however, he failed to produce any documentary material evidencing such allotment or entry of his name in the register of members.

- 12.3 Respondent no. 1 had, at an earlier stage, instituted a civil suit seeking recovery of the amount allegedly invested by him in the appellant company. Such conduct demonstrated that respondent no. 1 himself did not consider his investment as share capital, but treated the same as a recoverable debt. It was contended that having once sought recovery of the amount, respondent no. 1 could not have subsequently asserted rights flowing from alleged membership.
- 12.4 Learned senior counsel emphasised that any conduct on the part of the company or any form of recognition extended to respondent no. 1 could not override the express statutory requirements governing membership. In the absence of entry of the respondent's name in the register of members, it was submitted that he unequivocally lacked the locus standi to maintain a petition under Sections 397 and 398 of the Act 1956.
- 12.5 In support of his submissions, Mr. Mehta relied on the decisions of this Court, particularly *Balkrishan Gupta and Ors. v. Swadeshi Polytex Ltd. and Anr.*³, *Nanlal Zaver and Anr. v. Bombay Life Assurance Co. Ltd. and Ors.*⁴, *Severn Trent Water Purification Inc. v. Chloro Controls (India) Private Ltd. and Anr.*⁵ to the effect that respondent no. 1 shall not be held to be a member due to non-mentioning of his name in register of members.

B. Submissions on behalf of the respondent(s):

13. Per contra, learned senior counsels appearing on behalf of respondent no. 1 supported the reasoning adopted by the Company Law Board as affirmed by the High Court.

3 (1985) 2 SCC 167.

4 [1950] 1 SCR 391.

5 (2008) 4 SCC 380.

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- 13.1 Entry of a person's name in the register of members is a statutory obligation cast upon the company, which the appellant company had failed to discharge despite receiving substantial investment from respondent no. 1 and repeated requests made by him for allotment of shares.
- 13.2 Appellants could not be permitted to take advantage of their own failure to comply with statutory requirements by relying upon a hyper-technical interpretation of the expression "member".
- 13.3 Respondent no. 1 had invested substantial amounts in the company and such investment had been accepted and utilised by the company in its business operations. In these circumstances, it was urged that the company could not deny respondent no.1's entitlement to membership merely on account of its own omission to complete the formal entry in the register of members.
- 13.4 Accordingly, it was submitted that the findings recorded by the Company Law Board and affirmed by the High Court were justified both on facts and on law, and that no interference was warranted.
- 13.5 In support of his submissions, reliance has been placed on *Shri Balaji Textile Mills Pvt. Ltd. and Anr. v. Ashok Kavle and Ors.*⁶, *M/s World Wide Agencies Pvt. Ltd. and Anr. v. Margarat T. Desor and Ors.*⁷, *Umesh Kumar Baveja and Ors. v. IL and FS Transportation Network Ltd. and Ors.*⁸ and other precedents.

Analysis:

14. By the impugned judgement dated 08.06.2009, the High Court dismissed the appeal by observing that the cumulative facts and circumstances of the case regarding treatment of respondent no. 1 and his investment by the appellant company, strongly favours the conclusion that respondent no. 1 is entitled to be treated as a member. The state of affairs that prevailed on the High Court and the Company Law Board alike to uphold respondent no. 1 as a deemed member

6 1988 SCC OnLine Kar 80.

7 (1990) 1 SCC 536.

8 2013 SCC OnLine Del 6436.

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of the company, entitled to maintain a petition under sections 397 and 398, are as follows -

- 14.1 Letter dated 13.02.1998 by appellant no.2 addressed to Dr. Naresh Trehan, describing respondent no. 1 as the “co-owner”.
- 14.2 Minutes of conciliation proceedings dated 29.05.2000, which indicate admittance of respondent’s entitlement to allotment of shares. Additionally, letter by the Conciliator, dated 23.07.2000, shows that respondent no. 1 was the owner of 30% of the hospital.
- 14.3 The respondent no. 1 was made the Managing Director and upon receiving investment from him, the name of the hospital was changed to Ekvira Heart Institute, “Ekvira” representing respondent’s trading concern.
- 14.4 Respondent’s investment led to increased profits and authorised share capital. There was, therefore, utilisation of share application money brought in by the respondent.
- 14.5 The inconsistency between the Chartered Accountant’s Certificate dated 30.08.1998 and the Balance Sheet dated 31.03.2000 suggested that it was possible to concluded that respondent no. 1 was allotted shares on 15.07.1999, as asserted by him.
- 14.6 Proceedings before the civil court, in the suit filed by the respondent, indicate that the appellants had taken allotment of shares to the respondent no. 1 as an admitted fact.
- 14.7 Conduct of business over the years points towards appellant no. 2 and respondent no. 1 as being the real stakeholders and the brains dominating the affairs of the company.
15. On the basis of the above factual background, the High Court placed reliance on the judgement in *Shri Balaji Textile* (supra) to state that the meaning of the word “member” under Sections 397 and 398 is to be understood in light of definition in Section 2(27) and not with reference to Section 41. Explaining the scope of Section 41, it was held that this provision needs to be restricted to fact situations that necessitated its introduction, that is, to protect interest of a company from a busy body claiming to be a subsequent purchaser of shares as well as to protect shareholders/

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persons from false claims of unscrupulous companies. In all other cases, the broader definition in Section 2(27) would apply. In view of the above position of law, it was held that a person becomes a shareholder of the company either by his name being entered in the register of members or by him being treated as a member, as evidenced by subsequent conduct.

16. To support its conclusion that respondent no. 1 is to be treated as a member of the appellant company, the High Court placed reliance on Buckley on Companies Acts, 2000 edition, wherein it is stated that allotment results if applicant's offer is accepted by the company or even if a mere application is made in cases where a pre-existing right exists in favour of the applicant. Thus, the High Court concluded that even though there is deficiency of documentary evidence pointing towards respondent no. 1 applying to be a member or being treated as a member by the company, but preponderance of probabilities supports allotment of shares in his favour. It is in this light that the High Court affirmed the judgement of the Company Law Board.
17. Having examined the reasoning adopted by the High Court in affirming the orders of the Company Law Board, the issue that now falls for determination before this Court is whether the respondent no. 1 could be regarded as a "member" of the appellant company so as to maintain a petition under Sections 397 and 398 of the Companies Act, 1956, despite the absence of formal entry of his name in the register of members at the relevant point of time. The resolution of this issue necessarily requires an examination of the statutory scheme governing membership under the Act, particularly the interplay between the inclusive definition of "member" under Section 2(27) and the provisions contained in Section 41 dealing with acquisition of membership.
18. "Member" has been defined under Section 2(27) as:

"(27) 'member', in relation to a company, does not include a bearer of a share-warrant of the company issued in pursuance of section 114."
19. On the other hand, Section 41, appearing in Part II of the Act, 1956 dealing with "Incorporation of Company and Matters Incidental Thereto" provides as under:

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“41. DEFINITION OF “MEMBER”

(1) The subscribers of the memorandum of a company shall be deemed to have agreed to become members of the company, and on its registration, shall be entered as members in its register of members.

(2) Every other person who agrees in writing to become a member of a company and whose name is entered in its register of members, shall be a member of the company.

(3) Every person holding equity share capital of company and whose name is entered as beneficial owner in the records of the depository shall be deemed to be a member of the concerned company.”

20. The question, hence, is whether the expression “member” as appearing under Sections 397 and 398 is to be construed strictly in accordance with Section 41 of the Act, 1956, or whether it must be understood in the broader sense contemplated under Section 2(27). It would also be necessary to consider whether Parliament intended that membership of a company could arise only upon entry in the register of members, or whether the Act contemplates other legally recognised modes by which membership may be established, including deemed membership, proof of agreement to become a member, and recognition of proprietary interest evidenced through conduct. It is in this backdrop that the legal position governing the meaning and scope of the expression “member”, as occurring in Sections 397, 398 and 399 of the Act, must now be analysed before applying the same to the facts of the present case.
21. The statutory framework under the Act, 1956 draws a clear distinction between the inclusive definition of the term “member” contained in Section 2(27) and the provisions governing acquisition of membership set out in Section 41. Section 2(27) employs language of wide amplitude and, in relation to a company, embraces every category of member, subject only to the limited exclusion of a bearer of a share-warrant issued under Section 114 of the Act. Section 41, on the other hand, operates in a different sphere and prescribes the recognised modes by which membership may arise. It contemplates, first, deemed membership in the case of subscribers to the memorandum; secondly, persons who agree in writing to become members; thirdly,

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entry of a person's name in the register of members, which ordinarily constitutes conclusive evidence of membership; and lastly, persons reflected as beneficial owners in the records of a depository. The requirement that an agreement to become a member be "in writing", introduced by the Amendment Act of 1960, was intended to ensure reliable proof of consent and to prevent fraudulent inclusion of names in the register, and not to impose entry in the register as the sole or exclusive mode of acquiring membership.

22. A more fundamental consideration arises from the nature of jurisdiction conferred under Sections 397 and 398 of the Act, which has consistently been recognised as equitable in character by this Court.⁹ These provisions, situated in Chapter VI, are designed to afford *remedies* to minority shareholders against acts of oppression and mismanagement. The entitlement to invoke such jurisdiction is regulated by Section 399, which prescribes the eligibility criteria for maintaining an application under Sections 397 and 398. Accordingly, the relevant enquiry, while determining maintainability, must center on whether the applicant satisfies the conditions prescribed under Section 399, rather than on a mechanical application of the procedural requirements found in Section 41(2). The equitable foundation of Sections 397 and 398 must be a guiding factor to not construe the expression "member" in an unduly restrictive or technical manner confined solely to formal entry in the register, thereby frustrating the remedial purpose underlying the legislative scheme.
23. A conjoint reading of Sections 397, 398 and 399 indicates that the expression "member" cannot be construed in isolation or confined to the technical formulation contained in Section 41(2). Rather, the broader definition embodied in Section 2(27) assumes significance in determining whether a person is entitled to invoke the remedies contemplated under the Act. It would be contrary to settled principles of interpretation to attribute to the Legislature an intention to create conflicting meanings of the same expression within the statute. The expression "member", when employed in the context of remedies under Sections 397 and 398, must therefore be construed with reference to the wider definitional framework provided in Section 2(27) and allied provisions governing the rights of members.

⁹ Needle Industries (India) Ltd. & Ors v. Needle Industries Newey (India) Holdings Ltd. and Ors., (1981) 3 SCC 333.

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24. The Karnataka High Court in *Shri Balaji Textile* (supra) adopting a similar construct by analysing Sections 2(27) and 41 observed that while Section 2(27) defines the expression “member” in comprehensive terms, Section 41 merely lays down the procedural requirements governing acquisition of membership. It was further held that the meaning of the word “member” occurring in Sections 397 and 398 must be understood in the context of those provisions and cannot be rigidly controlled by the procedural requirements contained in Section 41(2). The Court emphasised that the legislative amendment introducing the words “in writing” in Section 41(2) was intended to remedy a specific mischief, namely, the insertion of names in the register of members without consent, particularly in circumstances wherein the company is approaching liquidation. It was therefore concluded that Section 41(2) was not designed to curtail substantive rights of genuine shareholders.
25. In *Shri Gulabrai Kalidas Naik and Ors. v. Shri Laxmidas Lallubhai Patel of Baroda and Ors.*¹⁰, the Gujarat High Court observed that although entry of a person’s name in the register of members ordinarily confers the status of membership, it would be incorrect to treat such entry as an inflexible or absolute requirement. The Court recognised an important exception to the general rule, holding that where a person demonstrates an indisputable and unchallengeable title to membership, the absence of formal entry in the register would not preclude the Court from entertaining a petition under Sections 397 and 398.
26. The principle that equitable considerations must inform the interpretation of Sections 397 and 398 has also received approval in judicial precedent concerning analogous situations. In *World Wide Agencies Pvt. Ltd.* (supra), this Court held that the legal representatives of a deceased shareholder, whose names had not yet been entered in the register of members, could nonetheless maintain a petition under Sections 397 and 398. The Court reasoned that such an interpretation was necessary to advance the purpose of the statute and to avoid defeating substantive rights through technicalities.
27. The Madras High Court in *S.V.T. Spinning Mills P. Ltd. and Ors. v. M. Palanisami and Ors.*¹¹ after referring to the aforesaid decisions,

¹⁰ 1977 SCC OnLine Guj 47.

¹¹ 2009 SCC OnLine Mad 3260.

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reiterated that the jurisdiction under Sections 397 and 398 is equitable in nature and that the meaning of the expression “member” must be construed in a manner consistent with the object of protecting minority shareholders.

28. Further guidance on this aspect may be drawn from the decision of the Delhi High Court in *Umesh Kumar Baveja* (supra), wherein the Court held that the absence of formal allotment of shares or entry in the register of members is not, by itself, determinative of the status of membership for the purposes of proceedings under Sections 397 and 398 of the Act, 1956. The Court observed that where substantial funds invested specifically towards acquisition of equity, are accepted and reflected in the financial records of the company as share application money pending allotment, and are utilised for the company’s business purposes, such conduct constitutes strong evidence of recognition of the investor’s proprietary stake. It has been relevantly held as follows –

*“22. It seems to me in light of the authorities cited above that the interpretation to be placed on section 41(2) vis-a-vis petitions filed seeking relief from oppression and mismanagement should be governed not strictly by the requirements of the sub-section, so long as in substance and effect the person complaining of acts of oppression and mismanagement has been recognised or **treated** as shareholder/member by the conduct of the company, and that in giving effect to the remedies against the grievance, considerations of equity and justice should be allowed to prevail.”*

29. Having carefully examined the record, relevant statutory provisions, competing submissions, judicial pronouncements and the reasoning adopted by the High Court, this Court finds that the conclusion **treating** respondent no. 1 as a member was founded upon a consistent and cumulative chain of factual circumstances demonstrating recognition of his proprietary interest in the appellant company. The High Court placed reliance on contemporaneous correspondence, including the letter dated 13.02.1998 issued by appellant No. 2 describing respondent no. 1 as a “co-owner”, as well as the conciliation proceedings dated 29.05.2000 and the subsequent communication of the Conciliator dated 23.07.2000 acknowledging the respondent’s

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entitlement to a substantial shareholding. These materials, when read alongside the admitted fact that respondent no. 1 was inducted as Managing Director and that the hospital was rebranded as *Ekvira Heart Institute*, reflecting the identity of the respondent's trading concern, demonstrate that respondent no. 1 was consistently treated as a stakeholder having interest in the appellant company rather than as a mere investor or creditor.

30. The High Court further relied upon the financial and operational conduct of the company, which showed that respondent no.1's investment was accepted and utilised for the expansion of the company's business, resulting in increased authorised share capital and profitability. The cumulative effect of these circumstances persuaded the High Court to conclude that respondent no. 1 had, in substance, acquired the status of a shareholder whose interest stood recognised by the company over a considerable period.
31. We find no reason to take a view different from that adopted by the High Court and the Company Law Board in their appreciation of the factual material on record. In view of the foregoing discussion and cumulative factual circumstances, this Court is satisfied that the High Court was justified in affirming the finding that respondent no. 1 was entitled to be treated as a member for the purposes of maintaining proceedings under Sections 397 and 398 of the Companies Act, 1956.
32. Consequently, the appeals are devoid of merit and are accordingly dismissed. The amount deposited before this Court along with accrued interest shall be released in favour of respondent no. 1 – Dhananjay Pande. Pending applications, if any, stand disposed of. There shall be no order as to costs.

Result of the case: Appeals dismissed.

Alpha Corp Development Private Limited
v.
Greater Noida Industrial Development Authority (GNIDA)
and Others

(Civil Appeal No. 1526 of 2023)

05 May 2026

[Sanjay Kumar* and Alok Aradhe, JJ.]

Issue for Consideration

Issues arose *inter alia* as to whether in the Corporate Insolvency Resolution Process (CIRP) proceedings of the Corporate Debtor-Earth Infrastructures Limited, the assets of the land holding companies, *i.e.*, subsidiary of the Corporate Debtor could be treated to be assets of the Corporate Debtor; whether assets of the subsidiary companies can be dealt with in CIRP of holding Company; whether the present is a fit case to lift the corporate veil.

Headnotes[†]

Insolvency and Bankruptcy Code, 2016 – CIRP of holding Company – Lifting of corporate veil – In the CIRP proceedings of the Corporate Debtor-Earth Infrastructures Limited (EIL), whether the assets of the land holding companies-subsidiary of the Corporate Debtor can be treated to be assets of the Corporate Debtor – Whether assets of the subsidiary companies can be dealt with in CIRP of holding Company – Whether present is a fit case to lift the corporate veil – NCLAT *inter alia* held that the assets of the three subsidiary companies of EIL, the CD, could not be treated as its assets:

Held: When, in reality, associated or group companies are inextricably connected so as to form part of one concern, the corporate veil should be lifted – Where protection of public interest is of paramount importance or where a company has been formed to evade obligations enforced by law and by the Courts, the Court would disregard the corporate veil – This principle would be applied even to group companies so that one is able to look at the economic entity of the group as a whole – Neo Multimedia Limited and Nishtha Software Private Limited were both wholly owned subsidiaries of EIL, the CD – They had leases over

* Author

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the lands in which EIL was to develop the projects, viz., Earth TechOne and Earth Sapphire Court – Earth Towne Infrastructures Private Limited (ETIPL) was incorporated only to enable GNIDA's (Greater Noida Industrial Development Authority) leasing of land for development of Earth Towne and was controlled by EIL, with a 98% shareholding – Therefore, ETIPL stands on a different footing from the other two companies, insofar as GNIDA is concerned – All three companies either share common directors with EIL and/or have their relations as directors – The only assets of the three companies were the lands leased out to them by GNIDA for the projects in question – The companies' shareholdings indicate that EIL was the dominant and majority shareholder – Further, on facts, GNIDA cannot claim ignorance of the constructions by EIL in relation to all three projects – This was an eminently fit case for lifting the corporate veil, as EIL was the main driving force in the development of the projects and in payment of GNIDA's dues – The subsidiary companies were only a front – Given the fact that GNIDA is responsible for this litigation to a great extent, owing to its failure in monitoring the development of the projects and in taking timely measures to realise its dues from EIL, it would not be entitled to any interest on the principal amounts due for the extended period of twenty four months, during which the successful resolution applicants, Alpha and Roma, are required to clear its dues – The resolution plans of Alpha and Roma restored – The successful resolution applicants shall endeavour to complete the projects within the time frames indicated by them in their resolution plans – Companies Act, 2013 – s.2(87) – Uttar Pradesh Industrial Area Development Act, 1976 – s.3. [Paras 54-56, 68]

Approbation and Reprobation – Impermissibility:

Held: It is not open to GNIDA to approbate and reprobate – On the one hand, GNIDA contends that EIL, the CD, had nothing to do with the lands leased out by it to the three companies and that those lands ought not to have formed part of EIL's assets during the CIRP proceedings – On the other hand, GNIDA raised claims before the IRP and the RP and it also complained of not being kept abreast of CIRP proceedings against EIL – GNIDA contributed greatly to the present imbroglio by its persistent inaction and ineptitude all through – Having executed lease deeds for development of the lands, it failed to keep track of and monitor the development being undertaken on such lands to ensure timely

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completion thereof within the stipulated period of seven years – Long prior to initiation of the CIRP proceedings against EIL, the CD, GNIDA was informed by the aggrieved home/office space buyers of the tardy progress in the construction of the projects but failed to take necessary coercive steps against the lessees and/or the developer, EIL – GNIDA cannot claim ignorance of the fact that it was EIL that was executing the development of the projects on all three plots of land leased out by GNIDA to the three companies – Having addressed a letter to the police authorities in relation to EIL’s construction on the land leased out to ETIPL, GNIDA cannot now seek to claim ignorance of the reality that it was EIL that was undertaking the construction of the projects on all three leased lands. [Paras 45, 49]

Insolvency and Bankruptcy Code, 2016 – s.25A(3A):

Held: s.25A(3A) provides that an authorised representative u/s.21(6A) of the Code would cast his vote on behalf of the class of financial creditors he represents, such as homebuyers, in accordance with the decision taken by a vote of more than 50% of the voting share of the financial creditors he represents, who have cast their vote – The homebuyers of Earth Copia were, accordingly, represented by their authorised representative, who voted in favour of Alpha’s resolution plan dated 15.10.2019, as per the desire of majority of those homebuyers as a class – Therefore, it is not open to individual homebuyers, who may have been part of the minority that dissented thereto, to gain a foothold by opposing the majority’s decision – A few persons within such class cannot dissent with the majority vote in favour of the resolution plan. [Para 30]

Case Law Cited

Indiabulls Asset Reconstruction Company Limited v. Ram Kishore Arora and Others, AIR 2023 SC 2273; *Mansi Brar Fernandes v. Shubha Sharma and Another* [2025] 10 SCR 169 : (2025) 259 Comp Cas 769 : 2025 SCC OnLine SC 1972; *Vodafone International Holdings BV v. Union of India and Another* [2012] 1 SCR 573 : (2012) 6 SCC 613; *Jaypee Kensington Boulevard Apartments Welfare Association and Others v. NBCC (India) Limited and Others* [2021] 12 SCR 603 : (2022) 1 SCC 401 : 2021 SCC OnLine SC 253; *Municipal Corporation of Greater Mumbai (MCGM) v. Abhilash Lal and Others* : [2019] 14 SCR 659 : (2020)

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13 SCC 234; *Noida Entrepreneurs Association v. Noida and Others* [2011] 8 SCR 25 : (2011) 6 SCC 508; *Greater Noida Industrial Development Authority v. Prabhjit Singh Soni and Another* [2024] 2 SCR 258 : (2024) 6 SCC 767; *RPS Infrastructure Limited v. Mukul Kumar and another* [2023] 12 SCR 150 : (2023) 10 SCC 718; *BRS Ventures Investments Limited v. SREI Infrastructure Finance Limited and Another* [2024] 7 SCR 2143 : (2025) 1 SCC 456; *Life Insurance Corporation of India v. Escorts Ltd. and Others* [1985] Supp. 3 SCR 909 : (1986) 1 SCC 264; *Arcelormittal India Private Limited v. Satish Kumar Gupta and Others* [2018] 12 SCR 362 : (2019) 2 SCC 1 – referred to.

List of Acts

Insolvency and Bankruptcy Code, 2016; Constitution of India; Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016; Uttar Pradesh Industrial Area Development Act, 1976.

List of Keywords

Lifting of corporate veil; Corporate Insolvency Resolution Process of holding Company; Assets of subsidiary companies; Holding companies; Subsidiary companies; Associated companies; Group of companies; Subsidiary of Corporate Debtor; Homebuyers; CIRP in real estate cases; Resolution of real estate insolvency; Greater Noida Industrial Development Authority (GNIDA); Earth Infrastructures Limited; Homes/office spaces; Home/office space buyers; Approbate and reprobate; Stalled projects; Stalled real estate projects; Residential project; Scope of s.25A(3A) IBC; Development project; Assets of subsidiary company; Leasehold rights.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 1526 of 2023

From the Judgment and Order dated 30.01.2023 of the National Company Law Appellate Tribunal in CAAT(I) No. 629 of 2022.

With

C.A. No(s). 1743, 2491, 2466, 2406-2407, 3438, 3435-3437, 2756, 2763, 4619 of 2023 and C.A. (Diary) No. 19132 of 2023

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Appearances for Parties

Advs. for the Appellant(s):

Dr. Abhishek Manu Singhvi, Dhruv Mehta, Dr. Menaka Guruswamy, Ms. Meenakshi Arora, Nakul Dewan, Sr. Advs., Sameer Abhyankar, Sandeep Bhuraria, Ms. Vatsala Pandey, Rahul Kumar, Aakash Thakur, Somesh Dhawan, Sumit Srivaastava, Nand Kishor Jha, Satyam Sinha, Ms. Vagisha Kashyap, Sarvesh Singh Baghel, Anshuman Sharma, Rahul Kumar, Vishesh Kumar, Ms. Prity Kumari, Jay Kishor Singh, Devendra Kumar Shukla, Shashank Raghav, Ms. Shubhangini Yadav, Rakesh Kumar Tewari, Ankur Saraswat, Dinesh Kumar Bhati, Kanchan Kumar Jha, Shubhranshu Padhi, Ekansh Sisodia, Jay Nirupam, D. Girish Kumar, Pranav Giri, Ritik Sharma, V.M. Kannan, Mayank Singh, Ekansh Mishra, Mahesh Agarwal, Sumesh Dhawan, Ankur Saigal, Ms. Vastala Kak, Nishant Rao, Naman Gupta, Ms. Kavya Tekriwal, Shaurya Shyam, Sagar Thakkar, E.C. Agrawala, Binay Kumar Das.

Advs. for the Respondent(s):

Ravinder Kumar, Nakul Dewan, Ms. Meenakshi Arora, Dhruv Mehta, Chakradhari Sharan Singh, Anupam Lal Das, Sr. Advs., Birendra Kumar Mishra, Sarvesh Singh Baghel, Anshuman Sharma, Devendra Kumar Shukla, Binay Kumar Das, Ekansh Mishra, Gunjan Kumar, Somesh Dhawan, Sumit Srivaastava, Mahesh Agarwal, Sumesh Dhawan, Ankur Saigal, Ms. Vastala Kak, Nishant Rao, Naman Gupta, Ms. Kavya Tekriwal, Shaurya Shyam, Sagar Thakkar, E.C. Agrawala, Sameer Abhyankar, Sandeep Bhuraria, Ms. Vatsala Pandey, Rahul Kumar, Aakash Thakur, Pushpinder Singh, Kumar Kartikay, Ms. Neelu Sharma, Kartik Hooda, E. Vinay Kumar, Ms. Surbhi Singh, Siddhartha Makhija, Ranjit Balasaheb Raut, Sonit Sinhmar, Bhupender Dalal, Ms. Sunayana Pawar, Saurabh Trivedi, Prashant Jain, Varun Garg, Shubham Paliwal, Bharat Sood, P.S. Sudheer, Rishi Maheshwari, Ms. Anne Mathew, Ms. Sunaina Phul, Ms. Komal Bihani, Ms. Kinjal Sharma, Ms. Rupam Sharma, Shiv Mangal Sharma, Abhishek Sharma, M/s Aura & Co., Ms. Anuja Pethia, Noor Shergill, Rishabh Nigam, Ms. Kshirja Agarwal, Rishabh Govila, Ms. Amisha Aggarwal, Prashant Jain, Varun Garg, Shubham Paliwal, Bharat Sood, P.S. Sudheer, Rishi Maheshwari, Ms. Anne Mathew, Ms. Sunaina Phul, Ms. Komal Bihani, Ms. Kinjal Sharma, Ms. Rupam Sharma, Ms. Supriya Juneja, Durga Dutt, Priyanshu Upadhyay, Ajay Kumar, Pradeep Yadav, Susant Kumar Mallik, Rohit Priyadarshi, Devendra Rao Madhav, Amrendra Choubey, Himanshu Yadav, Satya Kam Sharma, Anirudh Singh, Gunjan Sharma, Kumar Mihir, Devendra Kumar Shukla.

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Judgment / Order of the Supreme Court

Judgment

Sanjay Kumar, J

1. By judgment dated 30.01.2023, the National Company Law Appellate Tribunal, Principal Bench, New Delhi¹, disposed of three company appeals filed by Greater Noida Industrial Development Authority (GNIDA), viz., Company Appeal (AT) (Ins) Nos. 180, 629 and 630 of 2022, and set aside the orders dated 05.04.2021, 08.06.2021 and 07.12.2021 passed by the National Company Law Tribunal, Bench III, New Delhi².
2. By the order dated 05.04.2021 passed in C.A. No. 751 of 2019 in CP(IB)-401(ND)/2017, the NCLT had approved the resolution plan submitted by Roma Unicon Designex Consortium (Roma). This order was challenged by GNIDA in Company Appeal (AT) (Ins) No. 630 of 2022. By its order dated 08.06.2021 in IA No. 05 of 2020 in CP(IB)-401(ND)/2017, the NCLT had approved the resolution plan submitted by Alpha Corp Development Private Limited (Alpha). This order was assailed by GNIDA in Company Appeal (AT) (Ins) No. 629 of 2022. By the order dated 07.12.2021 in IA No. 4235 of 2021 filed by Roma in CP(IB)-401(ND)/2017, the NCLT directed GNIDA to give effect to the resolution plan approved by it by the order dated 05.04.2021. This order was challenged before the NCLAT by GNIDA in Company Appeal (AT) (Ins) No. 180 of 2022.
3. Aggrieved by the NCLAT's judgment dated 30.01.2023, the present appeals were filed under Section 62 of the Insolvency and Bankruptcy Code, 2016³. We may now note the details of these appeals. Civil Appeal Nos. 1526 and 1743 of 2023 were filed by Alpha and one Sanjay Bhalla respectively in so far as the judgment pertained to Company Appeal (AT) (Ins) No. 629 of 2022. Roma and Earth Towne Flat Buyers Welfare Association filed Civil Appeal Nos. 2491 and 2466 of 2023 respectively against the judgment in the context of Company Appeal (AT) (Ins) No. 630 of 2022. Civil Appeal Nos. 2406-2407 of

1 For short, 'the NCLAT'

2 For short, 'the NCLT'

3 For short, 'the Code'

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2023 were filed by Earth Infrastructures Limited, the corporate debtor (CD), against the judgment in the context of Company Appeal (AT) (Ins) Nos. 629 and 630 of 2022. Civil Appeal No. 3438 of 2023 was filed by Earth Copia Owners Society in relation to Company Appeal No. (AT) (Ins) No. 629 of 2022. Civil Appeal Nos. 3435-3437 of 2023 were filed by Earth United Consumer Association assailing the judgment apropos all three appeals. Civil Appeal No. 2756 of 2023 was filed by GNIDA aggrieved by denial of certain reliefs by the NCLAT in Company Appeal (AT) (Ins) No. 629 of 2022. Civil Appeal No. 2763 was also filed by GNIDA on similar grounds in relation to Company Appeal (AT) (Ins) No. 630 of 2022. Civil Appeal No. 4619 of 2023 was filed by Unific TechOne Patrons Independent Association (UTOPIA) against the judgment insofar as it pertained to Company Appeal (AT) (Ins) No. 629 of 2022. Lastly, Earth Property Buyers Association filed Civil Appeal (Diary) No. 19132 of 2023 in relation to all three appeals.

4. As regards the appeals filed under Civil Appeal (Diary) No. 19132 of 2023, we find that there is a delay of 34 days in their filing. These appeals were filed only on 04.05.2023 against the judgment dated 30.01.2023. Section 62(2) of the Code empowers this Court to condone delay in filing up to 15 days but not more. These appeals are, thus, clearly barred by time and cannot be entertained. The appeals filed under Civil Appeal (Diary) No. 19132 of 2023 are, therefore, dismissed on this short ground.
5. By order dated 13.04.2023 passed in Civil Appeal No. 1526 of 2023 and batch, this Court directed the parties to maintain *status quo*.
6. The ostensible genesis of this litigation is the corporate insolvency resolution process (CIRP) initiated by one Deepak Khanna, a financial creditor, against Earth Infrastructures Limited (EIL), the CD, *vide* Company Petition IB-401(ND)/2017, under Section 7 of the Code. However, long prior thereto, GNIDA, an authority constituted under Section 3 of the Uttar Pradesh Industrial Area Development Act, 1976, allotted 73,942 square metres of land in Large Group Housing/ Builders' Residential Plot No. GH-04, Sector 01, Greater Nodia, Uttar Pradesh, to a consortium, comprising EIL, Raus Infras Limited and Shalini Holdings Limited, under allotment letter dated 19.03.2010. The letter indicated that the Builders Scheme [Scheme Code BRS-01/2010-(I)] would form part of the allotment letter and would

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be binding on the allottees. GNIDA had formulated this scheme for plots of over 60,000 square metres area, inviting tenders for allotment of such plots on lease for 90 years. The terms and conditions for allotment/lease of such plots were detailed in the scheme. In the event the bidder was a consortium, Clause 8 thereof had application. Clause 8 reads thus: -

‘8. In case bidders have formed a consortium: -

(a) Members of the consortium will have to specify one Lead Member who alone shall be authorized to correspond with the Authority. The Lead member should be the single largest shareholder having at least 26% share in the consortium. The shareholding of the lead member in the consortium shall retain at least 26% till the completion certificate of at least one phase of the project is obtained from the Greater Noida Authority. Each member of the consortium with equity stake of at least 10% will be considered as a “relevant member”. The Lead Member of the consortium must necessarily be a Firm/Company registered in India with the appropriate statutory Authority.

(b) The lead member and the relevant members should jointly fulfil the minimum requirement of net worth, solvency, turnover and experience. In case the tenderer/consortium member is a company, the qualifications of the holding company(ies) of the lead member and the relevant members or their subsidiary companies shall also be considered as the qualifications of the applying company/consortium member.

(c) In case of a Consortium, the members shall submit a Memorandum of Agreement (MOA) conveying their intent to jointly apply for the scheme(s), and in case a plot is allotted to them, the MOA shall clearly define the role and responsibility of each member in the consortium, particularly with regard to arranging debt and equity for the project and its implementation. MOA should be submitted in original duly registered/notarized with the appropriate authority.

(d) The members shall submit a registered/notarized Memorandum of Agreement (MOA) conveying their intent

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to jointly apply for the scheme, and in case a plot is allotted to them, to form Special Purpose Company(ies), hereinafter called SPCs, that will subsequently carryout all responsibilities as the allottee. The registered MOA must specify the equity shareholding of each member of the Consortium in the proposed SPCs. The SPCs must necessarily be a Firm/Company registered in India with the appropriate statutory Authority.

(e) Execution of the lease deed will be made in favour of either the relevant member(s) or the Special Purpose Company(ies) (SPC)(s), which should be a registered firm or an incorporated company. The relevant members/ SPC's may, separately, or together in any combination, sub-divide this allotted plot. However, the area of each of such sub divided plots proposed for execution of lease deed, as described above, should not be less than 20,000 sq. mtrs and the said sub division should be in accordance with the planning norms of the GNIDA. The lead member of the consortium shall have to retain at least 26% of the shareholding as per MOA, till the completion certificate of at least one phase of the project is obtained from Greater NOIDA Authority.'

7. Thus, Clause 8(e) of the scheme required a consortium to form a 'Special Purpose Company' (SPC) to undertake development on the allotted plot. Accordingly, the consortium of EIL, Raus Infrass Limited and Shalini Holdings Limited incorporated Earth Towne Infrastructures Private Limited (ETIPL) on 21.07.2010 as the SPC. Lease deed dated 01.09.2010 was thereupon executed by GNIDA leasing out the subject plot to ETIPL for 90 years, commencing from 01.09.2010. The lease deed recorded that GNIDA had approved the name and status of ETIPL on the request of the consortium to develop and erect the project on the plot. It was also noted that the lessee, ETIPL, was a SPC, comprising EIL (78% shareholding – lead member), Raus Infrass Limited (11% shareholding – relevant member) and Shalini Holdings Limited (11% shareholding – relevant member). The lease deed also recorded that GNIDA had been informed that the SPC members had agreed amongst themselves that EIL would always remain the lead member of the SPC and its shareholding therein would remain unchanged till the occupancy/completion certificate of at

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least one phase of the project was obtained from GNIDA. The lease deed, however, permitted the SPC to transfer/sell up to 49% of its shareholding, again subject to the same aforesaid condition. The total premium payable under the lease deed was ₹74,26,95,000/-. The lease deed noted that 10% of the premium plus the excess area amount, adding up to ₹7,46,91,000/-, was paid by the lessee, ETIPL. There was to be a moratorium of 24 months, during which period, only the interest was payable in half-yearly instalments and upon expiry of said period, the balance 90%, i.e., ₹66,84,25,500/-, was to be paid in 16 half-yearly instalments. Instalment Nos. 1 to 4, the half-yearly interest payments, commenced from 19.09.2010, and the premium payments started from 19.09.2012, with the final instalment payable on 19.03.2020. After execution of the lease deed, an unregistered development agreement was entered into on 09.09.2010 between ETIPL and EIL, whereby ETIPL conferred the right to develop the land upon EIL. The area-sharing ratio was stipulated as 18% to ETIPL and 82% to EIL.

8. Separately and much earlier, GNIDA had allotted 60,705 square metres of land in Plot No. 1 at Sector Tech Zone area in Greater Noida Industrial Development Area, District Gautam Budh Nagar, to NIIT Multimedia Limited for development of IT industries and IT enabled services for 90 years. Pursuant thereto, lease deed dated 04.02.2008 was executed by GNIDA in favour of NIIT Multimedia Limited over a reduced area of 58,866 square metres. Pertinently, this company became a subsidiary of EIL in 2011 and its change of name as Neo Multimedia Limited was approved by GNIDA on 21.02.2011. Development Agreement dated 25.04.2011 was executed by and between Neo Multimedia Limited and EIL, whereby the development on the subject plot of land was to be undertaken by EIL.
9. GNIDA had also allotted 20,235 square metres of land in Plot No. 48, Sector Knowledge Park-V, in Greater Noida Industrial Development Area, District Gautam Budh Nagar, to Nishtha Software Private Limited, another subsidiary of EIL, for development of facilities relating to IT and IT enabled services. Pursuant thereto, GNIDA executed lease deed dated 01.09.2009 in its favour for 90 years for an increased area of 20,911.24 square metres. Memorandum of Understanding (MoU) dated 20.02.2010 was executed between Nishtha Software Private Limited and EIL, whereby development on the plot was to be undertaken by EIL.

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10. In effect, EIL was to undertake the development on all three plots of land leased out by GNIDA. The residential project on the land leased out to ETIPL was named 'Earth Towne' while the project to be developed on the land leased to Neo Multimedia Limited was named 'Earth TechOne' and the project on the land leased to Nishtha Software Private Limited was called 'Earth Sapphire Court'. Building permissions were obtained by the respective lessees of these plots from GNIDA and a large number of home/office space buyers booked homes/office spaces in these projects, paying substantial monies to the developer, EIL, and in some cases, to the lessees. The projects were also registered with the Uttar Pradesh Real Estate Regulatory Authority.
11. While so, at the instance of Deepak Khanna, a financial creditor, CIRP was initiated against EIL. His application under Section 7 of the Code was admitted by the NCLT on 06.06.2018. Initially, one Surinder Kumar Juneja was appointed as the Interim Resolution Professional (IRP) for EIL, the CD. The NCLT caused public announcement of initiation of the CIRP against EIL under Section 13 of the Code on 12.06.2018. The Committee of Creditors (CoC) was constituted and its first meeting was held on 05.12.2018. Later, Akash Singhal was substituted as the Resolution Professional (RP) by the CoC. The CoC comprised the HDFC Bank and 4,229 allottees, i.e., home/office space buyers.
12. 'Invitation for Expression of Interest' in Form G was issued by the RP on 19.04.2019 in respect of all the projects. However, there was no response thereto and the RP then invited resolution plans project-wise also, as an alternative, in addition to plans for all the projects. The revised Form G was published on 22.05.2019. In this regard, we may refer to the 'Clarification' to Regulation 36A (1) of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, whereby a Resolution Professional, after approval of the CoC, is empowered to invite a resolution plan for each real estate project or group of projects of the corporate debtor. This clarification was inserted with effect from 15.02.2024, *vide* Notification dated 15.02.2024. Even before this amendment, the NCLAT and this Court have affirmed that the CIRP in real estate cases can be project-specific, limiting such insolvency process to projects in default so as to ensure protection of homebuyers in other projects, which still remain viable. In **Indiabulls**

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Asset Reconstruction Company Limited vs. Ram Kishore Arora and others⁴, this Court refused to interfere with the NCLAT's order permitting insolvency process project-wise. More recently, in ***Mansi Brar Fernandes vs. Shubha Sharma and another***⁵, this Court observed that resolution of real estate insolvency should, as a rule, proceed on a project-specific basis rather than against the corporate debtor in its entirety, unless circumstances justify otherwise, as this would protect solvent projects and genuine homebuyers from collateral prejudice.

13. Pursuant to the revised Form G, three resolution applicants came forward, viz., BPT Infra Projects Private Limited, Roma and Alpha. BPT Infra Projects Limited's plan was rejected by the CoC. Roma's resolution plan for 'Earth Towne' was approved by the CoC in its 14th meeting held on 26.08.2019. After the CoC's approval, GNIDA addressed letter dated 18.09.2019 to the RP, stating that the dues payable to it by ETIPL were ₹148,37,46,148/-. The NCLT approved the acceptance of Roma's resolution plan, *vide* order dated 05.04.2021 passed in C.A. No. 751 of 2019 in CP (IB)-401(ND)/2017.
14. At this stage, we may note that, apart from the projects that were to be developed by EIL on the plots leased out by GNIDA, a separate project named 'Earth Copia' was also being undertaken by it on freehold land in Sector 112, Gurugram, Dwarka Expressway, Haryana. This land had nothing to do with GNIDA and, in consequence, no dues were payable to it in relation thereto. Alpha's resolution plan covered four projects of EIL, including Earth Copia. Alpha's resolution plan was approved by the CoC at its 19th meeting held on 11.11.2019. Thereafter, it was approved by the NCLT on 08.06.2021 in relation to three projects, viz., Earth TechOne, Earth Sapphire and Earth Copia. The fourth project, viz., Earth Iconic, was dealt with separately by the NCLT in another CIRP initiated by Celestial Estates Private Limited and Alpha's resolution plan was approved for that project in that case. The order dated 08.06.2021 passed by the NCLT, therefore, covered the remaining three projects. However, as stated earlier, Earth Copia had nothing to do with GNIDA. Notably, one of the appeals filed before the NCLAT by GNIDA assailed NCLT's order dated 08.06.2021,

4 AIR 2023 SC 2273

5 (2025) 259 Comp Cas 769 : 2025 SCC OnLine SC 1972

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but no distinction was drawn by GNIDA between the projects that it had an interest in and Earth Copia, which had nothing to do with it. The impugned judgment dated 30.01.2023 passed by the NCLAT also lost sight of this aspect, as reference was made therein to only two projects, i.e., Earth Sapphire and Earth TechOne, as being the subject matter of NCLT's order dated 08.06.2021 in the context of Alpha's resolution plan.

15. IA No. 4235 of 2021 was filed by Roma in CP (IB) No. 401(ND)/2017 seeking a direction to GNIDA to transfer the leased land in its favour. The application was opposed by GNIDA contending that such transfer would be against the terms of ETIPL's lease deed. However, the NCLT allowed the IA by order dated 07.12.2021, leading to GNIDA challenging it by way of Company Appeal (AT) (Ins) No. 180 of 2022. The NCLAT passed an interim order on 01.06.2022 in GNIDA's appeals to the effect that GNIDA was not obliged to transfer the leasehold lands in favour of the successful resolution applicants pursuant to the NCLT's orders. This interim order attained finality on 14.07.2022, when this Court dismissed Civil Appeal No. 4748 of 2022 filed by Earth Towne Flat Buyers Welfare Association.
16. The above sequence of events indicates that the land leases were in favour of the CD's two subsidiaries. As regards Earth Towne, the land allotment was in favour of the consortium, comprising EIL, Raus Infrass and Shalini Holdings Limited. However, as per GNIDA's own scheme, the SPC, viz., ETIPL, came to be incorporated and a lease was executed by GNIDA in its favour. The lease deed, however, made it clear that the lead member, EIL, was to retain the major shareholding therein, initially shown as 78%, and was to retain its status as the lead member till issuance of the occupancy/completion certificate in relation to at least one phase of the project. We may also note that EIL, the lead member with 78% shareholding in ETIPL, thereafter increased it to 98%. As per the lease deed, it was the lessee, ETIPL, that was to undertake payment of the interest/premium as per the schedule therein. The paid-up capital of ETIPL was, however, only ₹1 lakh and it was EIL that paid ₹51.88 crores to GNIDA against the interest/premium payable under the lease deed. Admittedly, there was default thereafter in such payments. GNIDA issued notices to ETIPL in that regard on 04.04.2019, 16.07.2019, 29.01.2020 and 01.05.2020. By the year 2016, EIL had constructed only twelve towers and completed foundation work of five towers in Earth Towne.

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17. GNIDA's complaint before the NCLAT was that the RP did not keep it informed of the proceedings in the CIRP and it was only after approval of Roma's resolution plan, *vide* order dated 05.04.2021, that GNIDA was informed of the same by the RP, *vide* letter dated 26.07.2021. As per GNIDA, as on 31.03.2022, ETIPL was to pay it ₹215,87,18,190/-. GNIDA also claimed that, as on 24.03.2022, Neo Multimedia Private Limited was liable to pay it ₹19,76,10,064/- and Nishtha Software Private Limited had to pay it ₹11,15,15,009/-. That apart, additional compensation and lease rentals were also allegedly payable. GNIDA claimed that several notices of defaults in payment were issued to these lessees also.
18. *Per contra*, the other side contended before the NCLAT that GNIDA was fully aware of the fact that the projects were being executed by EIL, as evidenced by its letter dated 11.05.2015 to the Senior Superintendent of Police, Gautam Budh Nagar, wherein GNIDA itself mentioned that EIL was engaged in the construction work. In this context it was argued before the NCLAT that ETIPL was nothing but an alter ego of EIL and this was a fit case to pierce and lift the corporate veil. It was also contended that the companies had common directors and promoters and ETIPL had no separate business of its own. It was pointed out that the RP sought relevant information/documents from GNIDA in respect of all three projects, viz., Earth TechOne, Earth Sapphire Court and Earth Towne, under his letter dated 28.05.2019 and, therefore, GNIDA could not claim ignorance of the CIRP proceedings. On this basis, it was argued that GNIDA, having kept silent all through the proceedings, could not seek to overturn the orders passed by the NCLT approving the resolution plans, which were binding on all the stakeholders. Alpha contended before the NCLAT that its resolution plan had been approved at the 19th CoC meeting held on 11.11.2019 with a whopping 91.39% vote share. According to it, GNIDA filed its claim at a belated stage only on 11.11.2021 with the IRP and not the RP, despite being aware of the CIRP proceedings.
19. Earth Towne Flat Buyers Welfare Association got impleaded before the NCLAT. Its grievance was that the construction of Earth Towne stood stalled since 2016 and members of the association, being homebuyers, were suffering irreparable loss. The association pointed out that the RP had admitted the claims of 1,878 homebuyers, amounting to ₹438 crore. It stated that its members had met the

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Additional Chief Executive Officer of GNIDA on 28.06.2017, long before initiation of the CIRP against EIL, but despite the same no steps were taken by GNIDA to either recover its dues or hasten completion of the project. According to it, the Additional Chief Executive Officer of GNIDA had told them that it would recalculate the principal and interest and check if it could waive the penal interest from 2016 onwards, so as to bring in a new developer for a settlement.

20. The NCLAT also permitted Earth TechOne Patrons Independent Association and Sapphire Patrons Independent Common Association, which claimed to be registered associations of office space buyers in those projects, to participate in the proceedings. Their complaint was that Earth Sapphire Court had been launched in the year 2010 while Earth TechOne was commenced in the year 2012, whereupon EIL had collected monies from the prospective buyers in both projects. According to them, EIL had promised 12% assured returns which were paid till September, 2015, but no payments were made thereafter. They claimed that a meeting had been held on 20.05.2016, wherein the Chief Executive Officer of GNIDA had warned EIL that action would be taken against it in the light of the grievances put forth by the members of the associations. They further claimed that they had given a representation on 27.07.2016 to GNIDA praying that strict action be taken against EIL, followed by meetings on 08.05.2017 and 16.05.2017. They claimed that despite such steps being taken, GNIDA had failed to take action against EIL. They contended before the NCLAT that Alpha's resolution plan contemplated waiver of the dues payable to GNIDA, but if GNIDA refused to waive such dues, the office space buyers undertook to bear the liability. They pointed out that Alpha undertook to complete construction and deliver units to the buyers in five years but the same stood compromised by GNIDA's stance.
21. Though it was also argued by the contesting respondents before the NCLAT that GNIDA's appeals were time-barred, in terms of Section 61(2) of the Code, the NCLAT rejected their contention, as extension of time had been granted by this Court, by freezing limitation, in *Suo Moto Writ Petition (Civil) No. 3 of 2020*, titled '***In re: Cognizance for Extension of Limitation***', owing to the Covid-19 pandemic. The appeals were, therefore, held to be within time. Having considered the matter on merits, the NCLAT framed the following issues for consideration:

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(I) Whether in the CIRP proceedings of the Corporate Debtor, i.e. Earth Infrastructures Limited, the assets of the land holding companies, i.e., subsidiary of the Corporate Debtor can be treated to be assets of the Corporate Debtor?

(II) Whether, in the Resolution Plans submitted by the Successful Resolution Applicants, i.e., Roma Unicon Designex Consortium and Alpha Corp Development Private Limited, the assets of the subsidiary, i.e., lease lands could have been dealt and the Resolution Plan could legally contain a clause for transfer of the lease hold rights by the Appellant in favour of Successful Resolution Applicant without there being any prior permission from the Appellant?

(III) Whether assets of the subsidiary companies can be dealt with in Corporate Insolvency Resolution Process of holding Company?

(IV) Whether the Appellant was required to be made party to the CIRP proceedings and heard before approval of any resolution plan dealing with the Project land?

(V) Whether, Resolution Professional acted within the ambit of I & B Code in giving a certificate that Resolution Plans submitted by Roma Unicon Designex Consortium and Alpha Corp Development Private Limited are in accordance with the provisions of the Code?

(VI) Whether Appellant was aware of the development carried out by the Corporate Debtor on the lease land before commencement of the CIRP of the Corporate Debtor?

(VII) What is the way out in the facts and circumstances of the present case?

22. Issues I, II and III were taken up together. The NCLAT noted that, in terms of the '*Explanation*' to Section 18, the assets of a subsidiary of the corporate debtor could not be included within the term 'assets'. This observation was made in the context of the leasehold rights having been conferred by GNIDA, not upon EIL, the CD, but upon ETI, which was practically its subsidiary. The same logic was applied to the leasehold rights held by the other subsidiary companies of EIL, viz., Neo Multimedia Limited and Nishtha Software Private Limited.

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23. The NCLAT also noted that the Information Memorandum brought out by the RP did not include the project lands as the assets of EIL. The NCLAT, therefore, opined that there was no occasion for the resolution applicants to include such project lands in their resolution plans. According to the NCLAT, the resolution plans sought to transfer not only the development rights over the project lands but also the title over the lands in favour of third parties, without obtaining prior approval of the lessor, GNIDA. The NCLAT noted that transfer of lands by GNIDA was subject to the terms in the lease deeds and the permission to transfer the lands was to be granted by GNIDA on fulfilment of the conditions mentioned therein. Ignoring the same, the resolution plans contained provisions, whereby GNIDA was obligated to transfer the project lands to the successful resolution applicants. Observing that GNIDA was not a party to the development agreements/MoU that EIL had with the lessees, its subsidiaries, whereby it undertook the development on the subject lands, the NCLAT held that GNIDA was neither the creditor of EIL, the CD, nor was it a stakeholder in the resolution plans and was, therefore, not bound by them in any manner.
24. Adverting to the contention that this was a fit case for lifting the corporate veil, reference was made by the NCLAT to the decision of this Court in **Vodafone International Holdings BV vs. Union of India and another**⁶, which took note of the legal status of holding companies and subsidiary companies as they were, in essence, separate legal entities. Reference was also made to **Jaypee Kensington Boulevard Apartments Welfare Association and others vs. NBCC (India) Limited and others**⁷, wherein this Court held that only the assets of the corporate debtor could be subjected to the resolution plan and not the assets of its subsidiary. That was also a case involving the grant of leasehold rights to a corporate debtor by the Yamuna Expressway Industrial Development Authority (YEIDA), an authority constituted under Section 3 of the Uttar Pradesh Industrial Area Development Act, 1976, like GNIDA. This Court held that, without the approval of that authority, no transfer could have taken place even by way of a sub-lease. Reference was also made to the decision of this Court in **Municipal Corporation**

6 (2012) 6 SCC 613

7 (2022) 1 SCC 401 : 2021 SCC OnLine SC 253

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***of Greater Mumbai (MCGM) vs. Abhilash Lal and others*⁸**, which held to the same effect.

25. The NCLAT then referred to the condition pertaining to transfer in the lease deed dated 01.09.2010 and opined that the resolution plan could not have contained a clause for transfer of that land without GNIDA approving such transfer. The NCLAT, accordingly, answered Issue No. I, holding that the assets of the three subsidiary companies of EIL, the CD, could not be treated as its assets. Issue No. II was also answered in the negative, holding that the resolution plans of Roma and Alpha could not have dealt with the project lands which were leased out to EIL's subsidiary companies by GNIDA. Issue No. III was answered on the same lines, holding that the assets of the subsidiary companies could not have been dealt with in the CIRP of the holding company, EIL, without the permission of the lessor, GNIDA.
26. On Issue No. IV, the NCLAT held that GNIDA ought to have been made a party to the CIRP proceedings before approval of any resolution plan involving GNIDA's project lands. On Issue No. V, the NCLAT found fault with the RP for not keeping GNIDA informed of the progress of the CIRP despite GNIDA's letter dated 18.09.2019. The NCLAT concluded that the RP failed to act within the ambit of the Code while certifying that the resolution plans submitted by Roma and Alpha were in accordance with the provisions thereof. The NCLAT, accordingly, directed its Registry to forward a copy of the judgment to the IBBI to examine the work and conduct of the RP and take action as it deemed fit and proper. On Issue No. VI, the NCLAT held that knowledge of GNIDA about the development being carried out by EIL was not sufficient to be treated as consent for transfer of the lands to the successful resolution applicants.
27. On Issue No. VII, the NCLAT took note of the fact that the homebuyers had approached the Allahabad High Court, which passed an order on 23.02.2016 directing them to represent the matter to the Chief Executive Officer of GNIDA, which was then required to deal with the matter. Pursuant thereto, complaints were made by two associations of buyers, i.e., of Earth Sapphire Court and Earth TechOne, to the Chief Executive Officer of GNIDA on 27.07.2016, 02.08.2016 and

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20.06.2017. Reference was also made to the meeting held with the Chief Executive Officer of GNIDA and the Minister concerned on 11.05.2017. Despite the buyers doing all this, no action was taken by GNIDA. The NCLAT also noted that during the meetings held with the allottees, it was stated on behalf of GNIDA that the issue of penal interest would be considered favourably. The NCLAT also noted that one of the obligations under the lease deeds that GNIDA had executed in favour of the lessees was that GNIDA would monitor development of the projects. The obligation to monitor the projects, *per* the NCLAT, included the obligation to ensure that the projects were completed in time and that necessary action would be initiated against defaulting parties. Reference was made by the NCLAT to the decision of this Court in ***Noida Entrepreneurs Association vs. Noida and others***⁹, wherein this Court had observed the ‘public trust doctrine’ is a part of the law of the land and has grown from Article 21 of the Constitution. It was noted therein that the power vesting in a public authority should be viewed as a trust coupled with duty, to be exercised in larger public and social interest, and public authorities could not play fast and loose with the powers vested in them. The NCLAT observed that the facts brought on record demonstrated that hundreds of crores were received from the allottees, who were waiting for the past several years to take possession of the units allotted to them, but the projects stood stalled since 2016. The NCLAT also noted the offer made by the associations of buyers of Earth Sapphire Court and Earth TechOne that they were ready to pay the dues of GNIDA in the interest of development of the projects. The NCLAT concluded that GNIDA had not been diligent in taking steps for recovery of its dues and was, therefore, not entitled to charge penal interest. The NCLAT, accordingly, directed GNIDA to waive the penal interest and recalculate its dues.

28. The NCLAT opined that the way out for the RP was to make an application along with the associations of buyers of the respective projects to GNIDA, seeking permission for transfer of the lands to prospective resolution applicants who were then to execute the projects after payment of GNIDA’s dues. The NCLAT left it open to GNIDA to enter into arrangements with such resolution applicants and buyers’ associations for payment of the dues, whereupon it

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could transfer the lands so that the projects could be developed by the resolution applicants. The RP was directed to publish a fresh Form G, inviting resolution plans with the specific condition that the resolution plans would be presented to the CoC for consideration only after GNIDA's dues were paid and its permission was obtained for transfer of the leasehold lands. Roma and Alpha were also permitted to file their resolution plans. GNIDA was directed to recalculate its dues and communicate the same to the RP and the associations, without charging penal interest, within a time frame. The fresh resolution plans submitted by the resolution applicants were to be examined by the RP and placed before the CoC for consideration and approval. GNIDA was made a party to the CIRP proceedings and was held entitled to participate in the process thereafter. The steps to be taken pursuant to the judgment, till submission of an application by the RP to the NCLT for approval of the plans, if any, were to be completed within six months. The CIRP period was extended by six months from that date. The appeals were disposed of with these directions, setting aside the orders dated 05.04.2021, 08.06.2021 and 07.12.2021 passed by the NCLT.

29. This being the factual milieu, we may first take up the issue of EIL's Gurugram project, viz., Earth Copia. The land on which Earth Copia was to be developed was acquired by Aurochem Buildtech Private Limited, a wholly owned subsidiary of EIL, through Collaboration Agreement dated 30.07.2010 with eight landowners. Tripartite Agreement dated 04.05.2012 was then executed, whereby possession and full development rights were transferred to EIL and the landowners' claims stood fully settled. According to Earth Copia Owners Society, the appellant in Civil Appeal No. 3438 of 2023, it comprised 393 homebuyers of 536 units in Earth Copia and majority of those homebuyers voted in favour of Alpha's resolution plan dated 15.10.2019. Earth Copia Owners Society pointed out that GNIDA's appeals before the NCLAT were only in relation to lands leased out by it to the subsidiary companies of EIL and, therefore, Earth Copia was not part of that litigation. It further pointed out that Alpha's resolution plan dated 15.10.2019 was severable, as it provided that any portion thereof which was held invalid would not affect the remaining parts, which would survive independently. It also pointed out that three blocks of the project had been completed up to 90% and the remaining blocks were still in the range of 40-80% completion.

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The Society contended that the NCLAT erroneously set aside the approval of Alpha's entire resolution plan without noticing that the order dated 08.06.2021 passed by the NCLT included approval of that resolution plan in relation to Earth Copia also, which had nothing whatsoever to do with GNIDA. We find considerable force in this argument, as GNIDA had no grievance apropos this project and ought to have clarified this aspect in its appeal before the NCLAT filed against the NCLT's order dated 08.06.2021.

30. An intervenor, Earth Buyers Association for Justice, seeks to come on record before us so as to challenge Alpha's resolution plan in so far as it relates to Earth Copia also. Alpha's resolution plan had been approved by 91.39% voting share of the CoC and the intervenor, was not a member of the CoC. Twenty-nine homebuyers who had not voted for the plan are members of the intervenor. In this regard, Section 25A(3A) of the Code assumes importance. It provides that an authorised representative under Section 21(6A) of the Code would cast his vote on behalf of the class of financial creditors he represents, such as homebuyers, in accordance with the decision taken by a vote of more than 50% of the voting share of the financial creditors he represents, who have cast their vote. The homebuyers of Earth Copia were, accordingly, represented by their authorised representative, who voted in favour of Alpha's resolution plan dated 15.10.2019, as per the desire of majority of those homebuyers as a class. It is, therefore, not open to individual homebuyers, who may have been part of the minority that dissented thereto, to gain a foothold by opposing the majority's decision. A few persons within such class cannot dissent with the majority vote in favour of the resolution plan. In **Jaypee Kensington Boulevard Apartments Welfare Association** (*supra*), this Court held that allottees, even if not a homogeneous group, could vote either to approve or disapprove the resolution plan and even if divergence of views within the class may exist, when casting a vote in the CoC, the vote would have to be cast as a class.
31. Significantly, this intervenor had raised objections to the approval of Alpha's resolution plan but the same were rejected by the NCLT in its order dated 08.06.2021. Aggrieved thereby, the intervenor filed Company Appeal (AT) (Ins) No. 283 of 2022 but the same was dismissed by the NCLAT, *vide* order dated 12.10.2022. Therein, the NCLAT noted that, if some of the homebuyers had not voted

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in favour of the plan, they still had to sail with the majority and the procedural violations alleged by them were not sufficient to interfere with the order approving the resolution plan. The NCLAT noted that the resolution plan was approved by 91.39% voting share in the CoC and the Earth Buyers Association for Justice was not a member of the CoC. Out of the 35 homebuyers who were sought to be brought on record individually by way of an application, 29 homebuyers had not voted for the plan. The NCLAT referred to Section 25A(3A) of the Code and observed that once the authorised representative of that class of voters cast his vote on behalf of the financial creditors he represents as per the decision taken by a vote of more than 50% of the voting share of those financial creditors, who had cast their vote, there is no possibility for the dissenting financial creditors in that class to maintain a separate voice of dissent against the majority vote. The NCLAT, accordingly, held that no grounds were made out to interfere with the order approving the resolution plan and dismissed the intervenor's appeal. This order attained finality as the intervenor did not choose to approach this Court by filing an appeal against the said dismissal order.

32. Though Earth Buyers Association for Justice claims that it represents 949 buyers in EIL's four projects, as of April, 2025, the fact remains that it was unsuccessful in its attempts before the NCLT and the NCLAT in raising objections against Alpha's resolution plan. We are, therefore, of the opinion that Earth Buyers Association for Justice has no *locus* to seek intervention in these appeals and again raise objections to the approval of the resolution plans of Alpha and Roma.
33. We may also note that, upon a complaint, the Insolvency and Bankruptcy Board of India (IBBI) issued show-cause notice dated 27.10.2023 to Akash Singhal, the RP of EIL. Thereupon, the IBBI passed order dated 06.02.2025 suspending Akash Singhal's registration for three years, effective from 06.03.2025. WP(C) No. 2906 of 2025 was filed by Akash Singhal against the aforesaid order dated 06.02.2025 and the same is pending before the Delhi High Court. However, while suspending the RP's registration, the IBBI left it to the CoCs/Stakeholders Consultation Committees of all the corporate debtors in whose cases Akash Singhal was providing services to decide about his continuation with those existing assignments. Pursuant to the liberty granted by the IBBI, the CoC of EIL decided to continue Akash Singhal as the RP, in terms of Section

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23 of the Code, i.e., in relation to managing EIL's affairs, including the maintaining of bank accounts, preservation of assets and records, representing EIL before judicial and quasi-judicial fora, etc.

34. As regards the other three projects on GNIDA's leased lands, we may note that GNIDA is empowered under Section 7 of the Uttar Pradesh Industrial Area Development Act, 1976, to allot land on lease basis subject to the terms and conditions determined by it. It is pursuant to this power that the subject lands were leased out by it to the companies under the control of EIL. We find that the lease deeds executed by GNIDA in favour of the lessees, viz., the three companies, specifically provided that the lessees would develop and erect the proposed buildings on the demised premises in accordance with the plans approved by it, duly ensuring compliance with the requirements set out in the schedules to the lease deeds. The lessees were not to erect or permit to be erected any new building without the permission in writing of GNIDA and except in accordance with the terms of such permission in writing and the plan, if any, approved by GNIDA. The lessees were to develop the projects meeting the stipulated norms of development as set out in the lease deeds. The lessees were to complete construction of the projects within the stipulated time frames, as set out in the lease deeds - seven years for all the three lessees. The lease deeds also provided that, in the event the lessees failed to complete construction within that time, it was lawful for GNIDA, without prejudice to other rights, to re-enter upon the premises and determine the leases. The lease deeds specifically provided that GNIDA would monitor implementation of the projects.
35. Insofar as the lease deed dated 01.09.2010 executed by GNIDA in favour of ETIPL is concerned, the same provided that the lessee was to use the allotted plot for construction of group housing/flats/plots and that it was entitled to allot the dwelling units on sub-lease basis to its allottees. Further transfer/sub-lease was, however, to be governed by GNIDA's transfer policy. The sub-lessees were to use the premises only for residential use. The construction was to be completed within seven years from the date of execution of the lease deed but, prior to that, the lessee had to complete construction of a minimum 50% of the total floor area ratio of the allotted plot, as per the approved lay out plan, and get a completion/occupancy certificate of the first phase within three years from the date of execution of

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the lease deed. Extension of time for completion of the project was contemplated up to a maximum period of another three years only, coupled with penalty.

36. As already stated *supra*, after initiation of the CIRP proceedings against EIL on 06.06.2018, the NCLT caused public announcement of the same on 12.06.2018. The CoC was constituted and its first meeting was held on 05.12.2018. A public announcement was made by the IRP on 13.12.2018, inviting claims against EIL, the CD. On 19.12.2018, the IRP informed GNIDA about the initiation of CIRP proceedings against EIL. The RP was appointed on 18.03.2019 by the CoC. On 28.05.2019, the RP wrote to GNIDA, calling for its dues in relation to all three projects. GNIDA did not respond to these letters or submit claims at that time. On 21.06.2019, the RP published the Information Memorandum for the three projects on GNIDA's leased lands and the project on the freehold land in Gurgaon. As GNIDA had not intimated its dues in time, the Information Memorandum mentioned only the estimated dues payable to GNIDA.
37. Roma's resolution plan was approved by the CoC on 26.08.2019 and the RP filed an application before the NCLT on 03.09.2019 seeking its approval. It was only thereafter, on 18.09.2019, that GNIDA addressed a letter to the RP stating its claimed dues in relation to Earth Towne. On 11.11.2019, Alpha's resolution plan was approved by the CoC for Earth TechOne, Earth Sapphire Court and Earth Copia. No claim was filed by GNIDA in relation to Earth Sapphire. On 11.11.2021, GNIDA filed a claim in relation to its dues for Earth TechOne, not before the RP, but before the IRP, who had exited from the picture long prior thereto.
38. GNIDA, being an operational creditor of Neo Multimedia Limited and Nishtha Software Private Limited, could file its claims during the CIRP proceedings against EIL, under Section 60(5)(b) of the Code. NCLT had jurisdiction thereunder to entertain claims by or against the corporate debtor, including claims by or against its subsidiary situated in India. Despite such entitlement, GNIDA failed to file its claims with the RP. It was only on 11.11.2021 that GNIDA filed its claim with the displaced IRP about its dues from Neo Multimedia Limited but no steps were taken by it in relation to Nishtha Software Private Limited.
39. This Court had directed the parties to maintain *status quo*, *vide* its order dated 13.04.2023 in Civil Appeal No. 1526 of 2023 and

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batch. However, unmindful of the said order, GNIDA cancelled the allotment of lands in favour of Neo Multimedia Limited and Nishtha Software Private Limited, by order dated 16.06.2023. This order was communicated to the RP only on 22.07.2023 but was not informed to this Court on 04.07.2023, 11.07.2023 and 17.07.2023, when the matters were listed. It was only after the RP filed IA No. 180402 of 2023 in Civil Appeal Nos. 2406-2407 of 2023, that GNIDA withdrew the aforestated cancellation order on 19.08.2025.

40. This Court also passed a separate order on 17.07.2023 in Civil Appeal No. 4619 of 2023, filed by UTOPIA, calling upon GNIDA to file an affidavit stating whether it was ready and willing to take up the projects and complete the construction so as to give homes/office spaces to the buyers on the terms agreed between such buyers and the builders. In the event GNIDA was not ready to do so, it was called upon to indicate how it intended to protect the interests of the buyers in the context of the rules and regulations framed by it or in terms of the policy decisions taken by it apropos situations where the builder committed default or was liquidated.
41. Pursuant to the order dated 17.07.2023, GNIDA filed affidavit dated 24.12.2024. Therein, its Manager stated that, owing to the limited infrastructure available with it, GNIDA would not be able to take up the projects and complete the construction. Details were furnished of the payments made by the lessees from time to time. We find that, insofar as Neo Multimedia Limited is concerned, no payments were made after 06.01.2011 but the payments made earlier to that date were in excess of what was required to be paid. As regards Nishtha Software Private Limited, payments stopped on 20.09.2010. Again, the payments made prior to that date were in excess of the required payments. Lastly, ETIPL stopped payments after 28.02.2013. However, payments made by it earlier to that date were also in excess of the required payments. GNIDA stated that no details were available with it as to development of the land by Neo Multimedia Limited but insofar as Nishtha Software Private Limited was concerned, a site inspection was said to have been carried out in 2018 and it was found that a boundary wall had been constructed and the buildings were under construction. As regards ETIPL, a site inspection was stated to have been carried out by an auditor on 28.02.2018, which reflected that the project was lagging behind, but no steps were taken.

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42. GNIDA also furnished details of the notices issued by it to the lessees in the context of defaults in payment. Notices were issued to Neo Multimedia Limited on 08.10.2012, 09.01.2019, 08.02.2019, 25.04.2019, 06.05.2019 and 04.03.2020. Nishtha Software Private Limited was issued notices on 28.09.2016, 19.06.2017, 12.10.2018, 02.01.2019, 08.02.2019, 18.03.2019, 22.10.2019 and 04.03.2020. ETIPL was issued notices on 15.10.2013, 25.05.2015, 08.07.2016, 06.09.2016, 30.09.2016 and 13.07.2018. GNIDA stated that a public notice was put up on its website on 05.10.2017, listing defaulting builders, which included Neo Multimedia Limited, with dues of ₹7,65,48,821/-; Nitisha Software Private Limited, with dues of ₹2,09,12,037/-; and ETIPL, with dues of ₹105,02,87,896/-.
43. Thereafter, the Chairman of GNIDA filed an affidavit, notarised on 25.09.2025. He stated therein that he was holding office as an additional duty as there was no full-time Chairman appointed for GNIDA. He stated that the Chief Executive Officer of GNIDA was its highest full-time officer. He apologized for the order dated 16.06.2023 passed by GNIDA cancelling the allotment of lands to Neo Multimedia Limited and Nishtha Software Private Limited. He referred to the order dated 19.08.2025, recalling the same, and stated that no further action with regard to resumption of possession or refund of amounts was taken thereafter. According to him, the outstanding dues, including interest, payable to GNIDA as on 31.08.2025, stood as follows: Neo Multimedia Limited - ₹31,82,88,309/-; Nishtha Software Private Limited - ₹17,57,25,184/-; and ETIPL - ₹309,79,44,038/-. We may note that insofar as Neo Multimedia Limited is concerned, out of the total dues of ₹31,82,88,309/-, ₹1,97,91,781/- was penal interest payable on the premium dues; ₹1,23,18,440/- was the penal interest payable on the additional compensation; and ₹11,34,81,931/- was the time-extension penalty. Therefore, ₹14,55,92,152/-, in all, was attributable to penal interest/penal charges. Similarly, out of the total dues of ₹17,57,25,184/- payable by Nishtha Software Private Limited, ₹43,12,694/- was the penal interest on the additional compensation; ₹87,29,431/- was the penal interest on the lease rent; and ₹8,31,69,781/- was the time-extension penalty. Thus, ₹9,62,11,906/- out of the total ₹17,57,25,184/- was attributable to penal interest/penal charges. We may also note that there was no default in payment of premium by Nishtha Software Private Limited. As regards ETIPL, out of the total dues of ₹309,79,44,039/-, the penal interest

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on the premium dues was ₹31,88,34,014/- while ₹5,48,38,863/- was the penal interest on the additional compensation and ₹4,26,96,421/- was the penal interest on the lease rent along with time-extension penalty of ₹18,02,05,897/-, totalling to ₹59,65,75,195/-. Therefore, devoid of penal interest/penal charges, the dues of ETIPL were just over ₹250 crore.

44. GNIDA is in appeal against the judgment dated 30.01.2023, insofar as the NCLAT denied it entitlement to claim penal interest. According to it, the finding of NCLAT that there was delay and inaction on its part is incorrect, as sufficient notices were sent by it to the lessees raising claims in that regard. GNIDA, therefore, has a grievance apropos the direction of the NCLAT to drop its penal interest/penal charges and to recalculate its dues. According to GNIDA, the terms of its lease deeds are sacrosanct and ought not to be interfered with, be it during the CIRP proceedings or thereafter. Though GNIDA would contend that the cost at which the successful resolution applicants, Alpha and Roma, would be selling the homes/office spaces would include the cost of the land and construction apart from a profit component, the fact remains that the land would not be sold to the home/office space buyers, but they would only assume the status of sub-lessees. The ownership of the land would not stand transferred and would remain with GNIDA. This was the original intent of the scheme of allotment, and it does not stand altered even if the resolution plans are given effect to. What is contemplated under the resolution plans is merely transfer of possession of the lands to the successful resolution applicants to enable them to complete the projects and to deliver the units to the allottees, as sub-lessees.
45. In ***Greater Noida Industrial Development Authority vs. Prabhjit Singh Soni and another***¹⁰, a 3-Judge Bench of this Court opined that, in terms of the Section 13-A of the Uttar Pradesh Industrial Area Development Act, 1976, GNIDA has to be treated as a secured creditor in respect of the amount payable to it by a corporate debtor and in that regard, a charge is statutorily created on the assets of such corporate debtor. Though reliance is placed on this decision by GNIDA, it is not open to it to approbate and reprobate. On the one hand, GNIDA contends that EIL, the CD, had nothing to do with

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the lands leased out by it to the three companies and that those lands ought not to have formed part of EIL's assets during the CIRP proceedings. On the other hand, GNIDA raised claims before the IRP and the RP and it also complained of not being kept abreast of CIRP proceedings against EIL.

46. Significantly, it was only on 11.11.2021 that GNIDA filed a claim in relation to Earth TechOne but, surprisingly, GNIDA addressed its letter to the IRP and not to the RP, though the IRP was replaced as long back as in March, 2019. This claim was also belated as Alpha's resolution plan was approved by the CoC on 11.11.2019 and by the NCLT on 08.06.2021. As noted by the NCLAT itself, there was no error made in the Information Memorandum which specifically recorded that the landholding entities for Earth Sapphire Court, Earth TechOne and Earth Towne were Nishtha Software Private Limited, Neo Multimedia Limited and ETIPL, the subsidiaries of EIL, to whom lands were leased out by GNIDA. Further, the resolution plans of both Alpha and Roma unequivocally recorded that only the development rights in relation to those projects formed part thereof and not the title to the underlying lands. It may be noted that the CoC approved Roma's resolution plan on 26.08.2019 and the RP filed an application before the NCLT seeking its approval on 03.09.2019. However, it was only on 18.09.2019 that GNIDA raised a claim for ₹148 crore. Surprisingly, in the said letter, GNIDA projected itself as a financial creditor of EIL; requested processing of its claims during the CIRP; and sought that the leasehold rights should not be transferred without securing its dues. As this claim was, in any event, belated it could not have been considered in view of the decision of this Court in ***RPS Infrastructure Limited vs. Mukul Kumar and another***¹¹. Surprisingly, GNIDA never raised a claim for its alleged dues in relation to Earth Sapphire Court.
47. Further, we may note that GNIDA is conveniently ignoring certain crucial facts. Two letters had been addressed to GNIDA after initiation of the CIRP proceedings against EIL - the IRP sent letter dated 19.12.2018 while the RP, after his appointment by the CoC, addressed letter dated 28.05.2019. These letters reflect that GNIDA was informed about the initiation of the CIRP proceedings against

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EIL; that the development rights over the project lands leased out by GNIDA to the three companies controlled by EIL were also included in the CIRP proceedings; and GNIDA was called upon to inform its dues. Despite the non-submission of claims by GNIDA within time, the RP intimated the dues of GNIDA to the prospective resolution applicants after gathering the same from the resources available. The RP's Information Memorandum clearly specified that only the development rights and leasehold rights of the lessees, which were 100% subsidiaries of EIL, were included therein.

48. Intermittent and sporadic notices with regard to defaults in payment are all that GNIDA has to offer at this stage. We may note that, though payments were allegedly stopped by the lessees, viz., Neo Multimedia Limited, Nishtha Software Private Limited and ETIPL, on 06.01.2011, 20.09.2010 and 28.02.2013 respectively, GNIDA did not bother to follow up on such defaults on a regular basis and only occasional notices were issued to the lessees. As regards Neo Multimedia Limited, the first notice was issued only in October, 2012 followed by a notice, over 8 years later, on 09.01.2019 and three notices, thereafter, in February, April and May, 2019, and the last notice on 04.03.2020. All the notices, except the first one, were issued after commencement of the CIRP proceedings! As regards Nishtha Software Private Limited, the last payment was allegedly made on 20.09.2010 but default notices were issued by GNIDA only in 2016, i.e., on 28.09.2016, followed by a notice more than 8 months later on 19.06.2017. Thereafter, with a gap of over one year and three months, GNIDA issued a notice on 12.10.2018. Later notices were in the year 2019 and the last was in March, 2020. Insofar as ETIPL is concerned, the last payment was stated to have been made on 28.02.2013 and the first default notice was issued by GNIDA on 15.10.2013. However, having issued the aforesaid notice within a short period of time after the default, GNIDA took no steps till 25.05.2015, when the second notice was issued. Again, GNIDA slept over the matter for a year and issued the next notice on 08.07.2016 followed by two notices in September, 2016. Then, with a hiatus of nearly two years, GNIDA issued the last notice on 13.07.2018.
49. We are, therefore, of the opinion that GNIDA contributed greatly to the present imbroglio by its persistent inaction and ineptitude all through. Having executed lease deeds for development of the lands, it failed to keep track of and monitor the development being

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undertaken on such lands to ensure timely completion thereof within the stipulated period of seven years. We may also note that long prior to initiation of the CIRP proceedings against EIL, the CD, GNIDA was informed by the aggrieved home/office space buyers of the tardy progress in the construction of the projects but failed to take necessary coercive steps against the lessees and/or the developer, EIL. In this regard, we may also note that GNIDA cannot claim ignorance of the fact that it was EIL that was executing the development of the projects on all three plots of land leased out by GNIDA to the three companies. Having addressed a letter to the police authorities in relation to EIL's construction on the land leased out to ETIPL, GNIDA cannot now seek to claim ignorance of the reality that it was EIL that was undertaking the construction of the projects on all three leased lands. This is further fortified by the fact that all three lessees submitted documents to GNIDA while seeking approval of building plans/sanctions based on the certification secured from various authorities by EIL itself. Though GNIDA would contend that it was not a party to the applications made by EIL for obtaining permissions/NOCs from various authorities, there is no escaping the fact that the lessees submitted all such documents to GNIDA for securing sanction and permission for building plans. The question of GNIDA claiming ignorance of EIL's role in the development of the projects, therefore, does not arise.

50. Turning a blind eye to all that was going on and also not going on, GNIDA did not even choose to be vigilant after initiation of the CIRP proceedings against EIL. GNIDA was informed of the same by the IRP in December, 2018 and by the RP in March, 2019, but took no steps to participate in the proceedings. On the other hand, GNIDA seeks to blame the RP for not informing it of the progress of the CIRP proceedings!! GNIDA's correspondence was inconsistent and impulsive, unmindful of the strict timelines contemplated by the Code. The lack of responsibility and application of mind on the part of GNIDA is manifest from the fact that even when it did submit its hugely belated claim on 11.11.2021 in relation to its alleged dues from Neo Multimedia Limited, it addressed it to the IRP who had long before exited from the scene upon appointment of the RP by the CoC. GNIDA never ever raised a claim in relation to the dues of Nishtha Software Private Limited. Even as regards its dues from ETIPL, we may note that GNIDA addressed its letter to the RP

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only on 18.09.2019, after the approval of Roma's resolution plan by the CoC on 26.08.2019. The same non-application of mind is demonstrated by GNIDA's failure to point out to the NCLAT that its appeal against the NCLT's order dated 08.06.2021 was limited only to the projects on its own leased lands and did not extend to the approval of Alpha's resolution plan in relation to Earth Copia, EIL's project on freehold land in Gurugram.

51. Having allowed so much water to flow under the bridge not only to its own detriment but also to the detriment of the innocent home/office space buyers who had invested their hard-earned monies for securing their own homes/office spaces, it is not open to GNIDA to portray itself as an uninformed and injured victim at this late stage. We may also note that, even before this Court, GNIDA chose to approbate and reprobate continuously. This incoherency and lack of consistency on its part is again illustrative of its continued failure to take timely measures, despite being fully aware of the situation. On one hand, GNIDA contends that it has no role to play as EIL, the CD, had no interest in the lands leased out by it to the three companies but, on the other, GNIDA did raise a claim in relation to two out of the three projects on those leased lands. In fact, it raised a claim before the RP in September, 2019, claiming to be a financial creditor and that its dues of ₹149 crore had to be admitted.
52. Before this Court, GNIDA attempted to bring in a third party, viz., Engineering Projects (India) Limited (EPIL), at the behest of the Earth Buyers Association for Justice, to complete EIL's stalled projects. We may note that EPIL, itself, has not come forward to stand by any such offer and only a letter addressed by it is relied upon. Perusal of the letter dated 23.12.2024 addressed to GNIDA by EPIL reflects that, pursuant to a meeting held on 21.12.2024, the Executive Director of EPIL stated that they were ready and willing to complete the stalled projects of EIL situated at Greater Noida. Having stated so, he said that this was an 'in-principle approval' which was contingent upon further study of the financial and other documents/information of the projects that would be made available to the company. It was, therefore, not a firm or unconditional commitment by EPIL. Significantly, EPIL did not even choose to come before us, if it was really keen on pursuing its offer. Therefore, EPIL's offer is not worthy of consideration and is, accordingly, eschewed from consideration.

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53. The sheet anchor of GNIDA's case is that the assets of subsidiary companies cannot be made part of the assets of the holding company that was subjected to CIRP proceedings. Section 2(87) of the Companies Act, 2013, defines a subsidiary company or subsidiary to mean a separate legal entity. Reliance was placed by GNIDA upon the recent judgment of this Court in ***BRS Ventures Investments Limited vs. SREI Infrastructure Finance Limited and another***¹², which reiterated that a holding company and its subsidiaries are distinct legal entities and merely because the holding company owns the entire shareholding in the subsidiary company, it would not dilute its separate legal existence. No doubt, the concept of holding companies and subsidiary companies is firmly entrenched in our corporate scenario and once it is established that the holding and subsidiary companies are independent legal entities in their own right, the sanctity of such legal status has to be maintained unless circumstances exist that require lifting/piercing of the corporate veil. The question that arises is whether this was a fit case to lift the corporate veil. Though the NCLAT was averse to doing so, we are inclined to hold otherwise. In that regard, we may refer to the observations of a Constitution Bench in ***Life Insurance Corporation of India vs. Escorts Ltd. and others***¹³ in the context of lifting of the corporate veil:

‘.....Generally and broadly speaking, we may say that the corporate veil may be lifted where a statute itself contemplates lifting the veil, or fraud or improper conduct is intended to be prevented, or a taxing statute or a beneficent statute is sought to be evaded or where associated companies are inextricably connected as to be, in reality, part of one concern. It is neither necessary nor desirable to enumerate the classes of cases where lifting the veil is permissible, since that must necessarily depend on the relevant statutory or other provisions, the object sought to be achieved, the impugned conduct, the involvement of the element of public interest, the effect on parties who may be affected, etc.’

¹² (2025) 1 SCC 456

¹³ (1986) 1 SCC 264

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54. As is clear from the aforestated observations when, in reality, associated or group companies are inextricably connected so as to form part of one concern, the corporate veil should be lifted. Applying this principle in ***ArcelorMittal India Private Limited vs. Satish Kumar Gupta and others***¹⁴, this Court affirmed that where protection of public interest is of paramount importance or where a company has been formed to evade obligations enforced by law and by the Courts, the Court would disregard the corporate veil. It was further observed that this principle would be applied even to group companies so that one is able to look at the economic entity of the group as a whole.
55. Neo Multimedia Limited and Nishtha Software Private Limited were both wholly owned subsidiaries of EIL, the CD. They had leases over the lands in which EIL was to develop the projects, viz., Earth TechOne and Earth Sapphire Court. ETIPL was incorporated only to enable GNIDA's leasing of land for development of Earth Towne and was controlled by EIL, with a 98% shareholding. ETIPL, therefore, stands on a different footing from the other two companies, insofar as GNIDA is concerned. In any event, we may note that all three companies either share common directors with EIL and/or have their relations as directors. The only assets of the three companies were the lands leased out to them by GNIDA for these projects. The companies' shareholdings indicate that EIL was the dominant and majority shareholder.
56. Further, GNIDA was clearly aware that it was EIL, the CD, that was developing the projects on the lands leased out by it to the three companies. GNIDA cannot claim ignorance of this on the mere ground that it was not a party to the development agreements/MoU. This was the situation in relation to two projects – Earth Sapphire Court as well as Earth TechOne. Insofar as Earth Towne is concerned, as already stated, GNIDA itself required the consortium of the three companies to incorporate a SPC and it was pursuant to this requirement, that ETIPL was brought into existence. Further, the lease deed executed by GNIDA in favour of ETIPL made it clear that EIL was to be the lead member of ETIPL, retaining its majority shareholding as well as its lead role. It is an admitted fact that EIL,

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which had a 78% shareholding in ETIPL, increased it to 98%. ETIPL executed an agreement conferring the right to develop the project on the leased land in favour of EIL. GNIDA cannot, therefore, look askance at the role played by EIL in the development of Earth Towne. More so, in the light of its own letter to the police authorities acknowledging EIL's role in the development of Earth Towne, which we have already referred to. In effect, GNIDA cannot claim ignorance of the constructions by EIL in relation to all three projects. Each case that comes before a Court, in the context of lifting of the corporate veil, would have to turn upon its own individual facts. Given the facts obtaining presently, we are of the firm view that this was an eminently fit case for lifting the corporate veil, as EIL was the main driving force in the development of the projects and in payment of GNIDA's dues. The subsidiary companies were only a front. In the light of this finding, we deem it unnecessary to deal with the issue raised in the context of Sections 18 and 25 of the Code, apropos the scope of the term 'assets'.

57. Alpha's resolution plan, which was approved by the CoC on 11.11.2019 and by the NCLT on 08.06.2021, provided under Clause 4 thereof, that it would seek a waiver from GNIDA of its dues but added that if such waiver was not granted, the dues would be proportionately distributed amongst all the allottees. Clause 12.1 of the resolution plan contemplated issuance of a 'No Dues Certificate' by GNIDA prior to conveyances in relation to Earth Sapphire Court as well as Earth TechOne. Alpha, however, stated before this Court that it was willing to pay GNIDA its dues without penal interest/penal charges, given sufficient amount of time, without burdening the homebuyers.
58. In EIL's CoC, HDFC Bank and the home/office space buyers were the only financial creditors. HDFC Bank, which claimed to be a secured financial creditor, dissented with Alpha's resolution plan. Its objection to the acceptance of the resolution plan was rejected by the NCLT and that order became final. Therefore, the Monitoring Committee comprised only the buyers. The Monitoring Committee was impleaded as a party respondent by GNIDA in Company Appeal (AT)(Ins) No. 629 of 2022 filed before the NCLAT. Sanjay Bhalla, the authorized representative of the Monitoring Committee, is supporting Alpha's resolution plan and filed Civil Appeal No. 1743 of 2023 assailing the judgment dated 30.01.2023 in relation to Earth Sapphire Court and Earth TechOne. He supports Alpha, whose resolution plan was

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approved by the order dated 08.06.2021 and seeks restoration thereof. Notably, the Minutes of the Monitoring Committee's meeting held on 10.08.2025 evidence that Alpha undertook that it would absorb the dues payable to GNIDA and the same would not be burdened upon the allottees/buyers.

59. Earth Towne Flat Buyers Welfare Association represents about 1600 homebuyers of Earth Towne, of whom 1222 homebuyers are its registered members. The total number of homebuyers in the project are stated to be around 1,878. The majority of the homebuyers are, therefore, represented by this association, which supports Roma's resolution plan. We may also note that Roma, being the successful resolution applicant, expressed its willingness to settle the dues of GNIDA given sufficient time. Roma does not propose to charge GNIDA's dues from the homebuyers of Earth Towne and is willing to bear the entire burden by itself.
60. Earth Towne Flat Buyers Welfare Association filed Civil Appeal No. 2466 of 2023, aggrieved by the judgment dated 30.01.2023 insofar as it pertained to Company Appeal (AT) (Ins) No. 630 of 2022. This association participated in the proceedings before the NCLAT and contributed substantially, by bringing out relevant facts reflecting upon the somnolence and delay on the part of GNIDA in taking appropriate steps against EIL, despite its failures on all counts.
61. Civil Appeal No. 2491 of 2023 was filed by Roma assailing the judgment dated 30.01.2023 insofar as it related to Company Appeal (AT) (Ins) No. 630 of 2022,. Roma seeks restoration of the order dated 05.04.2021 approving its resolution plan.
62. UTOPIA is the association of allottees of the Earth TechOne, while Sapphire Patrons Independent Common Association (SPICA) is the association of allottees of Earth Sapphire Court. Both these associations participated in the proceedings before the NCLAT and supported the NCLT orders approving the resolution plans. On the same lines, they now support the said plans and seek setting aside of the judgment dated 30.01.2023 passed by the NCLAT, insofar as it pertained to Company Appeal (AT) (Ins) No. 629 of 2022.
63. Civil Appeal Nos. 3435-3437 of 2023 were filed by the Earth United Consumer Association, assailing the judgment dated 30.01.2023 in relation to all three appeals and supporting the orders approving the resolution plans of Roma and Alpha. The association claimed

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to be a consumer association, representing the buyers/allottees of EIL's projects. Significantly, this association was not a party to the earlier proceedings. In any event, as it is only playing a supporting role, reiterating the grounds taken by the parties to the litigation, we need not entertain the same.

64. Of relevant significance is the fact that the Ministry of Housing and Urban Affairs, Government of India, constituted a committee under the chairmanship of Mr. Amitabh Kant, former Chief Executive Officer of the Policy Commission, *vide* order dated 31.03.2023, in relation to stalled real estate projects. This Committee was to recommend measures to protect the interests of homebuyers and to complete such stalled projects in a timely manner. The Committee submitted its report on 24.07.2023. The Committee noted that real estate was an important sector and more than 200 industries were linked to it, creating a large number of jobs. It was also noted that as per the estimate of the Indian Banks Association, about 4.12 lakh houses across the country were not completed due to financial constraints of the developers. Of these, around 2.4 lakh houses were stated to be in the National Capital Region under Authorities, such as NOIDA, GNIDA and YEIDA. Upon the recommendations made by the Committee, the Government of Uttar Pradesh was stated to have formulated a policy/package so as to protect the interests of all parties while promoting development. It was recorded that the main objective of the policy/package was to provide houses/flats with registry to the homebuyers as early as possible. Group housing projects were covered thereby but not projects that were commercial, industrial, etc.
65. The scheme of the policy/package envisages co-developers being given permission to complete the projects after recognizing them in the records of the Authority concerned and, thereupon, the responsibility for paying the dues of the said Authority and completing the project would be jointly shared by the co-developer and the allottee. All outstanding amounts were to be re-verified by an independent chartered accountant/ third party and recalculated as per the conditions of the lease deed and the orders issued by the Authority from time to time. Time extension to complete the project was to be given, free of cost, subject to a maximum period of three years. Net outstanding amounts of upto ₹100 crore were to be paid in a maximum of one year while net dues of upto ₹500 crore could be cleared over two years. If the outstanding amount exceeded ₹500

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crore, it could be paid within three years. In the event the developer failed to complete the project within the stipulated three years, penalty of 20% was to be levied on the remaining dues and efforts were to be made by the Authority concerned to get the project completed. If the dues were already paid in full to the Authority, then no fine was to be imposed. This policy/package was communicated by the Infrastructure and Industrial Development Commissioner, Government of Uttar Pradesh, to the Chief Executive Officers of the Authorities, including GNIDA and YEIDA.

66. Though, the aforestated policy/package would have application only to Earth Towne, being a residential project, and may not apply *stricto sensu* to the other two projects, which are commercial in nature, we may note the higher objective underlying this policy, i.e., to secure completion of stalled development projects. As that was the very aim of the CIRP proceedings initiated against EIL, the CD, we are of the opinion that by adopting the policy to some extent to suit the present situation, the successful resolution applicants, Alpha and Roma, can be permitted to proceed with their resolution plans to complete the projects, viz., Earth Towne, Earth Sapphire Court and Earth TechOne, while protecting the interests of GNIDA also.
67. As rightly pointed out by the NCLAT, the inertia on the part of GNIDA and its failure to protect the interests of the home/office space buyers, apart from its own interests, clearly disentitles it from levying penal interest/penal charges/time-extension penalties at this stage. However, notwithstanding the lapses on its part, GNIDA would still be entitled to recover the principal amounts due to it, after deducting the penal interest, penal charges and time-extension penalties. The dues in that regard shall be recalculated by GNIDA, as indicated hereinabove, and communicated to Alpha and Roma within two weeks from the date of this judgment. Once such amounts are quantified, the resolution applicants shall make necessary arrangements for payment of those dues. We would expect Alpha and Roma, the successful resolution applicants, to stand by their commitment that such dues would not be burdened upon the home/office space buyers who have already suffered sufficiently by the delay in the execution of the projects. The said dues shall be cleared by Alpha and Roma on their own. The payments in that regard, in equated monthly instalments, shall be made over twenty four months. The first such payment shall be made on or before the 7th day of July, 2026.

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Registration of the homes/office spaces in favour of the allottees shall be undertaken only after payment of the dues of GNIDA in totality and with its active participation, so as to confer the status of sub-lessees upon the buyers.

68. Given the fact that GNIDA is responsible for this litigation to a great extent, owing to its failure in monitoring the development of the projects and in taking timely measures to realise its dues from EIL, it would not be entitled to any interest on the principal amounts due for the extended period of twenty four months, during which the successful resolution applicants, Alpha and Roma, are required to clear its dues. The resolution plans of Alpha and Roma shall stand restored. The successful resolution applicants shall endeavour to complete the projects within the time frames indicated by them in their resolution plans. Those time frames shall commence from the 1st day of June, 2026.
69. On the above analysis, Civil Appeal Nos. 1526 of 2023, 1743 of 2023, 2491 of 2023, 2466 of 2023, 3438 of 2023 and 4619 of 2023 are allowed. Civil Appeal Nos. 2406-07 of 2023 are disposed of in the above terms. Civil Appeal Nos. 3435-3437 of 2023 and Civil Appeal (Diary) No. 19132 of 2023 are dismissed and lastly, Civil Appeal Nos. 2756 and 2763 of 2023 filed by GNIDA are also dismissed.
70. IA No. 174061 of 2023 was filed by Surinder Kumar Juneja, the erstwhile IRP who was appointed on 06.06.2018, at the time of admission of the CIRP against EIL. He sought intervention in this appeal only because of the *status quo* order dated 13.04.2023 passed by this Court. Owing to the said order, his application in IA No. 1194 of 2021 pending before the NCLT, filed under Section 60(5) of the Code, for payment of his professional fees, has also been put on hold. As the appeals are being disposed of, the *status quo* order shall cease to operate. His application can, therefore, be considered by the NCLT, independently and on its own merits, in accordance with law.
71. IA No. 1878 of 2024 was filed by Airwil Intellicity Social Welfare Society, seeking to come on record on the ground that the issue raised in the present appeals is similar to that in the CIRP proceedings that it is interested in. The application is misconceived and is, accordingly, rejected. Similarly, IA No. 137704 of 2023 was filed by the consortium of One City Infrastructure Private Limited and APM

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Infrastructure Private Limited, seeking to intervene on the ground that their resolution plan, which was pending approval before the adjudicating authority, has been kept on hold owing to the pendency of these appeals. This application is equally misconceived and is, accordingly, dismissed.

72. IA No. 137215 of 2023 was filed by one Ms. Manish Rawat, Resolution Professional of Earth Gracia Buildcon Private Limited, seeking to intervene in these appeals on the ground that she is the Resolution Professional of a group company of EIL, which is also facing CIRP proceedings, and has a direct interest in the outcome of these cases, as the decision in these appeals would decide the fate of numerous allottees in the project, which was the subject matter of the CIRP against that group company. However, we are not inclined to accept her intervention in these appeals and the application is dismissed.
73. IAs for intervention and relief filed by Sanjeev Kumar Singh and Beena Singh, claiming to be affected homebuyers of Earth Towne, are not considered as they were not parties before the NCLAT. In any event, their interests are adequately protected by their association. The applications are, accordingly, dismissed. IA Nos. 217541-217542 are also rejected, as the interest of the intervenor is sufficiently represented.
74. IA Nos. 166202 of 2023 and 50758 of 2025, filed by Jambey Tashi (deceased, represented by LRs) and others, seeking to intervene and also praying for a direction to NBCC (India) Limited or any other competent public sector undertaking to submit its detailed proposal for completion of the projects of EIL and to take over and complete such projects, so as to hand over the units to the buyers is also rejected.
75. IA No. 77861 of 2023, filed by Earth Buyers Association for Justice, seeking to come on record, is misconceived as its appeal against the order dated 08.06.2021 was dismissed and attained finality. Significantly, it did not disclose this fact in its application for impleadment. Its applications for directions are also rejected.
76. Apart from the aforestated applications, we may note that several intervention applications were filed by home/office space buyers seeking to be heard. However, as their interests are sufficiently represented by the associations which had participated in the proceedings before the NCLAT, we are not inclined to entertain such individual intervention applications.

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77. Similarly, applications have been filed by persons claiming to be home/office space buyers, who had failed to submit their claims before the IRP/RP within time and now seek to be impleaded in these appeals to air their grievances in that regard. As they failed to take necessary steps at the relevant time by filing applications before the NCLT, if their claims were not admitted or entertained by the IRP/RP and as such issues are outside the scope of these appeals, we are not inclined to entertain the same. Intervention applications filed by such intervenors and their applications for directions are, accordingly, rejected.

All other applications shall also stand closed.

Parties shall bear their own costs.

Result of the case: Appeals disposed of.

[†]Headnotes prepared by: Divya Pandey

Habban Shah

v.

Sheruddin

(Civil Appeal No. 7062 of 2026)

06 May 2026

[Pankaj Mithal* and S.V.N. Bhatti, JJ.]

Issue for Consideration

Issue arose whether the decree of specific performance passed by the court of first instance directing for the execution of sale deed on deposit of the balance sale consideration within three months would be inexecutable for the reason that the balance sale consideration was not deposited within the time stipulated.

Headnotes[†]

Specific Relief Act, 1963 – s.28 – Code of Civil Procedure, 1908 – Ord. XX r.12A – Specific performance – Executability of conditional decree – Non-deposit of balance sale consideration within stipulated time – Defendant-appellant entered into agreement to sell the agricultural land to plaintiff-respondent for a sale consideration and received advance – Sale deed was to be executed by the stipulated date upon payment of the balance consideration – Non-execution of the sale deed within the time stipulated, the plaintiff-respondent filed suit for specific performance – Suit decreed by the court of first instance, directing the defendant-appellant to execute the sale in favour of plaintiff-respondent in terms of the agreement after receiving the balance sale consideration within three months and if the sale was not so executed, plaintiff-respondent would be entitled to get it executed through the process of the court – Decree challenged in first appeal which was dismissed – Second appeal also dismissed – Application for execution filed, and the defendant filed objections which were rejected – Defendant-appellant then filed Revision which was dismissed by the High Court – Correctness:

* Author

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Held: Decree of specific performance rendered inexecutable on account of non-compliance of the condition to deposit the balance sale consideration within the time of three months stipulated therein and the contract as a whole stand rescinded in terms of s.28 – Decree passed in a suit for specific performance is in the nature of a preliminary decree – Court passing the same does not become *functus officio* as soon as the decree is passed but retains control over the decree even after the passing of the decree till the sale deed is executed or the decree is rendered inexecutable – s.28(1) provides for depositing or paying the balance sale consideration within the time allowed or to seek recession of the contract in the event of default even though the decree of specific performance has been granted, whereas s.28(4) bars a separate suit for any relief which can be claimed in the same suit by moving an application u/s.28 – Power of the Court u/s.28 is discretionary and can be exercised on equitable consideration – It is not mandatory to move an application u/s.28 and that the Court in the given circumstances is not powerless to treat the contract as having rescind it for non-compliance of the condition – On facts, the direction was specifically to the defendant-appellant to execute the sale deed within three months on receipt of the balance sale consideration, which by implication means that there is reciprocal obligation upon the plaintiff-respondent to deposit the amount within three months – Objections to the limitation and maintainability of the execution not tenable – Plaintiff-respondent having failed to deposit the balance sale consideration within the time permitted indicates that he was not actually ready and willing to perform his obligation under the decree which obligation, in essence, took the shape of a condition under the agreement – Plaintiff-respondent disentitled himself from the benefit of the decree of specific performance – s.28 provides that the Court has to pass an order as the justice of the case may require – Parties approaching the Court must have the feeling that justice has been done to either of them in the facts and circumstances of the case particularly when the decree relates to specific performance of a contract based upon equity, equality and fairness – Thus, incumbent upon the Court to pass equitable order accordingly, balancing the equities between the parties – Impugned judgment passed by the High Court in the Revision and that of the Executing Court dismissing the objections, set aside. [Paras 18, 22-24, 46-53]

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Case Law Cited

Balbir Singh and Another v. Baldev Singh (Dead) Through his legal representatives and Others [2025] 1 SCR 781 : (2025) 3 SCC 543; *Bhagyoday Cooperative Bank Limited v. Ravindra Balkrishna Patel* [2022] 18 SCR 1 : (2022) 14 SCC 417; *P.R. Yelumalai v. N.M. Ravi* [2015] 4 SCR 163 : (2015) 9 SCC 52; *Prem Jeevan v. K.S. Venkata Raman and Another* (2017) 11 SCC 57; *Dr. Amit Arya v. Kamlesh Kumari*, 2025 INSC 1486 : 2025 SCC OnLine SC 2886; *Ram Lal v. Jarnail Singh (now Deceased), Through Its Lrs. and Others* [2025] 2 SCR 1745 : 2025 SCC OnLine SC 584; *N.P. Thirugnanam (Dead), by Lrs v. Dr. R. Jagan Mohan Rao and Others* [1995] Supp. 2 SCR 53 : (1995) 5 SCC 115; *Surinder Pal Soni v. Sohan Lal (Dead) Through Lrs.* [2019] 9 SCR 1036 : (2020) 15 SCC 771 – referred to.

List of Acts

Specific Relief Act, 1963; Code of Civil Procedure, 1908; Limitation Act, 1963.

List of Keywords

Specific performance; Executability of decree; Conditional decree; Balance sale consideration; Non-compliance of decree condition; Readiness and willingness; Equitable relief; Discretionary relief; Time as essence of contract; Extension of time; Condonation of delay; Inexecutable decree; Rescission of contract; Reciprocal obligations; Equitable jurisdiction; Balancing of equities; Doctrine of merger; Execution proceedings; Equitable order.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7062 of 2026
From the Judgment and Order dated 24.03.2025 of the High Court of Punjab & Haryana at Chandigarh in CR No. 7232 of 2015

Appearances for Parties

Adv. for the Appellant(s):
Ankit Swarup.

Adv. for the Respondent(s):
Divyesh Pratap Singh.

Habban Shah v. Sheruddin**Judgment / Order of the Supreme Court****Judgment****Pankaj Mithal, J.**

1. Heard Shri Manoj Swarup, learned senior counsel for the defendant-appellant and Shri Divyesh Pratap Singh, learned counsel for the plaintiff-respondent.
2. Leave granted.
3. A short but an intricate question of law which arises for our consideration in this appeal is: whether the decree of specific performance passed by the court of first instance on 31.10.2012 directing for the execution of sale deed on deposit of the balance sale consideration within three months would be inexecutable for the reason that the balance sale consideration was not deposited within the time stipulated.
4. The suit property is an agricultural land admeasuring 12 *kanals* and 19 *marlas* situate in village Shikarpur, Tehsil Tauru, District Mewat in the state of Haryana. The said land belonged to Habban (defendant-appellant). He entered into an agreement to sell the said land to Sheruddin (plaintiff-respondent) for a sale consideration of Rs.5,00,000/- per acre and received a sum of Rs.80,000/- in advance. It was agreed that the sale deed shall be executed on or before 15.03.2006 and that balance sale consideration would be payable at the time of execution and registration of sale deed.
5. Upon non-execution of the sale deed within the time stipulated, the plaintiff-respondent instituted a suit for specific performance of the aforesaid agreement to sell dated 19.10.2005. The said suit after contest by the defendant-appellant was decreed on 31.10.2012 by the court of first instance. The said decree specifically provided that the defendant-appellant shall execute the sale in favour of plaintiff-respondent in respect of suit land in terms of the agreement after receiving the balance sale consideration within a period of three months from the date of the judgment and if the sale is not so executed, the plaintiff-respondent would be entitled to get it executed through the process of the court.

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6. It is not in dispute that the aforesaid decree was challenged in a first appeal wherein on 17.12.2012 an interim order was passed restraining both the parties from alienating suit property till 25.01.2013. The said interim order was not extended and as such lapsed on 25.01.2013 itself. Finally, the said appeal was dismissed on 11.11.2014 upholding the decree of the first court.
7. The decree so passed by the court of first instance and confirmed by the first appellate court was taken to the High Court by means of a second appeal by the defendant-appellant. Ultimately the same was also dismissed on 12.01.2017. It may be worth noting that in the second appeal no interim order of any nature was ever passed.
8. In the meantime, the plaintiff-respondent as a decree holder on 04.03.2013 applied for the execution of the aforesaid decree dated 31.10.2012. However, the said execution was dismissed for want of prosecution on 01.08.2014. It appears that the execution may not have been pressed for the reason that an appeal was preferred by the other side which continued to remain pending wherein though an interim order was passed for a short period which lapsed with the efflux of time.
9. Subsequently, the plaintiff-respondent moved another application dt. 08.01.2015 for execution of the aforesaid decree of specific performance. In the said execution, the defendant-appellant filed objections dated 14.07.2015 to the effect that the execution is barred by time as the execution has been moved after a gap of three years and that the decree allowed only three months' time for depositing the balance sale consideration.
10. The objections filed in the aforesaid Execution Petition were dismissed by the Executing Court *vide* order dated 07.09.2015 primarily on the ground that the plaintiff-respondent was always ready and willing to perform his obligation and that the balance sale consideration could not have been deposited due to the interim order passed in the first appeal or due to its pendency.
11. Not satisfied by the above order passed by the Executing Court, the defendant-appellant preferred Civil Revision No.7232 of 2015 before the High Court specifically contending that the decree of specific performance, in unequivocal terms directed for the execution of the sale deed upon receiving the balance sale consideration within a

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period of three months. Therefore, the plaintiff-respondent was under an obligation to deposit the balance amount within three months and since neither the amount was deposited nor any extension of time to deposit the same was applied, he is not entitled to execute the decree. The decree as such has become inexecutable.

12. The aforesaid revision preferred by the defendant-appellant has been dismissed by the High Court by order impugned dated 24.03.2025, more or less on similar grounds as assigned by the Executing Court with a further reasoning that the plaintiff-respondent had in the meantime moved an application on 05.03.2013 and again on 08.01.2015 for the deposit of the balance sale consideration and the second application seeking permission to deposit the balance amount was allowed on 09.10.2015 by the Executing Court and the amount of Rs.6,92,410/- was duly deposited.
13. The above orders passed by the Executing Court and the Revisional Court dismissing the objections of the defendant-appellant and affirming the same, have been assailed in this appeal.
14. The submission of Shri Manoj Swarup, learned senior counsel for the defendant-appellant is that the decree provided for the deposit of balance sale consideration within a period of three months and since it was not deposited within the time provided, the decree is no longer executable. The plaintiff-respondent never moved any application for the extension of time to deposit the balance sale consideration and has not even explained the reason for the delay in making the deposit. Therefore, the defendant-appellant is entitled to the revocation of the contract in accordance with provisions of Section 28 of the Specific Relief Act, 1963¹. In support of his contentions, he has relied upon a number of decisions, to be precise four in number, of this Court in which the latest is ***Balbir Singh and Another v. Baldev Singh (Dead) Through his legal representatives and Others***².
15. From the other side, it is contended that the decree of specific performance is clear enough and is an executable decree. The court of first instance had decreed the suit after recording clear finding of fact that the plaintiff-respondent was always ready and

1 Hereinafter referred to as 'the Act'

2 (2025) 3 SCC 543

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willing to perform his obligations under the agreement. Therefore, the question of readiness and willingness does not arise at this stage of the execution. The plaintiff-respondent never denied to deposit the balance sale consideration rather it was on account of the defendant-appellant filing an appeal and obtaining interim order restraining parties from alienating the property that it was not possible for the plaintiff-respondent to deposit the amount. There was no need on his part to deposit the amount as directed, as under the order of the appellate court sale/alienation was not permissible. Moreover, once the application of the plaintiff-respondent to permit him to deposit the balance sale consideration was allowed, it was no longer open for the defendant-appellant to allege non-compliance of the decree. In such a scenario, the delay, if any, in depositing the amount stands condoned or in other words the time for making the deposit stands extended. It is also submitted that the defendant-appellant is not entitled to any benefit under Section 28 of the Act as he never moved any application for rescinding the contract as envisaged therein.

16. It is in the above factual position that we have to examine whether the decree of specific performance passed by the court of first instance is executable or has become inexecutable on account of default in depositing the balance sale consideration within the time stipulated under the decree.
17. The operative portion of the judgment and decree dated 31.10.2012 reads as under:-

“As a sequel to the findings on issue wise, the suit of the plaintiff is decreed with costs. The defendant is directed to execute the sale deed in favour of the plaintiff in reject to the suit land in view of the agreement to sell dated 19.10.2005 after receiving the balance sale consideration within the period of three months from the date of this judgment failing which the plaintiff will be at liberty to get execute the sale deed by approaching this court. The defendant is also directed to hand over the possession over the possession of the suit land legally and the defendant is restrained from alienating the suit land. Decree-sheet be prepared accordingly. File be consigned to the record-room after due compliance.”

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18. A simple reading of the aforesaid directions contained in the order would reveal that the court had directed the defendant-appellant to execute the sale deed in favour of the plaintiff-respondent in terms of the agreement after receiving the balance sale consideration within the period of three months from the date of the judgment. Therefore, the direction is to the defendant-appellant to execute the sale deed within a period of three months after receiving the balance sale consideration. There appears to be no specific direction to the plaintiff-respondent that the balance sale consideration has to be deposited by him within three months. The direction in this regard is specifically to the defendant-appellant to execute the sale deed within three months on receipt of the balance sale consideration, which by implication means that there is reciprocal obligation upon the plaintiff-respondent to deposit the amount within three months. It is only by necessary implication that the plaintiff-respondent was required to deposit the amount within three months.
19. It is trite to mention that in view of Order XX Rule 12A CPC it is mandatory that every decree of specific performance of a contract must specify the period within which the sale consideration/the balance sale consideration should be paid. It is in consonance with the aforesaid provision that the decree of specific performance in the case at hand provides for the execution of the sale deed after receiving the balance sale consideration within a period of three months.
20. Thus, we assume that there was a specific direction to the plaintiff-respondent to deposit the amount within three months of the judgment and therefore, the issue as stated earlier is; whether non-deposit of the balance sale consideration within the time stipulated above would be fatal and would make the decree inexecutable which otherwise is an executable decree.
21. Before we dwell on the merits of the above issue, we would like to mention that a feeble attempt was made to contend that the execution as filed by the plaintiff-respondent is barred by time and that the first execution having been dismissed, the second was not maintainable.
22. As regards limitation, the decree is dated 31.10.2012 whereas the second execution was filed on 08.01.2015 i.e., within three years of the decree and as such the same was clearly within time. Article 136 of the Schedule to the Limitation Act, 1963, provides for a period of

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twelve years from the decree or the time when it becomes enforceable in law for filing an application for the execution of any decree. The execution in the case at hand was moved within the aforesaid period of twelve years and as such cannot be said to be barred by limitation.

23. The aforesaid execution is maintainable even otherwise for the simple reason that the first application was not decided on merits but was simply dismissed for want of prosecution. In this connection, reference may be made to paragraph 25 of ***Bhagyoday Cooperative Bank Limited v. Ravindra Balkrishna Patel***³, wherein also a second Execution Petition was filed after the first was dismissed on the ground of default and the court held that mere dismissal of the first application on the ground of default does not preclude the decree holder from filing a fresh execution within limitation.
24. In view of the above, the objections to the limitation and maintainability of the execution are not tenable and stand overruled.
25. Now coming to the merits of the executability of the decree for specific performance dated 31.10.2012. It may be noted that the aforesaid decree is an executable decree but is a conditional decree. It provides for the execution of the sale deed by the defendant-appellant within three months, subject to the plaintiff-respondent depositing the balance sale consideration. Therefore, as stated earlier, the decree imposes reciprocal obligations upon both the parties. The obligation of executing the decree is upon receipt of the balance sale consideration. Therefore, by necessary implication for the purposes of executing the sale deed, the plaintiff-respondent had to deposit/pay the balance sale consideration within the time stipulated for depositing the aforesaid amount or for executing the sale deed, as the case may be.
26. Admittedly, in the present case, the plaintiff-respondent had not deposited the balance sale consideration within the period of three months stipulated under the decree. He had not even moved any application within the said time for seeking extension of time, either under Section 148/151 of the CPC or under Section 28 of the Act.
27. The interim order dated 17.12.2012 passed in first appeal preferred by the defendant-appellant, only restrained the parties from alienating

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the suit property. It nowhere prohibited the plaintiff-respondent from depositing the balance sale consideration as a prelude to the execution of the sale deed. Moreover, the aforesaid stay order elapsed on 25.01.2013 and the first appeal itself was dismissed on 11.11.2014. No doubt, the plaintiff-respondent had moved application on 05.03.2013 seeking extension of time for depositing the balance sale consideration but no orders were ever passed on the said application. The said application was filed after the stay in the first appeal had expired. Therefore, there was no application seeking extension of time within the period of three months stipulated under the decree.

28. Subsequently, plaintiff-respondent filed second application to deposit balance sale amount on which the court permitted the deposit of balance sale consideration *vide* order dated 09.10.2015, in pursuance whereof the balance amount was deposited. This was done much after the first appeal itself was dismissed. The question, therefore, is whether such permission to deposit or the deposit itself would *ipso facto* amount to condoning the delay in making the deposit and resultantly it amounts to deemed extension of time. The answer of the above proposition is an absolute 'No'.
29. In this connection, it would be profitable to refer to a decision of this court in ***P.R. Yelumalai v. N.M. Ravi***⁴. In the said case the court was dealing with a similar issue where the decree holder failed to make the deposit within the time stipulated under the decree. The court refused to accept the plea that once the deposit is made and accepted by the court, though beyond the period stipulated under the decree, it would amount to deemed extension of time. It was held that the conditional decree is self-operative, therefore, non-compliance of any condition leads to automatic dismissal of the suit. In a case, the deposit is not made within the time permitted and no application is moved for the extension of time within the said time, it would amount to failure to comply with the condition of the decree which leads to the automatic dismissal of the suit. In other words, it was held that the suit for specific performance of a contract stands automatically dismissed when the conditions under the decree are not complied with by the decree holder and he is not entitled to seek

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execution of the decree as it ceases to exist in the eyes of law due to deemed dismissal of the suit.

30. This being the position in law, the submission that the plaintiff-respondent had deposited the balance sale consideration with the permission of the court and the same was accepted and as such the condition stands complied with, cannot be accepted.
31. One of the other arguments is that the defendant-appellant had not even filed any application under Section 28 of the Act for rescinding the contract, therefore, no relief to the above effect could be granted to the defendant-appellant.
32. The aforesaid argument does not tie down our hands as this aspect of the matter stands covered by one another decision of this court rendered in ***Prem Jeevan v. K.S. Venkata Raman and Another***⁵.
33. In the aforesaid case one of the contentions advanced on behalf of decree holder was that unless an application seeking recession of the contract in terms of Section 28 of the Act is filed, judgment debtor is not entitled to the relief of rescinding the contract. The court upon due consideration held that failure of the judgment debtor to seek recession of the contract in terms of Section 28 of the Act does not imply that the decree which has become inexecutable would revive and would be executable when the deposits were not made in time and no application for extension of time was moved.
34. In view of the above decision, it is settled that moving of an application under Section 28 of the Act for rescinding the contract for non-compliance of the condition is not mandatory rather optional and immaterial and that the court in a given circumstance is not powerless to treat the contract as having rescinded for non-compliance of the condition.
35. In view of the ratio laid down in ***P.R. Yelumalai*** (supra) that the suit for specific performance of contract stands automatically dismissed, no sooner than the condition contemplated under the decree is not complied with, coupled with the fact that there is no mandatory requirement of moving an application for rescinding a contract in terms of Section 28 of the Act in view of ***Prem Jeevan*** (supra), we

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are of the opinion that the plaintiff-respondent having not only failed to deposit the balance sale consideration within the time stipulated under decree but also having failed to move any application for extension of time within the time permitted disintitiled himself from executing the decree. There is neither automatic extension of time nor condonation of delay in making the deposit. The decree ceases to exists due to non-compliance and becomes inexecutable.

36. Shri Manoj Swarup, learned senior counsel for the defendant-appellant had placed strong reliance upon the recent decision of this court in ***Balbir Singh and Another v. Baldev Singh (Dead) through its legal representatives and others***⁶. The aforesaid decision reiterating the earlier precedents holds that the language of Section 28(1) of the Act establishes that the court does not lose its jurisdiction after the grant of decree for specific performance and it does not become *functus officio* as the very said provision gives discretionary power to the court to grant extension of time to comply with the conditions under the decree and even for the recession of the contract. Thus, the court retains its power and jurisdiction to deal with the decree of specific performance till the sale deed is executed or the decree is rendered inexecutable.
37. The court therein took cognizance to the fact that neither the deposit was made within the stipulated time nor extension of time was sought or granted within the time permitted. Further, no explanation was furnished for the delay in making the deposit and as such held the view taken that the decree is inexecutable is correct.
38. The aforesaid decision though relied upon by both the sides does not render much assistance to the plaintiff-respondent rather helps the defendant-appellant.
39. The above discussion leads us to the following conclusions:
- i. The decree passed in a suit for specific performance is in the nature of a preliminary decree.
 - ii. Since the decree of a specific performance is in the nature of preliminary decree, the Court passing the same does not become functus officio as soon as the decree is passed but

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retains control over the decree even after the passing of the decree till the sale deed is executed or the decree is rendered inexecutable.

- iii. Section 28 (1) of the Act provides for depositing or paying the balance sale consideration within the time allowed or to seek recession of the contract in the event of default even though the decree of specific performance has been granted.
 - iv. Sub-Section (4) of Section 28 of the Act bars a separate suit for any relief which can be claimed in the same suit by moving an application under Section 28 of the Act.
 - v. The power of the Court under Section 28 of the Act is discretionary and can be exercised on equitable consideration. The exercise of such discretion must be equitable to both the sellers and purchasers.
 - vi. The default, if any, subsequent to decree for the specific performance resulting in the recession of contract has to be decided having regard to the broad terms of Section 28 (1) and Section 28 (4) in exercise of equity jurisdiction so as to give quietus to the dispute; and
 - vii. It is not mandatory to move an application under Section 28 and that the Court in the given circumstances is not powerless to treat the contract as having rescind it for non-compliance of the condition.
40. The plaintiff-respondent has placed reliance upon ***Dr. Amit Arya v. Kamlesh Kumar***⁷ which is also a very recent decision of this court. In the said case, the court observed that the power to extend time granted can be exercised by the court, however, non-grant of extension of time cannot be the end of the transaction. Such non-extension of time would be a classic example of a hyper technical approach which the court must eschew in view of ***Ram Lal v. Jarnail Singh (now Deceased), through its LRs and Others***⁸, wherein it has been observed that “non-payment of balance sale consideration within the time period fixed by the trial court does not amount to

7 2025 SCC OnLine SC 2886

8 2025 SCC OnLine SC 584

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abandonment of the contract and consequent rescinding of the same. The real test must be to see if the conduct of the decree holder amounts to a positive refusal to complete his part of the contract”.

41. In view of the above decision, we have to examine whether there was any positive act on part of the plaintiff-respondent for non-compliance of his obligation of depositing the balance sale consideration as per the decree.
42. At the cost of repetition, we must remind that the decree for specific performance was passed on 31.10.2012 and the interim order granted in first appeal lapsed on 25.01.2013, but the plaintiff-respondent neither deposited the balance sale consideration, if he was ready and willing to perform his obligation, within the period of three months contemplated under the decree nor cared to move any application seeking extension of time for depositing the balance amount on any ground, much less for the reason that the decree had not attained finality and was subject matter of appeal. This shows that the plaintiff-respondent was shying away from performing his obligation.
43. It is pertinent to mention here that the relief of specific performance of an agreement is an equitable and a discretionary relief in terms of Section 16 (C) and Section 20 of the Act. It is not mandatory upon the court to grant the relief of specific performance even if it legally appears to be correct.
44. In ***N.P. Thirugnanam (Dead), by LRs v. Dr. R. Jagan Mohan Rao and Others***⁹, the court observed that to adjudge whether the plaintiff is ready and willing to perform his part of the contract, it must take into consideration the conduct of the plaintiff, both prior to the filing of the suit and subsequent to the filing of the suit along with other attending circumstances. The court is not bound to grant the relief of specific performance merely because there was a valid agreement or at one point of time the plaintiff was ready and willing to perform his obligation. The relief of specific performance is an equitable remedy and it is on the discretion of the court to grant or not to grant such a relief.
45. Once it is accepted that the relief of specific performance is an equitable and a discretionary relief, therefore, he who seeks equity must ensure that equity is done to the opposite party. The final end

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of law is nothing but justice, therefore, the parties to the suit for specific performance should be informed by equity. In other words, he who seeks equity must do equity.

46. In view of the above legal position when the relief of specific performance is an equitable and a discretionary relief and the same having been granted, the plaintiff-respondent must perform his part of the obligation in time. The condition to deposit the balance sale consideration within three months under the decree partakes the condition under the agreement and makes the aforesaid time as an essence of the agreement. Therefore, the plaintiff-respondent is obliged to establish his readiness and willingness to perform his obligation by depositing the balance sale consideration strictly within the time allowed. It is not at all equitable to condone the delay on his part in depositing the balance sale consideration or extending the time for the same, more particularly when due to non-compliance, the suit itself stands automatically dismissed and the decree vanishes. The conduct of the plaintiff-respondent disentitles him the relief which was earlier granted in view of the long passage of time since 2005 when the agreement was entered into till date as in between land prices might have increased manifold.
47. In the end, an attempt has been made from the side of the plaintiff-respondent to contend that when valuable rights have accrued in his favour on account of the decree of specific performance, such rights cannot be taken away and that the view which assist the decree must be adopted.
48. It is true that the rights accrued ought not to be disturbed unless there are strong reasons for the same. In the present case, the plaintiff-respondent got the decree by establishing his readiness and willingness to perform his part of the agreement but nonetheless he failed to establish his continuous readiness and willingness till the execution of the sale deed. If he was ready and willing to perform his part of the agreement till the stage of decreeing the suit, there would have been no problem on his part in immediately complying with his obligation under the decree by depositing the balance sale consideration within the time permitted. The plaintiff-respondent having failed to abide by such a condition indicates that he was not actually ready and willing to perform his obligation under the decree which obligation, in essence, took the shape of a condition under the agreement. In such

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circumstances, the plaintiff-respondent disentitled himself from the benefit of the decree of specific performance. Therefore, the submission that the view which assist the decree must be adopted is not tenable in the facts and circumstances of the present case.

49. It is trite to mention that Section 28 of the Act provides that the Court has to pass an order as the justice of the case may require. The parties approaching the Court must have the feeling that justice has been done to either of them in the facts and circumstances of the case particularly when the decree relates to specific performance of a contract based upon equity, equality and fairness. Therefore, it is incumbent upon the Court to pass an equitable order accordingly, balancing the equities between the parties.
50. In the above context, post-hearing, we interacted with the learned counsel for the parties. Shri Manoj Swarup, learned senior counsel for the defendant-appellant, submitted that the defendant-appellant is not in a position to offer any amount and that at best he can leave one-half acre out of the two and a half acres involved in the agreement, i.e., 4 *kanals* to make good the loss, if any, suffered by the plaintiff-respondent. It may be worth noting that the defendant-appellant had received part of the sale consideration amounting to Rs. 80,000/- on 19.10.2005. Therefore, in the facts and circumstances, we consider it prudent to order refund of the earnest money with simple interest so as to adjust the equities.
51. We have deliberately not touched the submission of the parties on the doctrine of merger as facts in that regard were not clear on record. Moreover, the parties have proceeded to make their submissions on the basis of the judgment and decree passed by the court of first instance rather than that of the first appellate Court or the second appellate Court. The first appellate Court and the Court of second appeal have not granted any time either for the execution of the sale deed or for the deposit of balance sale consideration. Therefore, the time provided by the Court of first instance under the decree is the material time within which the parties were required to fulfil their reciprocal obligations. Accordingly, we have not dealt with the decision in the case of **Surinder Pal Soni vs. Sohan Lal (Dead) through LRs.**¹⁰ which is primarily on the doctrine of merger.

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52. In view of the aforesaid facts and circumstances, the decree of specific performance dated 31.10.2012 is rendered inexecutable on account of non-compliance of the condition to deposit the balance sale consideration within the time of three months stipulated therein and the contract as a whole stand rescinded in terms of Section 28 of the Act.
53. Accordingly, the impugned judgment and order dated 24.03.2025 passed by the High Court of Punjab and Haryana at Chandigarh in Civil Revision No.7232 of 2015 and that of the Executing Court dated 07.09.2015 dismissing the objections, are hereby set aside. The objections are upheld and the execution proceedings are directed to be closed with the direction to the defendant-appellant to refund of the part sale consideration or the earnest money of Rs.80,000/- received by him with simple interest at the rate of 8 percent per annum from the date of its receipt i.e., 19.10.2005 till its refund. In the event, the defendant-appellant is unable to refund the said amount, it would be open for him to sell his $\frac{1}{2}$ acre of the said land to the plaintiff-respondent or to any other third party if he refuses to purchase and may make the payment of the aforesaid amount by the sale of the said land within a period of three months.
54. The appeal is allowed accordingly.
55. Pending application(s), if any, stands disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

**Neetu Solvents
v.
Vineet Nagar & Ors.**

(Civil Appeal No. 2881 of 2021)

06 May 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Whether the direction of closure of the appellant-units issued by the NGT is liable to be set aside; whether the judgment of *Pahwa Plastics* squarely applies to the facts of this case.

Headnotes[†]

Environment – Environmental Clearance – The appellants herein are the industries, and running the manufacturing units of Formaldehyde, its different resins – The NGT directed closure of the appellants-units – The NGT held that formaldehyde manufacturing units cannot be allowed to operate without prior Environmental Clearance (EC) – Correctness:

Held: The case in hand is not a one where the appellants established the units of formaldehyde and started operation due to lack of *bona fide* ignoring any requirement of law – On the contrary it is a case where the Pollution Control Board (PCB) were not aware that prior EC to establish and operate such units is required in terms of Environment Impact Assessment notification dated 14.09.2006 (EIA 2006 notification) – Accordingly, in terms of the notices issued by the PCBs, the appellants-units have applied for grant of EC which remains pending – In view of this Court, the judgment of *Pahwa Plastics* squarely applies to the facts of this case – Accordingly, the direction of closure of the appellant-units by the impugned orders of NGT stands set aside – The parties are directed to apply the ratio of the judgment of *Pahwa Plastics mutatis mutandis* – Therefore, it is directed that, (i) the appellant-units, having been established and operated pursuant to the Consent to Establish (CTE) and Consent to Operate (CTO) granted by the PCB for the respective State, be allowed to function and operate; (ii) The respondent is directed

* Author

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to take a decision on the applications of the appellant-units for EC in accordance with law; (iii) Electricity for the appellant-units, if disconnected, shall be restored subject to payment of charges, if any. [Paras 26, 27]

Case Law Cited

Pahwa Plastics Private Limited and Anr. v. Dastak NGO and Ors. [2022] 16 SCR 855 : (2023) 12 SCC 774 – held applicable.

Vanashakti v. Union of India, 2025 SCC OnLine SC 1139; *Common Cause v. Union of India* [2017] 13 SCR 361 : (2017) 9 SCC 499; *Alembic Pharmaceuticals v. Rohit Prajapati* [2020] 10 SCR 677 : (2020) 17 SCC 157; *Eleectrosteel Steels Ltd. v. Union of India* [2021] 14 SCR 863 : (2023) 6 SCC 615; *Confederation of Real Estate Developers of India (CREDAI) v. Vanashakti and Another*, 2025 SCC OnLine SC 2474 – referred to.

List of Acts

Water (Prevention and Control of Pollution) Act, 1974;
Air (Prevention and Control of Pollution) Act, 1981.

List of Keywords

Environment; Environmental clearance; Formaldehyde manufacturing units; Pollution Control Board; Consent to Establish; Consent to Operate; *Ex-post facto* Environmental Clearance; EIA 2006 notification.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 2881 of 2021

From the Judgment and Order dated 03.06.2021 of the National Green Tribunal in OA No. 298 of 2020.

With

Civil Appeal No(s). 4432, 4431, 4654, 4748, 4902-4903 and 4908 of 2021

Appearances for Parties

Advs. for the Appellant(s):

Nidhesh Gupta, Sr. Adv., Tarun Gupta, Bikram Dwivedi.

Neetu Solvents v. Vineet Nagar & Ors.*Advs. for the Respondent(s):*

Mrs. Archana Pathak Dave, A.S.G., B.K. Satija, Shiv Mangal Sharma, A.A.Gs. Ankit Jain, Sr. Adv., Harpreet Popli, Amarjeet Singh, Rahul Sambher, Eish Kesariwani, Dr. Surender Singh Hooda, Subhranshu Padhi, Ms. Priyanka Das, Ms. Preeti Rani, B.K. Satija, Vivek Gupta, Vijay Awana, Yogesh Vats, Dr. N. Visakamurthy, Mahesh Kasana, Ms. Aparna Rohatgi Jain, S. K. Verma, Rahul Khurana, Samar Vijay Singh, Ms. Sabarni Som, Anupam Saxena, Ashwini Kr. Mishra, Pradeep Misra, Daleep Dhyani, Anupam Misra, Suraj Singh, Ms. Abhinandini Sharma, Saurabh Rajpal, Ms. Saubhagya Sundriyal, Ms. Nidhi Jaswal, Gurmeet Singh Makker, Ms. Priyanka Das, B K Satija, Rohan Gupta, Shubhranshu Padhi, Ms. Preeti Rani, Kartikey Sahai, Tahir Ashraf Siddiqui, Rajesh Kumar Gautam.

Judgment / Order of the Supreme Court**Judgment****J.K. Maheshwari, J.**

- 1) In all these appeals, the appellants are the industries, and running the manufacturing units of Formaldehyde, its different resins (including melamine formaldehyde, urea formaldehyde and phenol formaldehyde) in the States of Rajasthan and Haryana. In Civil Appeal No.2881 of 2021, Civil Appeal No.4432 of 2021, Civil Appeal No.4431 of 2021 and Civil Appeal No.4748 of 2021 the units are situated in State of Rajasthan while in Civil Appeal No.4654 of 2021, Civil Appeal No.4908 of 2021 and Civil Appeal No.4902-4903 of 2021 the units are situated in State of Haryana.
- 2) Three Original Applications were preferred, being O.A. No. 298/2020 (*Vineet Nagar v. CGWA*), O.A. No. 287/2020 (*Dastak N.G.O. v. Synochem Organics Pvt. Ltd. & Ors.*) and O.A. No. 840/2019 (*Ayush Garg v. Union of India*) before the National Green Tribunal, Principal Bench, New Delhi (for brevity '**NGT**'). In those original applications, it was contended that the units of formaldehyde manufacturing have been established and are operating without prior Environmental Clearance (for brevity '**EC**').
- 3) The NGT decided all the said original applications on 03.06.2021, albeit by three different orders. The main order was passed in the

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case of O.A. No. 287/2020 (*Dastak N.G.O.*) wherein it was directed that formaldehyde manufacturing units cannot be allowed to operate without prior EC. In O.A. No. 298/2020 (*Vineet Nagar*), the appellants-units herein were arrayed as respondents, and it was decided on the same date relying upon the directions issued in the case of *Dastak N.G.O* by NGT.

- 4) The manufacturers of formaldehyde units, being aggrieved by the order of the NGT, have filed the present appeals. On 30.07.2021, this Court was pleased to issue notice and as an interim measure, stayed the operation of the order impugned. It is pertinent to note that C.A. No. 4795/2021 being ***Pahwa Plastics Private Limited and Anr. v. Dastak NGO and Ors.***¹ dealing with two units was filed against the order dated 03.06.2021 passed by the NGT in O.A. No. 287/2020 of *Dastak N.G.O* (for brevity '**Dastak N.G.O**'). Initially, the present appeals were clubbed with ***Pahwa Plastics (supra)***, however later, only the case of ***Pahwa Plastics (supra)*** was decided *vide* judgment dated 25.03.2022, allowing the appeals filed by the manufacturing units. In the said judgement, this Court observed that the industrial units therein was established and operating on the basis of a valid Consent to Establish (for brevity '**CTE**') and Consent to Operate (for brevity '**CTO**') granted by the Pollution Control Board (for brevity '**PCB**') of the concerned States. It was further held that the unit cannot be closed merely on account of technical irregularity for want of prior EC, when the PCB itself was not aware of the applicability of EC for such units. In consequence, the order of NGT was set aside with direction to continue the operation of the units.
- 5) At this stage, it will not be out of place to refer to the judgement of this Court dated 16.11.2025 in ***Vanashakti v. Union of India***² (hereinafter '**Vanashakti judgement**') where challenge was laid to two Office Memorandums (for brevity '**OM**') issued by the Ministry of Environment, Forests and Climate Change (for brevity '**MoEF&CC**') in 2017 and 2021. The OM dated 14.03.2017 was applicable to projects or activities that had started work on site, expanded production beyond the limit of the EC or changed the production mix without obtaining EC, *ex-post facto* clearance could be granted. However, this OM was

¹ (2023) 12 SCC 774.

² 2025 SCC OnLine SC 1139.

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only applicable to projects or activities that had commenced prior to 14.03.2017 and provided a limited window of six months for eligible applicants, which was later extended to 13.04.2018. The OM dated 07.07.2021 came to be issued after the NGT directed the MoEF&CC vide order dated 24.05.2021 to prepare a Standard Operating Procedure for granting EC in cases of any violation. This Court in the Vanashakti judgement, while relying on **Common Cause v. Union of India**³, **Alembic Pharmaceuticals v. Rohit Prajapati**⁴ and **Eleectrosteel Steels Ltd. v. Union of India**⁵ held that *ex-post facto* EC is alien to the Indian environmental jurisprudence and struck down the OM's dated 14.03.2017 and 07.07.2021 as being illegal. In doing so, this Court concluded as follows: –

“20. Moreover, the 2017 notification is completely in violation of the law laid down by this court in the case of Common Cause² and Alembic Pharmaceuticals³. From the recitals of the 2017 notification, it is apparent that it was a one-time measure to protect those who were in violation as on the date of the 2017 notification. In view of the settled law, even a ‘one-time measure’ or ‘one-time relaxation’ was illegal. The 2021 OM encourages the entities who contributed to pollution by not obtaining prior EC. Whenever EC is granted, it is always conditional. Certain conditions are imposed to abate or reduce the pollution. Such one-time measures add to air and/or water pollution. Such measures infringe the right to live in a pollution free environment guaranteed by Article 21. Thus, the 2017 notification was completely illegal.

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23. Apart from the fact that the very concept of grant of ex-post facto EC is illegal, it is not possible to understand why the Central

Government made efforts to protect those who committed illegality by not obtaining prior EC in terms of the EIA

3 (2017) 9 SCC 499.

4 (2020) 17 SCC 157.

5 (2023) 6 SCC 615.

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notification. As the EIA notification was eleven years old when the 2017 notification was issued, there was no equity in favour of those who committed such gross illegality of not obtaining prior EC. The persons who acted without prior EC were not illiterate persons. They were companies, real estate developers, public sector undertakings, mining industries, etc. They were the persons who knowingly committed illegality. We, therefore, make it clear that hereafter, the Central Government shall not come out with a new version of the 2017 notification which provides for the grant of ex-post facto EC in any manner.

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29. *...Therefore, what is done by the 2021 OM is something which was completely prohibited by this Court in the cases of Common Cause² and Alembic Pharmaceuticals³. It is an attempt to bring in an ex-post facto or retrospective regime by craftily drafting the SOP. The grant of EC under the 2021 OM in substance and in effect amounts to ex post facto grant of EC. The Court must come down very heavily on the attempt of the Central Government to do something which is completely prohibited under the law. Cleverly, the words ex post facto have not been used, but without using those words, there is a provision to effectively grant ex post facto EC. The 2021 OM has been issued in violation of the decisions of this Court in the cases of Common Cause² and Alembic Pharmaceuticals³. Therefore, we have no manner of doubt that the 2021 OM which permits grant of EC is completely arbitrary and illegal. Moreover, the 2021 OM does not refer to exercise of any power under the 1986 Act or the 1986 Rules.*

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31. *The EIA notification is of 14th September 2006. When the 2021 OM was issued, it was nearly 15 years old. Therefore, all project proponents were fully aware of the stringent requirements under the EIA notification. The 2021 OM seeks to protect the violations of the EIA notification which have taken place or continue to take place 15 years after the EIA notification came into force. Thus,*

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the 2021 OM seeks to protect violators who have acted with full knowledge of consequences of violating the EIA notification. Those who violate the law regarding obtaining prior EC are not only committing gross illegality, but they are acting against the society at large. The violation of the condition of obtaining prior EC must be dealt with heavy hands. In environmental matters, the Courts must take a very strict view of the violations of the laws relating to the environment. It is the duty of the Constitutional Courts to do so.”

- 6) The Vanashakti judgement was assailed seeking recall in Review Petition (C) Diary No. 41929/2025 being **Confederation of Real Estate Developers of India (CREDAI) v. Vanashakti and Another**⁶ (hereinafter ‘**Vanashakti Review judgement**’). The said Review Petition was heard by a three-Judge Bench of this Court wherein Chief Justice B.R. Gavai, as he then was, concluded as under: –

“95. Further, the judgments of this Court in the cases of D. Swamy (supra) and Pahwa Plastics Private Limited (supra) were not brought to the notice of this Court.

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*121. As already discussed hereinabove, the **JUR** though considers some of the paragraphs of Common Cause (supra), Alembic Pharmaceuticals Limited (supra) and Electrosteel Steels Limited (supra), various relevant paragraphs of these judgments which would have had a direct bearing on the **JUR** had not been brought to the notice of this Court and accordingly not considered by this Court. Apart from that, the law laid down in **JUR** is totally in conflict with the law laid down in D. Swamy (supra) and Pahwa Plastics Private Limited (supra).*

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140. I am in complete agreement with the aforesaid observations of this Court in the case of Bindu Kapurea (supra), to the effect that demolition of the projects already

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completed would rather than being in public interest would result in throwing the valuable public resources in dustbin.”

In concurring opinion, Justice K. Vinod Chandran opined as follows: –

*“8. The balanced approach, in the wake of admitted violations, taken in Common Cause & **Alembic**, have been completely lost sight of, by the judgment under review. The judgment under review, with due respect did not look into the aspects of the power conferred under the Environment Protection Act and the legal principles regarding an undertaking given in derogation of the statutory provisions. The judgment under review failed to notice the decision in *Electrosteel* in its entirety and its attention was not drawn to **Pahwa** and **D. Swamy**. It is one thing to find **Electrosteel**, **Pahwa** and **D. Swamy** per-incuriam in the original proceeding, which would have restrained a review on that ground; but quite another to reject the prayer for review on the ground that though not noticed or referred to, those decisions are per incuriam; which still is a valid ground for review for not having been considered. I fully concur with the opinion of the Learned Chief Justice of India and find the review to be not only warranted, but imperative and expedient.”*

- 7) Mr. Nidhesh Gupta, Learned Senior counsel for the appellant-units claimed and urged that the units were set up on the basis of CTE and CTO granted by the concerned PCB and started operations. At that stage, the PCB itself was unaware of the requirement of prior EC to run the manufacturing units of formaldehyde. However, when CTE and CTO were granted, it would mean that the PCB was satisfied *qua* establishment and operation of the units, and hence, the requirements of law as sought by PCB were complied with. As such, the appellant-units started their operations and continued manufacturing. They have also claimed that the units are totally ‘non-polluting’ having ‘zero trade discharge’, which is also incorporated in the CTE and CTO granted to them.
- 8) After establishment and starting operations by the units of formaldehyde, the PCB has considered the applicability of the provisions of the Environment Impact Assessment notification dated 14.09.2006 (for brevity ‘**EIA 2006 notification**’) issued by

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the Government of India. It was communicated *vide* Office Order dated 19.08.2019 issued by the Rajasthan PCB that CTE and CTO pending for any unit in the State of Rajasthan shall be considered after submission of EC under the EIA 2006 notification. It was also informed that the units to which CTE and CTO were granted shall be asked to apply for EC as soon as possible and submit proof of such application within sixty days.

- 9) Similarly, with respect to the units situated in the State of Haryana, the Haryana PCB issued an Office Order dated 10.11.2020 directing the operational units to apply for EC and submit proof within sixty days.
- 10) The units of the appellants, either situated in Rajasthan or Haryana, applied within the stipulated period and submitted the proof. Thereafter, operation of such units was challenged by filing the three original applications indicated above, wherein the impugned order was passed by NGT in O.A. No. 287/2020 (*Dastak N.G.O.*) allowing the same on account of not having prior EC. The other two original applications wherein the appellant-units affected were decided by relying upon the order in the case of *Dastak N.G.O.* The judgment of NGT in *Dastak N.G.O.* was assailed before this Court in ***Pahwa Plastics (supra)*** and was set aside by this Court. Learned Senior counsel for the appellant-units submits that the judgment of NGT in *Dastak N.G.O.* has been relied upon by the appellants and on account of the same having been set aside, therefore, similar directions may be issued in the present appeals by applying the ratio of the judgement in ***Pahwa Plastics (supra)*** delivered by this Court.
- 11) Learned Senior counsel explaining the parity in the case of the appellant-units as well as of ***Pahwa Plastics (supra)*** contended that the CTE and CTO were granted by the respective PCBs, since it was not aware of the requirement of prior EC, and therefore, directed the units to apply for the same within the stipulated time in order to continue operation. As such, the factual situation being similar in the present appeals, therefore, direction issued by NGT to close the appellant-units by relying upon the judgment of *Dastak N.G.O.* is not justified.
- 12) In order to further advance such position, he has referred various paragraphs of the judgment in ***Pahwa Plastics (supra)*** to submit that this Court has considered all the aspects in detail while issuing direction to obtain *ex-post facto* EC and in the meantime, continue

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running the units. Reference was further made to OM dated 07.07.2021 issued by the MoEF&CC, which was challenged in the Vanashakti judgement and on account of order dated 02.01.2024 passed by this Court, the operation of the said OM has been stayed. The said challenge was later allowed by the Vanashakti judgment dated 16.05.2025, thereby striking down the OM dated 07.07.2021. The Review Petition filed against the said judgement was allowed by the three-Judge Bench in the Vanashakti Review judgement on 18.11.2025, and so, the delay in grant of *ex-post facto* EC was due to pendency of the above litigation.

- 13) At this stage, it was further contended that grant of EC involves four steps viz. **Screening, Scoping, Public Consultation** and **Appraisal**. Out of these, the first two steps i.e., Screening and Scoping are already complete in the case of appellant-units. The Terms of Reference (for brevity '**TOR**') also stand granted and there is no requirement of Public Consultation since most of the units are situated in a Notified Industrial Estate, and so, step three is also over. It is only the last stage i.e., Appraisal which is left, and the same was stalled because of the above referred litigation. In addition, it is contended that the judgment of ***Pahwa Plastics (supra)*** still holds the field and the three-Judge Bench in the Vanashakti Review judgement has acknowledged its ratio. Learned Senior counsel has urged that these appeals be allowed on similar lines and permission to obtain *ex-post facto* EC be granted, while allowing the units to run in the meantime. Countering the arguments of the respondents' counsel in respect of OM dated 07.07.2021, he has contended that such argument is fallacious in view of the judgment of ***Pahwa Plastics (supra)*** and the Vanashakti Review judgement.
- 14) Per contra, Mr. Ankit Jain, learned Senior counsel appearing for the Original Applicants submitted that while the judgment in ***Pahwa Plastics (supra)*** was delivered, it impressed the mind of this Court on the ground that due to closure of industry, approximately 8000 workers would be affected, and so, the said judgement was pronounced to save adverse impact on public employment and public purpose. It was submitted that in the appellant-units, 10-15 workers are employed, therefore, ratio of the said judgment cannot be made applicable. Learned Senior counsel is unable to dispute the factual aspect of granting CTE, CTO and TOR; but it is urged that in view of the OM dated 07.07.2021, prior EC was essential, and the judgment in the

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case of **Pahwa Plastics (supra)** may not apply as precedent as it was based on incorrect information supplied to the Court.

- 15) Learned counsel representing the respective PCBs submit that CTE and CTO has rightly been granted to the appellant-units. On examining the issue as per EIA 2006 notification, the appellant-units were directed to apply for EC for the earliest and submit proof within sixty days. In compliance, the appellants-units have applied for grant of EC within the time frame, but the same remained pending because of the Vanashakti judgment. It is said that the delay in grant of EC has occurred till decision in Vanashakti Review judgment which is at the stage of appraisal, however, possibility to grant EC permission at the earliest may not be ruled out.
- 16) Ms. Archana Pathak Dave, learned Additional Solicitor General appearing for the Union of India has submitted that the issue herein has been dealt with in the case of **Pahwa Plastics (supra)**, and at present, the said judgment holds the field. It is not disputed by her that the judgment impugned in the present appeals has been passed solely relying upon the judgment of NGT in *Dastak N.G.O.*, which stands set aside by judgement of this Court in **Pahwa Plastics (supra)**. It is further urged that looking at the peculiar facts of this case wherein the EC was sought after establishment of the units, the present appeals may be decided by issuing appropriate direction in the light of the applicable precedent.
- 17) After hearing learned counsel for the parties at length and in the wake of arguments as advanced, it is necessary to examine whether the judgment dated 03.06.2021 rendered by NGT in the case of *Dastak N.G.O.* and challenged before this Court in **Pahwa Plastics (supra)**, and further relied upon to decide the other two original applications wherein the appellant-units were arrayed as respondents, was without independently appreciating the facts of each individual unit. The answer to the said issue is clear as day as the said judgment of NGT has been set aside in **Pahwa Plastics (supra)**. With an intent to appreciate the ratio of the judgment of **Pahwa Plastics (supra)**, certain paragraphs are relevant, hence, produced as under: –

“22. By Communication No. HSPCB/Consent/ : 2846616YAMCTE 3087415 dated 2-6-2016, the Haryana State Pollution Control Board (HSPCB) granted consent to establish (CTE) to Appellant 1 M/s Pahwa Plastics Pvt.

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Ltd. in respect of its Yamuna Nagar Unit. The CTE was to remain valid for 60 months from the date of its issue, to be extended for another year at the discretion of the Board or till the time the unit started its trial production, whichever was earlier.

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24. *By another Communication No. HSPCB/Consent/ : 2846618YAMCTO3098246 dated 26-3-2018, HSPCB granted consent to Appellant 1 to operate its Yamuna Nagar unit from 8-2-2018 to 31-3-2022.*

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28. *It is the case of the appellants that at the time when CTE was granted to the appellants, it was thought that EC was not required for units which manufactured formaldehyde. Even HSPCB itself was not sure of whether EC was required for such units.*

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37. *The appellants duly applied for EC in respect of their manufacturing units. After scrutinising their applications and after finding the units suitable for grant of EC in terms of the prevailing guidelines, the Expert Appraisal Committee constituted by the MoEF&CC conducted a public hearing to finalise the cases of the appellants for issuance of Terms of Reference (ToR).*

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40. *The SOP formulated by the said Office Memorandum dated 7-7-2021 refers to and gives effect to various judicial pronouncements including the judgment of this Court in Alembic Pharmaceuticals Ltd. v. Rohit Prajapati [Alembic Pharmaceuticals Ltd. v. Rohit Prajapati, (2020) 17 SCC 157].*

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49. *The appellants have already applied for EC. The Expert Appraisal Committee of the MoEF&CC has, after scrutinising the application of the appellants and finding*

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them eligible for grant of EC, recommended their cases for grant of Terms of Reference (ToR). ToR was granted to the appellants and a public hearing had also been conducted. Only last procedural step of issuance of EC is left."

From the above paras, it is clear that the PCB granted CTE to Pahwa Plastics and thereafter, Haryana PCB granted CTO to the Yamuna Nagar unit. When CTE & CTO were granted for manufacturing of formaldehyde, even the PCB of Haryana was not firm that prior EC was a requirement for such unit. In **Pahwa Plastics (supra)**, the appellant-units duly applied for EC, which remained pending. The appellant-units have also applied for EC on asking and after scrutinizing the applications, recommendations were made for TOR, which came to be granted after conducting public hearing and only the procedural step of issuance of prior EC after appraisal was left.

- 18) In view of the said factual findings, this Court concluded in **Pahwa Plastics (supra)** as thus: –

"64. The question in this case is, whether a unit contributing to the economy of the country and providing livelihood to hundreds of people, which has been set up pursuant to requisite approvals from the statutory authorities concerned, and has applied for ex post facto EC, should be closed down for the technical irregularity of want of prior environmental clearance, pending the issuance of EC, even though it may not cause pollution and/or may be found to comply with the required norms. The answer to the aforesaid question has to be in the negative, more so when the HSPCB was itself under the misconception that no environment clearance was required for the units in question. HSPCB has in its counter-affidavit before the NGT clearly stated that a decision was taken to regularise units such as the Apcolite Yamuna Nagar and Pahwa Yamuna Nagar Units, since requisite approvals had been granted to those units, by the authorities concerned on the misconception that no EC was required.

65. It is reiterated that the 1986 Act does not prohibit ex post facto EC. Some relaxations and even grant of ex post facto EC in accordance with law, in strict compliance with Rules, Regulations, Notifications and/or applicable orders,

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in appropriate cases, where the projects are in compliance with environment norms, is not impermissible. As observed by this Court in Electrosteel Steels Ltd. [Electrosteel Steels Ltd. v. Union of India, (2023) 6 SCC 615], this Court cannot be oblivious to the economy or the need to protect the livelihood of hundreds of employees and others employed in the units and dependent on the units in their survival.

66. *Ex post facto EC should not ordinarily be granted, and certainly not for the asking. At the same time ex post facto clearances and/or approvals cannot be declined with pedantic rigidity, regardless of the consequences of stopping the operations. This Court is of the view that the NGT erred in law in directing that the units cannot be allowed to function till compliance of the statutory mandate.*

67. *Accordingly, the appeal is allowed. The impugned order [Dastak N.G.O. v. Synochem Organics (P) Ltd., 2021 SCC OnLine NGT 131] is set aside insofar as the same is applicable to the units of the appellants established and operated pursuant to CTE and CTO from the HSPCB in respect of which applications for ex post facto EC have been filed. The respondent shall take a decision on the applications of the appellants for EC in accordance with law within one month from date. Pending decision, the operation of the Pahwa Yamuna Nagar Unit and the Apcolite Yamuna Nagar Unit, in respect of which consents have been granted and even public hearing held in connection with grant of EC, shall not be interfered with.*

68. *The appellants will be allowed to operate the units. Electricity, if disconnected, shall be restored subject to payment of charges, if any. If the application for EC is rejected on the ground of any contravention on the part of the appellants, it will be open to the respondents to disconnect the supply of electricity.*

69. *The Union of India had proceeded with the application for EC and even public hearing had been held. Counsel appearing on behalf of the Union of India contended that the appellant had not submitted its final application for EC, after public hearing. It is not clear what more was required*

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of the appellants. Be that as it may, the Union of India shall, within three working days from the date of receipt of a copy of this judgment and order, inform the appellants in writing of whether anything further is required to be done by the appellants, and if so what is required to be done. The appellants shall, within a week thereafter do the needful. The final decision on the application of the appellants for EC shall be taken within three weeks thereafter."

- 19) Mr. Nidhesh Gupta, learned Senior counsel produced a comparative chart indicating similarity in the case of appellant-units with those involved in ***Pahwa Plastics (supra)***. In order to appreciate the individual facts in each appeal, the detailed facts are referred below for clear understanding in the succeeding sub-paragraphs: –

- 19.1) **C.A.No.2881/21 (Neetu Solvents)** – CTE was granted on 17.06.2015 as being valid w.e.f. 30.04.2015 to 31.03.2018, or commissioning of project whichever is earlier. As such, the unit was established. CTO was granted on 05.05.2016, and last renewed on 31.12.2023. Renewal for the same was applied for on 16.08.2023. Referring various documents, it is contended that such permissions are being granted on subsequent date by applying retrospective operation. Clarifying the status of EC, it was urged that the same was applied for on 01.10.2019. After Screening and Scoping, TOR was granted on 16.07.2021. In this case, Public Consultation was exempted because the unit is situated in Industrial area.
- 19.2) **C.A.No.4432/21 (Top Notch)** – CTE was granted on 23.09.2014 having validity w.e.f. 09.09.2014 to 31.08.2017, pursuant to which unit was established within the validity of CTE. CTO was granted on 05.05.2016 and last renewed on 31.10.2023. Renewal for the same was applied for on 30.05.2023. Such renewal is being granted *ex-post facto* from retrospective date. Similar is the position for EC, which was applied for on 01.10.2019 after Screening and Scoping. TOR was granted on 18.03.2022 and Public Consultation is exempted on account of the unit being in an industrial area.
- 19.3) **C.A.No.4431/2021 (D.C. Industries)** – CTE was granted on 12.12.2014, having validity w.e.f. 09.09.2014 to 31.08.2017. Pursuant thereto, the unit was established within the validity

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of CTE. Later, CTO was granted on 13.08.2015 and last renewed till 30.09.2026, thus, the said CTO is valid till now. With regard to EC, the same was applied for on 20.09.2019. After Screening and Scoping, TOR was granted on 22.07.2021. Public Consultation is exempted since the units being run are in an industrial area.

19.4) **C.A.No.4748/21 (Dee Bee Organics)** – CTE was granted on 26.11.1994 and the unit established within the validity period. CTO was granted on 25.05.1996 and last renewed till 30.06.2026. EC was applied for on 04.10.2019. After Screening and Scoping, TOR was granted on 18.03.2022. Public Consultation is exempted as the unit is situated in an industrial area.

19.5) **C.A.No.4654/21** consists of four units. Out of those, for two units; CTE, CTO and EC have already been granted. Details of the remaining two units are as under:

19.5.1) **Gayatri Industries** – CTE was granted on 11.12.2017, having validity from 11.12.2017 to 10.12.2022. The unit was established within the validity of CTE. Later, CTO was granted on 15.09.2018. last renewed till 30.09.2030 and so, is presently in existence. The unit applied for EC and after Screening and Scoping, TOR granted on 08.04.2022. Public Consultation is exempted on account of the unit being situated in an industrial area.

19.5.2) **Sanwaria Polymers** – CTE was granted on 22.02.2009 and unit established within the validity. Later, CTO was granted on 09.03.2017, last renewed till 30.09.2028 and is in existence at present. The unit applied for EC on 13.05.2021 wherein after Screening and Scoping, TOR was granted on 08.04.2022. Public Consultation for the unit is exempted as it is situated in an industrial area.

19.6) **C.A.No.4908/21** consists of two units:

19.6.1) **Guruji Overseas** – CTE was granted on 30.10.2018, with validity till 29.10.2023. The unit started within the said period and later, CTO was granted on

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05.07.2023. It was last renewed till 29.09.2026 and is presently in existence. The unit applied for EC on 02.12.2020 and after Screening and Scoping, TOR was granted on 15.03.2022. Public hearing was conducted on 11.07.2022 and only the Appraisal certificate remains to be issued, which is pending due to the Vanashakti judgement.

19.6.2) **Chemwood Industries** – CTE was granted on 20.12.2018, with validity till 19.12.2023. The unit started within the validity period and CTO was granted on 05.07.2023. It was last renewed till 30.09.2026 and is in existence at present. It applied for EC on 17.06.2021 and after Screening and Scoping, TOR was granted on 20.07.2021. Public hearing was conducted on 02.02.2022 and only the Appraisal certificate remains to be issued, which is pending because of the Vanashakti judgment.

- 20) Upon appraisal of the factual scenario with respect to the appellants-units comparing with the case of ***Pahwa Plastics (supra)*** we have no shadow of doubt in holding that the CTE and CTO were granted to the appellants-units as well as those in ***Pahwa Plastics (supra)***. In the said judgment, the judgment of NGT in *Dastak N.G.O* was assailed, which has been set aside with direction as contained in paragraphs 64 to 69 of ***Pahwa Plastics (supra)***. Since the judgment assailed by the appellant-units in these appeals solely relies upon *Dastak N.G.O.*, in light of the same being set aside by this Court, the inescapable conclusion which can be drawn is to apply the judgment of ***Pahwa Plastics (supra)*** in the facts as discussed hereinabove.
- 21) Mr. Ankit Jain, learned Senior counsel for the original applicants, relying on the contents of the affidavit filed by the appellant-units has urged that though Section 25(7) of the Water (Prevention and Control of Pollution) Act, 1974 (for brevity '**Water Act**') provides for deemed approval for CTO; in terms of Section 21(4) of the Air (Prevention and Control of Pollution) Act, 1981 (for brevity '**Air Act**') there is no provision to grant deemed approval. He has made an attempt to distinguish the language of the Air Act with Water Act to satisfy this Court that in absence of deemed permission, CTO as indicated is completely misplaced. It was also submitted that

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prior EC by complying the OM dated 07.07.2021 the judgment of ***Pahwa Plastics (supra)*** is necessary. At this stage, it is necessary to observe that the argument of not receiving permission under the Air Act is for the purpose of granting CTO. However, when CTO is not disputed by learned counsel for the PCBs, being the relevant authority in this case, the issue of such infraction is not germane and is hereby repelled.

- 22) Mr. Ankit Jain, learned Senior has laid much emphasis on paragraphs 2 and 54 of the judgment in ***Pahwa Plastics (Supra)*** to contend that the foundation of the said judgment was of affecting 8000 workers of the industry, therefore, the said judgment may not be treated as precedent. In our view, the said argument is impressive at first blush but not worthy of much credence for being relied on. While it is true that in the unit of Pahwa Plastics, 10 to 15 employees were working and is ascertainable from the counter-affidavit filed by the Union of India, paragraphs 2 and 54 of the judgement in ***Pahwa Plastics (supra)***, refer to 8000 employees. Since, one of us (Justice J.K. Maheshwari) was a part of the said judgment, the intent of this Court in ***Pahwa Plastic (supra)*** is required to be explained. While deciding the said judgment, about 8000 employees were referred with respect to all the manufacturing units of formaldehyde, including the appellant-units, herein which had already started functioning after CTE and CTO, and if closed, the employment of all those persons may be affected. Therefore, the number 8000 referred in those paragraphs is not only for ***Pahwa Plastics (supra)***, it includes employees of all manufacturing units of formaldehyde running in the industrial area, and with the said explanation, we repel his argument.
- 23) In view of the above, it is reiterated that after grant of CTE and CTO by the respective PCB, the argument of not having valid permission under Air Act is not germane and the infraction to grant CTO based on such argument is not acceptable and has no impediment. On assessing the cases of the appellant-units, on facts, it is similar to that of the case of ***Pahwa Plastics (supra)***. The impugned judgment in the other two original applications, passed by relying upon the judgment of NGT in Dastak N.G.O. which has been set aside by this Court in ***Pahwa Plastics (supra)***, therefore, having similarity of the facts, the appellant-units deserve similar direction.

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- 24) In the facts of the present case, it is necessary to emphasize that the units of the appellants are not at the stage of establishment or starting operation. These are the units which, where established and started operation based on CTE and CTO granted by the PCB of the concerned State. Thereafter, the respective PCBs have examined the EIA 2006 notification wherein it was found that formaldehyde manufacturing units are covered under synthetic organic chemical listed at Sr. No. 5(f) of the Schedule 1 of the notification and such being the case, it was appropriate that the units which are in operation be required to seek EC.
- 25) In this context notices were issued to the appellant-units by the Rajasthan PCB and Haryana PCB *vide* Office Orders dated 19.08.2019 and 10.11.2020, respectively, to apply within for EC at the earliest and submit proof of the same within 60 days. It is not disputed that the appellant-units applied for EC within the stipulated time. After submitting the application, the first two steps of Screening and Scoping have been completed. TOR also stands granted. Since most of the units are situated in industrial area, therefore, public consultation was not found necessary. For two units, namely Guruji Overseas and Chemwood Industries, public consultation is already complete and only the fourth step of appraisal remains to be completed. It is also a fact that two units i.e., Banke Bihari Overseas and G.B. Overseas Pvt. Ltd., which are appellants in this batch of appeals have been granted EC and are running their formaldehyde units. In such backdrop, it can safely be concluded that *ex-post facto* EC is the right recourse taken on the insistence of the respective PCB in order to rectify the mistake. In terms of the said rectification, the appellants were duly noticed and after all the necessary steps for grant of EC, only appraisal by the MoEF&CC remains for consideration.
- 26) Therefore, the case in hand is not a one where the appellants established the units of formaldehyde and started operation due to lack of *bona fide* ignoring any requirement of law. On the contrary it is a case where the PCBs were not aware that prior EC to establish and operate such units is required in terms of EIA 2006 notification. Accordingly, in terms of the notices issued by the PCBs, the appellants-units have applied for grant of EC which remains pending. In our view, the judgment of ***Pahwa Plastics (supra)*** squarely applies to the facts of this case.

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- 27) Accordingly, the direction of closure of the appellant-units by the impugned orders of NGT stands set aside. The parties are directed to apply the ratio of the judgment of ***Pahwa Plastics (supra)*** *mutatis mutandis* and by allowing these appeals, following directions are issued:-
- (i) The appellant-units, having been established and operated pursuant to the CTE and CTO granted by the PCB for the respective State, be allowed to function and operate.
 - (ii) The respondent shall take a decision on the applications of the appellant-units for EC in accordance with law within one month, if not already taken. Pending such decision, the operation of the appellant-units shall not be interfered with, if not otherwise required.
 - (iii) Electricity for the appellant-units, if disconnected, shall be restored subject to payment of charges, if any. If application for EC is rejected on grounds of any contravention on part of the appellant-units, it will be open to the respondents to disconnect the supply of electricity and parties would be at liberty to take recourse afresh.
 - (iv) The Union of India shall, within three working days from the date of receipt of this judgement, inform the appellant-units in writing whether anything further is required to be done by them and if so, the required steps be taken by the appellant-units within a week thereafter and do the needful.
 - (v) Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

[†]*Headnotes prepared by:* Ankit Gyan

**Delhi Electricity Regulatory Commission
v.
Tata Power Delhi Distribution Limited**

(Civil Appeal No. 6388 of 2025)

07 May 2026

[Pamidighantam Sri Narasimha and Alok Aradhe,* JJ.]

Issue for Consideration

Whether the depreciation under the applicable tariff regulations must necessarily be allowed over the entire technical useful life of an asset irrespective of the period during which the asset is actually utilised for supply of electricity; whether Regulation 6.32 of 2011 Regulations confers an absolute right upon the generating utility to recover entire capital cost over the useful life of the asset, even where the asset ceases to supply electricity to the consumer; whether the APTEL erred in law in disregarding the regulatory framework and approval conditions which limited the operational and recovery period of the Plant to six years.

Headnotes[†]

Electricity Act, 2003 – ss.61(d), 62 – DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011 – Regulations 6.30-6.32, 4.1 – APTEL set aside the order passed by the Delhi Electricity Regulatory Commission and directed that entire capital cost of Rithala Combined Cycle Power Plant at Rithala, Delhi (the Plant) be recovered through depreciation over a period of fifteen years notwithstanding the admitted fact that the Plant ceased to supply electricity to the consumers from and after March-2018 – Challenge to – Whether the depreciation under the applicable tariff regulations must necessarily be allowed over the entire technical useful life of an asset irrespective of the period during which the asset is actually utilised for supply of electricity:

Held: Tariff determination is not merely a mathematical exercise but a regulatory balancing act – The object of enabling reasonable cost recovery for utilities must be weighed against and calibrated with, paramount obligation to safeguard consumer interest – In

* Author

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the instant case, admittedly, electricity has not been supplied to the consumers beyond March-2018 – The consumers cannot be required to pay for a service which they no longer received – Under the PPA, TPDDL (Tata Power Delhi Distribution Limited) had to supply electricity only for a period of six years – The Commission had clarified to the Managing Director of TPDDL that the plant could be treated as a merchant generator which is free to sell the power anywhere other than to the distribution utilities in Delhi or outside the State or to captive consumers within the State – There was no legal impediment to either sale of the Plant or sale of electricity as a merchant generator – Therefore, TPDDL cannot be permitted to burden the consumers with tariff charges beyond March-2018 – Therefore, the first substantial question of law is answered in the negative – Impugned judgment passed by the APTEL is set aside, order passed by the Commission is restored. [Paras 20, 23]

Electricity Act, 2003 – ss.61(d), 62 – DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011 – Regulations 6.30-6.32, 4.1 – Whether Regulation 6.32 of 2011 Regulations confers an absolute right upon the generating utility to recover entire capital cost over the useful life of the asset, even where the asset ceases to supply electricity to the consumer:

Held: No – Regulation 6.32 of 2011 Regulations prescribes the methodology of calculating depreciation over the useful life of the asset – No provision has to be read in isolation – Regulation 6.32 of 2011 Regulations must be construed harmoniously with Regulation 4.1 of 2011 Regulations, which mandates that the tariff for supply of electricity by a generating company to a distribution licensee is to be determined in accordance with PPA or any other arrangement for such period as may be approved or adopted by the Commission, to the extent of existing installed capacity contained in the PPA – Regulation 4.1 of 2011 Regulations confines tariff entitlement to the period approved in the PPA – The order dated 31.08.2017 fixed the operational and recovery framework of the plant up to March-2018 – The 2011 Regulations have to be read in conjunction with s.61(d) of the 2003 Act which places the consumer interest at the centre of tariff Regulation – Thus, Regulation 6.32 of the 2011 Regulations does not, and cannot, override the broader statutory and regulatory framework and the same does not confer

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an absolute and unconditional right upon the generating utility to recover depreciation from the consumers even for a period when the asset is free to supply electricity. [Para 21]

Electricity Act, 2003 – ss.61(d), 62 – DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011 – Whether the APTEL erred in law in disregarding the regulatory framework and approval conditions which limited the operational and recovery period of the Plant to six years:

Held: GNCTD granted permission on a temporary basis for a period 5 to 6 years – The TPDDL was directed to obtain all necessary regulatory approvals before commencing generation – The Commission in its order dated 31.08.2017, which was not challenged by TPDDL, approved the PPA only for a period of six years from the date of commercial operation till March-2018 – APTEL ought to have appreciated that distinction between 15 years technical useful life and 6 years regulatory recovery period is not merely semantic but the tariff framework drew the distinction clearly – APTEL's approach is inconsistent with the order dated 31.08.2017, which was accepted by TPDDL and had attained finality – The True-up proceedings are intended to give effect to tariff framework and not to reopen or reconfigure it – APTEL erred, therefore, in disregarding the regulatory framework and conditions of approval – Therefore, the third substantial question of law, is answered in the affirmative – The substantial questions of law which arise for consideration in this appeal, are answered in favour of the Commission and against the TPDDL – Impugned judgment dated 10.02.2025 passed by the APTEL is set aside and order dated 11.11.2019 passed by the Commission is restored. [Paras 22, 23]

Electricity Act, 2003 – s.61 – Tariff Determination – Consumer welfare, a central and guiding statutory principle:

Held: s.61 of the 2003 Act governs the determination of tariff – s.61(d) specifically provides that in specifying the terms and conditions for the determination of tariff, the Appropriate Commission shall be guided, *inter alia*, by the object of safeguarding consumers' interests and at the same time, recovery of the cost of electricity in a reasonable manner – This provision establishes consumer welfare not as a peripheral consideration but as a central and guiding statutory principle in tariff determination. [Para 15]

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Case Law Cited

BSES Rajdhani Power Ltd. & Anr. v. Union of India & Ors.,
2025 SCC OnLine SC 1637 – referred to.

List of Acts

Electricity Act, 2003, DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011; Code of Civil Procedure, 1908.

List of Keywords

Depreciation under applicable tariff regulations; Entire technical useful life of an asset; Rithala Combined Cycle Power Plant at Rithala, Delhi; Plant ceased to supply electricity to the consumers; Sections 61(d), 62, Electricity Act, 2003; Generating utility; Entire capital cost; Useful life of the asset.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 6388 of 2025
From the Judgment and Order dated 10.02.2025 of the Appellate Tribunal for Electricity at New Delhi in AN No. 33 of 2020.

Appearances for Parties

Advs. for the Appellant(s):

Jayant K. Mehta, Sr. Adv., Dhananjay Baijal, Ms. Mansvini Jain, Tilak Singh.

Advs. for the Respondent(s):

Kapil Sibal, Sr. Adv., Amit Kapur, Anupam Varma, Rahul Kinra, Aditya Gupta, Girdhar Gopal Khattar, Yash Srivastava, Pukhrambam Ramesh Kumar, Karun Shamra, Ms. Anupama Ngangom, Ms. Rajkumari Divyasana.

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

1. This appeal under Section 125 of the Electricity Act, 2003, (2003 Act) preferred by Delhi Electricity Regulatory Commission (Commission)

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challenges the correctness and legality of the judgment and order dated 10.02.2025 passed by the Appellate Tribunal for Electricity (APTEL). By the impugned judgment, APTEL has set aside the order dated 11.11.2019 passed by the Commission and issued the direction that entire capital cost of Rithala Combined Cycle Power Plant at Rithala, Delhi (the Plant) be permitted to be recovered through depreciation over a period of fifteen years notwithstanding the admitted fact that the Plant ceased to supply electricity to the consumers from and after March-2018.

2. The facts giving rise to this litigation though substantially not in dispute, are required to be set out, in order to appreciate the competing legal submissions advanced before us.

FACTUAL MATRIX

3. The respondent, Tata Power Delhi Distribution Limited (TPDDL) is a joint venture entity between the Tata Power Company Limited and Delhi Power Company Limited. On 11.06.2007, TPDDL moved a proposal for allotment of land at Rithala for setting up a temporary 108-megawatts Gas-based Power Plant with operational tenure expressly limited to 5 to 6 years, following which the land would revert to the Delhi Development Authority (DDA). The genesis of the project lay in the pressing and urgent need to augment power supply in the National Capital Territory of Delhi in the lead-up to the Commonwealth Games 2010. The Plant was conceived as a short-term measure to address peak demand and accordingly, approval was structured within a limited operational horizon. On 24.07.2007, TPDDL addressed the letter to the DDA seeking change of land use specifically for a short-term 5 to 6 years operational span of the Plant.
4. On 17.05.2008, TPDDL intimated Commission of its intention to establish and operate the Plant. The Commission sometime in April-2009 granted in principle approval for the scheme based on TPDDL's proposal submitted in the year 2008. On 27.07.2009, Generation and Distribution divisions of TPDDL executed an intra company "Terms and conditions for sale and purchase of power for the Plant". The TPDDL on 21.08.2009 filed a petition namely, petition no. 11 of 2009, before the Commission under Section 62 read with Section 86 (1)(b) of the 2003 Act, seeking approval of the said terms and conditions. A second petition namely, petition no. 7 of 2010, was filed on 26.02.2010, seeking approval for the use of

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6 acres land for setting up 108-megawatts Power Generation Plant at Rithala, New Delhi. A third petition namely, petition no. 6 of 2013, was filed by TPDDL on 23.11.2012, seeking determination of the final generation tariff from the Plant.

5. The Plant achieved commercial operation in open cycle mode on 04.02.2011 and in combined cycle mode on 04.09.2011. The Commission disposed of all the three petitions filed by TPDDL by a common order dated 31.08.2017, the details of which are as follows:
 - (i) The Commission allowed petition no. 11 of 2009 to the extent of permission granted by Government of National Capital Territory of Delhi (GNCTD) for a period of six years from the year of commissioning of the Plant in combined cycle mode, thereby fixing the operation and supply period up to March-2018.
 - (ii) The Commission allowed petition no. 7 of 2010 subject to the condition that any profits from the Plant would be governed by provisions of DERC (Treatment of Income from Other Business of Transmission Licensee and Distribution Licensee) Regulations, 2005.
 - (iii) The Commission allowed petition no. 6 of 2013 and approved the fixed charges and operational parameters required for computation of energy charges and directed the TPDDL to file true-up petitions for finalisation of generation tariff for the respective years.
6. The Commission by its order dated 31.08.2017, determined the capital cost of the Plant at ₹197.70 crores after applying appropriate benchmarking and prudence checks as against the TPDDL's claimed capital cost of ₹320.17 crores. It is noteworthy that the said capital cost determination was made in the backdrop of six years operational framework. The Commission accepted a technical useful life of the Plant of fifteen years based on experts certification, and it restricted the operational and tariff recovery framework to a period of six years. The Plant was thus allowed to operate for supply purposes only till March-2018. The TPDDL did not challenge the aforesaid order by way of an appeal and therefore the order dated 31.08.2017 has become final and binding inter-parties.
7. Subsequently, TPDDL filed a petition namely, petition no. 51 of 2017, seeking true-up of expenditure for Financial Years 2010-2011 to 2016-

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2017 and the annual requirements for Financial Year 2017-2018. The Commission, by an order dated 11.11.2019, allowed depreciation at the rate of 6% per annum in respect of the Plant only up to Financial Year 2017-2018 resulting in cumulative depreciation of ₹83.34 crores. The remaining capital cost of approximately ₹94.59 crores together with carrying cost, was not allowed to be passed through in tariff, on the ground that Plant has ceased to supply electricity to the consumers after March-2018.

8. The aforesaid order of the Commission was challenged by TPDDL in an appeal. The APTEL by an order dated 10.02.2025 *inter alia* held that the Commission itself had fixed the useful life of the Plant at fifteen years and had computed the capital cost on that basis. Therefore, the depreciation cost cannot be restricted only to six years. The APTEL further held that Regulation 6.32 of the DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011 (2011 Regulations) mandated depreciation over the useful life and did not admit of any exception. The APTEL, therefore, set aside the order of the Commission and remanded the matter to it with a direction to allow recovery of entire capital cost of the Plant by way of depreciation over the useful life of the Plant for fifteen years.
9. Aggrieved by the said judgment the Commission has preferred the present appeal.

SUBMISSIONS

10. Learned senior counsel for the Commission submitted that APTEL erred in not appreciating that TPDDL cannot recover the capital cost of the Plant either from the distribution licensee or from the retail consumers of Delhi, in respect of electricity not supplied and to fasten the liability on the consumers for a period beyond March-2018 is contrary to Section 61 (d) of the 2003 Act. It is contended that APTEL misapplied Regulation 6.32 of 2011 Regulations and ought to have appreciated that TPDDL was free to exploit the Plant beyond six years to recover its capital cost. It is, therefore, submitted that the impugned order be set aside and the appeal be allowed.
11. Learned senior counsel for the TPDDL, on the other hand, submitted that TPDDL is entitled to recover depreciation in terms of Regulation

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6.32 of 2011 Regulations, as the same does not restrict depreciation only to the operational life or the duration of the Power Purchase Agreement (PPA). It is contended that TPDDL is only seeking to recover balance recovery of depreciable capital cost of the Plant. It is urged that Commission must abide by and implement the directions of APTEL to secure accountability and disproportionate increase and long pending regulatory asset depict a regulatory failure which has serious consequences on all stakeholders and the ultimate burden is only on the consumer¹. It is urged that the order of the APTEL does not call for any interference in this appeal.

ISSUES

12. We have considered the rival submissions on both sides and have perused the record. Section 125 of the 2003 Act provides for a remedy of appeal to an aggrieved person from the decision or order of APTEL to this Court, on any one or more of the grounds specified in Section 100 of the Code of Civil Procedure, 1908.
13. Upon consideration of the pleadings, the record of the proceedings before the Commission and APTEL, and the submissions of learned counsel for the parties, following substantial questions of law arise for determination in this appeal:
 - (i) Whether the depreciation under the applicable tariff regulations must necessarily be allowed over the entire technical useful life of an asset irrespective of the period during which the asset is actually utilised for supply of electricity?
 - (ii) Whether Regulation 6.32 of 2011 Regulations confers an absolute right upon the generating utility to recover entire capital cost over the useful life of the asset, even where the asset ceases to supply electricity to the consumer?
 - (iii) Whether the APTEL erred in law in disregarding the regulatory framework and approval conditions which limited the operational and recovery period of the Plant to six years?

¹ BSES Rajdhani Power Ltd. & Anr. v. Union of India & Ors., 2025 SCC OnLine SC 1637

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STATUTORY FRAMEWORK

14. Before proceeding further, it is useful to set out the statutory and regulatory provisions that have bearing on the questions which arise for consideration in this appeal.
15. Section 61 of the 2003 Act governs the determination of tariff. Section 61(d) specifically provides that in specifying the terms and conditions for the determination of tariff, the Appropriate Commission shall be guided, *inter alia*, by the object of safeguarding consumers' interests and at the same time, recovery of the cost of electricity in a reasonable manner. This provision establishes consumer welfare not as a peripheral consideration but as a central and guiding statutory principle in tariff determination.
16. Section 62 of the 2003 Act empowers the Commission to determine tariff for supply of electricity by a generating company to a distribution licensee, in accordance with the provisions of the 2003 Act and the Regulations made thereunder.
17. Regulations 6.30 to 6.32 of the DERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2011 provides as follows:

“6.30 Depreciation shall be calculated for each year of the Control Period, on the amount of Capital Cost of the Fixed Assets as admitted by the Commission; Provided that depreciation shall not be allowed on assets funded by any capital subsidy/grant.

6.31 Depreciation for each year of the Control Period shall be determined based on the methodology as specified in these Regulations along with the rates and other terms specified in Appendix-1 of these Regulations.

6.32 Depreciation shall be calculated annually, based on the straight line method, over the useful life of the asset. The base value for the purpose of depreciation shall be capital cost of the asset as admitted by the Commission. Provided that, the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the date of commercial operation shall be spread over the balance useful life of the assets.”

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18. Regulation 4.1 of the 2011 Regulations mandates that the tariff for supply of electricity by the generating company to the distribution licensee shall be in accordance with the PPA or any other arrangement for such period as may be approved or adopted by the Commission, to the extent of the existing installed capacity as contained in the PPA.

ANALYSIS AND FINDINGS

Question No. (i)

19. The Commission while computing the capital cost of the Plant for determination of final generation tariff, by an order dated 31.08.2017, found that useful life of the Plant is fifteen years. However, the Commission vide order dated 31.08.2017, approved the PPA which restricted the period of operation and supply up to March-2018, i.e., for a period of six years. Admittedly, a sum ₹83.34 crores has been approved as depreciation for the aforesaid period of six years.
20. The tariff determination is not merely a mathematical exercise but a regulatory balancing act. The object of enabling reasonable cost recovery for utilities must be weighed against and calibrated with, paramount obligation to safeguard consumer interest. In the instant case, admittedly, electricity has not been supplied to the consumers beyond March-2018. The consumers cannot be required to pay for a service which they no longer received. Under the PPA, TPDDL had to supply electricity only for a period of six years. It is also pertinent to note that the Commission on 04.09.2012, had clarified to the Managing Director of TPDDL that the plant could be treated as a merchant generator which is free to sell the power anywhere other than to the distribution utilities in Delhi or outside the State or to captive consumers within the State. There was no legal impediment to either sale of the Plant or sale of electricity as a merchant generator. Therefore, TPDDL cannot be permitted to burden the consumers with tariff charges beyond March-2018. Therefore, the first substantial question of law is answered in the negative.

Question No. (ii)

21. Regulation 6.32 of 2011 Regulations prescribes the methodology of calculating depreciation over the useful life of the asset. It is a settled canon of statutory interpretation that no provision has to

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be read in isolation. Regulation 6.32 of 2011 Regulations must be construed harmoniously with Regulation 4.1 of 2011 Regulations, which mandates that the tariff for supply of electricity by a generating company to a distribution licensee is to be determined in accordance with PPA or any other arrangement for such period as may be approved or adopted by the Commission, to the extent of existing installed capacity contained in the PPA. Regulation 4.1 of 2011 Regulations confines tariff entitlement to the period approved in the PPA. The order dated 31.08.2017 fixed the operational and recovery framework of the plant up to March-2018. The 2011 Regulations have to be read in conjunction with Section 61(d) of the 2003 Act which places the consumer interest at the centre of tariff Regulation. Thus, Regulation 6.32 of the 2011 Regulations does not, and cannot, override the broader statutory and regulatory framework and the same does not confer an absolute and unconditional right upon the generating utility to recover depreciation from the consumers even for a period when the asset is free to supply electricity. For the aforementioned reasons, the substantial question of law no. (ii) is also answered in the negative.

Question No. (iii)

22. The GNCTD granted permission on a temporary basis for a period 5 to 6 years. The TPDDL was directed to obtain all necessary regulatory approvals before commencing generation. The Commission in its order dated 31.08.2017, which was not challenged by TPDDL, approved the PPA only for a period of six years from the date of commercial operation till March-2018. The APTEL ought to have appreciated that distinction between 15 years technical useful life and 6 years regulatory recovery period is not merely semantic but the tariff framework drew the distinction clearly. The APTEL's approach is inconsistent with the order dated 31.08.2017, which was accepted by TPDDL and had attained finality. The True-up proceedings are intended to give effect to tariff framework and not to reopen or reconfigure it. The APTEL erred, therefore, in disregarding the regulatory framework and conditions of approval. Therefore, the third substantial question of law, is answered in the affirmative.
23. For the foregoing reasons, the substantial questions of law which arise for consideration in this appeal, are answered in favour of

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the Commission and against the TPDDL. The impugned judgment dated 10.02.2025 passed by the APTEL is set aside and order dated 11.11.2019 passed by the Commission is restored.

24. In the result, appeal is allowed. There shall be no order as to costs.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

Anand Narayan Shukla

v.

Jagat Dhari

(Civil Appeal No. 7355 of 2026)

08 May 2026

[Manoj Misra* and Manmohan JJ.]

Issue for Consideration

Issue arose whether the decree of specific performance passed by the trial court merged in the order of the appellate court even though the appellate court dismissed the appeal for non-prosecution; whether respondent's application u/s.28 of the Specific Relief Act, 1963 was maintainable after the Court had granted permission to make deposit of the balance amount and, pursuant thereto, the amount was also deposited; and whether the rescission of the contract and consequential dismissal of the execution application vitiated by a pedantic approach of the courts below as they failed to consider the facts and circumstances of the case as also whether the decree could be saved by compensating the judgment-debtor for the delay in deposit of the balance sale consideration.

Headnotes[†]

Specific Relief Act, 1963 – s.28 – Rescission of a contract – Suit for specific performance of an agreement for sale of immovable property – Trial court directed the appellant to pay balance of the sale consideration to the respondent within a month and on payment, the respondent to execute and register the sale deed – However, the balance amount not paid to the judgment debtor nor the same was deposited in Court – First respondent filed appeal – Appellant applied for execution of the decree which gave rise to execution case – Execution court while fixing the date directed decree holder to deposit the amount in Court – Amount deposited – Judgment debtor applied for rescinding the contract and dismissing the execution application for non-deposit of the balance amount within the specified period – Execution court held that as the

* Author

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amount was not deposited within the stipulated time as per the condition of the decree, the decree cannot be executed and dismissed the execution case – Thereagainst, revision petition filed which was dismissed – Correctness:

Held: For there to be a merger of the trial court decree in the appellate court decree, there must be an adjudication on merits, though it is immaterial whether the decree or order under appeal is set aside or modified or simply confirmed – Dismissal of the appeal for non-prosecution would not merge the trial court decree in the order of the appellate court – No dispute that the appeal of judgment-debtor was dismissed for non-prosecution, thus, there would be no merger of the trial court decree in the appellate court order – Order of the Execution Court, permitting deposit did not determine the rights of the parties *qua* rescission of the contract – Rather, the deposit was permitted just to test the *bona fides* of the decree holder in pursuing the execution – Though such deposit becomes a relevant factor for determining whether the decree holder had been throughout ready and willing to perform his obligation under the contract/decreed, it would not extinguish the right of the judgment debtor to seek rescission of the contract – By permitting the decree holder to make deposit to show his *bona fides*, the Court did not foreclose the right of the judgment debtor to seek rescission of the contract u/s.28 – Neither the Execution Court nor the High Court took into consideration that though the decree fixed a time frame for deposit of the balance consideration, it did not provide for the consequences of failing to adhere to the time schedule – In such circumstances, there could be no automatic rescission of the decree for specific performance – Thus, the Court while exercising its power u/s.28 was required to consider whether the decree was liable to be rescinded or the decree holder was entitled to get extension of time up to the date of deposit in Court – Though, while granting the relief of extension, it was open for the Court to balance the equities by putting the decree holder to such terms as may adequately compensate the judgment debtor for the delay – Neither the Execution Court nor the High Court has considered the matter in proper perspective and in accord with the settled principles governing the exercise of power u/s.28 of the 1963 Act, thus both the impugned orders set aside. [Paras 22, 23, 40, 41]

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Doctrines – Doctrine of merger – Meaning – Application of – Discussed. [Para 21]

Specific Relief Act; 1963 – s.28 – Rescission in certain circumstances of contracts for the sale or lease of immovable property, the specific performance of which has been decreed – Legal principles guiding the exercise of power u/s.28 – Stated. [Para 33]

Case Law Cited

Kunhayammed and Others v. State of Kerala and Another [2000] **Supp. 1 SCR 538 : (2000) 6 SCC 359**; *Chandi Prasad & Ors. v. Jagdish Prasad & Ors.* [2004] **Supp. 4 SCR 942 : (2004) 8 SCC 724**; *State of Kerala & Anr. v. Kondottyparambanmoosa & Ors.* [2008] **11 SCR 957 : (2008) 8 SCC 65**; *Sardar Mohar Singh v. Mangilal* [1997] **1 SCR 297 : (1997) 9 SCC 217**; *K. Kalpana Saraswathi v. P.S.S. Somasundaram Chettiar* [1980] **2 SCR 293 : (1980) 1 SCC 630**; *Bhupinder Kumar v. Angrej Singh* [2009] **13 SCR 978 : (2009) 8 SCC 766**; *Ramankutty Guptan v. Avara* [1994] **1 SCR 542 : (1994) 2 SCC 642**; *V.S. Palanichamy Chettiar Firm v. C. Alagappan & Anr.* [1999] **1 SCR 349 : (1999) 4 SCC 702**; *Ishwar (Since Deceased) Thr. Lrs and Others v. Bhim Singh and Another* [2024] **9 SCR 1 : 2024 SCC OnLine SC 2338**; *Ram Lal v. Jarnail Singh* [2025] **2 SCR 1745 : 2025 SCC OnLine SC 584**; *P.R. Yelumalai v. N.H. Ravi* [2015] **4 SCR 163 : (2015) 9 SCC 52**; *Johri Singh v. Sukhpal Singh and others* [1989] **Supp. 1 SCR 17 : (1989) 4 SCC 403 – referred to.**

List of Acts

Constitution of India; Specific Relief Act; 1963; Code of Civil Procedure, 1908.

List of Keywords

Rescission of the contract; Doctrine of merger; Delay in deposit of the balance sale consideration; Suit for specific performance of an agreement for sale; Execution and registration of sale deed; Dismissal of the appeal for non-prosecution; Readiness and willingness to perform obligation under the contract; Foreclosure of right to rescission of the contract; Rescission of the decree for specific performance; Relief of extension.

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Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7355 of 2026

From the Judgment and Order dated 05.03.2025 of the High Court of Madhya Pradesh Principal Seat at Jabalpur in MP No. 4682 of 2023.

Appearances for Parties

Advs. for the Appellant(s):

Saurabh Mishra, Sr. Adv., Sanchit Garga, Sankalp Mishra, Shashwat Jaiswal.

Advs. for the Respondent(s):

Ajay Marwah, Swaroopanada Mishra, Mrigank Bhardwaj, Ms. Dhriti Sharma, Rahul Kumar.

Judgment / Order of the Supreme Court

Judgment

Manoj Misra, J.

1. Leave granted.
2. This appeal impugns the judgment and order of the High Court of Madhya Pradesh at Jabalpur¹, dated 05.03.2025, passed in Misc. Petition No. 4682 of 2023, whereby appellant's petition against the order of 7th Additional District Judge, Satna², dated 12.07.2023, passed in Execution Case No. 27A/2017, was dismissed.

Facts

3. Appellant instituted a suit, *inter alia*, for specific performance of an agreement for sale of immovable property dated 14.11.2011. Under the agreement the respondent agreed to sell 3.75 acres of land @ Rs.16,00,000 per acre, against which, Rs. 2,50,000 was paid by way of advance. Trial Court decreed the suit on 03.03.2017 and thereby directed the appellant to pay balance of the sale consideration to the

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first respondent (i.e., Defendant No.1) within a month, or to deposit the same in Court. It was also directed that on such payment/ deposit, the first respondent shall execute and register the sale deed.

4. Pursuant to the decree, *vide* notice dated 01.04.2017, the appellant called upon the judgment-debtor to execute the sale deed by receiving Rs. 57,50,000 (i.e., the balance amount) or else face execution of the decree of which costs would have to be borne by him. However, neither the balance amount was paid to the judgment debtor nor the same was deposited in Court within the stipulated period.
5. In the meantime, first respondent filed an appeal (i.e., First Appeal No. 311 of 2017) against the Trial Court decree.
6. As there existed no stay on execution of the decree, on 18.07.2017 the appellant applied for execution of the decree which gave rise to Execution Case No.27 of 2017. In paragraph 7 of the execution application, it was stated:

“7. ... The plaintiff-decree-holder personally wanted to give the remaining amount of Rs. 57,50,000/- to the judgment debtor, but he did not accept it, then on 01.04.2017, the judgment debtor/defendant was informed by giving notice through the Advocate that after receiving the remaining amount of Rs. 57,50,000/- from the decree-holder, he should execute and register the sale deed in compliance with the sale agreement regarding the contracted land, but the judgment debtor did not even comply with the notice, due to which this application is being presented in the Court. The decree-holder is ready to deposit the amount of Rs. 57,50,000/- payable to the judgment debtor in the Court which should be deposited by the decree-holder and by giving the amount to the judgment-debtor, the sale deed should be executed and registered by the judgment debtor and in case this is not done, the amount should be deposited in the Court and the contracted land should be registered in favour of the decree-holder.”

7. On 19.07.2017, the Execution Court passed the following order:

“Execution obtained from the office.

On behalf of the decree-holder/plaintiff, Shri R.L. Shukla,
Advocate. Judgment debtor absent.

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The execution is known to be within the jurisdiction of this Court. Therefore, it should be registered.

Amount should be duly paid by decree-holder and notice should be issued to judgment debtor. The next date for hearing fixed on 06.12.2017.”

8. Thereafter, multiple dates were fixed (i.e., 06.12.2017, 06.04.2018, 10.01.2019, 23.04.2019, 08.05.2019, 13.08.2019 and 28.11.2019). On 6.12.2017, 06.04.2018 and 10.01.2019 though the Court noticed that the judgment debtor is not served, yet it observed that the decree-holder should pay the due amount to the judgment debtor. Interestingly, no order was passed on those dates to deposit the due amount. On 23.04.2019, the Execution Court, while fixing 08.05.2019 as the next date, for the first time directed the decree holder to deposit the amount in Court. However, on the next date i.e., 08.05.2019, upon noticing that the judgment debtor is not served, the Court while fixing the next date i.e., 13.08.2019, surprisingly did not take notice of its earlier order dated 23.04.2019 and again ordered payment to the judgment debtor. On 13.08.2019, the Court noticed that service of summons was not effected and, therefore, directed taking of fresh steps to serve summons on the judgment debtor, while fixing 28.11.2019 for his as well as decree-holder's appearance to enable deposit of the balance amount. On 28.11.2019, again the Court noticed that steps to serve the judgment-debtor were not taken, therefore, while fixing 27.04.2020 as the next date, it directed the decree-holder to take steps within three days. Simultaneously, it ordered that if steps are taken, notice shall be issued to the judgment-debtor to ensure his presence so that the decree holder could make deposit of the amount payable under the decree in the presence of judgment debtor. In between, lockdown was ordered due to Covid-19 pandemic, as a result the matter could be taken not before 26.11.2020. On 26.11.2020, after perusing the records, it was ordered thus:

“The judgment and decree passed earlier are conditional and as per the condition, the said amount was to be deposited within one month, hence first of all it has to be decided whether the said judgment and decree can actually be implemented in the present circumstances and it will take time to take the above decision. Therefore, in such

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a situation, first of all the decree-holder/plaintiff is directed to deposit the amount of Rs. 57,50,000 (Fifty Seven Lakh Fifty Thousand Rupees) today itself and submit the receipt to the court by 05.00 PM of the day so that it can be ascertained whether the decree-holder actually wants to deposit the said amount even today.

An application was also submitted on behalf of the decree-holder to the effect that the passed judgment and the decree be implemented and along with the application, a photocopy of the order passed in the First Appeal No. 311/17 made before the Honorable High Court, Jabalpur, along with the documents as per the list, was submitted.

Please appear at 04:45 pm for proceeding in compliance with the order of the case.”

9. After the above order was passed, the decree-holder deposited Rs.57,50,000 in the concerned Section of the Court *vide* Cheque Nos. 840602 to 840607. In consequence, when the matter was taken up later in the day of 26.11.2020, it was ordered thus:

“In compliance with the order, a total of 06 cheques of Rs. 57,50,000/- i.e., cheque Nos. 840602 to 840607 have been deposited in the Nazarat Section/ Registry Section, Satna on behalf of the decree-holder and in this regard, the District Nazir, appearing in the court, has expressed his consent and stated that the above cheques will be presented by him in the Bank for payment and thereafter the said amount will come in the CCD account. Therefore, the District Nazir is directed to immediately report the said amount to this Court after it is deposited in the CCD account.

The case should be presented on 04.12.2020 for presentation of information regarding deposit of amount and for taking action as per the judgment and decree.”

10. After the deposit was made, the Execution Court proceeded to consider whether the decree could be executed despite the delay in deposit of the balance amount. To consider the said issue, the matter was adjourned from one date to the other. Ultimately, on 10.12.2022, the following order was passed:

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“Mr. R.L. Shukla Advocate for decree-holder is present.

Mr. I.S. Singh Advocate for the judgment debtor is present.

The judgment debtor is directed to comply with the judgment and decree and submit the necessary representation on the next date.

The case should be presented on 10.01.2023 for further action in compliance with the judgment and decree.”

11. Thereafter, on 10.01.2023, the Court ordered thus:

“Mr. R.L. Shukla Advocate for decree-holder is present.

Mr. I.S. Singh Advocate for the judgment debtor is present.

Time was sought on behalf of the judgment debtor to take necessary advance action in compliance of the judgment and decree, which is given after consideration of the case with the direction to submit a report on the next date after necessarily complying with the judgment and decree.

The judgment debtor is given a last opportunity to comply with the judgment and decree.

The case should be presented on 30.01.2023 for further action in compliance with the judgment and decree.”

12. On 30.01.2023, the judgment-debtor filed an application claiming, *inter alia*, that no information was given to him in the matter. Though the advocate representing him in the original suit had appeared, he gave no information to him. In response to the said application, on behalf of the decree-holder / appellant, it was submitted that the advocate concerned had been representing the judgment debtor since 2020, and therefore, such objection is unwarranted. However, the Court, after perusing the record, passed the following order:

“Since in this case no notice letter is found to have been issued to the judgment debtor and no Vakalatnama has been presented by their Advocate. Therefore, notice letter should be issued to the judgment debtor on presenting the amount along with a copy of the execution application.

The case should be presented for the presence of the judgment debtor on 10.02.2023.”

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13. Pursuant to the above order, on 14.03.2023, the judgment debtor formally put in his appearance in the proceeding and applied for rescinding the contract and dismissing the execution application for non-deposit of the balance amount within the period specified by the decree. In response, the decree-holder submitted an application that the deposit of Rs. 57,50,000 made by him be accepted, and the sale deed be executed in his favour.
14. On 12.07.2023 the Court passed a detailed order. The relevant portion thereof is extracted below:

“From the perusal of the execution case it is seen that an application was filed by the decree holder on 03.04.2017 that the judgment debtor is not accepting the amount in compliance of the decree and is not getting the sale deed executed / registered. Therefore, the decree holder is ready to deposit the said amount in the court but after the said date no amount has been deposited by the decree holder and the order book dated 26.11.2020 also shows that Rs. 57,50,000 has been deposited by the decree holder on the said date. But it has also been mentioned in the order book that the earlier judgment and decree was conditional and as per the condition the amount was to be deposited within one month and it will take time to decide whether the judgment and decree can be implemented in the circumstances of the case or not. In such a situation, to ascertain whether the decree holder wants to deposit the amount or not, order dated 26.11.2020 was passed on which the amount was deposited by the decree holder on the said date.

Therefore, it is clear that the judgment and decree passed was conditional and the entire consideration amount was to be paid to respondent no. 1 or deposited in the court within one month, but after submitting the application on 03.04.2017 by the decree-holder, no amount was deposited before 26.11.2020. Therefore, as the amount has not been deposited within the stipulated time as per the condition of the decree, the decree cannot be executed and the execution case is dismissed.

The decree-holder shall be entitled to receive back the amount deposited by him.”

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15. Aggrieved by the judgment and order of the Execution Court, the appellant filed a Revision Petition before the High Court under Article 227 of the Constitution which was dismissed by the impugned order.
16. We have heard Mr. Saurabh Mishra, learned Senior Counsel, for the appellant, Mr. Ajay Marwah, learned counsel, for the respondent, and have perused the record.

Submissions on behalf of the Appellant

17. The learned counsel for the appellant submitted:
 - (i) The appellant (i.e., the decree-holder) had issued notice well within time calling upon the judgment-debtor to execute the sale deed in terms of the decree. Not only that, the appellant deposited the entire amount under order of the Execution Court dated 26.11.2020 and had thereby complied with the terms and conditions of the decree.
 - (ii) The judgment debtor had filed an appeal against the decree which came to be dismissed on 06.11.2023. On dismissal of the first appeal, the decree of the Trial Court merged with that of the Appellate Court and therefore, the deposit of the balance amount cannot be said to be delayed.
 - (iii) Assuming there was delay, in the facts of the case, it was liable to be condoned. Moreover, the application to rescind the contract and dismiss the execution application was not made till the deposit was made. Once, under orders of the Court, the amount was deposited, the contract could not have been rescinded. Therefore, the application to rescind the contract was not maintainable.
 - (iv) The High Court as well as the Execution Court adopted a hyper-technical approach inasmuch as they failed to consider that the facts and circumstances of the case warranted extension of time to make the deposit.
 - (v) Section 28 of the Specific Relief Act, 1963³ not only empowers the Court which passed the decree of specific performance of the contract to rescind the contract for non-deposit of the purchase money within the period allowed by the Court, but also empowers the Court to extend the said period.

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- (vi) The power of rescission including extension of time period for deposit is not to be exercised mechanically. Rather, a justice oriented approach is required upon consideration of entire facts and circumstances including the conduct of the parties. Here, the judgment-debtor was not interested in complying with its part under the contract/ decree and had filed a first appeal impugning the decree which came to be dismissed on 06.11.2023. What is relevant is that even before dismissal of the appeal, the decree holder had deposited the balance amount on 26.11.2020. In such circumstances, there was no justification to rescind the contract and dismiss the execution application.
- (vii) Even otherwise, if the judgment-debtor is to suffer some loss on ground of delay, the Court has power to direct the decree holder to deposit an additional amount to compensate the judgment-debtor, for which the appellant is ready.

Submissions on behalf of the respondent

18. *Per contra*, learned counsel for the respondent submitted:

- (i) Order sheet of the Execution Court reveals that at the time of registration of the execution case, in 2017 itself, the Court directed the appellant to make payment of the balance amount yet, despite repeated directions, such deposit was not made until 26.11.2020.
- (ii) Permission to make such deposit was without prejudice to the right of the judgment debtor, therefore there is no question of waiver of right to seek rescission of the contract. Besides, the judgment debtor was not served with notice of the execution proceedings. As soon as the judgment-debtor came to know about the execution proceedings, application under Section 28 was filed.
- (iii) Mere filing of appeal against the decree does not operate as a stay on the operation of the decree, therefore the appellant cannot take advantage of pendency of the appeal in delaying payment/ deposit.
- (iv) The question of merger of trial court decree in the order of appellate court does not arise as the first appeal was dismissed for want of prosecution on 06.11.2023.

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- (v) The appellant had paid a meagre amount by way of advance, and had failed to comply with the direction in the decree therefore, equitable relief of extension of time is not available to him.
- (vi) The Execution Court was justified in dismissing the execution application and the High Court justifiably upheld the order of the Execution Court.

Issues

19. Upon consideration of the rival contentions, the following issues arise for our consideration in this appeal:
 - (A) Whether the decree of specific performance passed by the trial court merged in the order of the appellate court even though the appellate court dismissed the appeal for non-prosecution?
 - (B) Whether respondent's application under Section 28 of the 1963 Act was maintainable after the Court had granted permission to make deposit of the balance amount and, pursuant thereto, the amount was also deposited?
 - (C) Whether the rescission of the contract and consequential dismissal of the execution application vitiated by a pedantic approach of the court(s) below as they failed to consider the facts and circumstances of the case as also whether the decree could be saved by compensating the judgment-debtor for the delay in deposit of the balance sale consideration?

Issue (A)

20. The argument on behalf of the appellant is that the trial court decree merged with the appellate court decree and therefore, in absence of any direction in the appellate court decree to make deposit, the contract could not have been rescinded by invoking Section 28 of the 1963 Act. *Per contra*, on behalf of the respondent, it is submitted that there is no decree of the appellate court as the appeal was dismissed for non-prosecution. Hence, there is no question of merger.
21. On the issue of merger of the trial court decree in the appellate court decree, the law is settled. The doctrine of merger is based on the principle of propriety in the hierarchy of the justice-delivery system. The said doctrine postulates that there cannot be more than one operative decree governing the same subject matter at a given point

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of time. Once the superior Court has disposed of the *lis* before it either way - whether the decree or order under appeal is set aside or modified or simply confirmed, it is the decree or order of the superior Court, tribunal or authority which is the final, binding and operative decree or order wherein merges the decree or order passed by the Court, tribunal or the authority below. The doctrine of merger does not make a distinction between an order of reversal, modification or an order of confirmation passed by the appellate authority/ court⁴. However, the doctrine of merger would only apply in a case when a higher forum entertains an appeal or revision and passes an order on merit and not when the appeal or revision is dismissed on the ground of delay in filing the same⁵.

22. Section 2 (2)⁶ of the Code of Civil Procedure, 1908⁷, which defines a decree, specifically excludes an order of dismissal in default from the ambit of a decree. As a sequitur, for there to be a merger of the trial court decree in the appellate court decree, there must be an adjudication on merits, though it is immaterial whether the decree or order under appeal is set aside or modified or simply confirmed. In our view, dismissal of the appeal for non-prosecution would not merge the trial court decree in the order of the appellate court. In the present case, there is no dispute that the appeal of judgment-debtor was dismissed for non-prosecution; therefore, in our view, there would be no merger of the trial court decree in the appellate court order. Issue (A) is answered accordingly.

Issue (B)

23. The next argument on behalf of the appellant is that once the Execution Court permitted the appellant to deposit the balance

4 Kunhayammed and others v. State of Kerala and Another (2000) 6 SCC 359; Chandi Prasad & Ors. v. Jagdish Prasad & Ors. (2004) 8 SCC 724.

5 State of Kerala & Anr. v. Kondottiparambanmoosa & Ors. (2008) 8 SCC 65

6 **Section 2 (2).** – “Decree” means the formal expression of an adjudication which, so far as regards the Court expressing it, conclusively determines the rights of the parties with regard to all or any of the matters in controversy in the suit and may be either preliminary or final. It shall be deemed to include the rejection of a plaint and the determination of any question within section 144, but shall not include -

(a) any adjudication from which an appeal lies as an appeal from an order, or

(b) any order of dismissal for default.

Explanation. - A decree is preliminary when further proceedings have to be undertaken before the suit can be completely disposed of. It is final when such adjudication completely disposes of the suit. It may be partly preliminary and partly final.

7 CPC

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consideration even after expiry of the period fixed by the trial court decree, it would be deemed that the Court had extended the time to deposit. Therefore, the application to rescind the contract for non-deposit was not maintainable and ought to have been dismissed. On this aspect, we notice that the order of the Execution Court, dated 26.11.2020, permitting deposit did not determine the rights of the parties *qua* rescission of the contract. Rather, the deposit was permitted just to test the *bona fides* of the decree holder in pursuing the execution. Though such deposit becomes a relevant factor for determining whether the decree holder had been throughout ready and willing to perform his obligation under the contract/ decree, it would not extinguish the right of the judgment-debtor to seek rescission of the contract. We, therefore, hold that by permitting the decree holder to make deposit to show his *bona fides*, the Court did not foreclose the right of the judgment debtor to seek rescission of the contract under Section 28 of the 1963 Act. Issue (B) is decided accordingly.

Issue (C)

24. Before we address Issue (C), it would be apposite to notice the provisions of Section 28⁸ of the 1963 Act. A plain reading of sub-

8 **28. Rescission in certain circumstances of contracts for the sale or lease of immovable property, the specific performance of which has been decreed.**—(1) Where in any suit a decree for specific performance of a contract for the sale or lease of immovable property has been made and purchaser or lessee does not, within the period allowed by the decree or such further period as the court may allow, pay the purchase money or other sum which the court has ordered him to pay, the vendor or lessor may apply in the same suit in which the decree is made, to have the contract rescinded and on such application the court may, by order, rescind the contract either so far as regards the party in default or altogether, as the justice of the case may require.

(2) Where a contract is rescinded under sub-section (1), the court—

(a) shall direct the purchaser or lessee, if he has obtained possession of the property under the contract, to restore such possession to the vendor or lessor, and

(b) may direct payment to the vendor or lessor of all the rents and profits which have accrued in respect of the property from the date on which possession was so obtained by the purchaser or lessee until restoration of possession to the vendor or lessor, and, if the justice of the case so requires, the refund of any sum paid by the vendee or lessee as earnest money or deposit in connection with the contract.

(3) If the purchaser or lessee pays the purchase money or other sum which he is ordered to pay under the decree within the period referred to in sub-section (1), the court may, on application made in the same suit, award the purchaser or lessee such further relief as he may be entitled to, including in appropriate cases all or any of the following reliefs, namely—

(a) the execution of a proper conveyance or lease by the vendor or lessor;

(b) the delivery of possession, or partition and separate possession, of the property on the execution of such conveyance or lease.

(4) No separate suit in respect of any relief which may be claimed under this section shall lie at the instance of a vendor, purchaser, lessor or lessee, as the case may be.

(5) The costs of any proceedings under this section shall be in the discretion of the court.

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section (1) of Section 28 would indicate that it enables the vendor or lessor to apply in the same suit in which the decree is made to have the contract rescinded on failure of the purchaser or lessee, as the case may be, to pay or deposit the purchase money or other sum within the period allowed by the decree or such further period as the court may allow. Upon receipt of such application the court may, by order, rescind the contract. Use of phrases “may, by order, rescind” and “such further period as the court may allow” make it clear that the provision leaves discretion in the court either to rescind the contract and, consequently, the decree, or to extend the time for making payment/ deposit. Sub-section (4) makes it clear that no separate suit in respect of any relief which may be claimed under this section shall lie at the instance of a vendor, purchaser, lessor or lessee, as the case may be. Therefore, what is clear is that the court that passed the decree does not become *functus officio* on passing the decree. It retains control over the decree even after it is passed. By use of the expression “may, by order, rescind” in sub-section (1), the legislative intent is clear that it is a discretionary power and, therefore, there is no automatic rescission in the event of default. As a sequitur, the Court that passed the decree is vested with the power to extend the period stipulated in the decree for deposit. Further, the language of sub-section (4) makes it clear that not only the vendor or lessor, but also the purchaser or lessee, can apply to the Court that passed the decree either to rescind the contract or to extend the time period for payment/ deposit. Now, we shall notice few decisions where this Court has construed Section 28 of the 1963 Act and laid down principles guiding the exercise of power thereunder.

25. In ***Sardar Mohar Singh v. Mangilal***⁹, a three-Judge Bench of this Court held:

“4. From the language of sub-section (1) of Section 28, it could be seen that the Court does not lose its jurisdiction after the grant of the decree for specific performance nor it becomes *functus officio*. The very fact that Section 28 itself gives power to grant order of rescission of the decree would indicate that till the sale deed is executed in execution of the decree, the trial court retains its power and jurisdiction

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to deal with the decree of specific performance. It would also be clear that the court has power to enlarge the time in favor of the judgment debtor to pay the amount or to perform the conditions mentioned in the decree for specific performance, in spite of an application for rescission of the decree having been filed by the judgment-debtor and rejected. In other words, the court has the discretion to extend time for compliance of the conditional decree as mentioned in the decree for specific performance. It is true that the respondent has not given satisfactory explanation of every day's delay. It is not, unlike Section 5 of the Limitation Act, an application for condonation of delay. It is one for extension of time. Under these circumstances, the executing court as well as the High Court had exercised discretion and extended the time to comply the conditional decree. Accordingly, we do not find any valid and justifiable reason to interfere with the order passed by the High Court confirming the order of the executing court when in particular, the High Court has further enhanced a sum of rupees 16,000 to compensate the petitioner for loss of enjoyment of the money..."

(Emphasis supplied)

26. In ***K. Kalpana Saraswathi v. P.S.S. Somasundaram Chettiar***¹⁰, while holding that the Court has power to extend time for making deposit, this Court, in the words of Krishna Iyer, J., observed:

"4. It is perfectly open to the court in control of a suit for specific performance to extend the time for deposit, and this court may do so even now to enable the plaintiff to get the advantage of the agreement to sell in her favor. The disentitling circumstances relied upon by the defendant respondent are offset by the false pleas raised in the course of the suit by him and rightly negated. Nor are we convinced that the application for consideration and extension of time cannot be read, as in substance it is, a petition for more time to deposit. Even so, specific performance is an equitable

¹⁰ (1980) 1 SCC 630

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relief and he who seeks equity can be put on terms to ensure that equity is done to the opposite party even while granting the relief. The final end of law is justice, and so the means to it too should be informed by equity. That is why he who seeks equity shall do equity. ...”

27. In **Bhupinder Kumar v. Angrej Singh**¹¹, after considering earlier decisions, this Court observed that when the Court passes the decree for specific performance, the contract between the parties is not extinguished. The decree for specific performance is in the nature of a preliminary decree and the suit is deemed to be pending even after the decree. The Court proceeded to observe:

“22. Sub-section (1) of Section 28 makes it clear that the Court does not lose its jurisdiction after the grant of decree for specific performance nor it becomes *functus officio*. On the other hand, Section 28 gives power to the court to grant an order of rescission of the agreement and it has the power to extend the time to pay the amount or perform the conditions of decree for specific performance despite the application for rescission of the agreement/decreed. In deciding an application under Section 28 (1) of the Act, the court has to see all the attending circumstances including the conduct of the parties.”

(Emphasis supplied)

28. In **Ramankutty Guptan v. Avara**¹², this Court answered two questions. One, whether an application under Section 28 of the 1963 Act is maintainable in the court of first instance when the decree has been passed by the appellate court. Second, whether the execution court can entertain an application under Section 28 if it happens to be the court in which the suit was instituted. After taking note of the provisions of Section 37 of CPC, it was held:

“8 ... Therefore, it is clear that the decree of the appellate court would be construed to be the decree passed by the court of first instance. It is settled law that an appeal

11 (2009) 8 SCC 766

12 (1994) 2 SCC 642

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is a continuation of the suit. Therefore, when a decree for specific performance has been dismissed by the trial court, but decreed by the Appellate Court, it should be construed to be in the same suit. When the decree specifies the time for performance of the conditions of the decree, on its failure to deposit the money, Section 28(1) itself gives power to the Court to extend the time on such terms as the Court may allow to pay the purchase money or other sum which the Court has ordered him to pay. In *K. Kalpana Saraswathi v. P.S.S. Somasundaram Chettiar*, this Court held that on an oral prayer made by the counsel for the plaintiff for permission to deposit the entire amount as directed by the trial court this Court directed the appellant to deposit the amount within six months from that date together with interest and other conditions mentioned therein. An application for extension of time for payment of balance consideration may be filed even in the court of first instance or in the appellate court in the same suit as the decree of the trial court stands merged with that of the appellate court which decree is under execution. It is to be seen that the procedure is the handmaid for justice and unless the procedure touches upon jurisdictional issue, it should be moulded to subserve substantial justice. Therefore, technicalities would not stand in the way to subserve substantive justice. Take a case where the decree is transferred for execution to a transferee executing court, then certainly the transferee court is not the original court and execution court is not the “same court” within the meaning of Section 28 of the Act. But when an application has been made in the court in which the original suit was filed and the execution is being proceeded with, then certainly an application under Section 28 is maintainable in the same court.”

(Emphasis supplied)

29. Following the view taken in *Ramankutty Gupta* (supra), in *V.S. Palanichamy Chettiar Firm v. C. Alagappan & Anr.*¹³, this Court held:

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“16. In view of the decision of this Court in Ramankutty Guptan case when the trial court and the executing court are the same, the executing court can entertain the application for extension of time though the application is to be treated as one filed in the main suit. On the same analogy, the vendor judgment-debtor can also seek rescission of the contract of sale or take up this plea in defence to bar the execution of the decree.”

(Emphasis supplied)

30. In **Ramankutty Guptan** (supra), though it was clarified that the phrase “*in the same suit*” as used in Section 28 would mean in the suit itself and not in the execution proceedings, it was held that if the execution application has been filed in the same court in which the original suit was instituted i.e., the court of first instance, the application can be entertained though it should be numbered as an interlocutory application on the original side.
31. Following the aforesaid decisions, in **Ishwar (Since Deceased) thr. Lrs and Others v. Bhim Singh and Another**¹⁴, this Court held:
- “22. The law is, therefore, settled that an application seeking rescission of contract, or extension of time, under Section 28 (1) of the 1963 Act, must be decided as an application in the original suit wherein the decree was passed even though the suit has been disposed of. As a sequitur, even if the Execution Court is the Court of first instance with reference to the suit wherein the decree under execution was passed, it must transfer the application filed under Section 28 to the file of the suit before dealing with it.”
32. In **Ram Lal v. Jarnail Singh**¹⁵, this Court held that it should be borne in mind that appeal is a continuation of the original proceedings and the power of the Court to extend the time for depositing the amount can be exercised even at the appellate stage by the Court. It was further held that Order XX Rule 12A of CPC requires the Court which passes the decree for specific performance of a contract for the sale

14 2024 SCC OnLine SC 2338

15 2025 SCC OnLine SC 584

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or lease of immovable property to specify the period within which the purchase money or the other sum is to be paid by the purchaser or the lessee. It was held that where an appeal is filed against the decree passed by the trial court and the appeal is disposed of, the appellate court should specify the time for deposit of balance sale consideration. In that light, this Court held that if the appellate court fails to specify any time period, then it is expected of the decree-holder to make the deposit within a reasonable period of time. This Court thereafter proceeded to summarise the law *qua* execution of decree of specific performance in the following terms:

“44. The decree for specific performance is in the nature of a preliminary decree. Both the parties have reciprocal rights and obligations flowing out of the decree. The decree may fix the time limit for performance and in some cases may also provide for the consequences for non-performance within the time limit or the decree may even be silent on this aspect.

45. The decree enforces specific performance of the contract. The contract between the parties is thus not extinguished by passing of a decree for specific performance and it subsists despite the decree. Section 28 (1) of the Act makes it clear that the court does not become *functus officio* after the grant of the decree for specific performance and it retains its power and jurisdiction to deal with the decree till the sale deed is executed.

46. The court has been conferred with the power to extend the time to pay the amount and while taking into consideration the delay that is sought to be condoned by the plaintiff, the court does not adjudge the same like an application under section 5 of the Limitation Act, where each day's delay must be explained. The Court is given the discretion to extend the time, and the provision therefore seeks to provide complete relief to both the parties in terms of the decree for specific performance.

47. The power and jurisdiction granted under Section 28 (1) of the Act, enables the court to extend the period for payment of the purchase money if it has not been paid within the period allowed by the decree. It also enables

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the judgment debtor to seek for rescinding the contract for non-compliance of the directions given in the decree and while considering this application, the court is given the discretion to rescind the contract or in an appropriate case to even extend the time for paying the purchase money.

48. It should also be borne in mind that appeal is a continuation of the original proceedings and the power of the Court to extend the time for depositing the amount can be exercised even in the appellate stage by the Court.

49. In the considered view of this court, the Appellate Court, after deciding the appeal on merits, could have called upon the plaintiff to deposit the balance sale consideration by fixing a time limit. This would have at least given an opportunity to the plaintiff to fulfill his obligation. The non-payment of the balance consideration within the time period fixed by the Trial Court does not amount to abandonment of the contract and consequent rescinding of the same. The real test must be to see if the conduct of the plaintiff will amount to a positive refusal to complete his part of the contract. There must be an element of willful negligence on the part of the plaintiff before a court proceeds to invoke Section 28 of the Act and rescind the contract.

50. This litigation is an eye-opener for the appellate courts reminding that they owe a duty to comply with the provisions of Order XX Rule 12A of the CPC. Where an appeal is filed against the decree passed by the trial court and the appeal is disposed of, the appellate court should specify time to deposit the balance sale consideration. It is too much to say that since the Trial Court had granted 2 months' time to the decree holder to deposit the balance sale consideration the same time period would apply even to the decree that may be drawn by the appellate court. What is executable is the decree passed by the appellate court. The appellate court owes a duty to specify the time period. If during the specified time period the decree holder is not in a position to deposit the balance sale consideration or, in other words, fails to deposit the balance

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sale consideration and later upon expiry of the specified time period seeks permission to deposit, then it would be within the discretion of the trial court to grant further time to deposit the balance sale consideration or decline. This discretion has to be exercised judiciously keeping in mind various factors like *bona fide* of the decree holder, the cause for failure to deposit the balance sale consideration in time, the length of delay and also the equities that might have been created during the interregnum period in favor of the judgment debtor. It is the cumulative effect and considerations of such factors that should weigh with the court concerned while permitting the decree holder to deposit the sale consideration beyond the time period that might have been prescribed by the trial court in its final decree.”

(Emphasis supplied)

33. Upon consideration of the provisions of Section 28 of the 1963 Act as also the decisions noticed above, in our view, the legal principles, *inter alia*, guiding the exercise of power under Section 28 of the 1963 Act could be summarized as under:

- (i) A decree for specific performance of a contract is in the nature of a preliminary decree and therefore, till the deed is executed pursuant to the decree, the Court that passed the decree is vested with the jurisdiction to either rescind the contract / the decree for non-payment/non-deposit within the stipulated period or extend the period for making such payment/ deposit.
- (ii) Neither there is an automatic rescission of the contract/ decree for non-payment/ non-deposit within the period stipulated by the decree, nor there is an automatic extension of time by making such deposit, if the stipulated period for payment/ deposit has expired. However, where the decree stipulates that on failure to pay / deposit within the specified period, the decree shall stand rescinded or the suit shall stand dismissed, the decree is rendered inexecutable on failure to pay/ deposit¹⁶.

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- (iii) Prayer to extend the time for making deposit in compliance of the conditions stipulated in the decree may be made prior to, or even after, expiry of the period stipulated therefor¹⁷.
- (iv) There is no form prescribed for making the prayer to extend the time to make such payment or deposit. Therefore, the prayer seeking permission to deposit the defaulted amount may be treated as one for extension of time to deposit. Such prayer may be made even orally while the Court seeks to address an application for rescission of the contract/ decree or when the decree is put for execution, provided the execution court is the one which passed the decree. However, if the decree is passed by the appellate court, such prayer/ application may be made before the court of first instance having regard to the provisions of Section 37 of CPC. Further, what is important is that such an application must be treated as an application in the suit and numbered accordingly.
- (v) As specific performance of a contract is an equitable relief, while considering the prayer for rescission of the contract/ decree, or for extension of time to make deposit in compliance of the decree, the Court must be guided by principles of equity. Therefore, while considering the prayer for extension of time to make deposit, to balance the equities, the Court would have to consider the attending facts and circumstances of the case, the conduct of the parties and whether, by putting the decree holder to such additional terms and conditions, the judgment debtor could be adequately compensated for the delay.
- (vi) Though each day's delay in deposit need not be explained as in an application under Section 5 of the Limitation Act, the test is whether from the conduct of the decree holder it could be logically inferred that he had no intention to complete his part of the contract. If it appears so, and there appears an element of willful negligence on the part of the decree holder in complying with the terms of the decree, the Court may invoke its power under Section 28 and rescind the contract.

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- (vii) Under Order XX Rule 12 A of CPC, when a decree for specific performance of a contract for the sale, or lease of immovable property, orders that the purchase-money or other sum is to be paid by the purchaser or lessee, the Court must specify the period within which the payment shall be made. Therefore, where the suit for specific performance is dismissed by the trial court but decreed by the appellate court, or where the appeal against the decree for specific performance is dismissed on merits, the Court must fix the time within which such payment is to be made. If no time limit is fixed, the compliance thereof would have to be within a reasonable period. As to what would be the reasonable period would depend on facts of the case.
34. In light of the aforesaid legal principles, we shall now consider whether the Execution Court (i.e., the Court which passed the decree) or the High Court (i.e., the Revisional Court) took into consideration all the relevant facts which were essential for determining whether the contract/ decree was liable to be rescinded or the decree holder was entitled to the discretionary relief of extension of time to make deposit, and if so, on what terms.
35. The decree of specific performance passed in favour of the appellant dated 03.03.2017 directed that the plaintiff shall pay to the defendant no.1 entire consideration amount @ Rs.16,00,000 per acre for the land bearing Khasra No. 1463/ 12 dh/2, area 3.75 acres, situated at Mauza Rampur Chaurasi, Circle Raigon, Tehsil Raghuraj Nagar, District Satna within one month or deposit the same in the Court. It was provided that upon payment by the plaintiff of the said amount to defendant No.1 or depositing it in the Court, defendant No.1 shall register the sale of the said land in favor of the plaintiff within two months, and if defendant No.1 does not do so, then after fulfilling all the legal formalities for registration of the disputed land by the plaintiff and paying the stamp duty as per rules, the contract of sale shall be executed by the Court on behalf of defendant No.1 in favor of the plaintiff.
36. On 3.4.2017, the decree holder (i.e., the appellant) filed an application before the Court praying for execution/ registration of the sale deed on payment of the due amount of Rs.57,00,000. In the application, it was stated that the applicant had sent legal notice to the judgment debtor, but the judgment debtor neither accepted

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the sum nor executed or registered the sale deed. On 18.7.2017 the decree holder filed a formal application for execution. Though the application was registered, no order was passed to deposit the amount in Court till 23.04.2019. Prior to 23.04.2019, the direction was to pay to the judgment-debtor, which was not possible because he was not willing to accept having already preferred an appeal against the trial court's decree.

37. On 23.04.2019, for the first time direction to deposit the amount in Court was made while simultaneously issuing notice to the judgment-debtor, fixing 08.05.2019. Thereafter, on the following date i.e., 08.05.2019, even though the judgment debtor was not served by that date, the Court directed that the decree holder should pay the due amount. Simultaneously, while issuing notice to the judgment-debtor, the Court fixed 13.08.2019. On 13.08.2019, the Court directed that if the decree holder submits the amount along with the process fee, notice shall be issued to the judgment-debtor to be present on 28.11.2019. Simultaneously, it ordered that the decree holder shall deposit the amount on 28.11.2019. On 28.11.2019, the Court fixed 27.04.2020 requiring the presence of judgment debtor on that date, and directed the decree holder to deposit the amount on 27.04.2020. Unfortunately, on 27.04.2020 there was a lockdown due to Covid-19 pandemic, and therefore, the matter was taken up on 26.11.2020 when, under orders of the Court, the balance amount was deposited. In between, First Appeal No.311 of 2017 filed by the defendant(s)/ judgment-debtor(s) against the trial court's decree was pending, which came to be dismissed for non-prosecution on 06.11.2023.
38. The Execution Court dismissed the execution application by simply observing that the decree was conditional, the amount was to be paid within one month, but no amount was deposited till 26.11.2020, even though the application was submitted on 03.04.2017, therefore the decree cannot be executed.
39. The High Court dismissed the revision petition by a short order affirming the view of the Court below.
40. Neither the Execution Court nor the High Court took into consideration that though the decree fixed a time frame for deposit of the balance consideration, it did not provide for the consequences of failing to adhere to the time schedule. In such circumstances, in our view, there could be no automatic rescission of the decree for specific

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performance. Thus, the Court while exercising its power under Section 28 of the 1963 Act was required to consider whether the decree was liable to be rescinded or the decree holder was entitled to get extension of time up to the date of deposit in Court. Though, while granting the relief of extension, it was open for the Court to balance the equities by putting the decree holder to such terms as may adequately compensate the judgment debtor for the delay.

41. As we find that neither the Execution Court nor the High Court has considered the matter in proper perspective and in accord with the settled principles governing the exercise of power under Section 28 of the 1963 Act, we deem it appropriate to set aside both the impugned orders, namely, the order of the High Court and of the Execution Court, and restore the Execution Application and all other applications filed therein *qua* rescission of contract/ extension of time to deposit to their original number on the file of the Execution Court/ the Court of first instance for a fresh consideration in accordance with the law and in light of the observations made in this judgment. Further, the Court shall deal with those application(s) as application(s) in the suit and shall be numbered as such. Issue C is decided accordingly.
42. The appeal is allowed in the aforesaid terms. Pending applications, if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

**Indian Railways
v.
West Bengal State Electricity Distribution Company
Limited & Ors.**

(Civil Appeal No. 4652 of 2024)

08 May 2026

[Dipankar Datta and Satish Chandra Sharma,* JJ.]

Issue for Consideration

The specific issues which arise for determination are: (i) Whether the activities provided u/s.11(g) and (h) of the Railways Act pass muster of “distribution” of electricity, and whether such activities are a necessary pre-requisite to qualify as a DDL under the Act; (ii) Whether the Indian Railways, being an entity of the Central Government, falls within the ambit of “Appropriate Government” u/s.14 of the Electricity Act, 2003; (iii) Whether the Indian Railways, even if held to be a DDL under the Act, is exempt from the obligation to pay Cross-Subsidy Surcharge or additional surcharge for the grant of non-discriminatory open access as per s.42 of the Electricity Act, 2003; (iv) Whether a proposed legislation may be relied upon as an aid to statutory interpretation for addressing gaps in the existing framework, and to give effect to the parliamentary intent to remedy defects thereunder.

Headnotes[†]

Electricity Act, 2003 – ss.14, 42, 125 – Whether the Appellant-Indian Railways qualifies as a deemed distribution licensee (DDL) under the Electricity Act and if so, whether it remains liable to pay Cross-Subsidy Surcharge to different distribution licensees for availing open access in terms of s.42 of the Electricity Act:

Held: Appellant does not pass muster as a deemed distribution licensee under the Act, and it can in no circumstances escape the liability from payment of cross-subsidy surcharge and additional surcharge as a consumer of electricity through open access – The Respondents are accordingly directed to compute and issue a detailed calculation of the Cross-Subsidy Surcharge and Additional

* Author

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Surcharge amounts outstanding *qua* the Appellant, disaggregated by the area of supply and the period of availing such open access. [Para 72]

Electricity Act, 2003 – Railways Act, 1989 – s.11(g) and (h) – Whether the activities provided u/s.11(g) and (h) of the Railways Act pass muster of “distribution” of electricity, and whether such activities are a necessary pre-requisite to qualify as a DDL under the Act – In other words, whether the activities of the Appellant-Indian Railways fall within the purview of a distribution licensee (or a deemed distribution licensee):

Held: The omission of the words “distribution” or “supply” of electricity in s.11(g) and (h) is deliberate and intentional – The legislature while framing these provisions certainly intended to empower the appellant solely to erect and operate a distribution infrastructure necessary for railway operations – The language clearly confines the purpose of these installations to the operational use of Railways and does not extend any authority to the Appellant to undertake a commercial distribution or supply of electricity, beyond the railway’s internal domain – The submission of the Appellant that it is a deemed distribution licensee, lacks any substantial basis – The statutory regime under the Electricity Act regulates the commercial supply of electricity to consumer through a licensed distribution network – The Appellant, operates a closed and self-contained electricity network which is for the purposes of meeting the operational requirements of the railway system, including traction, signalling, stations – It is only when electricity is sold or provided to consumers outside the operational domain of the railway, that the activities undertaken by the Appellant could intersect with the obligation of a distribution licensee – In the present case, the Railways is procuring electricity from the Respondent DISCOMs in various states for its own use and for consumption to its constituents. [Paras 28, 30, 31, 32]

Electricity Act, 2003 – ss.2(5), 14 – Railways Act, 1989 – Constitution of India – Art.12 – Whether the Appellant-Indian Railways, being an entity of the Central Government, falls within the ambit of “Appropriate Government” u/s. 14 of the Electricity Act, 2003:

Held: A plain reading of s.2(5)(a)(ii) makes it evident that the subject of the definition is the Central Government, and the term

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“railways” appears only as a relative reference, and a subject-matter that triggers the application of the Central Government – Insofar as the provision does not extend that the Railways itself is the Appropriate Government, it only expands the scope of the term to include the Central Government in matters relating to railways – It is also a well-settled principle of law that the mere classification of an instrumentality or agency as “State” u/Art.12 of the Constitution of India does not automatically render it as an “Appropriate Government” – Appellant operates as a functionary of the Central Government – It is evident that the nominal, pervasive, administrative as well as fiscal control of the Appellant lies in the clutches of the Central Government – The scheme of the Electricity Act makes it clear that a distribution licensee is under the statutory obligation to supply electricity to its consumers within its area of supply – Notably, the Appellant’s electrical infrastructure including traction sub-stations, overhead catenary systems, and 25kV alternating current systems, exists entirely for captive self-consumption for traction purposes and not for supply to third party consumers – Therefore, the deemed status as attached to the Military Engineering Services (MES) is not by virtue of it being a government entity, but it is a governmental entity that actually performs the function of distribution within the meaning and scope of the Electricity Act – It is apparent on the face of record that the Appellant has no such analogous relationship with any consumer, and its claim to the deemed distribution licensee status fails at the very threshold – For the limited purpose of this analysis, the Appellant is regarded as falling within the ambit of “Appropriate Government” u/s. 2(5)(a) of the Act, but the observation carries no determinative consequence for the relief sought by the Appellant – Nominal virtue, however firmly established, cannot substitute for the substantive functions that the statute demands. [Paras 40, 43, 45-48, 50]

Electricity Act, 2003 – s.42 – Railways Act, 1989 – Whether the Indian Railways, even if held to be a deemed distribution licensee under the Act, is exempt from the obligation to pay Cross-Subsidy Surcharge or additional surcharge for the grant of non-discriminatory open access as per s.42 of the Act:

Held: The Appellant is a consumer within the meaning and scope of s.2(15) of the Electricity Act – It purchases electricity exclusively for its own use and supplies it to no one but its own constituents – Thus,

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like any other consumer, Cross-Subsidy Surcharge and Additional Surcharge are applicable to the Appellant – In *arguendo*, even if the Railways is treated as a deemed distribution licensee (DDL), its procurement of electricity through open access exclusively for its own consumption renders it a consumer for that purpose – An entity, like the Railways in the present case, would be liable to pay Cross-Subsidy Surcharge and Additional Surcharge if it procures electricity through open access. [Paras 57, 58]

Electricity Act, 2003 – Electricity (Amendment) Bill, 2014 – Draft Electricity (Amendment) Bill, 2025 – Railways Act, 1989 – Whether a proposed legislation may be relied upon as an aid to statutory interpretation for addressing gaps in the existing framework, and to give effect to the parliamentary intent to remedy defects thereunder.

Held: In the present case, the legislative history of the Electricity Act reflects that previous proposals in 2014 and 2018 had sought to confer the statutory status of a licensee in favour of the Appellant, seeking to save it from the binding statutory obligations of paying Cross-Subsidy Surcharge and additional surcharge – The language used in the Draft Electricity (Amendment) Bill, 2025 is clear and simple, to address the existing burden of Cross-Subsidy Surcharge payable by the Appellant by exempting them from payment of cross-subsidy and surcharges, within the next five years – In the present case, the very fact that such legislative actions to exempt the Appellant from payment of Cross-Subsidy Surcharges have been proposed to be taken, indicate a coherent, consistent, and current legislative intent about the absence of such exemption under the prevailing statute – This absence further implies that even by adopting a purposive construction to the prevailing statute, such an exemption cannot be read into the statute – It is a settled canon of statutory interpretation that a legislative *casus omissus* cannot be supplied by a judicial interpretative process – Be that as it may, the proposed legislative framework in the present case explicates that the legislative intent of the Parliament under the Electricity Act was not to exempt the Appellant from the obligations under the Electricity Act – More so, it puts the controversy to rest as the Appellant, procuring electricity for its own use and consumption, is an industrial consumer and for availing open access, it is liable to pay Cross-Subsidy Surcharge and additional surcharge, like any other consumer. [Paras 61, 67, 69]

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Anuj Kumar Agarwal v. Registrar of Cooperative Societies & Ors., 2024 SCC OnLine Del 5087; *Ganv Bhavancho Ekvott v. South Western Railways*, 2022 SCC OnLine Bom 7184; *Union of India (Western Railway) v. MCGM*, 2017 SCC OnLine Bom 9424; *Goa Foundation & Anr. v. Konkan Railway Corporation & Ors.*, AIR 1992 Bom 471; *Village Panchayat of Velsao v. Ministry of Railways*, 2022 SCC OnLine Bom 3526 – referred to.

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List of Keywords

Electricity; Deemed Distribution Licensee (DDL); Consumer; Distribution Licensee; Cross-Subsidy Surcharge (CSS); Additional Surcharge (AS); Open Access; Captive Consumption; Indian Railways; Section 11(g) and (h) of Railways Act; Appropriate Government; Cross-Subsidy Surcharge; Additional surcharge; Proposed legislation; Parliamentary intent; Section 14 of the Electricity Act, 2003; Section 2(3) of Electricity Act, 2003; Article 12 of Constitution; Section 2(5)(a) of Electricity Act, 2003; Section 42 of Electricity Act, 2003.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4652 of 2024
From the Judgment and Order dated 12.02.2024 of the Appellate Tribunal for Electricity at New Delhi in AN Nos. 276 of 2015, 320 of 2018, 114 and 133 of 2020, 73 and 213 of 2021 and AN Nos. 170 and 343 of 2019

With

Civil Appeal No(s). 4653-4659 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Tushar Mehta, Solicitor General, Ms. Aishwarya Bhati, S.D. Sanjay, A.S.Gs., M.G. Ramachandran, Sr. Adv., Pulkit Agarwal, Ms. Srishti Khindaria, Ms. Ritika Singhal, Ms. Poornima Singh, Nithin Pavaluri, Koney Rama Mohan Rao, Gaurang Bhushan, Madhav Sinhal, Mrs. Sansriti Pathak, Mrs. Bani Dikshit, Bhuvan Kapur, Siddharth V. Thakur, Amrish Kumar.

Advs. for the Respondent(s):

Lokesh Sinhal, Sr. A.A.G., Shekhar Raj Sharma, A.A.G., Pitambar Acharya, Advocate General, Maninder Singh, Sajan Poovayya, Parag Tripathi, G Umaphathy, C.s. Vaidyanathan, Gaurav Agrawal, Jaideep Gupta, Sanjay Sen, G. Umaphathy, C.A. Sundaram, Sanjay Sen, Sr. Advs., Prabhas Bajaj, Rithvik Mathur, Priyanshu Tyagi, Harsh Chauhan, Ms. Priyanka Bhatt, Rishabh Yadav, Ms. Ishita Jain, Anand Kumar Shrivastava, Shivam Sinha, Ravi Nair, Mudassir, Palash Maheshwari, Sindhura N Swamy, Ms. Suparna Srivastava, Ms. Surbhi Gupta, Hitakshi Jain, Ms. Bhairavi, S. K. Verma, Aditya

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Singh-1, Gaurav Khanna, Siddharth Mittal. Aniket Prasoon, Ronak Shankar Agarwal, Ms. Pratiksha Chaturvedi, Vinit Kumar, Adarsh Kumar Bhardwaj, Shubham Singh, Ashok Kumar Tripathi, Sarthak Pathak, Umesh Kumar Shukla, Gajendra Singh Negi, Mrs. Srabani Mukherjee, Shekhar Banerjee, Md Shah Minhajuddin, Md Adil Khan, Subhro Prokas Mukherjee, Shri Venkatesh, Ms. Kanika Chugh, Suhael Buttan, Shryeshth Ramesh Sharma, Ms. Priya Dhankhar, Vineet Kumar, Nikunj Bhatnagar, Nitin Saluja, Anup Kumar, Ms. Gauri Subramaniam, Mrs. Shruti Singh, Mrs. Neha Jaiswal, Ms. Achint Priya, Ms. Arshi, Shivam Kumar, Sabarish Subramanian, S. Vallinayagam, Veshal Tyagi, Riddhi Bose, Ms. Racheeta Chawla, Ms. Rishi Agarwal, Ms. Sampriti Bakshi, Vishnu Unnikrishnan, Arijit Maitra, Ms. Mandakini Ghosh, Ms. Neha Dabral, Shivansh Baghel, Vikas Upadhyay, Ms. Ankita Kashyap, Ranveer Singh, Shiva Narang, Ms. Sunieta Ojha, Ms. Gargi Kumar, Anand K Ganesan, Nikunj Dayal, Amal Nair, Ms. Devyani Prasad, Sandeep Kumar Mahapatra, Ms. Mrinmayee Sahu, Sugam Kumar Jha, Sreedas Kp, Ms. Sakshi Mittal, Srisatya Mohanty, Rutwik Panda, Ms. Nikhar Berry, Ms. Anshu Malik, Dhananjaya Mishra, Vignesh Adithiya, V.M.Eashwar, Bharadwaj S., Ms. Pratiti Rungta, Sumit Pragal, Prashant Singh, Shivankur Shukla, Ms. Amita Singh Kalkal, Samar Vijay Singh, Nikunj Gupta, Ms. Sabarni Som, Aman Dev Sharma, Sarthak Arya, Ms. Nidhi Narwal, Ms. Srishti Jain, Rahul Khurana, B. Chandra Sekaran, Amit Shrivastava, Dhruv Raman Singh, Abhishek Kumar, Nived Veerapaneni, Ms. Shubham Mudgil, Ms. Mandakini Ghosh, Zafar Inayat, Ms. Rohini Musa, Abhishek Gupta, Rajat Gupta, M/s Trilegal, K. Parameshwar, Udit Gupta, Vyom Chaturvedi, Ms. Sneha Singh, Ms. Pragya Gupta, Ms. Veda Singh, Prasad Hegde, N. Sai Kaushal, M/S. Udit Kishan and Associates.

Judgment / Order of the Supreme Court

Judgment

Satish Chandra Sharma, J.

1. This is a batch of statutory Appeals under Section 125 of the Electricity Act, 2003 (for short, hereinafter referred to as, “**The Electricity Act**”) assailing the common judgment and order dated 12.02.2024 passed by the Appellate Tribunal for Electricity at New Delhi, (“**APTEL**”), in

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Appeal Nos. 276/2015, 320/2018, 114/2020, 73/2021, 213/2021, 170/2019, 343/2019 and 133/2020.

2. By the said judgment, APTEL has set aside the Order dated 05.11.2015 passed by the Central Electricity Regulatory Commission (“**CERC**”) in Petition No. 197/MP/2015 along with connected appeals arising from Orders passed by other State Electricity Regulatory Commissions (“**SERCs**”).
3. The proceedings before APTEL were contested by multiple Distribution Companies (**DISCOMS**) and SERCs, including the West Bengal State Electricity Distribution Company Ltd. (**WBSEDCL**), Odisha Electricity Regulatory Commission (**OERC**), Kerala State Electricity Regulatory Commission (**KSERC**), Madhya Pradesh Electricity Regulatory Commission (**MPERC**), Rajasthan Electricity Regulatory Commission (**RERC**), Maharashtra Electricity Regulatory Commission (**MERC**), Haryana Electricity Regulation Commission (**HERC**), Punjab State Electricity Regulatory Commission (**PSERC**), as against the Indian Railways, the Appellant herein.
4. The controversy pertained to common issues: (i) *whether Indian Railways qualifies as a deemed distribution licensee (DDL) under the third proviso to Section 14 of the Electricity Act; and (ii) if so, whether it remains liable to pay Cross-Subsidy Surcharge to different distribution licensees for availing open access in terms of Section 42 of the Electricity Act.* Five out of the eight State Electricity Regulatory Commission (**SERCs**) had held that the Indian Railways is not a DDL (“**DDL**”) in terms of the third proviso to Section 14 of the Electricity Act.

Factual matrix

5. The facts in the case are undisputed and are succinctly mentioned as under:
 - 5.1. The Appellant, Indian Railways *vide* Letter dated 17.03.2015 to the Maharashtra State Electricity Transmission Co. Ltd. (“**MSETCL**”) sought grant of connectivity for procuring 100 MW power from Gujarat Urja Vikas Nigam (“**GUVNL**”) for 16 traction substations of the Central and Western railways through inter-state open access in terms of the Electricity Act. MSETCL refused to grant connectivity and directed the Indian Railways to obtain an appropriate order from the competent commission regarding its status as a DDL.

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5.2. The Appellant approached the CERC by way of a petition, *inter alia* seeking declaration that the Indian Railways is entitled to the grant of open access for the power to be procured from the Generating Station through the Inter-State Transmission System (“**ISTS**”) of Central Transmission Utility and Intra-State Transmission System of the States (*viz. Maharashtra, Gujarat, Jharkhand and West Bengal*), to its facilities, i.e., traction points and network of the Indian Railways, and direct that the Indian Railways in its capacity as an authorised entity to distribute and supply electricity is a separate participating entity, like any other State entity notified by the Commission for the purposes of scheduling and dispatch of electricity. The petition was filed against the backdrop of the Letter No-25/19/2004-R&R dated 06.05.2014 issued by the Ministry of Power, Government of India¹ which clarified that the Appellant i.e. the Indian Railways is a deemed licensee under the third proviso to Section 14 of the Electricity Act and for all purposes thereunder. It was urged by the Appellant that:

- (a) *Firstly*, it is a DDL under Section 14 of Electricity Act, and that being a Department of the Ministry of Railways, Government of India, the Appellant qualifies as the “Appropriate Government” and therefore has the deemed licensee status under the third proviso to Section 14 of the Electricity Act. Reliance was placed on Letter dated 06.05.2014 issued by the Ministry of Power, Government of India that clarified that “*Railways is a deemed licensee under the third proviso to Section 14 of the Electricity Act*”. It contended that the deeming fiction in the proviso confers upon it, the status of a DDL and by virtue thereof shall be subject to benefits and/or privileges emanating therefrom. It was their unilateral assertion that as regards the grant of open access, a DDL shall be granted non-discriminatory open access without the obligation to pay Cross-Subsidy Surcharge and the Additional Surcharge under the Electricity Act; and

¹ Letter No-25/19/2004-R&R dated 06.05.2014 issued by the Ministry of Power, Government of India

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- (b) *Secondly*, it operates the rail systems in India as per the provisions of the Railways Act (“**Railways Act**”), which constitutes a complete code in itself and overrides the provisions of the Electricity Act by virtue of the *non-obstante* provision in Section 11 of the Railways Act and Section 173 of the Electricity Act. Therefore, its operations are independent of its status under the Electricity Act, and it is entitled to distribute and supply electricity under Section 11 of the Railways Act.
- 5.3. The West Bengal State Electricity Distribution Company Ltd. (“**WBSEDCL**”) impleaded as a party before the CERC *vide* Order dated 12.10.2015, challenged the maintainability of the Petition filed by the Appellant on the grounds that, since no application for open access had been filed in the respective States, and that the process for the grant of inter-state open access as per the extant regulations had not been necessarily complied with, therefore, the question of dispute with respect to the open access did not arise.
- 5.4. The CERC *vide* Order dated 05.11.2015 observed that Section 11(g) of the Railways Act authorizes the Railway Administration “*to erect, operate or repair any electric traction equipment, power supply and distribution installation in connection with the working of the railway.*” It held that the use of terms “power supply and distribution installations” indicates that the Railway Administration is entrusted with the function of establishing and operating a distribution network for supply of power to the various railway installations. Placing reliance on the judgment of **General Manager, Northern Railways rep. by Union of India v. Chairman, Uttar Pradesh State Electricity Board & Ors.**² and the Letter dated 06.05.2014 issued by the Ministry of Power, it further held that Indian Railways was authorised under the Railways Act to undertake transmission and distribution activities with relation to its operations. Accordingly, the CERC held:
- (a) Indian Railways/Appellant is an authorised entity under the Railways Act for carrying out transmission and distribution activities for ensuring supply of power in connection with

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the working of the railways, without having to obtain a license from the appropriate Commission.

- (b) Being an authorized entity, it shall be entitled for grant of open access in connection with the working of the Railways, as per provisions applicable to a distribution licensee.
- (c) It is a DDL under the third proviso to Section 14 of Act and is bound by the terms and conditions for a licensee as specified under Section 16. Hence, no separate declaration to this effect was required.

5.5. Aggrieved by the observations of the CERC, the WBSEDCL filed Appeal no. 276/2015 before the Appellate Tribunal. Subsequently, seven appeals as enlisted hereunder were filed by the Appellant and relevant distribution companies (**DISCOMS**), challenging Orders by the respective SERCs on the identical issue. The following Appeals were heard together by the APTEL:

WBSEDCL v. CERC & Ors; Appeal No. 276/2015	CERC Order dated 05.11.2025 <u>Held: Indian Railways is a DDL under the third proviso to Section 14 of the Electricity Act.</u>
Indian Railways v. MERC & Ors.; Appeal No. 343/2019	MERC Order dated: 05.04.2019. <u>Held: Indian Railways is a DDL.</u>
Indian Railways v. Kerala State Electricity Board Limited & Ors.; Appeal No. 73 of 2021	KSERC Order dated: 12.12.2019. <u>Held: Indian Railways is a DDL and was directed to pay charges as applicable for open access.</u>
Punjab State Power Corporation Ltd v. PSERC & Ors.; Appeal No. 320 of 2018	PSERC Order dated: 28.02.2018. <u>Held: Indian Railways is not a DDL.</u>
Indian Railways v. Odisha Power Transmission Corporation Ltd & Ors; Appeal No. 114 of 2020	OERC Order dated: 25.02.2020. <u>Held: Indian Railways is not a DDL.</u>
Indian Railways v. MP Poorv Kshetra Vidyut Vitran Company Ltd & Ors.; Appeal No. 213 of 2012	MPERC order dated: 05.05.2021. <u>Held: Indian Railways is not a DDL.</u>

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Indian Railways v. Jaipur Vidyut Vitaran Nigam Ltd & Ors.; Appeal No. 170 of 2019	RERC Order dated: 23.04.2019. Held: <u>Indian Railways is not a DDL.</u>
Indian Railways v. Dakshin Haryana BijliVitaran Nigam Ltd & Ors.; Appeal No. 133 of 2020	HERC Order dated: 17.06.2020. Held: <u>Indian Railways is not a DDL.</u>

- 5.6. At the outset, APTEL passed an interim Order dated 16.12.2015 in favour of the Appellant, whilst *prima facie* observing that:
- (a) By virtue of Section 11 of the Railways Act, the Appellant appears to have full authority to undertake distribution and supply of electricity. Section 11 cannot be given a restricted meaning in light of the decision in *Northern Railways (supra)*;
 - (b) The power to erect, maintain and operate traction equipment, lines, power supply and distribution installation under the said provision necessarily implies the use of such equipment to distribute and supply electricity;
 - (c) The decision in ***Sesa Sterlite Limited v. Orissa Electricity Regulatory Commission & Ors.*³**, which laid an emphasis upon a distribution licensee to operate and maintain a distribution system and supply power to consumers, is not applicable to the Appellant herein as Section 173 of the Electricity Act makes it clear that in case of inconsistencies in the Railways Act, the latter shall prevail over the Electricity Act;
 - (d) The relief sought by the Railways was for the grant of open access through the Inter-State Transmission Network of the Central Transmission Utility, to which it is entitled on a non-discriminatory basis. For this reason, the Petition before the CERC was maintainable despite the absence of any independent applications to State Transmission Utilities or distribution licensees. The distribution licensees of various States were also held to be not necessary or proper parties to the said petition.

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5.7. *Vide* its Final Judgment and Order (“**Impugned Judgment**”) dated 12.02.2024, however, APTEL rejected the claim of the Appellant to be recognised as a deemed distribution licensee within the ambit of the third proviso to Section 14 of the Electricity Act. It further held that since the entire electricity received by the Railways is consumed for its own use and its constituents, it is liable to pay Cross-Subsidy Surcharge and Additional Surcharge to the respective distribution licenses as any other consumer under Section 42 of the Electricity Act. The following are the key observations by APTEL:

- (a) Appellant cannot be held to be a DDL, insofar as it does not distribute electricity. A distribution licensee defined under Section 2(17) of the Electricity Act must (i) operate and maintain a distribution system, and (ii) supply electricity to consumers in its area of supply. The distribution installation and electric traction of the Appellant is not a distribution system within Section 2(19) of the Electricity Act, insofar as a distribution system must connect the delivery point on a transmission line to the point of connection or installation of the consumer. Locomotives, signal equipment, and station facilities are constituents of the Appellant itself and do not qualify as consumers within the meaning of Section 2(15) of the Electricity Act. Thus, the Appellant itself is a consumer. It receives electricity at its traction sub-stations (**TSSs**) from distribution licensees, supply authorities, and then conveys it to locomotives, stations and other installations within its operational domain. Conveyance of electricity within this internal network is for the own consumption of the Appellant and does not constitute distribution.
- (b) The Clarificatory Letter dated 06.05.2014 issued by the Ministry of Power, relied upon by the Appellant is an administrative directive under Section 107 of the Electricity Act, and is not mandatory in nature.
- (c) The statutory powers granted to the Railways administration under Section 11 of the Railways Act are confined to the construction and maintenance of railway works for running railway operations. Mere establishment of distribution installation does not authorise the Appellant to qualify as a DDL and supply electricity to consumers.

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- (d) In light of the decision in ***Sesa Sterlite (supra)***, even if the Appellant was treated as a DDL or transmission licensee and seeks to avail open access, it is still liable to pay Cross-Subsidy Surcharge and additional surcharge as the electricity procured by it, is for its own consumption and operation.
 - (e) The contents of the 31st Report of the Parliamentary Standing Committee on Energy dated 19.12.2002 reflect that the Appellant had sought exemption from the obligations of distribution licensees under Sections 12, 42, and 47 of the Electricity Act. The request by the Appellant seeking such an exemption itself demonstrates that it was well aware that Section 2(31)(c) read with Section 11(g) & (h) of the Railways Act did not absolve it from obtaining a distribution license and/or discharging the obligations of a distribution licensee under the Electricity Act.
6. Aggrieved, the Appellant has approached this Court challenging the legality and correctness of the Impugned Judgement of APTEL dated 12.02.2024. The captioned Appeal was accompanied by IA no. 80269/2024 seeking stay of the Judgment under challenge passed by APTEL. *Vide* Order dated 06.05.2024, this Court had directed that subject to the final adjudication of the present Appeals, the Appellant shall not be required to pay either the Cross-Subsidy Surcharge or Additional Surcharge to the distribution licensees, and it was made clear that the open access shall not be denied to the Appellant for that reason.

Submissions on behalf of Railways

7. Mr. M.G. Ramachandran, learned Senior Counsel for the Appellant challenged the observations of APTEL as unsustainable in law for the following reasons:
- (a) It is the case of the Appellant that it is vested with the statutory authority under Section 11 read with Section 2(31)(c) of the Railways Act, to lay down an electrical system, including a transmission and distribution system within its area of operation. The authority under the Railways Act expressly includes executing all necessary works, including laying down an electric distribution system over the length and breadth of

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the country, and extends to the activities of conveying electricity necessary for use at different places, points, and purposes for the operations of the railways, which cannot be interfered with by the operation of the Electricity Act.

- (b) Section 11 of the Railways Act begins with a *non-obstante clause*, and the statutory power thereunder is absolute in nature. Placing reliance on the decision of ***Northern Railways (supra)***, it is contended that APTEL erred in distinguishing that the authority under Section 11 was confined only to transmission and not distribution. The Appellant submits that ***Northern Railways (supra)*** authoritatively laid down that the act of constructing its transmission lines, and drawing power from external power sources, falls within the statutory domain of the Railways Act.
- (c) Section 11 has an overriding effect, and several High Courts across the country have observed that the Railways Act consolidates the law and is not a mere regulatory statute.⁴ It is contended that enactments such as the Environment Protection Act have no application over works undertaken by the Railways in exercise of the powers under Section 11 of the Railways Act. Learned Senior Counsel submits that APTEL made a fatal error in construing Section 11 and other allied provisions of the Railways Act, with reference to the Act.
- (d) Reliance was passionately placed on ***Ganv Bhavancho Ekvott v. South Western Railways***⁵ whereby the High Court had held that the Southern Railway (SWR) and the Rail Vikas Nigam Limited (RVL) were not under any statutory compulsion to obtain environmental clearances or any building permission from authorities and agencies under the other legislations. It was held that the exemption for railway administration to execute the works of construction and maintenance of railway is conferred by the *non-obstante* clause which has an overriding effect on all other laws except for the Railways Act⁶ and the legislation referred to in Section 11 itself. The Appellant herein

⁴ *Ganv Bhavancho Ekvott v. South Western Railways*, 2022 SCC OnLine Bom 7184.

⁵ *Ganv Bhavancho Ekvott (supra)*

⁶ *Union of India (Western Railway) v. MCGM*, 2017 SCC OnLine Bom 9424; *Goa Foundation & Anr. v. Konkan Railway Corporation & Ors.*, AIR 1992 Bom 471; *Village Panchayat of Velsao v. Ministry of Railways*, 2022 SCC OnLine Bom 3526.

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submitted that power under section 11 is thus unfettered and unqualified, and the status of the Appellant under the Electricity Act is inconsequential, insofar as the authority to distribute electricity is independently conferred under the Railways Act. The *non-obstante* clause under Section 11 of the Railways Act implies that the powers under the provision are exclusive. Section 173 of the Electricity Act further settles the dispute by providing that, in the event of any inconsistencies, only the Railways Act shall prevail.

- (e) The Railways Act is a complete code in itself. The statute expressly authorises the Appellant to lay down a “distribution installation” for the operation of railways. By their very nature, such installations are intended for the purpose of distribution, thereby implying that the Appellant is statutorily empowered to distribute electricity. Since this power flows directly from the parent statute, no separate authorization or license under any other law is required.
- (f) Without prejudice, the Appellant is a DDL as per the third proviso to Section 14 of the Electricity Act. Being an entity of the Central Government, the Appellant is an Appropriate Government within the definition of Section 2(5) and is therefore exempt from obtaining a license in terms of the third proviso to Section 14 of the Electricity Act. Further, electric traction equipment, power supply systems, and distribution installation used for the purposes of, or in connection with a railway, fall within the statutory definition of railways under Section 2(31) of the Railways Act. Thus, distribution of electricity is an inherent function of the Appellant.
- (g) Although the term “distribution” is not defined under the Railways Act or under the Electricity Act, in the ordinary and natural sense, the term “distribute” means spreading of goods anywhere by whatever means, and in the context of the present case, it would mean any activity that involves the conveyance of electricity from one point to another for use at different locations. Accordingly, any activity involving the conveyance of electricity from one source to another would fall within the ambit of “distribution.” It is argued that in the context of railways, the conveyance of electricity from traction and non-traction substations through

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wires and associated electrical systems to points of end use does not merely amount to transmission or consumption in its area of operation, but constitutes “distribution of electricity” within the meaning and scope of the Electricity Act.

- (h) Section 2(70) that defines “supply” as the sale of electricity, is not a licensed activity under the Electricity Act. Under the previous regime of the Indian Electricity Act, 1910, its Section 3 specifically provided for the grant of a license to a person for the supply of energy within a specified area, along with the laying of electric supply lines for the conveyance and transmission of energy.
 - (i) The statutory scheme of the Electricity Act consciously departed from this position and distinguishes the two terms of “distribution” and “supply”. The present statutory framework under the Electricity Act reflects a deliberate legislative shift by excluding “supply of electricity” as a licensed activity, while retaining the licensing requirement for “distribution”, thereby maintaining a clear distinction between the two activities. It is submitted that the distinction has been overlooked by APTEL, as it held that the Appellant cannot claim the status of a DDL under Section 14 of the Act, as it is not in the business of selling electricity to consumers, and is only an end user of electricity. Being an entity of the Central Government, it is an Appropriate Government and has the status of a DDL as per the third proviso to Section 14 of the Electricity Act. Section 2(5)(a) of the Electricity Act contains no restriction that the reference to the Central Government should be only with the references to the activities of other agencies, supervised or regulated by the Central Government.
8. Ms. Aishwarya Bhati, learned ASG appearing for the Union of India, submitted that:
- (a) The Indian Railways is integrated with the Central Government, and qualified as the “Appropriate Government” under Section 2(5)(a)(ii), of insofar as:
 - (i) Railways is a union subject in terms of the Seventh Schedule of the Constitution of India;
 - (ii) Rail Budget is part of the General Budget, and its receipts and expenditure form part of the Annual Financial Statement under Article 11;

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- (iii) Revenue generated by the Railways is credited to the Consolidated Fund of India, confirming its status as a departmentally run undertaking of the Union.
 - (b) The Government of India (Allocation of Business), Rules, 1961 and the Government of India (Transaction of Business) Rules, 1961 further reflect the sovereign status of the Ministries of the Government of India. It is argued that the fiscal identity of the Ministry of Railways is inseparable from the Union of India and the national exchequer. The status of the Appellant flows from the sovereign executive power of the Union under Article 73 of the Constitution.
9. Based on the aforesaid submissions, learned senior counsels urged this Court to allow the Appeal and set aside the Impugned Judgment of APTEL, and further grant non-discriminatory open access to the Appellant, recognizing its status as a DDL in terms of the third proviso to Section 14 of the Electricity Act.

Submissions on behalf of Respondents

10. Per *contra*, it has been asserted by the Respondents' DISCOMS that the Indian Railways is not a DDL under the Electricity Act. It is submitted that the Appellant is misconstruing Section 11 read with Section 2(31) of the Railways Act to contend that it is authorized to distribute electricity. As per the said contention, the statutory framework under the Railways Act, only empowers the Appellant to consume electricity for its own use, and does not extend to the supply of electricity to consumer.
11. The DISCOMS were represented by learned Senior Counsels Mr. C.A. Sundaram, Mr. Vaidyanathan, Mr. Maninder Singh, Mr. S. Poovayya, Mr. Parag Tripathi, appearing on behalf of their respective Respondents. The present submissions are common to all the Respondents herein and are being advanced collectively under a single head for the sake of brevity and convenience.
12. The submissions advanced on behalf of the Respondent-DISCOMS collectively and individually are summarized as follows:
- (a) Mr. Vaidyanathan, learned Senior Counsel for WBSEDCL submitted that distribution is inextricably linked with the supply by way of sale of electricity to consumers within an area of supply,

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and that the levy of Cross-Subsidy Surcharge and Additional Surcharge is a statutory consequence of a consumer availing open access from a source other than the distribution licensee within its area.

- (b) Section 11(g) of the Railways Act is a provision appearing under the Chapter titled “Construction and Maintenance of Works”. It merely authorizes the Appellant to erect, operate, maintain or repair any electric traction equipment, power supply and distribution installation in connection with the working of the railways. The non-obstante provision therein would only be restricted to clauses (a) to (h). Furthermore, there is no inconsistency between Sections 14 and 42 of the Electricity Act and Section 11 of the Railways Act in terms of Sections 173 of the Electricity Act. Thus, the Electricity Act shall apply.
- (c) Mr. S. Poovayya, learned Senior Counsel for various TP Odisha DISCOMS, submitted that a system that does not ultimately connect to the installation of a consumer is not a distribution system at all under the Electricity Act as Section 2(19) of the Electricity Act defines “distribution system” as under:

“distribution system” means the system of wires and associated facilities between the delivery points on the transmission lines or the generating station connection and the point of connection to the installation of the consumers;

- (d) He submitted that the definition itself indicates that a distribution system is intended for connection to the installation of the consumer or last-mile connectivity. In the context of Railways, only if the system of wires and facilities is connected to the end point of transmission lines or a generator with the point of connection to a consumer, will it fall within the specific definition of a distribution system under the Electricity Act.
- (e) Adverting to the activities of the Indian Railways, he submitted that an installation laid down for the functioning of the Railways, which does not ultimately connect to the premises of a consumer cannot be considered a consumer under the Electricity Act. For this reason alone, the Railways’ internal network and conveyance of electricity within its area of operation, falls outside the scope of a distribution system set up for the supply of electricity.

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- (f) He further submitted that “conveyance” of electricity does not constitute “distribution” of electricity. Even if the sub-station serves as the delivery point or the final point of connection, it is only an additional point of internal distribution installation, and the power procured by the Railways continues to be consumed solely by itself.
- (g) Mr. Maninder Singh, learned Senior Counsel appearing on behalf of KSEBL submitted that the Petition O.P. No. 31/2019 filed by the Appellant before the KSERC had sought the grant of open access to avail power supply from a generating station in Bihar or any other source to the Railway traction substations. It is argued that the nature of relief sought by the Appellant was itself for its own consumption, and not for the further distribution or supply to consumers. Thus, the Appellant is a consumer as it procures electricity for its own end-use and operations. Hence, KSERC *vide* Order dated 12.12.2019 had directed that the DISCOM/KSEBL shall issue a No-Objection Certificate in favour of the Appellant to avail open access subject to the payment of charges applicable to consumers.
- (h) Mr. Singh further argued that the Appellant is not an Appropriate Government in terms of the third proviso to Section 14 as the definition is context dependent and does not fulfil the statutory scheme of the Electricity Act. In particular, Section 2(5)(ii) provides twin conditions that for the Central Government to be the Appropriate Government there must be any Inter-State generation, transmission, trading or sale with respect to the Railways. None of the four activities are undertaken by the Railways. Accordingly, it is not the Appropriate Government.
- (i) He further submitted that the electricity provided by the Railways within its premises to its vendors, contractors or agencies is not supply of electricity, as “supply” is defined under Section 2(70) to mean sale of electricity to consumers. In the present case, the Railways admittedly does not sell the electricity to consumers, nor does it have any consumers. The reliance on **Northern Railways (supra)** is misplaced as the judgment dealt with the power of the Railways to construct its own transmission lines, emphasising the non-obstante provision in Section 11. It is nowhere held that while consuming the

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electricity supplied directly by a Generating Company, it would be treated as engaged in distribution of electricity. In fact, the issue of distribution was never considered or dealt with.

- (j) Mr. Singh, also brought our attention to the Draft Electricity Amendment Bill, 2025, and placed reliance on ***Board of Control for Cricket in India v. Kochi Cricket Pvt. Ltd. & Ors.***⁷ to assert that the proposed bill to amend a provision demonstrates that the provision cannot be interpreted in terms of the proposed amendment which has not been passed, and buttress the submission of the Appellant that the exemption in the proposed Electricity Amendment Bill, 2025 shall be applicable to the Appellant even before the enactment.
- (k) Mr. Parag Tripathi, learned Senior Counsel appearing on behalf of PSPCL, while re-iterating the submission by other Senior Counsels specifically brought our attention to the Handbook on Power Supply Installation in Electric Traction issued by the Indian Railway Engineering Institute which provided that though the power supply and distribution system is maintained by the Appellant, power is availed by the Railways from the 'supply authority' either as a consumer of a distribution licensee or through a bilateral transaction *via* open access. This factum alone establishes that the Appellant is a consumer under the Electricity Act.
- (l) Mr. C.A. Sundaram, learned Senior Counsel for SBPDCL reiterating the submissions made by the other Counsels, has further vociferously argued that the Railways is not the Appropriate Government for the purposes of the third proviso to Section 14 of the Electricity Act. He submitted that the mere fact that the Central Government is running the Railways, it will not convert the activity of carrying on of a business into an activity of the Central Government as a sovereign body. It was urged that the "appropriate Government" would necessarily mean the Government in its sovereign capacity and not the Government running its business and in exercise of its powers vested under Article 298 of the Constitution⁸.

⁷ (2018) 6 SCC 287

⁸ *Union of India & Anr. v. Sri Ladulal Jain*, 1963 SCC OnLine SC 133

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- (m) Mr. Sundaram further brought our attention to the definition of “railway administration” under section 2(32) of the Railways Act, and that the mere fact that the Central Government oversees the operations of the Railways does not transform the Railways or the railway administration into the Central Government itself. He further urged that the supply of electricity by the Appellant to its entities due to a jural relationship is not supply of electricity.
 - (n) He further submitted that the proposal of a Draft Electricity Amendment Bill, 2025 seeks to amend Section 61(g) of the Electricity Act insofar as it aims to reduce and eliminate the Cross-Subsidy Surcharge for railways within five years. It is contended that the legislative proposal to amend the existing legal framework and reduce the Cross-Subsidy Surcharge for the Indian Railways, itself denotes that no such provision or privilege exists under the current statute that absolves the Appellant from payment of the Cross-Subsidy Surcharge applicable to any consumer in terms of Section 42 of the Electricity Act.
13. Based on the aforesaid submissions, learned Senior Counsels urged this Court to dismiss the Appeal and uphold the Impugned Judgment of APTEL.

Issues

14. Based on the submissions of the parties, the specific issues which arise for determination are:
- (i) *Whether the activities provided under Section 11(g) and (h) of the Railways Act pass muster of “distribution” of electricity, and whether such activities are a necessary pre-requisite to qualify as a DDL under the Act?*
 - (ii) *Whether the Indian Railways, being an entity of the Central Government, falls within the ambit of “Appropriate Government” under Section 14 of the Act?*
 - (iii) *Whether the Indian Railways, even if held to be a DDL under the Act, is exempt from the obligation to pay Cross-Subsidy Surcharge or additional surcharge for the grant of non-discriminatory open access as per Section 42 of the Act?*
 - (iv) *Whether a proposed legislation may be relied upon as an aid to statutory interpretation for addressing gaps in the existing*

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*framework, and to give effect to the parliamentary intent to
remedy defects thereunder?*

Analysis

Issue (i): *Whether the activities provided under Section 11(g) and (h) of the Railways Act pass muster of “distribution” of electricity, and whether such activities are a necessary pre-requisite to qualify as a DDL under the Act?*

15. Before examining whether the activities of the Appellant fall within the purview of a distribution licensee (or a deemed distribution licensee, as the case may be), it is crucial to examine the statutory scheme of the Electricity Act to understand the framework governing the grant of a license as well as obligations accrued to such licensee.
16. The distribution of electricity under the Electricity Act is subject to a strict licensed framework. Section 2(17) defines “distribution licensee” as a licensee authorised to operate and maintain a distribution system for supplying electricity to consumers in its area of supply. The term “distribution system” is separately defined under Section 2(19) as the system of wires and associated facilities between delivery points on the transmission lines or the generating station connection and the point of connection to the installation of the consumers. A conjoint reading of the two provisions makes it clear that any person or entity seeking the grant of a distribution license under Section 14 of the Electricity Act must mandatorily fulfil the twin requirements- (a) operating and maintaining a distribution system for supply of electricity to consumers and (b) supplying electricity to consumers within their area of supply.
17. These twin requirements reiterated under Section 42(1) of the Electricity Act and ***Sesa Sterlite (supra)***, mandate that it is the duty of a distribution licensee to develop and maintain a distribution system in his area of supply and to supply electricity in accordance with the Electricity Act. The term “area of supply” defined under Section 2(3) of the Act, means the area within which a distribution licensee is authorised by his license to supply electricity. A bare reading of the provision indicates that the mere operation and maintenance of a distribution system is not the exclusive basis for the grant of a licence for distribution of electricity. Such a system must ultimately supply

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electricity and connect to the point of connection of a consumer as its end-use.

18. A plain reading of the provisions mentioned hereinabove makes it evident that the obligation of a distribution or a DDL to supply electricity is mandatory in nature, and is a necessary corollary of the interpretation of the current statute. For this reason, the argument raised by the Appellant that ‘supply’ of electricity is not a licensed activity under the current statutory regime of the Electricity Act and was a feature only under the Indian Electricity Act, 1910, is a semantic issue at best.
19. Be that as it may, the Appellant claims it is a DDL in terms of the third proviso to Section 14 of the Electricity Act. It differentiates between the two terms “distribute” and “supply”, and asserts that the Railways Act statutorily empowers the Appellant to undertake distribution of electricity. Section 11(g) of the Railways Act authorises the Railway Administration to erect, operate, maintain or repair electric power supply, and distribution in connection with the working of the railway; and Section 11(h) authorises doing all other acts necessary for making, maintaining, altering or repairing and using the railway. Both provisions, empower the Railways to lay, maintain and operate power supply infrastructure for its operations. It is contended by the Appellant that the express use of the term “distribution installation” in Section 11 is equivalent to the term “distribution system” under the Electricity Act and constitutes an independent legislative recognition that the Railways is statutorily empowered to distribute electricity.
20. The submission of the Appellant is that there is no distinction between a “distribution system” under the Electricity Act or a “distribution installation” under the Railways Act. The term “distribution installation” is not defined under either of the statutes, whereas the term “distribution system” has been specifically defined as a system of wires and associated facilities between delivery points on the transmission lines or the generating station connection and the point of connection to the installation of the consumers.
21. Even if we consider that the term “distribution installation” as the term suggests, refers to a distribution or electric infrastructure authorised to be set up by the Appellant to ensure power supply for railway operations, it cannot be considered akin to a distribution system. The definition of a distribution system is two pronged, it is a

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system of wires and associated facilities between the delivery points on transmission lines or generating companies, which ultimately terminates at the installation of a consumer or the point of last-mile connectivity. For this very reason, a distribution installation which merely conveys electricity within the integrated railway system, from the overhead equipment to the power locomotives, communication systems, signals and station facilities, for its own consumption and use, and does not translate into sale or supply of electricity to a consumer against consideration, cannot be held to be within the meaning and scope of a distribution system under the Electricity Act.

22. Additionally, a distribution system also extends to a definite and specific area of supply. The term 'area of supply' defined under Section 2(3) of the Electricity Act, refers to the area within which the distribution licensee is authorised by his license to supply electricity. The Appellant has contended that the area of supply under the Electricity Act, would mean the same as the area of operation used under the Railways Act.
23. At the outset, although, the parallels drawn by the Appellant may *prima-facie* seem justiciable, the two terms area of supply and area of operation cannot denote the same meaning. The area of supply necessarily refers to a designated or authorised area, where a distribution licensee has been granted the exclusive (or non-exclusive) right to supply electricity. As such, the Respondent DISCOMs hold licences granted by their respective State Commissions demarcating precise territorial limits within which they are authorised to distribute electricity.
24. On the other hand, an area of operation refers to the operative dimensions of an entity. In the context of Railways, it would mean the integrated railway system spread across the length and breadth of the country, however only limited to operational use and limit of the railway network. The Appellant's contention that boundaries, fences or gates earmarked by the Central Government under Section 18 of the Railways Act, defines the area of supply for the Appellant is wholly misconceived. To accept this submission of the Appellant would be to hold that the pan-India operational footprint of the Indian Railways, constitutes a single area of supply under the Electricity Act. This is wholly absurd and inconsistent with the scheme of the Act, insofar as the term "area of supply" is clearly defined as a subject

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of the licensing obligations of a distribution licensee and not an area of operation.

25. Notably, under certain sub-delegated legislations issued by the respective State Commissions, the area of supply is also referred as the area of distribution. In the context that the terms “distribution” and “supply” have been used interchangeably save as otherwise provided, they refer to the salient act of sale of electricity to a consumer. In context thereof, it appears that the Appellant has taken refuge under the two terms of ‘distribution installation’ and ‘area of operation’ under the Railways Act to suggest that it distributes electricity and, hence, is a DDL under the Electricity Act.
26. Furthermore, the submission of the Appellant that the *non-obstante* clause under Section 11 of the Railways shall override the licensing requirements of the Electricity Act, is premature and untenable. It is settled that Section 11 of the Railways Act cannot be given a restrictive meaning, however it cannot be read so expansively as to dispense with the mandatory licensing framework under Section 12 and 14 of the Electricity Act. A *non-obstante* clause operates only in the event of a direct and irreconcilable inconsistency and cannot function as a blanket dispensation from the applicability of a subsequent and special regulatory statutory framework *qua* a specific subject matter. This Court in ***Central Bank of India v. State of Kerala & Ors.***⁹ had clearly opined that the mere introduction of a non-obstante clause in the legislation is not sufficient to clothe a provision with an overriding effect, and what must further be established is that the two provisions are so inconsistent that they cannot stand together. The Appellant in the present case has failed to demonstrate that there is a irreconcilable conflict between the Railways Act and the Electricity Act. There is neither any provision under the Railways Act that prohibits obtaining a license, nor any provision of the Electricity Act exempts the railways from being a DDL in terms of section 14. The Appellant can exercise their operational powers under section 11, while simultaneously comply with the licensing framework under the Electricity Act. It is a cardinal principle of statutory interpretation that when two statutes are capable of being read harmoniously, the judicial endeavour must be to read them together.¹⁰

9 (2009) 4 SCC 94

10 *Sri Venkataramana Devaru & Ors. v. State of Mysore & Ors.*, 1957 SCC OnLine SC 138.

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27. We further deem it appropriate to also clarify that the reliance of the Appellant on ***Ganv Bhavancho Ekvott (supra)*** is misconceived. The import and independence of section 11 recognised therein was limited to the exemption to the Railways from procedural permissions including general environmental clearances, and local body legislations. The exemption can in no manner be construed as a blanket immunity from regulatory, procedural and legislative requirements as noticed in the cited decision itself. The judgment is distinguishable both on facts, and on the nature of the conflicting statute, and offers no authority for the proposition that the Appellant is exempted from the regulatory framework under the Electricity Act. Additionally, the authority vested in the Appellant to distribute electricity within its operational domain cannot be said to be unfettered insofar as it has to meet the fundamental requirements of distribution of electricity, within the meaning and scope of the Electricity Act. Section 11 on the facts and circumstances of the present case, cannot be read as a provision of unlimited sweep, and it is therefore incorrect to contend that Section 11 of the Railways Act operates as an absolute and unrestricted shield guarding the appellant from its obligations.
28. We are also of the considered view that the omission of the words “distribution” or “supply” of electricity in Sections 11(g) and (h) is deliberate and intentional. The legislature while framing these provisions certainly intended to empower the Appellant solely to erect and operate a distribution infrastructure necessary for railway operations. The language clearly confines the purpose of these installations to the operational use of Railways and does not extend any authority to the Appellant to undertake a commercial distribution or supply of electricity, beyond the railway’s internal domain.
29. We further agree with the observation of APTEL and the submissions made by the Respondents that the reliance of the Appellant on the decision of ***General Manager, Northern Railways (supra)*** is misplaced. The decision in the said case expressly dealt with the power of the Railways to construct transmission lines for the purpose of its operations, and described the expansive scope of the *non-obstante* clause under Section 11 of the Railways Act. The said decision however, did not construe the scope of Section 11 as being so expansive that it justifies an act that the Railways is not inherently empowered to do. The erection of transmission lines or distribution lines as argued by the Appellant, cannot bestow upon

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the Appellant the authorisation to carry out supply of electricity that is procured by it, to third party consumers.

30. At this juncture, we deem it appropriate to also observe that the submission of the Appellant that it is a deemed distribution licensee, lacks any substantial basis. The statutory regime under the Electricity Act regulates the commercial supply of electricity to consumer through a licensed distribution network.
31. The Appellant, operates a closed and self-contained electricity network which is for the purposes of meeting the operational requirements of the railway system, including traction, signalling, stations. It is only when electricity is sold or provided to consumers outside the operational domain of the railway, that the activities undertaken by the Appellant could intersect with the obligation of a distribution licensee.
32. Further, the purpose of a status of a distribution licensee, whether obtained vide an application or is extended to the entity through a deemed fiction, is to supply electricity against consideration. The term 'consideration' for distribution licensees with generators would mean tariff, and as consumers payable to licensees would mean additional surcharge/Cross-Subsidy Surcharge. In the present case, the Railways is procuring electricity from the Respondent DISCOMs in various states for its own use and for consumption to its constituents.
33. The judgment in ***K.C. Ninan v. Kerala State Electricity Board & Ors.***¹¹ has authoritatively re-iterated that supply of electricity is a primary and defining function of a distribution licensee. The regulatory regime under the Indian Electricity Act, 1910 also posed an obligation on every licensee to supply energy to every person within the area of supply. Hence, the statutory regime/regulatory regime under the Electricity Act has been consistent. Additionally, electricity is a movable good¹² under the Sale of Goods Act, 1930. The charges paid by the consumer to the distribution licensee is essentially the price paid for goods supplied and consumed. The consumption of electricity by a consumer is always effected through equipment or appliances installed within the premises.

11 [2023] 14 SCC 431

12 *Commissioner of Sales Tax v. Madhya Pradesh Electricity Board* (1961) 1 SCC 200

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34. The tenuous claim of the Appellant is merely based on a thin-iced assertion that being an entity of the Central Government, the deeming fiction of an Appropriate Government, as meant to be under the third proviso to Section 14 of the Electricity Act would *ipso facto* devolve upon them without much effort.
35. *More-so*, the arguments made by the Appellant are more in the nature of asserting this misplaced notion than being rooted in the conviction that the activities carried out by it pass muster for a distribution license in the first place. Hence, the claim of the Appellant that it is a DDL is not borne from the activities or functions performed by the railways, but is aimed at the recognition of being a distribution licensee under the Act, insofar as it is entitled to non-discriminatory open access from inter-state transmission utilities and other distribution licensees, without the payment of Cross-Subsidy Surcharge or additional surcharge.
36. In light thereof, it is pertinent to reflect on the submissions made by the Appellant whereby it asserts that it is not claiming the right to do any other activity outside the purpose of the Railways operations or unconnected with the workings of the Railways, including the right to supply electricity to third parties beyond the network of Railways or enter into any business or trade of distributing or using the electricity outside its area of operation. This stated position, in fact, answers the controversy, and underscores that the Appellant does not seek to assume the scope of functions associated with a distribution licensee. In effect, the Appellant does not seek to assume, nor does it accept, the role and obligations of a distribution licensee under the Electricity Act, 2003 and instead selectively relies on such status only to the extent it is beneficial.
37. This conduct further substantiates the apprehension of the Respondents that the Appellant's claim to be treated as a DDL is to merely circumvent the obligation of payment of the Cross-Subsidy Surcharge and to evade the corresponding statutory and regulatory obligations *qua* a distribution licensee.

Issue No. (ii) *Whether the Indian Railways, being an entity of the Central Government, falls within the ambit of "Appropriate Government" under section 14 of the Electricity Act, 2003?*

38. The Appellant's claim to be treated as a deemed distribution licensee under the third proviso to Section 14 of the Electricity Act,

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2003 hinges upon whether it is squarely covered by the definition of ‘Appropriate Government’ defined under section 2(5) of the Act, 2003, which reads as under:

“(5) Appropriate Government” means-

(a) the Central Government-

(i) in respect of a generating company wholly or partly owned by it;

(ii) in relation to any inter-State generation, transmission, trading or supply of electricity and with respect to any mines, oil-fields, railways, national highways, airports, telegraphs, broadcasting stations and any works of defence, dockyard, nuclear power installations;

(iii) in respect of the National Load Despatch Centre and Regional Load Despatch Centre;

(iv) in relation to any works or electric installation belong to it or under its control;

(b) in any other case, the State Government having jurisdiction under this Act.”

39. The Appellant contends that it is entitled to the status of a deemed distribution licensee by operation of law, on the ground that it qualifies as an appropriate Government being an instrumentality of the State under Article 12 of the Constitution. In contrast, the rival contention of the Respondent argues that section 2(5) of the Electricity Act restricts the scope of “Appropriate Government”, and that an entity can fall within the statutory domain only if it satisfies the conditions laid down under section 2(5)(a), particularly clause (ii), having regard to the nature and functions of the entity in question.
40. Before we advert to the functional test, a plain reading of section 2(5) (a)(ii) makes it evident that the subject of the definition is the Central Government, and the term “railways” appears only as a relative reference, and a subject-matter that triggers the application of the Central Government. Insofar as the provision does not extend that the Railways itself is the Appropriate Government, it only expands the scope of the term to include the Central Government in matters relating to railways.

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41. This distinction at the very outset is critical to the identification of an entity claiming to be clothed with governmental authority. In arguendo, if the term “railways” in section 2(5)(a)(ii) were read as conferring the status of an “Appropriate Government” to the Appellant, the deeming fiction shall extend to all other authorities mentioned in the provision including mines, oil-fields, airports, dockyards and nuclear installations. This clearly does not reflect the legislative intent of this provision. The categories of functionaries mentioned in section 2(5)(a)(ii) merely reflect a class of activities, and not stand-alone entities that can be conferred the status of an “appropriate Government” for the purposes of the statute.
42. It is also a well-settled principle of law that the mere classification of an instrumentality or agency as “State” under Article 12 of the Constitution of India does not automatically render it as an “Appropriate Government”. This position was authoritatively settled by this Court in the **Steel Authority of India Ltd. & Ors. v. National Union Waterfront Workers & Ors.**¹³ This Court distilling from its earlier decisions in **Sukhdev Singh & Ors. v. Bhagatram Sardar Singh Raghuvanshi & Anr.**¹⁴ and **Ajay Hasia & Ors. v. Khalid Mujib Sehravardi & Ors.**¹⁵, laid down a functional test holding that the determinative criterion is whether the industry is carried on under the authority of the Central Government, and not merely whether the entity qualifies as “State” under Article 12 of the Constitution. The relevant extract of the judgment reads as under:

“38.From the above discussion, it follows that the fact of being an instrumentality of a Central/State Government or being ‘State’ within the meaning of Article 12 of the Constitution cannot be determinative of the question as to whether an industry carried on by a company/corporation or an instrumentality of the Government is by or under the authority of the Central Government for the purpose of or within the meaning of the definition of ‘appropriate Government’ in the CLRA Act....Further, the definition of establishment in the CLRA Act takes in it fold purely private

13 (2001) 7 SCC 1

14 (1975) 1 SCC 421

15 (1981) 1 SCC 722

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undertakings which cannot be brought within the meaning of Article 12 of the Constitution. In such a case, how is 'appropriate Government' determined for the purposes of the CLRA Act or the Industrial Disputes Act? In our view, the test which is determinative is: whether the industry carried on by the establishment in question is under the authority of the Central Government. Obviously, there cannot be one test for one part of the definition of 'establishment' and another test for another part. Thus, it is clear that the criterion is whether an undertaking/instrumentality of the Government and not whether the undertaking is an instrumentality or agency of the Government for purposes of Article 12 of the Constitution, be it of the Central Government or the State Government."

43. Upon applying the aforesaid test, it is evident that the Appellant operates as a functionary of the Central Government. Although, the mention of 'railways' in Para 38 of the Court in *SAIL (supra)* is cursory and illustrative in nature, the statutory scheme of the Railways Act and the Statement of Objects and Reason thereunder confirm that the entire railway system has become part of the Government of India. The Railway Board constituted under the Act, functions as an extended arm of the Central Government, with the powers delegated to it by the Government itself. It is no doubt that the Central Government has an authoritative control over the Railways.
44. *A fortiori*, the Central Government exercises control over the Appellant insofar as the electric installations comprising traction sub-stations, the overhead catenary systems, high voltage transmission lines, the 25 kV and 1.5 kV alternating current systems etc., are owned by the Central Government. The construction and maintenance work of these equipments are carried out from public funds appropriated by the Parliament from the Consolidated Fund of India.
45. It is thus evident that the nominal, pervasive, administrative as well as fiscal control of the Appellant lies in the clutches of the Central Government. The submission of the Respondents to draw a distinction between the 'Central Government' and 'railway administration' is therefore untenable, as such a distinction does not dilute the overarching control exercised by the Central Government and borders on technicality.

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46. We agree with the observation made by APTEL that the submission urged on behalf of the Respondent merits rejection. However, we cannot assert enough that even if the Appellant is held as falling within the ambit of Appropriate Government, under section 2(5)(a), the benefit of being treated as a deemed distribution licensee cannot be extended to it. The scheme of the Electricity Act makes it clear that a distribution licensee is under the statutory obligation to supply electricity to its consumers within its area of supply.
47. Notably, the Appellant's electrical infrastructure including traction sub-stations, overhead catenary systems, and 25kV alternating current systems, exists entirely for captive self-consumption for traction purposes and not for supply to third party consumers. The case of the Appellant cannot be held in equivalence with the Military Engineering Services (MES) which is a recognized deemed distribution licensee and equally operates under the authority of the Central Government as much as the Appellant. The distinction between the two entities is apparent such that MES supplies electricity to consumers which include residents, personnel and establishment within the defined cantonment and defense areas, unlike the Appellant. As a matter of fact, it is the own admission on behalf of the Appellant that it is not claiming the right to give supply or provide electricity to third parties unconnected with the working of the railways or outside the area of operation of the Railways or enter into any business or trade of distributing electricity or using electricity outside its area of operations.
48. Therefore, the deemed status attached to the MES is not by virtue of it being a government entity, but it is a governmental entity that actually performs the function of distribution within the meaning and scope of the Electricity Act. It is apparent on the face of record that the Appellant has no such analogous relationship with any consumer, and its claim to the deemed distribution licensee status fails at the very threshold.
49. At this juncture, we deem it appropriate to clarify that the Letters dated 06.05.2014 and 03.04.2023 issued by the Ministry of Power, are not authoritative in nature, and carry no binding legal force. They are no more than executive communications that neither amend nor override the statutory provisions under the Act, and certainly cannot be relied upon to confer or negate jurisdiction. It is rather unfortunate that the Appellant has pursued this *lis* for over 10 years based

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solely on the tenuous claim that, as a Central Government entity, it automatically qualifies as the “Appropriate Government” under the third proviso to section 14 of the Electricity Act. This argument is more a reliance on a misplaced notion than a demonstration that the Appellant’s activities satisfy the criteria for a distribution licensee.

50. For the reasons mentioned hereinabove and for the limited purpose of this analysis, the Appellant is regarded as falling within the ambit of “Appropriate Government” under section 2(5)(a) of the Act, but the observation carries no determinative consequence for the relief sought by the Appellant. Nominal virtue, however firmly established, cannot substitute for the substantive functions that the statute demands.

Issue No. (iii) *Whether the Indian Railways, even if held to be a deemed distribution licensee under the Act, is exempt from the obligation to pay Cross-Subsidy Surcharge or Additional Surcharge for the grant of non-discriminatory open access as per section 42 of the Act?*

51. Section 42 of the Electricity Act mandates the distribution licensees to develop and maintain an efficient, co-ordinated and economical distribution system in the area of supply, and to supply electricity to any consumer, who demands it. To foster competition and consumer choice, the Electricity Act enables consumers to procure electricity either from the distribution licensee in their area of supply or from alternative sources through open access. Section 2(47) defines “open access” as follows:

“(47) “open access” means the non-discriminatory provision for the use of transmission lines or distribution system or associated facilities with such lines or system by any licensee or consumer or a person engaged in generation in accordance with the regulations specified by the Appropriate Commission”

52. Where any consumer avails electricity through open access, two distinct surcharges arise under the Electricity Act. Section 42(2) levies a Cross-Subsidy Surcharge to meet the requirements of the current level of cross-subsidy within the area of supply, while section 42(4) levies an Additional Surcharge to meet the fixed costs of the distribution licensee arising out of its obligation to supply.

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53. Distribution licensees are mandated, as a matter of social policy, to supply electricity at concessional tariffs to certain categories of consumers, such as agricultural users and low-income households. These subsidised tariffs ensure equitable access to electricity, which is essential to the very existence of citizens, as held in **Anuj Kumar Agarwal v. Registrar of Cooperative Societies & Ors.**¹⁶
54. Cross-Subsidy Surcharge is levied on open-access consumers to off-set the revenue shortfall experienced by distribution licensees in providing these subsidised tariffs. Thereby, the financial burden is equitably shared across different consumer categories instead of burdening the existing consumer base. Additional Surcharge operates on a distinct footing and is levied to mitigate the potential financial losses incurred by distribution licensees due to stranded costs. When high-volume, high-revenue consumers such as the Indian Railways choose to procure electricity through open-access, distribution licensees may be left with underutilised infrastructure and power purchase commitments, leading to financial strain. The National Tariff Policy, 2016 specifically provides that Additional Surcharge becomes applicable only upon the conclusive demonstration that a licensee's existing power purchase obligations in the capacity of a licensee, has generated precisely such stranded costs for the distribution licensees in whose areas its traction installations are located.
55. Thus, the Cross-Subsidy Surcharge and the Additional Surcharge are critical for maintaining the financial health and operational capacity of the distribution sector, enabling it to invest in infrastructure upgrades, ensure reliable service, and continue to meet its obligations to all consumer categories.
56. The rationale underlying Cross-Subsidy Surcharge and Additional Surcharge has been authoritatively articulated in *Sesa Sterlite* as follows:

“(3) Cross-Subsidy Surcharge (CSS)—Its rationale

27. The issue of open access surcharge is very crucial and implementation of the provision of open access depends on judicious determination of surcharge by the

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State Commissions. There are two aspects to the concept of surcharge — one, the cross-subsidy surcharge i.e. the surcharge meant to take care of the requirements of current levels of cross-subsidy, and the other, the additional surcharge to meet the fixed cost of the distribution licensee arising out of his obligation to supply. The presumption, normally is that generally the bulk consumers would avail of open access, who also pay at relatively higher rates. As such, their exit would necessarily have adverse effect on the finances of the existing licensee, primarily on two counts — one, on its ability to cross-subsidise the vulnerable sections of society and the other, in terms of recovery of the fixed cost such licensee might have incurred as part of his obligation to supply electricity to that consumer on demand (stranded costs). The mechanism of surcharge is meant to compensate the licensee for both these aspects.

28. Through this provision of open access, the law thus balances the right of the consumers to procure power from a source of his choice and the legitimate claims/interests of the existing licensees. Apart from ensuring freedom to the consumers, the provision of open access is expected to encourage competition amongst the suppliers and also to put pressure on the existing utilities to improve their performance in terms of quality and price of supply so as to ensure that the consumers do not go out of their fold to get supply from some other source.

29. With this open access policy, the consumer is given a choice to take electricity from any distribution licensee. However, at the same time the Act makes provision of surcharge for taking care of the current level of cross-subsidy. Thus, the State Electricity Regulatory Commissions are authorised to frame open access in distribution in phases with surcharge for:

- 4. (vi)(a) current level of cross-subsidy to be gradually phased out along with cross-subsidies; and*
- (b) obligation to supply.”*

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30. Therefore, in the aforesaid circumstances though CSS is payable by the consumer to the distribution licensee of the area in question when it decides not to take supply from that company but to avail it from another distribution licensee. In a nutshell, CSS is a compensation to the distribution licensee irrespective of the fact whether its line is used or not, in view of the fact that, but for the open access the consumer would pay tariff applicable for supply which would include an element of cross-subsidy surcharge on certain other categories of consumers. What is important is that a consumer situated in an area is bound to contribute to subsidising a low end consumer if he falls in the category of subsidising consumer. Once a cross-subsidy surcharge is fixed for an area it is liable to be paid and such payment will be used for meeting the current levels of cross-subsidy within the area. A fortiori, even a licensee which purchases electricity for its own consumption either through a “dedicated transmission line” or through “open access” would be liable to pay cross-subsidy surcharge under the Act. Thus, cross-subsidy surcharge, broadly speaking, is the charge payable by a consumer who opt to avail power supply through open access from someone other than such distribution licensee in whose area it is situated. Such surcharge is meant to compensate such distribution licensee from the loss of cross-subsidy that such distribution licensee would suffer by reason of the consumer taking supply from someone other than such distribution licensee.”

57. The legal chain that flows from the foregoing is direct and clear. As established in Issues (i) and (ii), the Appellant is a consumer within the meaning and scope of section 2(15) of the Electricity Act. It purchases electricity exclusively for its own use and supplies it to no one but its own constituents. Thus, like any other consumer, Cross-Subsidy Surcharge and Additional Surcharge are applicable to the Appellant.
58. *In arguendo*, even if the Railways is treated as a deemed distribution licensee (DDL), its procurement of electricity through open access exclusively for its own consumption renders it a consumer for that purpose. *Sesa Sterlite* adopted a functionality test and held that an entity which has been accorded the status of a DDL, but which

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utilises the entire quantum of electricity for its own consumption and does not have any customers, could not be a distribution licensee under the Electricity Act and would itself be a consumer. Thus, a functionality test was adopted, and the operations of a distribution licensee as a consumer were recognised. Accordingly, such an entity, like the Railways in the present case, would be liable to pay Cross-Subsidy Surcharge and Additional Surcharge if it procures electricity through open access.

59. The Appellant cannot escape this conclusion by inverting the argument and contending that as a deemed distribution licensee, it is free from any payment obligations applicable to any consumer. In this respect, the Appellant is claiming a privileged treatment as compared to other consumers, which is impermissible in law.

Issue No. (iv) *Whether a proposed legislation may be relied upon as an aid to statutory interpretation for addressing gaps in the existing framework, and to give effect to the parliamentary intent to remedy defects thereunder?*

60. The use of legislative history as an aid to statutory construction is no longer *res integra*¹⁷. This Court, in a catena of decisions has held that in understanding the legislative intent and scheme of a statute, recourse to legislative material is permissible. In the present case, reliance is placed on a legislative proposal which seeks to substantially alter the statutory scheme of the Electricity Act. We are conscious that a legislative proposal does not have a binding force on the interpretation of the existing statute, but a careful perusal of the proposed enactment may aid in resolving apparent incongruencies and identifying perceived gaps in the existing framework.
61. In the present case, the legislative history of the Electricity Act reflects that previous proposals in 2014 and 2018 had sought to confer the statutory status of a licensee in favour of the Appellant, seeking to save it from the binding statutory obligations of paying Cross-Subsidy Surcharge and additional surcharge. Insofar as, Section 9 of the Electricity (Amendment) Bill, 2014 sought to clarify that the Railways shall be a DDL by adding the following proviso after the present third proviso to Section 14:

¹⁷ *Kalpana Mehta v. Union of India* (2018) 7 SCC 1

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“Provided also that the Railways as defined under the Indian Railways Act and the Metro Rail Corporation established under the Metro Railways (Operation and Maintenance) Act, 2002 be deemed to be a licensee under this Act, and shall not be required to obtain a licence under this Act”

Be that as it may, this provision of the 2014 Amendment Bill was rejected and not passed by the Parliament, showing the legislative intent that the Railways does not constitute a licensee in terms of Section 14 of the Electricity Act.

62. The Respondents’ DISCOMS brought our attention to the Fourth Report of the Standing Committee on Energy dated 07.05.2015, which recorded the unequivocal admission by the Appellant that it is not a DDL under the scheme of the Electricity Act. APTEL had also placed reliance on the 31st Report of the Parliamentary Standing Committee, which recorded that the Appellant had sought exemption from the obligations of distribution licensees under Section 12, 42, and 47 of the Electricity Act. The request for exemption from the applicability of the Electricity Act was neither acceded to by the Parliamentary Standing Committee nor accepted by the Parliament.
63. The latest Draft Electricity (Amendment) Bill, 2025, particularly seeks to amend Section 61(g) of the existing statutory regime under the Act, to progressively reduce and ultimately eliminate the Cross-Subsidy Surcharge and Additional Surcharge for the Appellant.. The proposed provision under Section 12 reads as under:

“(g) that the tariff reflects the cost of supply of electricity and also, progressively reduces cross-subsidies in the manner specified by the Appropriate Commission;

Provided that cross-subsidy with respect to Railways, Metro Railways and Manufacturing Enterprises shall be fully eliminated within five years from the date of commencement of the Electricity (Amendment) Act, 2025.”

64. The Explanatory Note on the proposed Amendment Bill makes a specific mention that the Indian Railways and metro/monorail systems are currently burdened by cross-subsidies and surcharges, and proposes to exempt the Appellant from cross-subsidy within five years. A bare reading of the Note confirms that under the extant regime, the Appellant is treated like any other consumer. It reads as under:

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“2.2. Reducing Logistics and Mass Transit Cost: Electricity tariffs for Indian Railways and Metro/Mono Rail systems are currently burdened by cross-subsidies and surcharges, which increase costs of transporting goods and people. These higher costs ultimately raise the price of goods and services across the economy. To alleviate this burden, it is proposed to exempt Manufacturing Enterprises, Railways, and Metro Railways from cross-subsidy within five years. This measure will help lower transport and logistics costs, improve efficiency, and enhance India’s competitiveness in global markets.”

Further, the Comparative Statement to the Draft Electricity (Amendment) Bill, 2025, in contrast with the current Act as it stands, states the following:

“13. Cross Subsidy and Surcharges on manufacturing and clean/public transport: State Commissions impose substantial cross-subsidies and surcharges on industrial consumers. Industrial electricity tariffs in India remain considerably higher than those in developed countries such as the United States and emerging economies like China, Vietnam, and Indonesia. This practice significantly undermines the global competitiveness of Indian manufacturers by inflating electricity costs. Elevated electricity costs not only hinder industrial growth but also stunt employment generation, and deter foreign investments. Simultaneously, there is a need to create significant number of job opportunities in the manufacturing sector. Micro, Small, and Medium Enterprises (MSMEs) have a high job creation potential in the manufacturing sector. Reducing industrial electricity tariffs can significantly accelerate the growth of the manufacturing sector MSMEs and enable absorption of the large agricultural workforce. Access to affordable power would lower production costs, enhance competitiveness of Indian manufactured goods, and facilitate their scale-up from micro to small or medium enterprises. This, in turn, would strengthen their contribution to employment generation and gross value added (GVA), supporting the national goal of achieving “Viksit Bharat @ 2047”. Addressing the high industrial tariff

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handicap is crucial to enhancing India's global industrial competitiveness, and driving economic growth. The logistics cost in India constitutes nearly 14 percent of GDP as opposed to about 8 percent in most major economies. There is a need to reduce this cost in line with the National Logistics Policy and make Indian industry cost competitive. Despite being energy efficient and running on electricity, Indian Railways and Metro/Mono rail systems across the country are subjected to elevated electricity tariffs owing to the imposition of cross-subsidies and surcharges. This does not align with the goal of electrifying the transport sector as part of India's energy transition and increasing the rate of energy efficiency improvement. The higher tariffs result in higher transportation and logistics costs besides discouraging goods and passenger modal shifts. Public transport costs, particularly in urban and semi-urban areas, impact the wage rates and standards of living of working classes. The proposed amendment seeks to address these challenges by exempting Indian Railways, Metro rail and manufacturing industries, from payment of cross-subsidy and surcharges, not later than five years. This reform aligns with the vision of "Viksit Bharat @ 2047". It will help in fostering industrial expansion, attracting investments, and generating employment opportunities. It reduces the transport costs for urban commuters and promotes sustainable economic growth."

65. On a *prima-facie* view itself, the nature of the proposed amendment under the Draft Electricity (Amendment) Bill, 2025 is remedial in nature. The language used is clear and simple, to address the existing burden of Cross-Subsidy Surcharge payable by the Appellant by exempting them from payment of cross-subsidy and surcharges, within the next five years. By this very objective, an inference can be made that there was a gap or deficiency that needed to be filled by legislative action and the shift in the statutory regime would not have been warranted if the existing statute already provided for such exemption.
66. As already dealt with hereinabove, it is clear that the Appellant is a consumer and that it procures electricity for its own consumption and use. In terms of the Act, open access shall be granted by the

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distribution licensee subject to the payment of cross-subsidy and surcharges as decided by the appropriate Commission.

67. This Court, in ***Vodafone International Holdings BV v. Union of India & Anr.***¹⁸, had held that a legislative proposal introducing a specific provision or exemption is indicative that such provision, exemption, or privilege was not covered by the existing framework. In the present case as well, the very fact that such legislative actions to exempt the Appellant from payment of Cross-Subsidy Surcharges have been proposed to be taken, indicate a coherent, consistent, and current legislative intent about the absence of such exemption under the prevailing statute. This absence further implies that even by adopting a purposive construction to the prevailing statute, such an exemption cannot be read into the statute.
68. It was urged by the Appellant that since the proposed amendment grants an exemption from payment of Cross-Subsidy Surcharge and AS, the same should be read into a liberal and purposive interpretation in its favour. Otherwise, an interpretation to impose Cross-Subsidy Surcharge and Additional Surcharge under the current regime would render the proposed amendment otiose. We are unable to accept this approach.
69. It is a settled canon of statutory interpretation that a legislative *casus omissus* cannot be supplied by a judicial interpretative process. Be that as it may, the proposed legislative framework in the present case explicates that the legislative intent of the Parliament under the Electricity Act was not to exempt the Appellant from the obligations under the Electricity Act. *More so*, it puts the controversy to rest as the Appellant, procuring electricity for its own use and consumption, is an industrial consumer and for availing open access, it is liable to pay Cross-Subsidy Surcharge and additional surcharge, like any other consumer.
70. Although we are conscious that the proposed legislation is only a draft amendment bill which has not been enacted by the Parliament, and lacks any force of law as of today, reliance thereupon has been crucial to determine the legislative intent of the Government. Further, the Appellant stands bound by the principle of estoppel. Being an

18 (2012) 6 SCC 757

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entity of the Central Government, the Appellant cannot be permitted to approbate and reprobate or blow hot and cold, by advancing contentions contrary to the position adopted under the proposed statutory scheme.

CONCLUSION

71. It is clear, for the reasons elaborated hereinabove, that the Appellant does not pass muster as a deemed distribution licensee under the Act, and it can in no circumstances escape the liability from payment of cross-subsidy surcharge and additional surcharge as a consumer of electricity through open access.
72. The Respondents are accordingly directed to compute and issue a detailed calculation of the Cross-Subsidy Surcharge and Additional Surcharge amounts outstanding qua the Appellant, disaggregated by the area of supply and the period of availing such open access. The Appellant shall be afforded a reasonable opportunity to respond to the said calculations, and be granted time to furnish and respond to such outstanding amount at the discretion of the respective distribution licensees/companies, subject to the judicial scrutiny of the Appropriate Commission. Ordered accordingly.
73. Consequently, all the Appeals are dismissed and the common judgment and order dated 12.02.2024 passed by the Appellate Tribunal for Electricity at New Delhi (“**APTEL**”) in Appeal Nos. 276/2015, 320/2018, 114/2020, 73/2021, 213/2021, 170/2019, 343/2019 and 133/2020 is upheld. Pending application(s), if any, shall also stand disposed of.
74. No order as to costs.

Result of the case: Appeals dismissed.

The State of Jharkhand & Ors.

v.

Ranjan Kumar & Ors.

(Civil Appeal No. 7364 of 2026)

08 May 2026

[Ahsanuddin Amanullah and R. Mahadevan,* JJ.]

Issue for Consideration

Issue arose for consideration whether the disciplinary action taken against respondent No.1, culminating in his removal from service, suffers from any legal infirmity warranting interference.

Headnotes[†]

Service law – Dismissal from service – Respondent No.1 secured appointment as a Constable under the name “SK” with Bihar Police while continuing in service as a Constable in the Jharkhand Police under the name “RK” through fabricated documents and thereafter remained unauthorisedly absent from service – Memorandum of charge issued in view of the serious irregularities committed to which respondent no.1 submitted written statement of defence – Inquiry Officer thereafter submitted his report – Thereafter, the Superintendent of Police dismissed respondent No.1 from service – Concurrent findings of fact recorded by the disciplinary authority, the appellate authority and the revisional authority that the charges of fraud, impersonation, forgery, cheating, unauthorised absence from duty and violation of service discipline stood proved – Single Judge of the High Court upheld the dismissal, however, the Division Bench of the High Court set aside the same – Correctness:

Held: Member of the police force expected to maintain the highest degree of integrity, honesty and discipline – Fraud at the threshold of entry into service strikes at the very root of public employment – On facts, material available goes far beyond mere suspicion and reasonably establishes a conscious course of deceit adopted by respondent No.1 for obtaining employment benefits

* Author

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from two sovereign employers in a disciplined force – Single Judge correctly appreciated the limited scope of judicial review and declined to substitute judicial opinion in place of the findings recorded in the disciplinary proceedings – However, the Division Bench, clearly transgressed the settled parameters of judicial review by reappreciating the evidence and disturbing concurrent findings of fact recorded by the disciplinary authority, Appellate Authority and Revisional Authority – Such approach cannot be countenanced in law – Respondent No.1 was duly served with a charge memorandum, furnished with relevant materials, afforded adequate opportunity to submit his defence, participated in the enquiry proceedings, received copy of the enquiry report, and submitted his representation thereon – Requirements of procedural fairness and substantial compliance with the prescribed procedure thus stand satisfied – Since the allegations levelled against respondent no.1 pertain to impersonation, fraud, use of forged credentials, dual employment in police departments and unauthorised absence, the continuance of such an employee in service would be wholly detrimental to institutional discipline, public confidence, and the credibility of the police force – Order of dismissal passed against respondent no.1 was a proportionate and justified administrative measure arising out of a fair and lawful enquiry – Thus, the Division Bench not justified in reappreciating the evidence and setting aside the punishment imposed – Allegations, reinforced by forensic findings, *prima facie* disclose the commission of cognizable offences such as cheating, impersonation, forgery, use of forged documents and furnishing false information to public authorities – Public employment, particularly in the police service, cannot be converted into an instrument of fraud – If individuals entrusted with enforcing the law themselves secure entry into service through deception and fabricated credentials, it would seriously erode the rule of law – In these circumstances, while restoring the disciplinary action, it is both necessary and appropriate to direct initiation of criminal proceedings in accordance with law – Matter to be examined by the competent jurisdictional police authority and appropriate steps be taken, in accordance with law – Impugned judgment of the Division Bench set aside, and that of the Single Judge along with the order of dismissal passed by the disciplinary authority, as affirmed by appellate authority and revisional authority stands restored – Patna District

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Order quashed, and appointment of respondent No.3, “SK”, as Constable in the Bihar Police set aside – Jharkhand Police Manual. [Paras 17, 19, 20-27.1]

Case Law Cited

State of Haryana and Another v. Rattan Singh (1977) 2 SCC 491; *M.V. Bijlani v. Union of India and Others* [2006] 3 SCR 896 : (2006) 5 SCC 88; *Union of India and Others v. Subrata Nath* [2022] 18 SCR 605 – referred to.

List of Acts

Constitution of India; Evidence Act, 1872; Penal Code, 1860; Bharatiya Nyaya Sanhita, 2023.

List of Keywords

Disciplinary action; Removal from service; Exercise of judicial review; Dismissal from service; Appointment; Bihar Police; Jharkhand Police; Fabricated documents; Unauthorisedly absent from service; Constable in Jharkhand Police; Constable in Patna District; Different set of certificates; Memorandum of charge; Serious irregularities; Charges of fraud, impersonation, forgery, cheating, unauthorised absence from duty and violation of service discipline.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7364 of 2026

From the Judgment and Order dated 25.08.2022 of the High Court of Jharkhand at Ranchi in LPA No. 74 of 2016

Appearances for Parties

Advs. for the Appellant(s):

Kumar Anurag Singh, Ms. Tulika Mukherjee, Zain A. Khan, Dev Aaryan, Mohd. Abran Khan,

Advs. for the Respondent(s):

Kumar Shivam, Manoj Tandon, Sameer Ranjan, Samir Ali Khan, Pranjal Sharma, Kashif Irshad Khan Faridi.

The State of Jharkhand & Ors. v. Ranjan Kumar & Ors.**Judgment / Order of the Supreme Court****Judgment****R. Mahadevan, J.**

1. Leave granted.
2. The present appeal has been preferred by the appellants assailing the final judgment and order dated 25.08.2022 passed by the High Court of Jharkhand at Ranchi¹ in L.P.A. No. 74 of 2016, whereby the Division Bench allowed the appeal preferred by Respondent No. 1 and set aside the judgment and order dated 30.10.2015 passed by the Learned Single Judge in W.P. (S) No. 1128 of 2012 and consequentially, quashed the order dated 20.08.2010 passed by the disciplinary authority dismissing Respondent No. 1 from service, the order dated 21.05.2011 passed by the Appellate Authority affirming the same, and the order dated 06.02.2012 passed by the revisional authority rejecting the memorial petition.
3. The case of the appellants, as projected in the present appeal is that Respondent No. 1 – Ranjan Kumar, son of Kamta Singh, was appointed as Constable in the Jharkhand Police on 18.05.2005. While serving at Dhurki Police Station as Reserve Guard, he was granted compensatory leave for two days from the afternoon of 20.12.2007 till 23.12.2007. However, he failed to rejoin duty on 23.12.2007 and remained unauthorisedly absent thereafter.
 - 3.1. During the said period of absence, Respondent No. 1 is alleged to have secured appointment as Constable in the State of Bihar *vide* Patna District Order No. 10524 of 2007 dated 26.12.2007 under the name Santosh Kumar, son of Kamta Sharma, by relying upon forged certificates and fabricated credentials. It is further alleged that without any information or permission, he abandoned duty from Patna District Police on 06.01.2008.
 - 3.2. Thereafter, notice was issued to him by the Senior Superintendent of Police, Patna *vide* Memo No. 6868 dated 24.04.2008. Subsequently, the Superintendent of Police, Jehanabad caused an enquiry to be conducted through the Officer-in-Charge,

1 Hereinafter referred to as “the High Court”

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Onkari Police Station, and addressed Memo No. 2512/Go dated 21.06.2008. Pursuant thereto, an enquiry was conducted and the report submitted therein disclosed that Respondent No. 1 and the said Santosh Kumar were one and same person.

- 3.3. Based on the aforesaid material, a memorandum of charge dated 02.09.2008 came to be issued to Respondent No. 1, to which, he submitted his written statement of defence on 29.09.2008. Upon conclusion of the departmental enquiry, Appellant No. 4, Superintendent of Police, Garhwa, passed an order dated 20.08.2010 dismissing Respondent No. 1 from service.
- 3.4. Aggrieved thereby, Respondent No. 1 preferred a statutory appeal before the Appellate Authority, Appellant No. 3, which came to be rejected *vide* Memo No. 806/Go dated 21.05.2011. A memorial petition thereafter preferred by Respondent No. 1 was also rejected by the revisional authority, Appellant No. 2, *vide* Memo No. 59 dated 06.02.2012.
- 3.5. After exhausting the departmental remedies, Respondent No. 1 filed W.P (S) No. 1128 of 2012 before the High Court. The learned Single Judge, after hearing the parties, dismissed the writ petition by order dated 30.10.2015. Being dissatisfied, Respondent No. 1 preferred L.P.A. No. 74 of 2016, which came to be allowed by the Division Bench through the impugned judgment dated 25.08.2022. It is in the aforesaid circumstances that the appellants are before this Court with the present appeal.
4. Learned counsel for the appellants submitted that the Division Bench erred in setting aside the well-reasoned judgment passed by the learned Single Judge in the writ petition and consequentially, quashing the orders of the appellants dismissing Respondent No. 1 from service.
 - 4.1. It was contended that the learned Single Judge had specifically held that the order of penalty was neither passed by ignoring relevant material on record nor based on no evidence. Despite such findings, the Division Bench wrongly concluded that there was no evidence to establish that Respondent No. 1 had secured appointment with Bihar Police while continuing in service under the Jharkhand Police.
 - 4.2. Learned counsel further submitted that the charges framed against Respondent No. 1 stood duly proved on the basis of evidence

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adduced in the departmental proceedings, including photocopies of application forms, photographs, certificates submitted before the Bihar Police authorities, forms with photographs and certificates produced before the Garhwa Police, Jharkhand at the time of joining as well as reports obtained from the Superintendent of Police, Patna and Superintendent of Police, Jehanabad. It was urged that the High Court fell into error in observing that the enquiry report referred to in letter dated 21.06.2008 had neither been tendered in evidence nor furnished to Respondent No.1, whereas in fact the said report had been supplied to him both along with the chargesheet and the enquiry report.

- 4.3. It was next submitted that findings of fact recorded by the disciplinary authority ought not to be interfered with as a matter of course, particularly in the exercise of jurisdiction under Article 226 of the Constitution of India, and the Letters Patent Appeal was itself only an extension of the writ proceedings. In departmental proceedings, the applicable standard is that of preponderance of probabilities, which, according to learned counsel, clearly stood satisfied in the present case. All statutory remedies available to Respondent No. 1 had already been exhausted.
- 4.4. Learned counsel pointed out that in the enquiry conducted by the Garhwa Police, it was found that Respondent No. 1 had secured appointment on 18.05.2005 as a Constable in the Jharkhand Police under the name "Ranjan Kumar", son of Kamta Singh, resident of Village and P.O. Pitamberpur, P.S. Ghoshi, District Jehanabad, by submitting one set of certificates. Thereafter, the same individual allegedly secured appointment on 26.12.2007 as a Constable in Patna District under the name "Santosh Kumar", son of Kamta Sharma, resident of Village Pitamberpur, P.S. Ghoshi, District Jehanabad, on the strength of a different set of certificates. In view of the serious irregularities so committed, a memorandum of charge dated 02.09.2008 was issued to Respondent No. 1, to which he submitted a written statement of defence on 29.09.2008. The Inquiry Officer thereafter submitted his report on 01.07.2010, which was followed by Respondent No.1's written reply dated 31.07.2010. Ultimately, by order dated 20.08.2010 passed by the Superintendent of Police, Garhwa, Respondent No. 1 was dismissed from service.

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- 4.5. Placing reliance on the decision in ***State of Haryana and another v. Rattan Singh***², learned counsel submitted that in a domestic enquiry, strict and technical rules of evidence under the Indian Evidence Act do not apply, and any material which is logically probative for a prudent mind is admissible.
- 4.6. It was urged that the misconduct proved was not of a minor nature, but involved deliberate acts of forgery and fraud for illegally drawing salary from the public exchequer. In such circumstances, the Division Bench ought to have dismissed the Letters Patent Appeal preferred by Respondent No. 1.
- 4.7. Learned counsel lastly submitted that even assuming that material witnesses had not been examined, the Division Bench ought at the highest to have granted liberty to the appellants to continue the enquiry from the stage of examination of witnesses and/or to hold a fresh enquiry.
- 4.8. It was further contended that the effect of the impugned judgment is that Respondent No.1, despite grave misconduct in securing appointments in both the Bihar and Jharkhand Police through fabricated documents and thereafter remaining unauthorisedly absent from service, has been allowed to go scot-free.
- 4.9. On these submissions, learned counsel prayed that the present appeal be allowed and the judgment of the Division Bench be set aside.
5. Learned counsel appearing on behalf of Respondent No. 2 submitted that the State of Bihar fully adopts and supports the submissions advanced by the appellants – State of Jharkhand and others, as the misconduct alleged against Respondent No. 1 concerns fraudulent conduct committed simultaneously against both States.
 - 5.1. It was submitted that Respondent No. 1 – Ranjan Kumar had initially applied pursuant to the advertisement issued for recruitment to the post of Constable in the Jharkhand Police Department. Merely twelve days thereafter, in response to a separate recruitment process initiated by Bihar Police, another application was submitted in the name of Santosh Kumar seeking appointment as Constable in Bihar Police.

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- 5.2. According to learned counsel, the photograph affixed in the Bihar Police application was that of the same individual who had applied before the Jharkhand authorities. However, the supporting certificates annexed thereto described the candidate as “Santosh Kumar”, son of Kamta Sharma, whereas in the Jharkhand records, Respondent No. 1 was reflected under a different name and parentage. This itself demonstrates deliberate impersonation and conscious use of dual identities for securing public employment.
- 5.3. It was further submitted that on the basis of documents furnished by Respondent No. 1, his candidature was accepted by the Jharkhand Police authorities, and he was appointed as Constable in Garhwa District on 18.05.2005. Thereafter, while posted at Dhurki Police Station as Reserve Guard, he was granted compensatory leave for two days, namely from the afternoon of 20.12.2007 till 23.12.2007. However, instead of rejoining duty, he absented himself without authorisation. Learned counsel submitted that during the said unauthorised absence, Respondent No. 1 joined Bihar Police as Constable *vide* Patna District Order No. 10524 of 2007 dated 26.12.2007 in the assumed name of Santosh Kumar, son of Kamta Sharma, by relying upon forged and fabricated certificates. It was contended that Respondent No. 1 thus managed to secure employment in two disciplined police forces at the same time by deception.
- 5.4. Learned counsel further submitted that the enquiry initiated by the Superintendent of Police, Jehanabad through the Officer-in-Charge of Onkari Police Station, revealed that the same individual was functioning under two names, namely as Ranjan Kumar in Jharkhand and Santosh Kumar in Bihar. The Superintendent of Police, Jehanabad thereafter addressed Memo No. 2512/go to the Senior Superintendent of Police, Patna recording that Constable No. 1331 Santosh Kumar, son of Kamta Sharma, resident of Pitambarpur, Police Station Ghosi (Onkari), had already been serving in Jharkhand Police for about two years; that he had recently joined Bihar Police but absconded during training; and that his family members were concealing material facts regarding his whereabouts. Thus, the contemporaneous official communications clearly establish

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that Respondent No. 1 was indulging in fraud upon both State Governments by securing dual appointments through forged credentials and false representation.

- 5.5. It was next submitted that in view of grave misconduct committed by Respondent No. 1, namely cheating, forgery, misleading authorities, suspicious conduct, unauthorised absence, and obtaining simultaneous employment in two police forces, a regular departmental proceeding was initiated against him by the Jharkhand authorities. Learned counsel pointed out that along with the memorandum of charge, all relevant documents forming the basis of the proceedings were supplied to Respondent No. 1, including recruitment advertisements, educational certificates, domicile certificate, official correspondence from Bihar authorities, enquiry reports and memoranda issued by the Senior Superintendent of Police, Jehanabad. Hence, the allegation of non-supply of documents is wholly misconceived.
- 5.6. It was submitted that Respondent No. 1 submitted a written statement of defence, but failed to furnish any truthful, cogent, or transparent explanation regarding the incriminating findings of the Onkari Police Station enquiry or the dual identities used by him. The Enquiry Officer, after considering the documentary evidence and defence reply, held the charges proved.
- 5.7. Learned counsel emphasised that a copy of the enquiry report was duly furnished to Respondent No. 1 and that he submitted a detailed representation thereto. Thus, full opportunity of defence was granted and the principles of natural justice were scrupulously complied with.
- 5.8. It was submitted that upon consideration of the entire record, the Superintendent of Police, Garhwa passed final order dated 20.08.2010 in Departmental Proceeding No. 48/08 dismissing Respondent No. 1 from service. The departmental appeal preferred before the Deputy Inspector General of Police was dismissed on 21.05.2011. Thereafter, the memorial petition preferred before the Director General-cum- Inspector General of Police (Revisional Authority) was also rejected by a reasoned order in February 2012.

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- 5.9. Learned counsel further submitted that the learned Single Judge, by a detailed judgment dated 30.10.2015, rightly dismissed the writ petition after finding no infirmity in the disciplinary process. However, the Division Bench erroneously allowed the Letters Patent Appeal, *vide* impugned judgment dated 25.08.2022. According to learned counsel, the Division Bench exceeded the settled limits of judicial review by reappreciating evidence in a departmental matter despite concurrent findings of guilt recorded by the disciplinary, appellate, and revisional authorities, as affirmed by the learned Single Judge.
- 5.10. Considering the aforesaid grounds, learned counsel submitted that the impugned judgment of the Division Bench deserves to be set aside and the order of dismissal passed against Respondent No. 1 restored.
6. *Per contra*, learned counsel appearing on behalf of Respondent No. 1 – Ranjan Kumar, at the outset, submitted that the appellants have failed to make out any case warranting interference by this Court under Article 136 of the Constitution of India. According to the learned counsel, the impugned judgment of the Division Bench is a well-reasoned judgment passed in exercise of writ jurisdiction.
- 6.1. It was submitted that the entire disciplinary proceedings suffer from a fundamental defect, namely, that it is a case of no evidence. The charge against Respondent No. 1 pertained to alleged acts said to have occurred in the State of Bihar, yet not a single material witness from Bihar was examined to substantiate the allegations. Though several witnesses were cited in the memorandum of charge, only one formal witness was examined, and none of the persons connected with the alleged appointments, records, or complaints were produced before the Enquiry Officer. In such circumstances, the findings recorded against Respondent No. 1 are wholly unsupported by legal evidence.
- 6.2. Learned counsel contended that mere production of documents does not amount to proof of their contents. The disciplinary authority relied upon letters and reports purportedly issued by the Superintendent of Police, Patna and Superintendent of Police, Jehanabad, but neither of the authors was examined

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during the enquiry. Since the makers of those documents were withheld, Respondent No. 1 was denied the valuable right of cross-examination. It was urged that reliance upon such unproved documents is contrary to settled principles of natural justice and fair procedure.

- 6.3. It was further submitted that the so-called enquiry report referred to by the department was nothing but a preliminary enquiry report, and punishment could not have been founded upon such material without proving the allegations in a regular departmental enquiry. To punish Respondent No. 1 solely on the basis of a preliminary fact-finding exercise, without examining the author thereof, renders the entire proceeding vitiated.
- 6.4. According to the learned counsel, the service conditions of Respondent No. 1 are governed by the provisions of the Jharkhand Police Manual, including Rule 828 read with Appendix 49, which contemplate a full-fledged disciplinary process. However, the present proceedings were conducted *de hors* the prescribed procedure and reduced to a mere formality, with the conclusion predetermined.
- 6.5. It was argued that although strict rules of the Indian Evidence Act may not apply to departmental proceedings, the charge must nonetheless be established on the touchstone of preponderance of probabilities through cogent and reliable material. Suspicion, conjecture, or departmental assumptions cannot substitute proof. In the present case, there was no credible evidence to establish impersonation, forgery, or dual employment.
- 6.6. Learned counsel further submitted that there was no conceivable reason for Respondent No. 1, already serving as a constable in Jharkhand, to seek another appointment in Bihar under a false identity. The allegation itself is inherently improbable and unsupported by any independent evidence.
- 6.7. It was urged that the learned Single Judge, while dismissing the writ petition, failed to appreciate that the disciplinary authority had ignored relevant materials and relied upon irrelevant considerations. The Division Bench, therefore, rightly corrected the manifest illegality in the order of dismissal while allowing the Letters Patent Appeal.

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- 6.8. Reliance was placed upon the decision of this Court in ***M.V. Bijlani v. Union of India and others***³ to contend that where findings in disciplinary proceedings are based on no evidence or are perverse, judicial review under Article 226 is fully available.
- 6.9. Learned counsel submitted that Respondent No. 1 has consistently maintained one identity throughout. He has been recorded with the Bihar School Examination Board, Patna as “Ranjan Kumar” son of Kamta Singh. He appeared in the matriculation examination under the same name and was thereafter issued mark-sheets, school leaving certificate, character certificate, and final matriculation certificate bearing identical particulars. Even the voter identity card issued by the Election Commission of India reflected the same credentials. It was further submitted that on the basis of these genuine records, Respondent No. 1 was appointed as Constable in Garhwa District (Jharkhand). Thus, there was never any attempt to suppress identity or assume a false name. The allegation that he served as “Santosh Kumar”, son of Kamta Sharma, is wholly baseless and unsupported by evidence.
- 6.10. Lastly, learned counsel submitted that the respondent was dismissed from service on 20.08.2010 and more than thirteen years have elapsed. In the facts of the case, where the charge itself remains unproved, no liberty ought to be reserved for initiating any fresh departmental enquiry at this belated stage.
- 6.11. With the aforesaid submissions, learned counsel prayed that the impugned judgment of the Division Bench is just, legal, and equitable, and hence, this appeal deserves to be dismissed as being devoid of merit.
7. We have heard the learned counsel appearing for the respective parties at considerable length and have carefully perused the materials placed on record.
8. This Court by order dated 20.03.2023 granted stay of the operation and implementation of the impugned judgment passed by the Division Bench of the High Court.

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- 8.1. Thereafter, by order dated 14.07.2025, this Court impleaded the Director General of Police, Bihar, as Respondent No. 2, to facilitate an effective adjudication of the controversy arising in the present proceedings.
- 8.2. Subsequently, by order dated 10.02.2026, this Court impleaded Santosh Kumar, Son of Kamta Sharma, resident of Village Pitambarpur, Post Pitambarpur, Police Station Ghoshi (Onkari), District Jehanabad as Respondent No. 3. By the same order, this Court directed Respondent No. 2 to conduct an enquiry regarding the identity of two persons namely, Ranjan Kumar and Santosh Kumar, who were stated to be residents of the same village and whose fathers' names were similar, namely one Kamta Singh and the other Kamta Sharma.
- 8.3. Pursuant thereto, Respondent No. 1, Ranjan Kumar, appeared before this Court along with his learned counsel on 17.03.2026. This Court directed Respondent No. 1 to appear before Respondent No. 2 on 23.03.2026 at 11.00 a.m. in his office, where the Superintendent of Police, Jehanabad, Bihar was also directed to remain present. This Court further directed that Respondent No. 1 shall accompany the Superintendent of Police, Jehanabad, who was to cause an enquiry to be conducted as to whether Respondent No. 1 was the same person who had worked in Patna, Bihar as well. It was additionally directed that a Special Team be constituted by the Superintendent of Police, Jehanabad, to verify whether Santosh Kumar, Respondent No. 3, was a real person and, if so, to trace and locate him, and that a report be submitted through the Director General of Police, Bihar, to this Court in a sealed cover.
- 8.4. In compliance with the aforesaid directions, the Director General of Police, Bihar, submitted a detailed enquiry report dated 11.04.2026. The said report is taken on record. The same shall form part of the present judgment and has been duly considered along with the entire material available on record.
9. The principal issue which falls into consideration is whether the disciplinary action taken against Respondent No. 1 Ranjan Kumar, culminating in his removal from service, suffers from any legal infirmity warranting interference in exercise of judicial review.

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10. As already stated, it is the specific case of the appellants that the charges framed against Respondent No. 1 stood duly proved on the basis of the material available on record in the departmental proceedings, including photostat copies of the forms, photographs and certificates submitted before the Police Department of Bihar, as also the forms, photographs, and certificates produced before Garhwa Police, Jharkhand, at the time of joining service together with reports obtained from the Superintendent of Police, Patna and the Superintendent of Police, Jehanabad. The learned Single Judge rightly dismissed the writ petition challenging the order of dismissal passed by the disciplinary authority, as affirmed by the Appellate Authority and the Revisional Authority. However, the Division Bench erred in setting aside the said orders by holding that there was no evidence to establish that Respondent No. 1 had secured appointment with the Bihar Police while continuing in service under the Jharkhand Police. Whereas Respondent No. 1 denied the same, by stating that there was no legally acceptable material to establish forgery, impersonation, or dual employment and therefore, the punishment of dismissal was wholly unwarranted. According to him, the Division Bench rightly interfered with the findings of the learned Single Judge and the departmental authorities.
11. For appreciating the rival contentions, it would be apposite to notice the findings concurrently recorded by the authorities below, the relevant portions of which are usefully extracted below:

Superintendent of Police, Garhwa (Disciplinary Authority)

".... The delinquent in the query made in his defence explanation, has mentioned that all the charges framed against him are wrong but has not produced any strong evidence in his defence.

The Conducting Officer, in his opinion, has found the delinquent completely guilty for the charges framed against him.

I also perused the case file of these departmental proceedings. In the advertisement No. 1/04 of Jharkhand, Ranchi, he was appointed in Garhwa Police on dated 18.05.05, where Police (Constable) No. 659. But, at the time, the delinquent was appointed as Reserve Guard

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at Kandi Police Station, on dated 20.12.07, he left on compensatory leave for two days and started remaining absent. For the charge of remaining absent, vide District order No. 1261/07, salary of the delinquent was stopped. During the period of absent of the delinquent from Garhwa District, he got an appointment as a Constable in the name of Santosh Kumar vide Patna District Order No. 10524/2007 dated 26.12.07 pursuant to the Advertisement No. 01/2004 of the State of Bihar, where Constable No. 1331 in Patna District Force was allotted. In the above said appointment, name of the delinquent is mentioned Santosh Kumar, son of Kamta Sharma, resident of Village and post office – Pitamberpur, Police Station – Goshi, District – Jahanabad. Charges framed against the delinquent are supported by the Exhibits available in the case file. Thus, the delinquent, by keeping the department in dark, committing forgery and cheating and making open violation of the Government Service Code got appointment as a Constable in Patna District Force by changing his name, which is not only the violation of Civil Service Code but can be considered as a matter of criminal case

Hence, I Richard Lakada (I.P.S.) Superintendent of Police, Garhwa, in exercise of the powers conferred under Police Manual Rule – 824 (which are approved under Section 7 of the Police Act - 05,861), find Police-659 Ranjan Kumar guilty for the above offence and dismiss him from the service.”

Deputy Inspector General of Police, Palamu Region (Appellate Authority)

“....

I perused the charge framed against the delinquent, opinion of the Conducting Officer, explanation submitted against dismissal from service submitted by the delinquent, Final Order passed by the Superintendent of Police, Garhwa, Appeal representation received from the delinquent, para-wise comments sent with reference to the points raised in the appeal representation of the delinquent

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by the Superintendent of Police and other documents available in the case file. At the time, the delinquent got appointment in Garhwa Police on dated 18.05.05 pursuant to the advertisement No. 01/04 of the Police Headquarters, Jharkhand Ranchi, Garhwa District Police No. 659 was allotted to him. But at the time, he was posted in Kandi Police station, he left on two days' compensatory leave on dated 20.12.07 and started remaining absent and for the charge of being absent from duty, his salary was stopped vide Garhwa District Order No. 1261/07. During the period of his absent from duty itself, by changing his name, he got appointment in the name of Santosh Kumar on dated 26.1.07 in Patna District Force pursuant to the advertisement No. 01/04 of the State of Bihar. Constable No. 1331 was allotted to him in Patna District Force. Thus, the delinquent police, by keeping the department in dark, committing forgery and cheating, making open violation of Civil Service Code, got appointment on the post of Constable in Patna District Force by changing his name, which is not only the violation of Civil Service Code but can be considered a criminal matter as well. Therefore, penalty awarded to the delinquent police 659 Ranjan Kumar by the Superintendent of Police, Garhwa is appropriate.

Therefore, appeal representation received from the delinquent police 659 Ranjan Kumar is dismissed."

Director General and Inspector General of Police, Jharkhand, Ranchi (Revisional Authority)

"...A letter was written by the Senior Superintendent of Police, Patna to the Superintendent of Police, Jehanabad to conduct an investigation during which, it was found that the same person is posted as constable in Garhwa District Force in the name of Ranjan Kumar, accordingly the Senior Superintendent of Police, Patna. The Superintendent of Police, Garhwa was informed about the fact. During the investigation in this regard by the Superintendent of Police, Garhwa, all the certificates submitted by Police Ranjan Kumar for appointment were found to be forged.

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The operation of this departmental action was completed as per the prescribed procedure and on the basis of the conducting officer being found guilty of misconduct, an order of dismissal was passed against him by the Superintendent of Police, Garhwa. Against this dismissal order, an appeal was submitted by the offender to the Regional Deputy Inspector General of Police, which has been rejected. The allegation against the offender is very serious and he has been found guilty. The offender has not presented any clinching facts in his appeal representation to prove his innocence, a criminal case is also made against the offender. The dismissal order passed against the delinquent is in accordance with the seriousness of the allegation and is absolutely correct. Therefore, retaining the sentence of dismissal from the service passed by the Superintendent of Police, Garhwa in this departmental proceeding for the above serious allegation, the appeal representation of the delinquent is rejected.”

12. The disciplinary authority, upon consideration of the enquiry report, documentary exhibits, service records, appointment forms, photographs and reports obtained from the concerned authorities at Patna and Jehanabad, concluded that the charges of fraud, impersonation, forgery, cheating, unauthorised absence from duty and violation of service discipline stood proved. A categorical finding was recorded that Respondent No. 1, while serving as a Constable in Garhwa District Police, clandestinely secured another appointment in the Bihar Police under a different identity, namely “Santosh Kumar”, by suppressing his existing employment and by using forged or manipulated documents.
 - 12.1. The Appellate Authority independently reappraised the material available on record and concurred with the findings of guilt, holding that the punishment of dismissal was commensurate with the gravity of the misconduct.
 - 12.2. The Revisional Authority also affirmed the same, recording that the departmental proceedings had been conducted in accordance with the prescribed procedure, that the allegations were of a grave nature affecting the integrity of the police force, and that Respondent No. 1 had failed to place any convincing material to establish his innocence.

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- 12.3. Thus, the findings recorded by all three authorities were concurrent findings of fact founded on relevant material produced during the enquiry and cannot be characterised as conjectural or based on no evidence.
13. The gravamen of the charge against Respondent No. 1 is not a mere procedural lapse or unauthorised absence simpliciter. The allegations concern a deliberate and premeditated fraud upon two State police forces, namely the States of Jharkhand and Bihar, by securing or attempting to secure public employment under two different names with inconsistent parentage particulars, supported by fabricated or manipulated documents.
14. The record reveals that Respondent No. 1 first applied for recruitment in the Jharkhand Police and thereafter submitted another application for appointment in the Bihar Police under the name “Santosh Kumar”. The contemporaneous material indicates that the photograph used in both applications was of the same person. It further appears that while serving in the Jharkhand Police, he absented himself from duty and joined the Bihar Police under the alternate identity.
15. Most significantly, pursuant to the directions of this Court, an independent enquiry was conducted by the Bihar Police authorities. The report dated 11.04.2026 submitted through the Director General of Police, Bihar, indicates that forensic comparison of fingerprints, biometric records, and photographs established that “Ranjan Kumar” and “Santosh Kumar” were one and the same person. Genealogical records and electoral rolls further suggested that the variance in the father’s name and surname formed part of a manipulated identity trail rather than proof of separate persons.
16. The aforesaid report is founded on objective scientific material, including fingerprint examination and photographic comparison. Such material substantially dislodges the defence of mistaken identity or absence of proof that sought to be projected by Respondent No. 1.
17. It is well settled that a member of the police force is expected to maintain the highest degree of integrity, honesty and discipline. Fraud at the threshold of entry into service strikes at the very root of public employment. In the present case, the material available goes far beyond mere suspicion and reasonably establishes a

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conscious course of deceit adopted by Respondent No. 1 for obtaining employment benefits from two sovereign employers in a disciplined force.

18. The submission that some witnesses were not examined, or certain documents were not formally proved does not advance the case of Respondent No. 1. Departmental enquiries are not criminal trials. So long as a fair opportunity is afforded and the conclusion is based on relevant material having probative value, the Court would not interfere. In the present matter, Respondent No. 1 was served with a charge memorandum, furnished with the materials relied upon, permitted to submit his defence, supplied with the enquiry report and heard at every departmental stage.
19. The law is settled that the findings of fact recorded by the disciplinary authority are not to be interfered with by the Court as a matter of course, particularly while exercising jurisdiction under Article 226 of the Constitution of India. In departmental proceedings, the standard of proof is one of preponderance of probabilities. Where the material on record reasonably supports the departmental case, the High Court would not reappreciate the evidence as if sitting in appeal. In this regard, reference may be made to the decision of this Court in ***Union of India and others v. Subrata Nath, in Civil Appeal Nos. 7939-7940 of 2022 decided on 22.11.2022***, wherein the limits of judicial review in service disciplinary matters have been authoritatively reiterated. The following paragraphs are pertinent:

“15. It is well settled that courts ought to refrain from interfering with findings of facts recorded in a departmental inquiry except in circumstances where such findings are patently perverse or grossly incompatible with the evidence on record, based on no evidence. However, if principles of natural justice have been violated or the statutory regulations have not been adhered to or there are malafides attributable to the Disciplinary Authority, then the courts can certainly interfere.

16. In the above context, following are the observations made by a three-Judge Bench of this Court in B.C. Chaturvedi (supra):

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“12. Judicial review is not an appeal from a decision but a review of the manner in which the decision is made. Power of judicial review is meant to ensure that the individual receives fair treatment and not to ensure that the conclusion which the authority reaches is necessarily correct in the eye of the court. When an inquiry is conducted on charges of misconduct by a public servant, the Court/Tribunal is concerned to determine whether the inquiry was held by a competent officer or whether rules of natural justice are complied with. Whether the findings or conclusions are based on some evidence, the authority entrusted with the power to hold inquiry has jurisdiction, power and authority to reach a finding of fact or conclusion. But that finding must be based on some evidence. Neither the technical rules of Evidence Act nor of proof of fact or evidence as defined therein, apply to disciplinary proceeding. When the authority accepts that evidence and conclusion receives support therefrom, the disciplinary authority is entitled to hold that the delinquent officer is guilty of the charge. The Court/Tribunal in its power of judicial review does not act as appellate authority to reappreciate the evidence and to arrive at its own independent findings on the evidence. The Court/Tribunal may interfere where the authority held the proceedings against the delinquent officer in a manner inconsistent with the rules of natural justice or in violation of statutory rules prescribing the mode of inquiry or where the conclusion or finding reached by the disciplinary authority is based on no evidence. If the conclusion or finding be such as no reasonable person would have ever reached, the Court/Tribunal may interfere with the conclusion or the finding, and mould the relief so as to make it appropriate to the facts of each case.

13. The disciplinary authority is the sole judge of facts. Where appeal is presented, the appellate authority has coextensive power to reappreciate the evidence

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or the nature of punishment. In a disciplinary inquiry, the strict proof of legal evidence and findings on that evidence are not relevant. Adequacy of evidence or reliability of evidence cannot be permitted to be canvassed before the Court/Tribunal. In Union of India v. H.C. Goel (1964) 4 SCR 718 this Court held at p. 728 that if the conclusion, upon consideration of the evidence reached by the disciplinary authority, is perverse or suffers from patent error on the face of the record or based on no evidence at all, a writ of certiorari could be issued.

xxx xxx xxx

xxx xxx xxx

18. A review of the above legal position would establish that the disciplinary authority, and on appeal the appellate authority, being fact-finding authorities have exclusive power to consider the evidence with a view to maintain discipline. They are invested with the discretion to impose appropriate punishment keeping in view the magnitude or gravity of the misconduct. The High Court/Tribunal, while exercising the power of judicial review, cannot normally substitute its own conclusion on penalty and impose some other penalty. If the punishment imposed by the disciplinary authority or the appellate authority shocks the conscience of the High Court/Tribunal, it would appropriately mould the relief, either directing the disciplinary/appellate authority to reconsider the penalty imposed, or to shorten the litigation, it may itself, in exceptional and rare cases, impose appropriate punishment with cogent reasons in support thereof.”

[Emphasis laid]

17. In State Bank of Bikaner and Jaipur v. Nemi Chand Nalwaya (2011) 4 SCC 584, a two Judge Bench of this Court held as below :

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“7. It is now well settled that the courts will not act as an appellate court and reassess the evidence led in the domestic enquiry, nor interfere on the ground that another view is possible on the material on record. If the enquiry has been fairly and properly held and the findings are based on evidence, the question of adequacy of the evidence or the reliable nature of the evidence will not be grounds for interfering with the findings in departmental enquiries. Therefore, courts will not interfere with findings of fact recorded in departmental enquiries, except where such findings are based on no evidence or where they are clearly perverse. The test to find out perversity is to see whether a tribunal acting reasonably could have arrived at such conclusion or finding, on the material on record. The courts will however interfere with the findings in disciplinary matters, if principles of natural justice or statutory regulations have been violated or if the order is found to be arbitrary, capricious, mala fide or based on extraneous considerations. (Vide B.C. Chaturvedi v. Union of India (1995) 6 SCC 749, Union of India v. G. Ganayutham (1997) 7 SCC 463, Bank of India v. Degala Suryanarayana (1999) 5 SCC 762, and High Court of Judicature at Bombay v. Shashikant S. Patil (2000) 1 SCC 416).

[Emphasis laid]

18. In *Chairman & Managing Director, V.S.P. and others v. Goparaju Sri Prabhakara Hari Babu* (2008) 5 SCC 569, a two Judge Bench of this Court referred to several precedents on the Doctrine of Proportionality of the order of punishment passed by the Disciplinary Authority and held that :

“21. Once it is found that all the procedural requirements have been complied with, the courts would not ordinarily interfere with the quantum of punishment imposed upon a delinquent employee. The superior courts only in some cases may invoke

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the doctrine of proportionality. If the decision of an employer is found to be within the legal parameters, the jurisdiction would ordinarily not be invoked when the misconduct stands proved.”

19. *Laying down the broad parameters within which the High Court ought to exercise its powers under Article 226/227 of the Constitution of India and matters relating to disciplinary proceedings, a two Judge Bench of this Court in Union of India and Others v. P. Gunasekaran (2015) 2 SCC 610 held thus :*

“12. Despite the well-settled position, it is painfully disturbing to note that the High Court has acted as an appellate authority in the disciplinary proceedings, reappreciating even the evidence before the enquiry officer. The finding on Charge I was accepted by the disciplinary authority and was also endorsed by the Central Administrative Tribunal. In disciplinary proceedings, the High Court is not and cannot act as a second court of first appeal. The High Court, in exercise of its powers under Articles 226/227 of the Constitution of India, shall not venture into reappreciation of the evidence. The High Court can only see whether:

- (a) the enquiry is held by a competent authority;*
- (b) the enquiry is held according to the procedure prescribed in that behalf;*
- (c) there is violation of the principles of natural justice in conducting the proceedings;*
- (d) the authorities have disabled themselves from reaching a fair conclusion by some considerations extraneous to the evidence and merits of the case;*
- (e) the authorities have allowed themselves to be influenced by irrelevant or extraneous considerations;*
- (f) the conclusion, on the very face of it, is so wholly arbitrary and capricious that no reasonable person could ever have arrived at such conclusion;*

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(g) the disciplinary authority had erroneously failed to admit the admissible and material evidence;

(h) the disciplinary authority had erroneously admitted inadmissible evidence which influenced the finding;

(i) the finding of fact is based on no evidence.

13. Under Articles 226/227 of the Constitution of India, the High Court shall not:

(i) reappreciate the evidence;

(ii) interfere with the conclusions in the enquiry, in case the same has been conducted in accordance with law;

(iii) go into the adequacy of the evidence;

(iv) go into the reliability of the evidence;

(v) interfere, if there be some legal evidence on which findings can be based.

(vi) correct the error of fact however grave it may appear to be;

(vii) go into the proportionality of punishment unless it shocks its conscience.”

20. In Union of India and others v. Ex. Constable Ram Karan, (2022) 1 SCC 373, a two Judge Bench of this Court made the following pertinent observations :

“23. The well-ingrained principle of law is that it is the disciplinary authority, or the appellate authority in appeal, which is to decide the nature of punishment to be given to the delinquent employee. Keeping in view the seriousness of the misconduct committed by such an employee, it is not open for the courts to assume and usurp the function of the disciplinary authority.

24. Even in cases where the punishment imposed by the disciplinary authority is found to be shocking to

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the conscience of the court, normally the disciplinary authority or the appellate authority should be directed to reconsider the question of imposition of penalty. The scope of judicial review on the quantum of punishment is available but with a limited scope. It is only when the penalty imposed appears to be shockingly disproportionate to the nature of misconduct that the courts would frown upon. Even in such a case, after setting aside the penalty order, it is to be left to the disciplinary/ appellate authority to take a call and it is not for the court to substitute its decision by prescribing the quantum of punishment. However, it is only in rare and exceptional cases where the court might to shorten the litigation may think of substituting its own view as to the quantum of punishment in place of punishment awarded by the competent authority that too after assigning cogent reasons.”

21. A Constitution Bench of this Court in *State of Orissa and Others (supra)* held that if the order of dismissal is based on findings that establish the *prima facie* guilt of great delinquency of the respondent, then the High Court cannot direct reconsideration of the punishment imposed. Once the gravity of the misdemeanour is established and the inquiry conducted is found to be consistent with the prescribed rules and reasonable opportunity contemplated under the rules, has been afforded to the delinquent employee, then the punishment imposed is not open to judicial review by the Court. As long as there was some evidence to arrive at a conclusion that the Disciplinary Authority did, such an order becomes unassailable and the High Court ought to forebear from interfering. The above view has been expressed in *Union of India v. Sardar Bahadur (1972) 4 SCC 618*.

22. To sum up the legal position, being fact finding authorities, both the Disciplinary Authority and the Appellate Authority are vested with the exclusive power to examine the evidence forming part of the inquiry report. On finding the evidence to be adequate and reliable during

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the departmental inquiry, the Disciplinary Authority has the discretion to impose appropriate punishment on the delinquent employee keeping in mind the gravity of the misconduct. However, in exercise of powers of judicial review, the High Court or for that matter, the Tribunal cannot ordinarily reappreciate the evidence to arrive at its own conclusion in respect of the penalty imposed unless and until the punishment imposed is so disproportionate to the offence that it would shock the conscience of the High Court/Tribunal or is found to be flawed for other reasons, as enumerated in P.Gunasekaran (supra). If the punishment imposed on the delinquent employee is such that shocks the conscience of the High Court or the Tribunal, then the Disciplinary/Appellate Authority may be called upon to re-consider the penalty imposed. Only in exceptional circumstances, which need to be mentioned, should the High Court/Tribunal decide to impose appropriate punishment by itself, on offering cogent reasons therefor.

23. Applying the law laid down above to the instant case, we are of the view that the High Court ought not to have interfered with the findings of fact recorded by the Disciplinary Authority.”

20. Applying the aforesaid principles to the facts of the present case, we are of the considered opinion that the learned Single Judge correctly appreciated the limited scope of judicial review and declined to substitute judicial opinion in place of the findings recorded in the disciplinary proceedings. However, the Division Bench, while exercising appellate jurisdiction in the Letters Patent Appeal, clearly transgressed the settled parameters of judicial review by reappreciating the evidence and disturbing concurrent findings of fact recorded by the disciplinary authority, the Appellate Authority and the Revisional Authority. Such an approach cannot be countenanced in law.
21. Rule 828 of the Jharkhand Police Manual read with Appendix 49, prescribes the procedure for imposition of major penalties. In the present case, it is evident that Respondent No. 1 was duly served with a charge memorandum, furnished with relevant materials, afforded adequate opportunity to submit his defence, participated in

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the enquiry proceedings, received a copy of the enquiry report, and submitted his representation thereon. The requirements of procedural fairness and substantial compliance with the prescribed procedure thus stand satisfied.

22. Since the allegations levelled against Respondent No. 1 pertain to impersonation, fraud, use of forged credentials, dual employment in police departments and unauthorised absence, the continuance of such an employee in service would be wholly detrimental to institutional discipline, public confidence, and the credibility of the police force. The order of dismissal passed against Respondent No. 1 was a proportionate and justified administrative measure arising out of a fair and lawful enquiry. Therefore, the Division Bench was not justified in reappreciating the evidence and setting aside the punishment imposed.
23. We are further of the considered view that the matter does not rest merely within the realm of departmental misconduct. The allegations, now reinforced by forensic findings, prima facie disclose the commission of cognizable offences such as cheating, impersonation, forgery, use of forged documents and furnishing false information to public authorities under the Indian Penal Code or the corresponding provisions of the Bharatiya Nyaya Sanhita, as applicable.
24. Public employment, particularly in the police service, cannot be converted into an instrument of fraud. If individuals entrusted with enforcing the law themselves secure entry into service through deception and fabricated credentials, it would seriously erode the rule of law. In these circumstances, while restoring the disciplinary action, it is both necessary and appropriate to direct initiation of criminal proceedings in accordance with law.
25. Accordingly, the Director General of Police, Bihar and the Director General of Police, Jharkhand, shall ensure that the matter is examined by the competent jurisdictional police authority and appropriate steps be taken, in accordance with law.
26. It is clarified that the observations made herein are for the purpose of adjudication of the present service matter and for directing examination of the criminal aspect. Any criminal proceedings shall be decided on their own merits.

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27. The impugned judgment of the Division Bench is accordingly set aside. The judgment of the learned Single Judge along with the order of dismissal passed by the disciplinary authority, as affirmed by the appellate authority and the revisional authority stands restored.
- 27.1. In the background of the discussions made in this judgment, we deem it necessary to exercise our jurisdiction under Article 142 of the Constitution of India, to do complete justice in the matter. Accordingly, Patna District Order No. 10524 of 2007 dated 26.12.2007 is quashed, and the appointment of Respondent No. 3, "Santosh Kumar", son of Kamta Sharma as a Constable in the Bihar Police is set aside. The consequences, in law, shall follow.
28. This Civil Appeal stands allowed on the aforesaid terms. There shall be no order as to costs.
29. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

**Headnotes prepared by:* Nidhi Jain

**Gunjan @ Girija Kumari and Others
v.**

State (NCT of Delhi) and Another

(Criminal Appeal No. 2446 of 2026)

11 May 2026

[Prashant Kumar Mishra and N.V. Anjaria,* JJ.]

Issue for Consideration

Whether the FIR and the charge-sheet filed against the appellants-accused for offences u/ss.3(1)(r) and 3(1)(s) of the SC/ST Act as well as for the offences u/s.506 r/w s.34, IPC, ought to be quashed.

Headnotes[†]

Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989 – ss.3(1)(r) and 3(1)(s) – “a place within public view”, when not – Offence u/s.3(1)(r) and/or s.3(1)(s) not made out if alleged caste-based abuses are hurled inside a house, not exposed to public eye or public gaze – Charge framed by trial court against the appellants-accused for offences u/ss.3(1)(r) and 3(1)(s) of the SC/ST Act and u/s.506 r/w s.34, IPC – High Court rejected the prayer of the appellants to quash the said orders and dismissed the Criminal Revision Petition – Interference with:

Held: In order to make out the offence u/s.3(1)(r) and/or s.3(1)(s) of the SC/ST Act, the occurrence of the incident and the act and conduct of hurling of caste-based abuses must take place at “a place within public view” – It must be a place within the public gaze – Even if it happens to be a private place, then in such eventuality a public-eye must have an access to be able to notice what happens there or what is taking place that will only make the “place within public view” – Alleged incident took place in a private place and within four walls of the house of respondent No.2-complainant and the appellants, who all are family members – While the allegation in the FIR was that respondent No.2 had been suffering similar kind of incidents since long and for last one year, it was not stated anything specific in respect of those

* Author

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earlier incidents with regard to the incident for which the complaint was filed, it was not indicated that any independent member of public was present to witness the occurrence – Once that is so, to suggest that the house place was not exposed to public eye or public gaze, a residential house in no way becomes “a place within public view” – The requirement that the place must be one “within public view” is a *sine qua non* for making out the offence under the SC/ST Act – In the complaint/FIR, nowhere it was stated that the said incident wherein appellant No.1 and other appellants are stated to have abused and threatened complainant, took place where there was a public gaze – The necessary ingredient of occurrence of the incident “in a place within public view” was conspicuously absent – The charge could not have framed and was wrongly framed by the trial court against the appellants for offences u/ss.3(1)(r) and 3(1)(s) of the SC/ST Act – Furthermore, the charge framed u/s.506 r/w s.34, IPC against all the appellants was also wrongly framed – Impugned judgment of the High Court and the orders of the trial court set aside – FIR and the charge-sheet filed against the appellants for offences u/ss.3(1)(r) and 3(1)(s) of the SC/ST Act and for offences u/s.506 r/w s.34, IPC, quashed – Penal Code, 1860 – s.506 r/w s.34. [Paras 5.9, 6.4, 6.7, 9, 9.1]

Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989 – ss.3(1)(r) and 3(1)(s) – “a place within public view”, a *sine qua non* for making out the offence under the SC/ST Act:

Held: The occurrence of the incident to become an offence under the SC/ST Act must have happened “in a place within public view” – This is a principal requirement amongst the other ingredients – The other aspects namely “intentional insult or intimidation” and “an intent to humiliate”, gathers a kind of intensity when the insult, intimidation, humiliation or abusive utterances, as the case may be, takes place in “a place within public view”, in the presence of members of the public – The requirement that the place must be one “within public view” substantiates the other elements of the offence under the SC/ST Act – Therefore, it is a *sine qua non* for making out the offence under the SC/ST Act. [Para 9.1]

Complaint/FIR – Contents of, giving initial description more reliable:

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Held: For any criminal proceedings to initiate, the starting point is filing of a complaint and registration of FIR – The complaint/FIR provides the first account of the happening of events and incidents alleged as commission of offence – A reaction and revelation at the first blush is always natural and therefore becomes creditworthy – The contents of the complaint giving the initial and primary description could be treated as more reliable, for, at the subsequent stage, there would be a scope and room for improvisation – FIR becomes liable in law to be quashed when it, in its bare reading, does not disclose the necessary ingredients to constitute the offence alleged therein – The basic constituents of the offence alleged in the FIR must stem and stand disclosed from the contents of the FIR – In order that the FIR alleging any action is sustainable in law to be a good and acceptable document to proceed criminally against any accused named therein or any person to be made accused on its basis, it must manifest and reveal basic ingredient of the offence(s) alleged therein – For an offence to be made out u/ss.3(1)(r) and 3(1)(s) of the SC/ST Act, as is the question in the instant case, the requirement that the occurrence has to be “in a place within public view” is not satisfied, is missing and absent. [Paras 7, 9]

Penal Code, 1860 – s.506 r/w s.34 – Offences under, not made out:

Held: Offence of criminal intimidation as defined u/s.503, IPC and made punishable u/s.506, IPC requires that whoever threatens another with any injury to his person, reputation or property and when such threat is with the intent to cause alarm to that person, commits criminal intimidation – The “intent to cause alarm” is an pivotal aspect and consideration to judge whether the offence of criminal intimidation is made out or not – In the present case, even after closely reading the averments in the complaint, it is difficult to come to the conclusion that the appellants-accused exerted threat with an intent to cause “alarm” to respondent No.2-complainant – The element of “alarm” to the complainant was “absent” – Even otherwise the offence u/s.506, IPC was alleged against the appellants to conjunct the same with the offence alleged under the SC/ST Act which are not made out – As far as the charge u/s.34, IPC is concerned, nothing is suggested either from the facts or attendant circumstances that the appellants had any common intention to do a criminal act and that they acted in furtherance of such common intention – Thus, it would be an

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abuse of the process of law and would amount to harassment to the appellants to subject them to the criminal proceedings in relation to s.506 r/w s.34, IPC. [Paras 10-10.2]

Case Law Cited

Swaran Singh and Others v. State through Standing Counsel and Another [2008] 12 SCR 132 : (2008) 8 SCC 435; *Hitesh Verma v. State of Uttarakhand and Another* [2020] 9 SCR 593 : (2020) 10 SCC 710; *Karuppudayar v. State Represented by the Deputy Superintendent of Police, Lalgudi Trichy and Others* [2025] 1 SCR 1381 : 2025 SCC OnLine SC 215; *State of Haryana and Others v. Bhajan Lal and Others* [1990] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *Amar Nath Jha v. Nand Kishore Singh and Others* (2018) 9 SCC 137; *Ramesh Chandra Vaishya v. State of Uttar Pradesh and Another* [2023] 6 SCR 643 : (2023) 17 SCC 615 – referred to.

Sri Rithesh Pais v. State of Karnataka, by Puttur Town P.S. and Another, ILR 2022 KAR 4613 – referred to.

List of Acts

Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989; Penal Code, 1860; Code of Criminal Procedure, 1973.

List of Keywords

Section 3(1)(r) of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989; Section 3(1)(s) of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989; Caste-based abuses; Caste-based abuses hurled; “a place within public view”; “within public view”; A place within public gaze; Private place; Public-eye; “place within public view”; Within four walls of the house; House place; Residential house; FIR quashed; Chargesheet quashed; Section 503, IPC; Section 506, IPC; “intent to cause alarm”; Criminal intimidation; Abuse of the process of law.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 2446 of 2026

From the Judgment and Order dated 22.08.2024 of the High Court of Delhi at New Delhi in CRLREVP No. 114 of 2023.

Supreme Court Reports**Appearances for Parties**

Advs. for the Appellant(s):

Avadh Bihari Kaushik, Ms. Urvashi Bhatia, Pawan Kumar Veerma, Rishabh Kumar, Ms. Reeya.

Advs. for the Respondent(s):

Ms. Archana Pathak Dave, A.S.G., Mukesh Kumar Maroria, Kamal Rattan Diggpaul, Ms. Harshita Choubey, Digvijay Dam, Udit Dediya, Ms. Rajkumari Banju.

Judgment / Order of the Supreme Court**Judgment**

N.V. Anjaria, J.

Leave granted.

2. The challenge in this appeal is directed against judgment and order dated 22.08.2024 passed by the High Court of Delhi at New Delhi¹, dismissing Criminal Revision Petition No.114 of 2023 and Criminal Miscellaneous Application No.3181 of 2023, filed by the appellants-accused herein.
- 2.1. In the Criminal Revision Petition, what was called in question, was the order passed by the Court of Additional Sessions Judge-02, Tis Hazari Court, Delhi² dated 26.11.2022 on framing of charges as well as order dated 30.11.2022, whereby the charges were framed. Against appellant No.1-accused No.1 Smt. Gunjan @ Girija Kumari w/o Shri Laxman Dass, charge came to be framed by the trial court in respect of the offences under Sections 3(1)(r) and 3(1)(s) of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989³, whereas against all the appellants-accused including appellant No.1, charge was also framed under Section 506 read with Section 34 of the Indian Penal Code, 1860⁴. The prayer of the appellants to

1 Hereinafter, "High Court".

2 Hereinafter, "trial court".

3 Hereinafter, "SC/ST Act".

4 Hereinafter, "IPC".

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quash the said orders was rejected and the Criminal Revision Petition came to be dismissed by the High Court.

3. The complainant and the accused persons happen to be family members. Appellant Nos.2 and 3 and respondent No.2-complainant are real brothers. Appellant Nos.1 and 4 are legally wedded wives of appellant Nos.2 and 3 respectively. The wives hail from castes other than Scheduled Castes or Scheduled Tribes. Their husbands, that is appellant Nos.2 and 3 as well as respondent No.2-complainant, belong to Scheduled Castes. By virtue of marriage, the wives, it was contended, also stood to belong to caste and community of their husband's as well as that of respondent No.2-complainant. The facts on record and the pleadings suggest that a dispute existed between the parties in respect of the properties of their late father named Shri Nand Kishore, situated at Hari Nagar and Ramesh Nagar.
- 3.1 First Information Report⁵ No.42 of 2021 came to be registered on 30.01.2021 with the Kirti Nagar Police Station, pursuant to a complaint lodged by respondent No.2-complainant. It was *inter-alia* stated that on the day of the incident, that is on 28.01.2021, the appellants misbehaved with the complainant. According to the complainant, appellant No.1 hurled casteist abuses against respondent No.2-complainant and the other appellants gave threats.
 - 3.1.1 It was stated in the complaint that when the friends of respondent No.2-complainant named Chandra Prakash @ Chini and Bobby had come to meet him, appellant No.1, by making caste-based slurs, using words like *chura*, *chamar*, *harijan*, dirty drain etc., addressed and insulted the complainant and his wife. It was stated that the accused were trying to break open the lock of the house when the incident took place.
 - 3.1.2 The narration in the complaint was prefaced by mentioning that appellant No.1, who belonged to a particular upper caste, was in the habit of using abusive words as above and that it was for over one year that appellant No.1 had been harassing by addressing the complainant, his wife

5 Hereinafter, "FIR".

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and their child with derogatory words as above, from her balcony or from the ground floor in the house particularly when some friends or other persons would come.

- 3.2 The complaint resulted into registration of FIR as above, culminating into Sessions Case being SC No. 253 of 2021 upon completion of the investigation. The trial court, in its order dated 26.11.2022, viewed that the charges were required to be framed. It actually framed the charges as per order dated 30.11.2022 under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act against appellant No.1 and under Section 506 read with Section 34, IPC against all the appellants. The High Court rejected the challenge to the said orders and maintained the charges by the impugned judgment and order.
- 3.3 According to the High Court, charges were properly framed inasmuch as at the stage of framing of charges, the court was not required to evaluate the evidence, nor was supposed to hold a mini trial. According to the High Court, there were allegations in the complaint that the appellants acted in furtherance of common intention, that appellant No.1 hurled abuses towards respondent No.2-complainant and that the appellants also threatened to kill him and to falsely implicate him in a molestation case. The High Court observed that witness Chandra Prakash, in his statement recorded under Section 161 of the Code of Criminal Procedure, 1973⁶ corroborated the statement of respondent No.2-complainant made in the complaint to go to show that the caste-based remarks were used against respondent No.2-complainant and the offences as per the charges framed were committed.
4. Heard learned counsel Mr. Avadh Bihari Kaushik for the appellants as well as learned Additional Solicitor General Ms. Archana Pathak Dave assisted by learned advocate-on-record Mr. Mukesh Kumar Maroria and other learned advocates on behalf of the respondents.
 - 4.1 Assailing the impugned judgment and order, it was submitted on behalf of the appellants that neither the offences under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act were made out

6 Hereinafter, "Cr.PC".

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from the statements and contents of the FIR, more particularly, when the offence under the SC/ST Act was not shown to have been committed at “a place within public view” which was an essential requirement to constitute the offences in question, nor the averments in the complaint revealed the ingredients of offence under Section 506 read with Section 34, IPC. On the other hand, learned counsel for the respondents supported the impugned judgment and order, urging to dismiss the appeal.

5. While examining the challenge to the impugned judgment and order of the High Court and in turn, the merits of the order of framing of the charge passed by the trial court, the provisions of Sections 3(1)(r) and 3(1)(s) of the SC/ST Act, which are the offences alleged against appellant No.1 and for which she has been charged, may be looked into.

- 5.1 Sections 3(1)(r) and 3(1)(s) of the SC/ST Act read as under,

“3. Punishments for offences atrocities.—3(1) Whoever, not being a member of a Scheduled Caste or a Scheduled Tribe,—

(a) to (q)

(r) intentionally insults or intimidates with intent to humiliate a member of a Scheduled Caste or a Scheduled Tribe in any place within public view;

(s) abuses any member of a Scheduled Caste or a Scheduled Tribe by caste name in any place within public view;”

- 5.1.1 The offence under Section 3(1)(r) of the SC/ST Act can be said to have been committed when a person not belonging to Scheduled Caste or Scheduled Tribe intentionally insults or intimidates with an intent to humiliate a person belonging to Scheduled Caste or Scheduled Tribe in any place within public view. Offence under Section 3(1)(s) of the SC/ST Act is made out when any member of the Scheduled Caste or Scheduled Tribe is abused by caste name in any place within public view.

- 5.2 The ingredients of the offences are that there has to be an intentional insult or intimidation which has to be with an intent

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to humiliate a member of Scheduled Caste or Scheduled Tribe or that such member of Scheduled Caste or Scheduled Tribe is abused by caste name by a person who does not belong to Scheduled Caste or Scheduled Tribe. The common essential for constituting the offence under both the Sections is that the insult or intimidation under sub-clause (r) or hurling of abuses under sub-clause (s) have taken place “in any place within public view”.

- 5.3 All the appellants are framed for the offence under Section 506 read with Section 34, IPC. Section 506, IPC is about punishment for the offence of criminal intimidation whereas the offence of criminal intimidation is defined in Section 503, IPC. It says that whoever threatens another with any injury to his person, reputation or property, or to the person or reputation of anyone in whom that person is interested, and when the same is done with an intent to cause alarm to that person, commits criminal intimidation. Section 34, IPC speaks about the acts done by several persons in furtherance of common intention.
- 5.4 Before examining the sustainability of the charge framed and the charge-sheet for its details and contents in respect of the aforesaid offences under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act, it would be useful to survey few decisions of this Court which have explained the scope and purport of the phrase “in any place within public view” pinpointing that the said requirement is indispensable to be fulfilled in order that the offence under the SC/ST Act is constituted.
- 5.5 In **Swaran Singh and Others vs. State through Standing Counsel and Another**⁷, the place where the informant was insulted by the appellant by calling him ‘*chamar*’ was one where he had been standing near the car which was parked at the gate of the premises of his employer. This Court held that such place was “a place within public view”. The argument that the alleged act was not committed in a public place and hence did not come within the purview of the offence under the SC/ST Act was negated by explaining a fine distinction between the expression ‘in any place within public view’ as used in the provision and the expression ‘public place’.

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5.5.1 It was stated that the expression ‘a place within public view’ could not be confused with the expression ‘public place’. It was highlighted that a place can be a private place yet can be within public view,

“....It could have been a different matter had the alleged offence been committed inside a building, *and* also was not in the public view. However, if the offence is committed outside the building e.g. in a lawn outside a house, and the lawn can be seen by someone from the road or lane outside the boundary wall, the lawn would certainly be a place within the public view. Also, even if the remark is made inside a building, but some members of the public are there (not merely relatives or friends) then also it would be an offence since it is in the public view....”

(Para 28)

5.6 **Swaran Singh** (supra) came to be relied on by this Court in **Hitesh Verma vs. State of Uttarakhand and Another**⁸ in respect of the concept of ‘place within public view’ as an ingredient of the offence. The very observations in **Swaran Singh** (supra) were reiterated in paragraph 14 in **Hitesh Verma** (supra) when the Court noticed the allegations in the FIR about abusing the informant. It was stated in the FIR that the incident of abuse happened within the four walls of the building of the informant, and it was not the case of the informant that any member of the public was present at the time of the incident in the house. The Court, therefore, ruled that the basic requirement that the abusive words were uttered in ‘a place within public view’ was not made out. It was further noticed that witnesses whose names were appended to the chargesheet were not the persons present within the four walls of the building.

5.7 In a more recent decision in **Karuppudayar vs. State represented by the Deputy Superintendent of Police, Lalgudi**

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Trichy and Others⁹, this Court considered its own decisions in **Swaran Singh** (supra) as well as **Hitesh Verma** (supra), and elucidated an ironed-out proposition of law as under,

“It could thus be seen that, to be a place ‘within public view’, the place should be open where the members of the public can witness or hear the utterance made by the accused to the victim. If the alleged offence takes place within the four corners of the wall where members of the public are not present, then it cannot be said that it has taken place at a place within public view.”

(Para 11)

5.7.1 The Court observed that even by taking the allegations in the FIR at their face value, what was alleged was that when the complainant was in the office, the accused came there, made inquiries from the complainant and upon not being satisfied, started abusing the complainant in the name of his caste and insulted him. Thereafter, three colleagues of the complainant came later to pacify the accused and took him away. The Court thus noticed that the incident had taken place within the four corners of the chambers of the complainant, which was not “a place within public view”.

5.8 A decision of the Karnataka High Court in **Sri Rithesh Pais vs. State of Karnataka, by Puttur Town P.S. and Another**¹⁰ may also be noticed to be relevant, in which the offence was held to be not made out as the chargesheet material showed that the hurling of the abuses had happened in the basement and within the walls of the basement, holding that the basement of the building was not “a place within public view”.

5.9 A conclusive statement of law that emanates from the *ratio* of the decisions of this Court discussed above is that in order to make out the offence under Section 3(1)(r) and/or

9 2025 SCC OnLine SC 215

10 ILR 2022 KAR 4613

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Section 3(1)(s) of the SC/ST Act, the occurrence of the incident and the act and conduct of hurling of caste-based abuses must take place at “a place within public view”. It must be a place within the public gaze. Even happens to be a private place, then in such eventuality a public-eye must have an access to be able to notice what happens there or what is taking place that will only make the “place within public view”.

6. Having appreciated the aspect that the requirement that the occurrence of the incident of insult or abuse, towards the member of the Scheduled Caste or Scheduled Tribe has to be in “a place within public view”, making the same a necessary condition for constituting the offence under the SC/ST Act, the facts in the present case may be attentively noticed.
 - 6.1 In the FIR, while referring to the incident of abuse, on 28.01.2021, the statements were made by respondent No.2-complainant that the appellants were in the habit of harassing and hurling caste-based slurs at him for over a year and that they used to do it when some other persons or friends come to meet him, by using the abusive words from their balcony or at the ground floor of the house.
 - 6.2 These allegations about the alleged continuous conduct did not speak of any specific instance or happening on a particular day and they are too irrelevant to contribute to make out an offence under Section 3(1)(r) or Section 3(1)(s) of the SC/ST Act. It was next stated that because of such behaviour of the appellants, respondent No.1-complainant had to send his son in a separate house. Such general accusations lead nowhere when it comes to allegation about the commission of offence.
 - 6.3 As per the averments in the FIR, on the relevant date that is on 28.01.2021, the altercation occurred at the time when the appellants were trying to break open the house of respondent No.2-complainant. According to respondent No.2-complainant, appellant No.1 hurled casteist slur in an abusive way to insult him and his wife. All the appellants-accused, it was further alleged, intimidated respondent No.2-complainant and also threatened to implicate him in molestation charge.
 - 6.4 It was noticeable that in the complaint/FIR, nowhere it was stated that the said incident wherein appellant No.1 and other

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appellants are stated to have abused and threatened respondent No.1-complainant, took place where there was a public gaze. The necessary ingredient of occurrence of the incident “in a place within public view” was conspicuously absent.

- 6.5 Not only that it was not stated that it was “a place within public view” or that the outsiders or the members of the family were present at the time, the details mentioned in the FIR clearly indicated that the place of occurrence of the incident was inside the residential house. Referring to the facts stated and the contents of FIR in this regard, firstly the FIR is silent about the place of occurrence of the alleged incident. Secondly, point No.5(b) in the FIR mentioned the place of occurrence at the address stated as “7/38, Ramesh Nagar, New Delhi”, which was admittedly a residential home. Similarly was recorded the address of respondent No.2-complainant in point No.6(e) in the FIR to reinforce that it was the place of residential house where the occurrence took place. Thirdly, in the charge-sheet filed before the court, the very residential address “7/38, Ramesh Nagar, Kirti Nagar, Delhi” was mentioned to suggest the place of occurrence.
- 6.6 Respondent No.2-complainant named two witnesses, one Love Manchanda and another named Chandra Prakash. Not only that both were the friends of respondent No.2-complainant, from their statements, nothing could be elicited to show that they witnessed the incident. Love Manchanda stated that “on 28.12.2020, Bhim Sain (complainant) asked me to accompany him to his house where he wanted to take a picture of the locked lock of his house”. In his statement, Chandra Prakash stated that “he went to the house at Ramesh Nagar with the complainant Bhim Sain and when he wanted to open the lock of his house, the accused interjected”.
- 6.7 All material facts go to suggest that the alleged incident took place in a private place and within four walls of the house of respondent No.2-complainant and the appellants, who all are family members. While the allegation in the FIR was, as stated, that respondent No.2-complainant had been suffering similar kind of incidents since long and for last one year, it was not stated anything specific in respect of those earlier incidents

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with regard to the incident for which the complaint was filed, it was not indicated that any independent member of public was present to witness the occurrence. Once that is so, to suggest that the house place was not exposed to public eye or public gaze, a residential house in no way becomes “a place within public view”.

7. For any criminal proceedings to initiate, the starting point is filing of a complaint and registration of FIR. The complaint/FIR provides the first account of the happening of events and incidents alleged as commission of offence. A reaction and revelation at the first blush is always natural and therefore becomes creditworthy. The contents of the complaint giving the initial and primary description could be treated as more reliable, for, at the subsequent stage, there would be a scope and room for improvisation.
8. In **State of Haryana and Others vs. Bhajan Lal and Others**¹¹, this Court laid down the acid test that if the contents of the FIR, taken at their face value, do not make out any case against the accused, such an FIR registered with ulterior motive deserves to be quashed. In **Hitesh Verma** (supra), in addition to the ingredient of “a place within public view”, the details in the FIR or the charge-sheet failed to disclose the precise contents of abusive language employed by the applicant to attract the offence under the SC/ST Act. In other words, when the essentials to constitute the offence did not come out from and were not satisfied in the contents of the FIR, the offence was held to have not been made out, rendering the FIR liable to be quashed.
- 8.1 In **Amar Nath Jha vs. Nand Kishore Singh and Others**¹², this Court noted that the defect in the FIR was in the nature of non-mentioning of the name of material witness PW-1 which was treated as a basic defect in the hypothesis portrayed by the prosecution. The Court, in that context, observed, “although we accept that the FIR need not be an encyclopaedia of the crime, but absence of certain essential facts which are conspicuously missing in the present FIR, point towards suspicion that the crime itself may have been staged”.

11 (1992) Supp. 1 SCC 335

12 (2018) 9 SCC 137

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- 8.2 Also in **Ramesh Chandra Vaishya vs. State of Uttar Pradesh and Another**¹³, this Court found absence of requisite ingredients of the offence under the SC/ST Act holding that the offence was not committed at “a place within public view”. It was observed that even though the appellant in that case might have abused the complainant, but such abuse by itself and without anything more does not warrant subjecting the appellant to face a trial, particularly in view of the clear absence of the ingredients necessary to constitute the offence.
9. Thus, it is trite principle that the FIR becomes liable in law to be quashed when it, in its bare reading, does not disclose the necessary ingredients to constitute the offence alleged therein. The basic constituents of the offence alleged in the FIR must stem and stand disclosed from the contents of the FIR. In order that the FIR alleging any action is sustainable in law to be a good and acceptable document to proceed criminally against any accused named therein or any person to be made accused on its basis, it must manifest and reveal basic ingredient of the offence(s) alleged therein. For an offence to be made out under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act, as is the question in the instant case, the requirement that the occurrence has to be “in a place within public view” is not satisfied, is missing and absent.
- 9.1 It could be said that the occurrence of the incident to become an offence under the SC/ST Act must have happened “in a place within public view”, is in a way, a principal requirement amongst the other ingredients. The other aspects namely “intentional insult or intimidation” and “an intent to humiliate”, gathers a kind of intensity when the insult, intimidation, humiliation or abusive utterances, as the case may be, takes place in “a place within public view”, in the presence of members of the public. The requirement that the place must be one “within public view” can be said to be substantiating the other elements of the offence under the SC/ST Act. It is therefore a *sine qua non* for making out the offence under the SC/ST Act.
10. This leaves the Court to the charge framed under Section 506 read with Section 34, IPC against all the appellants. As noted hereinabove,

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the offence of criminal intimidation as defined under Section 503, IPC and made punishable under Section 506, IPC requires that whoever threatens another with any injury to his person, reputation or property and when such threat is with the intent to cause alarm to that person, commits criminal intimidation. The “intent to cause alarm” is an pivotal aspect and consideration to judge whether the offence of criminal intimidation is made out or not.

- 10.1 In the present case, even after closely reading the averments in the complaint, it is difficult to come to the conclusion that the appellants-accused exerted threat with an intent to cause “alarm” to respondent No.2-complainant. The submission could be countenanced that the element of “alarm” to the complainant was “absent”. Even otherwise, the offence under Section 506, IPC was alleged against the appellants to conjunct the same with the offence alleged under the SC/ST Act which are not made out.
- 10.2 As far as the charge under Section 34, IPC is concerned, nothing is suggested either from the facts or attendant circumstances that the appellants-accused had any common intention to do a criminal act and that they acted in furtherance of such common intention. In that view, it would be an abuse of the process of law and would amount to harassment to the appellants to subject them to the criminal proceedings in relation to Section 506 read with Section 34, IPC.
11. For the aforesaid reasons and discussion, it is evident that the charge could not have framed and was wrongly framed by the trial court against the appellants-accused for the offences under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act and under Section 506 read with Section 34, IPC. The judgment and orders dated 22.08.2024 passed by the High Court of Delhi, dismissing the Criminal Revision Petition No.114 of 2023 and Criminal Miscellaneous Application No.3181 of 2023, are not sustainable in eye of law.
12. The impugned judgment and order of the High Court dated 22.08.2024 as well as both the above orders of the trial court dated 26.11.2022 and 30.11.2022 are hereby set aside.
13. FIR No. 42 of 2021 dated 30.01.2021 registered with the Police Station, Kirti Nagar, Delhi and the charge-sheet filed against the

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appellants-accused for the offences under Sections 3(1)(r) and 3(1)(s) of the SC/ST Act as well as for the offences under Section 506 read with Section 34, IPC stand quashed.

14. The appeal is allowed.

In view of disposal of the appeal as above, the interlocutory applications, if any, shall not survive.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

L.K. Trust
v.
Commissioner of Income Tax & Anr.

(Civil Appeal No. 527 of 2012)

07 May 2026

[J.B. Pardiwala and Ujjal Bhuyan, JJ.]

Issue for Consideration

Issue arose whether the appellant-assessee is entitled to a deduction of Rs.21,74,234/- being the interest paid by it in respect of the loan availed from the Corporation Bank u/s.36(1)(iii) of the Income Tax Act 1961.

Headnotes[†]

Income Tax Act 1961 – s.36(1)(iii) – Deduction in respect of amount of the interest paid in respect of capital borrowed for the purposes of business or profession – Assessee, if eligible for deduction of interest paid to the bank u/s.36(1)(iii) – Assessee borrowed loan from the Bank and paid interest in order to invest the same in its share business – Said sum transferred to a group company by the assessee, who in turn advanced it to one to purchase shares of a company on his behalf – Assessing Officer took the view that the assessee not entitled to claim deduction u/s.36(1)(iii) and the interest paid on the loan was disallowed – In appeal, the deduction was disallowed – However, the ITAT allowed the deduction – Thereagainst, appeal by the Revenue, allowed by the High Court upholding the order passed by the Assessing Officer that the assessee not entitled to claim deduction u/s.36(1)(iii) and disallowed the interest paid on the loan – Correctness:

Held: Assessee entitled to seek deduction of the amount of the interest paid in respect of the capital borrowed for the purposes of the business – For s.36(1)(iii), “interest” is restricted to that on money borrowed and not on debt incurred – Essence of interest is that it is a payment which becomes due because the creditor has not had his money at his disposal – It may be regarded either as representing the profit he might have made if he had had the

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use of his money, or conversely, the loss he suffered because he had not that use – Legislature has, u/s.36(1)(iii) permitted as an allowance interest paid on capital borrowed for the purposes of the business; and the capital, in this context, means money and not any other asset purchased on credit – It appears on a plain reading of the impugned order that according to the High Court, the business of the subsidiary company cannot be considered in law as the business of the assessee – High Court took the view that the finding of the tribunal based on commercial expediency not correct, and that the amount borrowed was ultimately utilised for the benefit of the subsidiary company of the assessee and not for the business of the assessee as such – High Court erred in taking the said view – Impugned judgment and order passed by the High Court set aside. [Paras 14-18, 20, 22-24]

Case Law Cited

Bombay Steam Navigation Co. Pr. Ltd. v. CIT, **56 ITR 52 (SC)**; *Madhav Prasad Jatia v. CIT* (SC), **118 ITR 200**; *Sharp Business System v. CIT*, **2025 INSC 1481 : 2025 SCC OnLine SC 2892 – referred to.**

List of Acts

Income Tax Act, 1961.

List of Keywords

Interest; Deduction of the interest paid in respect of capital borrowed for the purposes of business or profession; Loan; Assessee, if eligible for deduction of interest paid to the bank u/s. 36(1)(iii); Invest in share business.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 527 of 2012

From the Judgment and Order dated 01.03.2010 of the High Court of Karnataka at Bengaluru in ITA No. 175 of 2001.

Appearances for Parties

Adv. for the Appellant(s):
Naveen Kumar.

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Advs. for the Respondent(s):

Arijit Prasad, Sr. Adv., Mrs. Alka Aggarwal, Ms. Shraddha Deshmukh, Ishaan Sharma, Digvijay Dam, Sudarshan Lamba.

Judgment / Order of the Supreme Court**Order**

1. This appeal is at the instance of the assessee and is directed against the Judgment and Order passed by the High Court of Karnataka dated 1-3-2010 in Income Tax Appeal No. 175 of 2001 by which the appeal preferred by the Revenue against the Order passed by the Income Tax Appellate Tribunal came to be allowed.
2. The short point that falls for our consideration is whether the appellant-assessee is entitled to a deduction of Rs.21,74,234/- (Rupees Twenty One Lakh, Seventy Four Thousand, Two Hundred and Thirty Four only) being the interest paid by it in respect of the loan availed from the Corporation Bank under Section 36(1)(iii) of the Income Tax Act 1961 (for short, "the Act 1961").
3. It appears from the materials on record that the assessee borrowed a sum of Rs.3,80,00,000/- (Rupees Three Crore and Eighty Lakh only) from the Corporation Bank to purchase shares of Shaw Wallace and Company Limited in pursuance of an Agreement dated 19-11-1987. Under the said Agreement, the Company had committed to sell 7.80 lakh shares for a total consideration of Rs.3,80,00,000/-.
4. The assessee filed its return of income for the year 1989-90 declaring total income of Rs.7,55,67,530/- (Rupees Seven Crore, Fifty Five Lakh, Sixty Seven Thousand Five Hundred and Thirty only). The return was processed under section 143(1)(a) of the Act and later Notice was issued under Section 143(2). While passing the Assessment Order way back in 1992, the Assessing Officer noted that the assessee had availed a loan of rupees Rs.3,80,00,000/- from the Corporation Bank and had paid interest of Rs.21,74,234/-. However, the AO further noted that the amount had been transferred to M/s Gayatri Holdings Private Limited, a group company, through purchase of its shares, who in turn transferred the amount to one Shri G Venkateshwaran for the purchase of shares of M/s Shaw Wallace and Company Limited.

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5. In such circumstances referred to above, the AO took the view that the assessee was not entitled to claim deduction under Section 36(1)(iii) of the Act and accordingly the interest paid on the loan was disallowed.
6. The assessee went in appeal before the CIT(A). The CIT(A) also disallowed the deduction. The matter went in appeal before the ITAT. The ITAT allowed the appeal preferred by the assessee holding as under:-

“13. Now coming to the second leg of issue i.e., whether or not the appellant is eligible for deduction of interest paid to the bank under Sec.36(1) (iii) of Income-tax Act. Section 36(1)(iii) is reproduced below:-

(1) “The deductions provided for in the following clauses shall be allowed in respect of the matters dealt with therein, in computing the income referred to in section 28

(iii) the amount of the interest paid in respect of capital borrowed for the purposes of the business or profession.”

A plain reading of said section reveals that three principles are relevant to establish the allowability or otherwise of the interest expenses. We may mention here that the Hon'ble Supreme Court in the case of Madhav Prasad Jatia Vs. CIT., reported at 118 ITR 200 while dealing with Sec.10(2)(iii) of 1922Act (which was akin to the present section 36(1)(iii) in Income-tax Act, 1961) laid down three pre-requisites to be complied with before allowing the deduction for interest expenses. The three pre-requisites which would enable the appellant to claim deduction in respect of the interest expenses under the aforesaid section can be illustrated as:-

Firstly, the loan must have been borrowed by the appellant; secondly, it must have been borrowed for the purpose of appellant's business; and thirdly, appellant must have paid interest on the loan and claimed deduction for the same.

14. The first condition, namely, the assessee must have borrowed the monies, is fully satisfied in the instant case. The second condition is also satisfied in our view on the basis of detailed discussion in the foregoing paragraphs,

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wherein it has been concluded that the money has been raised and utilized for the purposes which are integral to the business of the appellant. Thirdly, the assessee has paid the entire interest of Rs.21,74,234/- to the bank on the borrowings made by it and has claimed the said amount as deduction by way of charge to P&L A/c.

15. Before we conclude on this, we may mention that it is observed that the appellant has more than one source of income under the head 'business' as it is deriving income from businesses of money-lending, speculation business, film distribution and also investment in shares. It is an admitted fact that the appellant-trust has maintained only one common set of books of account in which are incorporated entries pertaining to these business of film distribution, money lending, investments, speculation etc. The management of the entire set of operations is vested in the trustees as can -be observed from the trust deed discussed earlier and there is complete interlocking of funds. To emphasize, it is our view that the business of the appellant is also a composite one in as much as it carries on several businesses including the business of investment in shares through its subsidiaries.

16. The Hon'ble Supreme Court of India in the case of CIT Vs. Associated Fibre and Rubber Industries (P) Ltd. (1999) 236 ITR 4 71 has opined that as long as the assets purchased from borrowings have been treated as business assets the interest outgo on such borrowings is allowable. Also, the Apex Court in Vecumsees (supra) has taken the view that so long as the loans have been obtained for the purposes of business the fact that he particular part of the business for which the loans have been obtained were closed or transferred subsequently did not alter the fact that the loans had, when raised, been for the purpose of assessee's business; and, that the interest paid on such loan cannot be denied as the management is common though the line or branch of business for which loan was raised is closed down. The relevant observation of Hon'ble Supreme Court as appearing at page 189 of 220 ITR 185 is reproduced below:-

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“The fact that the Revenue had during the years when the assessee carried on the business of cinematographic films permitted as a deduction under Section 36(1)(iii) the interest on loans obtained by the assessee for the purpose of constructing the said theatre shows that at the time when the loans were obtained the said theatre was a part of the business of the assessee. It was interest on these loans, borrowed for the purpose of the business of the assessee, which was being paid in the years in question and the Tribunal was, in our view, right in concluding that such interest had to be treated as a deduction under section 36(1)(iii). The loans had been obtained for the purposes of the assessee’s business. The fact that the particular part of the business for which the loans had been obtained had been transferred or closed down did not alter the fact that the loans had, when obtained, been for the purpose of the assessee’s business. The test of “same business” appropriate for set-off of carry forward losses is not appropriate here.”

An irresistible inference that can be drawn from the reading of the judgments of the Apex Court is that what is essential is the existence or otherwise of Composite nature of business to consider the allowability of interest on loans borrowed by an assessee.

17. As has been held by us in earlier paras, the business of the appellant is composite and the ratio of the Hon’ble Supreme court squarely applies to the facts and the circumstances of the instant case’.

18. In view of the aforesaid detailed discussions and respectfully following the judicial pronouncements, we conclude by holding that a sum of Rs.21, 7 4,234 /- paid by the appellant-trust as interest to the Corporation Bank on borrowings of Rs.3.80 crores is eligible for deduction under Sec.36(1)(iii) of Income-tax Act. Therefore, the assessee succeeds on this ground and the orders of the lower authorities are reversed.”

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7. The Revenue, being dissatisfied with the Order passed by the ITAT, went before the High Court.
8. The appeal preferred by the Revenue came to be admitted by the High Court on the following two substantial questions of law:

1. *Whether the assessee who is carrying on film business is entitled to claim deduction under Section 36(1)(iii) of the Act in respect of interest of Rs.21,74,234/- on amount borrowed from corporation bank to purchase shares of Shaw Wallace and Company Limited on behalf of itself and other film?*

2. *Whether the assessee and its beneficiaries who of Rs.3,80,00,000/- and borrowed transferred the same to M/s. Gayathri Holding Private Limited who in turn advanced this amount to G.Venkateswaran to purchase shares on his behalf and on behalf of M/s. Sujatha Films Limited, Sujatha Productions Private Limited, Aruna International Private Limited and Sujatha Estate (Private) Limited, from Shaw Wallace and Company Limited is nothing but a colourable device adopted to seek benefit of interest allowance under Section 36(1) (iii) of the Income Tax Act?*

9. The High Court answered the two questions of law, referred to above, in favour of the Revenue holding as under:-

“That the appellant Trust has borrowed a loan from the Bank in order to invest the same in its share business. It is also not in dispute that a sum of Rs.3,80,00,000/- has been transferred to M/s. Gayathri Holdings Private Limited by the assessee. It is also not in dispute that the assessee has paid the interest payable to the Bank on the entire borrowings. It is also not in dispute that out of Rs.3,80,00,000/- transferred to M/s. Gayathri Holdings Private Limited, certain amounts of shares of Shaw Wallace and Company are also transferred to the name of the assessee. Therefore, we are of the view that the Assessing Officer was justified in granting the relief to the assessee in respect of the value of the shares purchased by it through M/s. Gayathri Holdings Private Limited in respect of shares of Shaw Wallace and Company Limited. We are also of the view that the Assessing Officer is justified in disallowing

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the interest paid by the assessee to the Bank in respect of the amount which was lying with M/s. Gayathri Holdings Private Limited in the account of the assessee.”

10. In such circumstances referred to above, the assessee is here before us with the present appeal.

ANALYSIS

11. Having heard the learned counsel appearing for the parties and having gone through the materials on record, the only question that falls for our consideration is whether the High Court committed any error in passing the impugned order?
12. Section 36(1)(iii) reads as follows:

“36(1) The deductions provided for in the following clauses shall be allowed in respect of the matters dealt with therein, in computing the income referred to in Section 28 –(i) and (ii)

(iii) the amount of the interest paid in respect of capital borrowed for the purposes of the business or profession :-

Provided that any amount of the interest paid, in respect of capital borrowed for acquisition of an asset for extension of existing business or profession (whether capitalized in the books of account or not); for any period beginning from the date on which the capital was borrowed for acquisition of the asset till the date on which such asset was first put to use, shall not be allowed as deduction.

Explanation. – Recurring subscriptions paid periodically by shareholders, or subscribers in Mutual Benefit Societies which fulfill such conditions as may be prescribed, shall be deemed to be capital borrowed within the meaning of this clause.”

13. The sub section has three important words or phrases, i.e., (i) Interest, (ii) Borrowed and, (iii) For the purpose of business or profession.
14. The definition of “interest” in Section 2(28A) means “interest payable in any manner in respect of any moneys borrowed or debt incurred”.

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But for Section 36(1)(iii), “interest” is restricted to that on money borrowed and not on debt incurred. In other words, the essence of interest is that it is a payment which becomes due because the creditor has not had his money at his disposal. It may be regarded either as representing the profit he might have made if he had had the use of his money, or conversely, the loss he suffered because he had not that use. The general idea is that he is entitled to compensation for the deprivation.

15. The provisions of Section 36(1)(iii) concern capital borrowed and not other debts or liability. A loan of money undoubtedly results in a debt, but every debt does not involve a loan. Liability to pay a debt may arise from diverse sources and a loan is one of such sources. The legislature has, under this clause, permitted as an allowance interest paid on capital borrowed for the purposes of the business; and the capital, in this context, means money and not any other asset purchased on credit [Bombay Steam Navigation Co. Pr. Ltd. v. CIT, 56 ITR 52 (SC)].
16. The expression “for the purpose of business” occurs in Section 36(1)(iii) and also in Section 37(1). A similar expression with different wording also occurs in Section 57(iii) which reads as “for the purpose of making or earning income”. This issue came up for consideration before this Court in the case of Madhav Prasad Jatia v. CIT reported in (SC) 118 ITR 200. The Court held that the expression occurring in Section 36(1)(iii) is wider in scope than the expression occurring in Section 57(iii). Thus, meaning thereby that the scope for allowing a deduction under Section 36(1)(iii) would be much wider than the one available under Section 57(iii).
17. It appears on a plain reading of the impugned order that according to the High Court, the business of the subsidiary company cannot be considered in law as the business of the assessee. The High Court took the view that the finding of the tribunal based on commercial expediency is not correct. The High Court went on to observe that the amount borrowed was ultimately utilised for the benefit of the subsidiary company of the assessee and not for the business of the assessee as such.
18. We are afraid that the High Court fell in error in taking the aforesaid view.

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19. In *Sharp Business System v. CIT* reported in 2025 SCC OnLine SC 2892, one of the questions considered by this Court was whether interest on borrowed funds invested by the assessee in its sister concern and its directors is an allowable business expenditure.
20. In aforesaid context, this court made an analysis of Section 36 of the Income Tax Act, 1961, more particularly, Section 36(1)(iii) thereof. After referring to its earlier decision in *S.A. Builders v. CIT* reported in 288 ITR(1), it has been opined that the court should examine the transfer of borrowed funds from the point of view of commercial expediency and not from the point of view whether the amount was advanced for earning profits.
21. In the facts of that case, it was held that the assessee was entitled to claim allowance of interest on the borrowed funds invested in a sister concern for acquiring controlling interest.
22. We are in complete agreement with the line of reasoning assigned by the ITAT insofar as the interpretation of Section 36(1)(iii) of the Act 1961 is concerned.
23. In the result, this Appeal succeeds and is hereby allowed.
24. The impugned Judgment and Order passed by the High Court is set aside.
25. It is declared that the assessee is entitled to seek deduction of the amount of the interest paid in respect of the capital borrowed to the tune of Rs.3,80,00,000/- for the purposes of the business.
26. Pending applications, if any, also stand disposed of.

Result of the case: Appeal allowed.

†Headnotes prepared by: Nidhi Jain

**Angelwoods Apartment Allottees Association
v.
M Lalitha and Another**

(Civil Appeal No(s). 14439-14440 of 2025)

12 May 2026

[Sanjay Kumar* and K. Vinod Chandran, JJ.]

Issue for Consideration

Whether the filing/refiling of the appeal by respondent No.1 was incurably tainted and ought to have been rejected at the threshold by NCLAT.

Headnotes[†]

Insolvency and Bankruptcy Code, 2016 – s.61 – National Company Law Appellate Tribunal Rules, 2016 – rr.22, 26(2) – Respondent No. 1 e-filed Company Appeal with delay before NCLAT without certified copy of the impugned order passed by NCLT – Defects intimated by Registry – Appeal refiled with a delay of 150 days again without the certified copy of the order impugned – NCLAT allowed the applications filed by respondent No.1 seeking condonation of delay in the filing and the refiling of the appeal – Interference with:

Held: Order passed by NCLAT set aside – Respondent No.1 chose to e-file an appeal against order dated 14.08.2024 on the very last day available to her, in terms of the limitation prescribed under the proviso to s.61(2) – However, the filing of such appeal, without even applying for a certified copy of the order dated 14.08.2024, practically meant that there was no filing of an appeal in the eyes of law – A diligent litigant is expected to apply for a certified copy of the order sought to be appealed against before the period of limitation runs out and, by doing so, such litigant would be entitled to seek exclusion of the time taken to procure the certified copy for the purpose of limitation – However, Respondent No.1 did not even apply for a certified copy of the NCLT's order dated 14.08.2024 till 21.04.2025, long after the refiling of the appeal on 10.03.2025 – To make matters worse, respondent No.1 did not even choose to file an application for exemption from filing such certified copy at any point, be it at the time of filing the appeal on 28.09.2024 or

* Author

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its refiling on 10.03.2025 – This was the minimum requirement for respondent No.1 to have complied with, when she filed and refiled her appeal without a certified copy of the NCLT's order dated 14.08.2024 – Appeal, as filed and refiled, was not a merely defective appeal, wherein the defects could be cured, but was a wholly incompetent appeal that did not satisfy the essentials to pass muster, in terms of the requirements prescribed under the Code and the NCLAT Rules – However, the NCLAT totally lost sight of these vital aspects while considering the two applications filed by respondent No.1 seeking condonation of delay in the filing and the refiling of the appeal – NCLAT ought not to have extended such indulgence to respondent No.1, without first ascertaining whether her appeal was instituted in accordance with the norms – Filing/refiling of the appeal by respondent No.1 was incurably tainted and the same ought to have been rejected at the threshold. [Paras 9-11]

Case Law Cited

V. Nagarajan v. SKS Ispat and Power Limited and Others [2021] 14 SCR 736 : (2022) 2 SCC 244 – **relied on.**

Ebix Singapore Private Limited v. Committee of Creditors of Educomp Solutions Limited and Another [2021] 14 SCR 321 : (2022) 2 SCC 401 – **referred to.**

List of Acts

Insolvency and Bankruptcy Code, 2016; National Company Law Appellate Tribunal Rules, 2016.

List of Keywords

Company Appeal e-filed with delay; Company Appeal e-filed without certified copy of the impugned order; Company Appeal refiled with delay; Appeal filed without certified copy of impugned order; Incompetent appeal; Defective appeal; Condonation of delay in filing of appeal; Condonation of delay in refiling of appeal; Appeal not instituted in accordance with norms; Section 61 of Insolvency and Bankruptcy Code, 2016; Proviso to Section 61(2) of Insolvency and Bankruptcy Code, 2016; Rule 26(2) of the National Company Law Appellate Tribunal Rules, 2016; Rule 22 of the National Company Law Appellate Tribunal Rules, 2016; Filing/refiling of appeal; Strict timelines provided in Insolvency and Bankruptcy Code, 2016; Diligent litigant; Certified copy of the order appealed against.

Angelwoods Apartment Allottees Association v. M Lalitha and Another**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s).
14439-14440 of 2025

From the Judgment and Order dated 10.11.2025 of the National
Company Law Appellate Tribunal, Chennai in IA Nos. 1164 and
1165 of 2025.

Appearances for Parties

Advs. for the Appellant(s):

Manu Krishnan G., Liju V. Stephen, Indu Susen Jacob.

Advs. for the Respondent(s):

Mukund P. Unny, Vinay Mathew Joseph, Sanjay Nair S.

Judgment / Order of the Supreme Court**Judgment****Sanjay Kumar, J**

1. The very institution of an appeal under Section 61 of the Insolvency and Bankruptcy Code, 2016¹, is in issue.
2. Company Appeal (AT)(CH)(Ins) No. 252 of 2025 was e-filed on 28.09.2024 by M Lalitha, respondent No. 1 herein, before the National Company Law Appellate Tribunal, Chennai (NCLAT). Therein, she challenged the order dated 14.08.2024 passed by the National Company Law Tribunal, Kochi Bench (NCLT), in IA (IBC)/216/KOB/2023 in CP(IB)/05/KOB/2021. By the said order, the NCLT had approved the resolution plan submitted by Angelwoods Apartment Allottees Association, the appellant. Respondent No.1, the mother of a suspended director of the corporate debtor, viz., Samson and Sons Builders and Developers Pvt. Ltd., also claimed to be its financial creditor and sought to challenge the approval of the appellant's resolution plan.
3. Respondent No.1's appeal, e-filed on 28.09.2024, was with delay and IA No. 1164 of 2025 was filed by her seeking condonation of the delay of 15 days in its presentation. While so, on 04.10.2024, the

¹ For brevity, 'the Code'

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Registry of the NCLAT communicated the defects in the said appeal. The defects were supposedly rectified with delay and an application in IA No. 1165 of 2025 was filed seeking condonation of the delay of 150 days in the refiling of the appeal after the curing of defects.

4. The two delay condonation applications were taken up together on 10.11.2025 by the NCLAT. Though the appellant opposed the condonation of such delay, the NCLAT opined that, insofar as the delay in refiling was concerned, condonation thereof was a matter exclusively between it and the appellant. Holding so, the NCLAT condoned the delay of 150 days in the refiling of the appeal, upon deposit of costs of ₹50,000/- with the Prime Minister's Relief Fund. As regards the delay in filing, the NCLAT observed that the same was within the permissible upper limit of 45 days, stipulated under the *proviso* to Section 61(2) of the Code. Both the IAs were accordingly allowed, *vide* order dated 10.11.2025. It is this common order dated 10.11.2025 passed by the NCLAT which is subjected to challenge before us presently.
5. Taking note of the fact that the appeal in question was filed before the NCLAT with defects, this Court called for the relevant record from the Registry of the NCLAT. Pursuant thereto, Scrutiny Report dated 27.05.2025 pertaining to the subject appeal was forwarded by the NCLAT. Therein, the Registry noted that the period of limitation for filing the appeal, being 30 days, expired on 13.09.2024 and the condonable delay thereafter, being 15 days, was till 28.09.2024. The appeal was e-filed by respondent No. 1 on the very last day, that is, 28.09.2024. The defects in the appeal were intimated by the Registry on 04.10.2024. The appeal was refiled only on 10.03.2025, though the time stipulated under Rule 26(2) of the National Company Law Appellate Tribunal Rules, 2016², for curing of defects is only 07 days. However, the Registry of the NCLAT found that defects galore still remained uncured. The defects that were noticed by the Registry even after the refiling of the appeal were as under: -

‘1. Appeal should be in chronological order: Memos of parties, Synopsis, List of dates & Events, Memorandum of Appeal, Certified copies of the Impugned order

² For brevity, ‘NCLAT Rules’

Angelwoods Apartment Allottees Association v. M Lalitha and Another

2. IA to be filed after Dates and events & Rule provision not mentioned

3. Appellant should be signed in IA Papers

4. IA not reflect in the e portal

5. Vakalath to be duly stamped

6. Appeal not in the format of NCLAT – I

7. Certified copy of the impugned order to be filed or IA with requisite court fee to be filed

8. IA with requisite court fee to be filed for delay in refiling for the period

04.10.2024 to 10.03.2025

9. Payment details to be filed after proof of service

10. In Memo of parties counsel sign not furnished'

6. In effect, even after the refiling of the appeal on 10.03.2025, one of the glaring defects that still remained was that a certified copy of the order dated 14.08.2024, sought to be impugned in the appeal, was not filed. No doubt, delay in refiling of a proceeding would, ordinarily, not be tested by the same strict standards that would be applied to delay in the filing of such proceeding but we find that, in the case on hand, the appeal which was refiled by respondent No. 1 was defective beyond redemption. Defect No. 07, noted *supra*, indicates that the appeal was refiled without a certified copy of the order dated 14.08.2024 passed by the NCLT.
7. Rule 22 of the NCLAT Rules pertains to presentation of appeals. Rule 22(2) categorically states that every appeal shall be accompanied by a certified copy of the impugned order. In this regard, the 3-Judge Bench decision of this Court in ***V. Nagarajan vs. SKS Ispat and Power Limited and others***³ assumes significance. Therein, this Court noted that the parties could not automatically dispense with their obligation to apply for and obtain a certified copy for filing an appeal under Rule 22. It was further noted that a person wishing to file an appeal is expected to file an application for the certified copy

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before the expiry of the limitation period, upon which ‘the requisite time’ for obtaining the certified copy is liable to be excluded while computing limitation. Further, it was observed that though Rule 14 of the NCLAT Rules enabled parties being exempted from compliance with the requirement of the rules and though waiver on the filing of an appeal with a certified copy is often granted, it does not confer an automatic right on the applicant to dispense with compliance and render Rule 22(2) of the NCLAT Rules nugatory. This Court, therefore, held that the act of filing an application for a certified copy is not just a technical requirement for computation of limitation but an indication of the diligence of the party in pursuing the litigation in a timely fashion.

8. In the case on hand, as stated earlier, a certified copy of the NCLT’s order dated 14.08.2024, that was sought to be appealed against by respondent No. 1, was not filed along with the refiled appeal but long thereafter. Perusal of the photocopy of the said certified copy reflects that respondent No. 1 applied for the same only on 21.04.2025 and though the certified copy was prepared on 24.04.2025, it was not collected till 12.06.2025. Therefore, on 10.03.2025, when it was refiled, the appeal was not accompanied by a certified copy of the order dated 14.08.2024.
9. Given the strict timelines provided in the Code, which were held to be of essence by this Court (See ***Ebix Singapore Private Limited vs. Committee of Creditors of Educomp Solutions Limited and another***⁴), we may note that respondent No. 1 chose to e-file an appeal against the order dated 14.08.2024 on the very last day available to her, in terms of the limitation prescribed under the *proviso* to Section 61(2) of the Code. However, the filing of such appeal, without even applying for a certified copy of the order dated 14.08.2024, practically meant that there was no filing of an appeal in the eyes of law. As pointed out by this Court, a diligent litigant is expected to apply for a certified copy of the order sought to be appealed against before the period of limitation runs out and, by doing so, such litigant would be entitled to seek exclusion of the time taken to procure the certified copy for the purpose of limitation.

Angelwoods Apartment Allottees Association v. M Lalitha and Another

10. However, as noted earlier, respondent No. 1 did not even apply for a certified copy of the NCLT's order dated 14.08.2024 till 21.04.2025, long after the refiling of the appeal on 10.03.2025. To make matters worse, respondent No.1 did not even choose to file an application for exemption from filing such certified copy at any point, be it at the time of filing the appeal on 28.09.2024 or its refiling on 10.03.2025. This was the minimum requirement for respondent No. 1 to have complied with, when she filed and refiled her appeal without a certified copy of the NCLT's order dated 14.08.2024. Any such application could have been considered by the NCLAT under Rules 14 and 15 of the NCLAT Rules to enable the filing of the certified copy by respondent No.1 within such further time as is stipulated by the NCLAT. In effect, the appeal, as filed and refiled, was not a merely defective appeal, wherein the defects could be cured, but was a wholly incompetent appeal that did not satisfy the essentials to pass muster, in terms of the requirements prescribed under the Code and the NCLAT Rules. However, the NCLAT totally lost sight of these vital aspects while considering the two applications filed by respondent No. 1 seeking condonation of delay in the filing and the refiling of the appeal. The NCLAT ought not to have extended such indulgence to respondent No. 1, without first ascertaining whether her appeal was instituted in accordance with the norms. We find that the NCLAT failed to undertake this exercise.
11. On the above analysis, we hold that the filing/refiling of the appeal by respondent No. 1 was incurably tainted and the same ought to have been rejected at the threshold. The order dated 10.11.2025 passed by the National Company Law Appellate Tribunal, Chennai, in IA Nos. 1164 and 1165 in Company Appeal No. (AT)(CH)(Ins) No. 252 of 2025 is, accordingly, set aside.

The appeals are allowed, in the aforestated terms.

Parties shall bear their own costs.

Result of the case: Appeals allowed.

Narayana Health & Ors.

v.

The State of West Bengal & Ors.

(Criminal Appeal No(s). 2461-2462 of 2026)

12 May 2026

[Pamidighantam Sri Narasimha and Alok Aradhe JJ.]

Issue for Consideration

Issue arose as regards the correctness of the order passed by the High Court setting aside the summoning order passed by the Magistrate and remanding the matter, regarding complicity of first appellant-corporate entity running the co-accused hospital, and the third appellant-Chairman, both of whom are in a separate territorial jurisdiction than the Magistrate; and whether the allegations contained in the complaint *prima facie* disclose commission of a criminal offence.

Headnotes[†]

West Bengal Clinical Establishment (Registration, Regulation & Transparency) Act, 2017 – s.34 – Penal Code, 1860 – ss.405, 420 and 120B – Indian Medical Council (Professional Conduct, Etiquette and Ethics) Regulations, 2002 – Successful medical treatment of complainant’s mother and on discharge hospital issued a bill – Complainant alleged discrepancies in the bills and sought medical records for insurance reimbursement – Hospital issued revised bill reflecting adjustment in the charges, and communicated to the complainant to collect the refund amount – However, complaint case filed alleging commission of offences u/ss.405, 420 and 120B, IPC along with s.34 of the 2017 Act that the hospital had intentionally included charges for a diagnostic test which had not been performed, that the relevant medical documents were not supplied promptly; and that certain hospital personnel behaved improperly and issued threats when the complainant questioned the billing and sought clarification regarding the treatment records, against first appellant-company running the hospital; second appellant-hospital; third appellant-Chairman of the company; fourth appellant-representative

Narayana Health & Ors. v. The State of West Bengal & Ors.

attached with the hospital; and third respondent-former employee of the hospital – Issuance of process by the Magistrate – Appellants sought quashing of the complaint and the summoning order u/s.482 CrPC – High Court remand the matter to the Magistrate to reconsider complicity of accused persons – Correctness:

Held: Allegations made in the complaint, even if assumed to be true in their entirety and accepted at face value, fail to disclose the commission of any offence under the Sections invoked against the accused persons – Complaint also alleged grievance about non-supply or delay in supply of medical records – Allegation falls short of a criminal offence and could at the most give rise to some kind of a claim in civil law or a statutory requirement under the 2017 Act or 2002 Regulations – However, the complaint only refers to the commission of offence u/s.34, which provides for criminal liability for declared offences and prescribes punishments – Legislative scheme clearly establishes that disputes concerning billing practices, supply of medical records, or service-related grievances are primarily intended to be addressed as deficiencies for which compensation is payable, if found to be true – Without even indicating as to how and in which manner the criminal offence has been committed, not permissible for the complainant to proceed with prosecution by just mentioning s.34 in the complaint – Complainant may have certain service-related grievances and these could be addressed u/s.29 of the 2017 Act – Thus, no criminal offence even u/s.34 of the 2017 Act made out – Fit case for exercising jurisdiction u/s.482 CrPC to quash the criminal complaint and the High Court failed to exercise such a power – Judgment and order passed by the High Court set aside and the complaint case quashed. [Paras 11-20].

Case Law Cited

State of Haryana v. Bhajan Lal [1990] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *Ramesh Chandra Gupta v. State of UP* (2022) 18 SCC 706; *Arshad Neyaz Khan v. State of Jharkhand*, 2025 SCC OnLine SC 2058; *Sadhupati Nageswara Rao v. State of Andhra Pradesh* [2012] 6 SCR 1143 : (2012) 8 SCC 547; *Prof. RK Vijayasathathy v. Sudha Seetharam* [2019] 2 SCR 185 : (2019) 16 SCC 739; *Joseph Salvaraj A. v. State of Gujarat* [2011] 8 SCR

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815 : (2011) 7 SCC 59; *Ajay Mitra v. State of M.P.* [2003] 1 SCR 622 : (2003) 3 SCC 11; *Alpic Finance Ltd. v. P. Sadasivan* [2001] 1 SCR 1059 : (2001) 3 SCC 513; *State (NCT of Delhi) v. Navjot Sandhu* [2005] Supp. 2 SCR 79 : (2005) 11 SCC 600 – referred to.

Shashank Garg v. State and Ors., **2025 SCC OnLine Del 2455 – referred to.**

List of Acts

Penal Code, 1860; West Bengal Clinical Establishments (Registration, Regulation and Transparency) Act, 2017; Code of Criminal Procedure, 1973; Indian Medical Council (Professional Conduct, Etiquette and Ethics) Regulations, 2002.

List of Keywords

Summoning order; Remanding the matter for reconsideration; Corporate entity running the hospital; Chairman; Separate territorial jurisdiction; Commission of criminal offence; Medical treatment; Discharge from the hospital; Discrepancies in the bills; Medical records for insurance reimbursement; Revised bill; Diagnostic test; Hospital personnel behaved improperly and issued threats; Issuance of process; Quashing of the complaint and the summoning order; Complicity of accused persons; Criminal breach of trust; Cheating; Criminal conspiracy.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No(s). 2461-2462 of 2026

From the Judgment and Order dated 16.05.2023 of the High Court at Calcutta in CRR No. 967 of 2021 and CRAN No. 1 of 2021.

Appearances for Parties

Abhinay, Gagan Gupta, *Amici Curiae*.

Advs. for the Appellant(s):

Nidhesh Gupta, Sr. Adv., Shivendra Singh, Bikram Dwivedi, Ms. Prakriti Rastogi, Ms. Aryama Singh Rajput.

Adv. for the Respondent(s):

Kunal Mimani.

Narayana Health & Ors. v. The State of West Bengal & Ors.**Judgment / Order of the Supreme Court****Judgment**

1. Leave granted.
2. The present appeals arise from the judgement and order of the High Court¹, setting aside the summoning order passed by the Judicial Magistrate² and remanding the matter for reconsideration, especially regarding complicity of first appellant, a corporate entity running the co-accused hospital, and the third appellant, being the Chairman, both of whom are in a separate territorial jurisdiction than the Magistrate. The main issue is whether the allegations contained in the complaint *prima facie* disclose commission of a criminal offence or not.
3. The facts relevant for our consideration are as follows. The present proceedings arise out of a complaint filed by the second respondent (“complainant”) in relation to the medical treatment of his mother, Smt. Bina Sen, who was admitted to Narayana Multispecialty Hospital, Barasat, Kolkata, on 13.02.2021 for treatment of her fractured right femur bone. She underwent a successful surgery on 15.02.2021 and remained admitted until her discharge on 19.02.2021. Upon discharge, the hospital issued a bill for the medical services rendered. The complainant paid a sum of Rs. 1,71,130/- towards the treatment expenses, out of a total billed amount of approximately Rs. 1,94,307.84/- after certain discounts were applied by the hospital. After the discharge of the patient, the complainant approached the hospital authorities on 20.02.2021, raising concerns regarding certain discrepancies in the billing and seeking copies of medical records and documents relating to the treatment of his mother. The complainant was informed about the hospital’s grievance redressal mechanism and was advised to follow the established procedure for obtaining records and addressing billing concerns. Subsequently, the complainant requested copies of medical documents and treatment records required for purposes of insurance reimbursement.

1 Vide judgement and order dated 16.05.2023 in C.R.R. No. 967 of 2021 with CRAN No. 1 of 2021.

2 Vide order dated 11.03.2021 in Complaint Case No. C-533 of 2021.

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4. Thereafter, on 23.02.2021, the hospital issued a revised bill reflecting an adjustment in the charges, particularly in relation to an HRCT test amounting to Rs. 2,500/-, which had earlier been included in the bill. According to the hospital, though the said diagnostic test was proposed, it was in fact not conducted because the subsequent condition of the patient did not warrant it. Consequently, the revised bill reflected that the amount of Rs. 2,500/- was liable to be refunded to the complainant. The hospital communicated the same to the complainant through email on 24.02.2021, requesting him to collect the refund amount from the hospital counter or to provide bank details to facilitate the transfer of the amount. A reminder communication was also sent thereafter, requesting the complainant to collect the refund.
5. The complainant instituted Complaint Case No. C-533 of 2021 before the Judicial Magistrate, 2nd Court, Barasat, alleging that the hospital had intentionally included charges for a diagnostic test which had not been performed, and that relevant medical documents were not supplied promptly. The complaint further alleged that certain hospital personnel (arrayed in this appeal as the fourth appellant and the third respondent) behaved improperly and issued threats when the complainant questioned the billing and sought clarification regarding the treatment records. On the basis of these allegations, offences under Sections 406, 420 and 120B of the Indian Penal Code, 1860 ("IPC"), along with Section 34 of the West Bengal Clinical Establishments (Registration, Regulation and Transparency) Act, 2017 ("2017 Act"), were invoked against the first appellant, the company running the hospital; the second appellant, the hospital; the third appellant, being the Chairman of the company; the fourth appellant, being the representative attached with the hospital; and the third respondent, being the former employee of the hospital.
6. The Magistrate examined the complainant and preliminary statements of supporting witnesses under Section 200 of the Criminal Procedure Code, 1973 ("CrPC") and, by order dated 11.03.2021, issued process against the accused persons. Aggrieved thereby, the appellants filed a petition for quashing the complaint and the summoning order under Section 482, CrPC.
7. The High Court, vide impugned judgement dated 16.05.2023, instead of considering the submissions of the appellants that no

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offence is made out and that the allegations, even if true, relate to a civil dispute, proceeded to remand the matter to the Magistrate to reconsider complicity of accused persons living in separate territorial jurisdictions. While setting aside the order of summons, the High Court without a proper examination of the facts, particularly in the context of the offences alleged, made a passing comment that *offence has been made out*. The relevant portion of the impugned judgement is reproduced below -

"I have considered the allegations made in the petition of complaint as also the evidence under Section 200 of the Code of Criminal Procedure (initial deposition) of the complainant Kolloi Kumar Sen and his witness Uttam Kumar Basu. Both the witnesses apart from the issue relating to inflated bill of Rs.2,500/- being charged for a test which was not done also specifically alleged in respect of accused persons Suvendu Prakash and Anup Bhaduri who pushed the complainant into the office and threatened him that they are least bothered of such crimes and if the same is disclosed he may have to face concern relating to safety of his life.

The aforesaid act of the two accused persons prima facie do make out an offence under Section 504 of the Indian Penal Code. At this stage, the concern of the Court is to see whether the allegations in the complaint do make out an offence.

On an assessment of the whole complaint, I am of the view that offence has been made out, however, the complicity of all the persons are to be assessed. It is an admitted position that the petitioner nos. 1 and 3 are having their address at a separate territorial jurisdiction, although petitioner no. 1 is an artificial person but petitioner no.3 is a natural person, his complicity relating to the offence is to be assessed on a different yardstick under Section 200 of the Code of Criminal Procedure prior to issuance of process.

Accordingly, the order dated 11.03.2021 issuing process is set aside. Learned Judicial Magistrate, 2nd Court, Barasat, North 24 Parganas would assess regarding the

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complicity of the petitioner no.3 as also petitioner no.1 before issuing process.

The revisional application being CRR 967 of 2021 is partly allowed.”

8. Aggrieved, the appellants have approached this Court and by our order dated 28.08.2023, while issuing notice in the Special Leave Petition, this Court also stayed further proceedings before the Magistrate.
9. We heard Mr. Nidhesh Gupta, Senior Advocate for the appellants, and as none appeared on behalf of the complainant, we requested Mr. Gagan Gupta, Senior Advocate, to assist us as an amicus curiae.
10. The appellants had approached the High Court against issuance of process by the Magistrate by invoking its inherent jurisdiction under Section 482 of the CrPC. The circumstances in which the High Court can exercise its power and jurisdiction under Section 482 to quash criminal proceedings is well articulated in a number of precedents, commencing with the celebrated decision of this Court in *State of Haryana v. Bhajan Lal*,³ the relevant excerpt of which is as follows -

“1. Where the allegations made in the first information report or the complaint, even if they are taken at their face value and accepted in their entirety do not prima facie constitute any offence or make out a case against the accused.

2. Where the allegations in the first information report and other materials, if any, accompanying the FIR do not disclose a cognizable offence, justifying an investigation by police officers under Section 156(1) of the Code except under an order of a Magistrate within the purview of Section 155(2) of the Code.

3. Where the uncontroverted allegations made in the FIR or complaint and the evidence collected in support of the same do not disclose the commission of any offence and make out a case against the accused.

3 (1992) Supp. 1 SCC 335; *Ramesh Chandra Gupta v. State of UP*, (2022) 18 SCC 706; *Arshad Neyaz Khan v. State of Jharkhand*, 2025 SCC OnLine SC 2058; *Shashank Garg v. State and Ors.*, 2025 SCC OnLine Del 2455.

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4. Where, the allegations in the FIR do not constitute a cognizable offence but constitute only a non-cognizable offence, no investigation is permitted by a police officer without an order of a Magistrate as contemplated under Section 155(2) of the Code.

5. Where the allegations made in the FIR or complaint are so absurd and inherently improbable, on the basis of which no prudent person can ever reach a just conclusion that there is sufficient ground for proceeding against the accused.

6. Where there is an express legal bar engrafted in any of the provisions of the Code or the concerned Act (under which a criminal proceeding is instituted) to the institution and continuance of the proceedings and/or where there is a specific provision in the Code or the concerned Act, providing efficacious redress for the grievance of the aggrieved party.

7. Where a criminal proceeding is manifestly attended with mala fide and/or where the proceeding is maliciously instituted with an ulterior motive for wreaking vengeance on the accused and with a view to spite him due to private and personal grudge.”

11. The complainant alleged commission of offences under Sections 405, 420 and 120B, IPC in his complaint. For criminal breach of trust under Section 405, IPC, it is necessary that there must be entrustment of property to the accused; such entrustment must create a fiduciary obligation regarding the handling or use of that property; and the accused must have dishonestly misappropriated or converted the entrusted property.⁴ Applying these principles to the present case, the allegations in the complaint indicate that the amount of Rs. 2,500/- was paid by the complainant as part of the hospital bill towards charges for an HRCT test, at the time of discharge of the patient. The complaint does not contain any averment that the amount in question was entrusted to the hospital to be held or utilised for a fiduciary or trust-based purpose, nor does it refer to any legal or

⁴ *Sadhupati Nageswara Rao v. State of Andhra Pradesh*, (2012) 8 SCC 547; *Prof. RK Vijayasathay v. Sudha Seetharam*, (2019) 16 SCC 739.

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contractual stipulation governing the manner in which such amount was required to be dealt with or any other averment to show as to how Section 405, IPC is made out. Furthermore, upon mistake being pointed out, the hospital had offered to refund the amount wrongly charged. Thus, in the absence of entrustment, dishonest misappropriation, or violation of a fiduciary obligation, foundational ingredients of the offence of criminal breach of trust as enshrined in Section 405, IPC are not satisfied.

12. For the offence of cheating under Section 420, IPC there must be deception on part of the accused from the very beginning; such deception must lead to fraudulent or dishonest inducement; and the accused must have had dishonest intention at the time the inducement was made.⁵ The allegation in the complaint is merely that the bill issued by the hospital reflected charge for a test that was not performed. Once the issue of wrong charge was raised by the complainant, the hospital communicated its decision to refund the amount. The discrepancy in billing appears to be more of an inadvertence, than a case of dishonest intention on part of the hospital. We are of the opinion that the allegation of cheating is completely misplaced.
13. For the offence of criminal conspiracy under Section 120B, IPC there must be a prior agreement or meeting of minds for commission of an illegal act or a lawful act by illegal means.⁶ Moreover, where the foundational offences are not disclosed, a charge of conspiracy premised upon those offences ordinarily cannot stand independently.⁷ Since the allegations regarding offences of criminal breach of trust and cheating are virtually non-existent, the incidental allegation of criminal conspiracy is unsustainable. Furthermore, the complaint named not just the hospital and its staff but also the corporate entity running it and its Chairman. There is nothing in the complaint indicating a prior agreement, concerted plan, or meeting of minds among the accused persons to commit an unlawful act.
14. The complainant had also alleged improper conduct by the fourth appellant and the third respondent, employees of the hospital, as has been noticed in the impugned judgement as well. The

5 *Joseph Salvaraj A. v. State of Gujarat*, (2011) 7 SCC 59; *Ajay Mitra v. State of M.P.*, (2003) 3 SCC 11; *Alpic Finance Ltd. v. P. Sadasivan*, (2001) 3 SCC 513.

6 *State (NCT of Delhi) v. Navjot Sandhu*, (2005) 11 SCC 600.

7 *R.K. Vijayasathya* (supra).

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allegations in the complaint relate to the alleged statements made by them discouraging the complainant from pursuing the matter any further. There is nothing more to this averment and it is important to note that neither the complaint nor the summoning order refers to commission of an offence under Section 503, IPC. The High Court while remanding the matter, on its own makes an observation that, “the aforesaid act of the two accused persons prima facie do make out an offence under Section 504 of the Indian Penal Code” and that “offence has been made out”. We are of the opinion that there was no occasion for the High Court to construe the general averments and elevate them to the commission of an offence under Section 504 and then observe that offence has been made out.

15. In view of the above discussion, we are of the opinion that the allegations made in the complaint, even if assumed to be true in their entirety and accepted at face value, fail to disclose the commission of any offence under the Sections invoked against the accused persons.
16. The complaint also alleged grievance about non-supply or delay in supply of medical records. We are of the opinion that the allegation falls short of a criminal offence and could at the most give rise to some kind of a claim in civil law or a statutory requirement under West Bengal Clinical Establishment (Registration, Regulation & Transparency) Act, 2017 or the Indian Medical Council (Professional Conduct, Etiquette and Ethics) Regulations, 2002. However, the complaint only refers to the commission of offence under Section 34 of the West Bengal Clinical Establishment (Registration, Regulation & Transparency) Act, 2017.
17. The above referred 2017 Act is intended to regulate the functioning of clinical establishments within the State, ensure transparency in medical services, standardise treatment protocols, and provide mechanisms for grievance redressal in matters relating to patient care, billing practices and service standards. Duties of clinical establishments such as the appellant hospital is declared in Section 7(3) of the 2017 Act, which is as follows:

“7. Conditions for registration and license:

....

(3) Every license granted under sub-section (1) shall be subject to the following terms and conditions:—

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(c) that the clinical establishment shall not resort to any unethical or unfair trade practices including unfair pricing for different services;

(e) that such information is to be displayed and in such manner as may be prescribed;

(g) that such medical and other reports, records and documents shall be made available to the licensing authority or the service recipient or his representative on demand, as may be prescribed;

(l) that every clinical establishment shall maintain a Public Grievance Cell for lodging of any complaint regarding treatment, improper billing, deficit in service, attending staffs' behaviour etc. and for redressal thereof;

(m) that every clinical establishment shall set up a proper Help Desk to maintain regular and proper communication with the service recipients or their representatives regarding treatment, recipient's condition, regular billing etc. and for their proper counseling;

(n) that every clinical establishment shall immediately after coming into force of this Act, implement e-Prescription, maintain Electronic Medical Records and provide a set of all medical records and treatment details along with the discharge summary at the time of discharge of the service recipient;

(o) that every clinical establishment shall strictly follow the fixed rates and charges including the Package Rates for investigation, bed charges, operation theatre procedures, Intensive Care, ventilation, implants, consultation and similar tests and procedures, and any additional treatment or procedure shall not attract additional charges over and above such fixed rates and charges including the Package Rates;

(p) that every clinical establishment shall provide proper estimates for treatments not covered in fixed rates and charges including the Package Rates, to the service recipients or representative of service recipients during

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initiation or due course of treatment, and final bills shall not exceed estimates by a certain percentage, as may be prescribed by the Government;

...”

18. The 2017 Act provides remedies against violations and excesses by clinical establishments by establishing an adjudicatory mechanism. Section 35 provides for the appointment of an Adjudicating Authority to address grievances concerning patient care services, billing irregularities, non-supply of records, and service deficiencies. Under Section 36, the West Bengal Clinical Establishment Regulatory Commission is established to supervise, adjudicate, and compensate the consumers/patients.
19. While Section 29 provides for imposition of major and minor penalties for deficiencies⁸, Section 34 provides for criminal liability for declared offences and prescribes punishments.⁹ In other words, the legislative scheme clearly establishes that disputes concerning billing practices, supply of medical records, or service-related grievances are primarily intended to be addressed as deficiencies for which compensation is payable, if found to be true. Without even indicating as to how and in which manner the criminal offence has been committed, it is not permissible for the complainant to proceed with prosecution by just mentioning Section 34 in the complaint. We do not deny the fact that that complainant may have certain service-related grievances

8 “29. Minor and major deficiencies:

(1) Whoever contravenes any provision of this Act or any rule made thereunder resulting in such minor deficiencies, that do not pose any imminent danger to the health and safety of any patient or public and can be rectified within a reasonable time, shall be liable to a penalty which may extend to fifty thousand rupees.

(2) Whoever contravenes any provision of this Act or any rule made thereunder resulting in such major deficiencies, that pose an imminent danger to the health and safety of any member of the public or patient and which cannot be rectified within a reasonable time, shall be liable to a penalty which may extend to ten lakh rupees.

Explanation. — For the purpose of this section “minor deficiencies and major deficiencies” shall have such meaning as may be prescribed.”

9 “34. Offences and punishments:

(1) Notwithstanding anything contained in this Act, if any person —

(a) violates the conditions of registration and license under this Act, he shall be liable for imprisonment which may extend to three years; or

(b) causes death or injury of patient or service recipients due to negligence, shall be liable to punishment as provided in the Indian Penal Code, 1860.

(2) The prosecution, trial etc. for the purpose of sub-section (1) shall be as per the provision contained under the Code of Criminal Procedure, 1973.”

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and these could be addressed under Section 29 of the 2017 Act. In view of the above, we are of the opinion that no criminal offence even under Section 34 of the 2017 Act is made out.

20. Having considered the matter in detail, we are of the opinion that this is a fit case for exercising jurisdiction under Section 482 of CrPC to quash the criminal complaint and we are equally of the opinion that the High Court has failed to exercise such a power. In this view of the matter, we allow these appeals and set aside the judgement and order passed by the High Court in C.R.R. No. 967 of 2021 with CRAN No. 1 of 2021, dated 16.05.2023 and quash the Complaint Case No. C-533 of 2021.
21. Quashing of the above referred criminal complaint will have no bearing on the civil or statutory remedies that the complainant may exercise in accordance with law.
22. We place on record the assistance rendered by Mr. Gagan Gupta, learned Senior Advocate; along with Mr. Abhinay Sharma, Advocate on Record; Ms. Kirti Vyas, Advocate; and Mr. Kartik Rajpurohit, Advocate.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Nidhi Jain

**Padam Mehta and Another
v.
State of Rajasthan and Others**

(Civil Appeal No. 7458 of 2026)

12 May 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

Matter arose as regards inclusion of Rajasthani language as medium of instructions for education and public employment.

Headnotes[†]

Constitution of India – Arts.19(1)(a), 136 – Linguistic minority – Inclusion of the Rajasthani language in Schools – PIL by the appellants seeking a direction to the respondents to include the Rajasthani language in the examination syllabus for recruitment to the post of Teacher, under the Rajasthan Eligibility Examination for Teachers, 2021, and to impart education to children in the Rajasthani language or the relevant local language – Petition dismissed by the High Court holding that a writ of mandamus can be issued only upon the petitioners/appellants establishing an enforceable legal right and demonstrating a corresponding failure on the part of the State authorities to discharge a statutory duty – Correctness:

Held: Primary relief as regards the inclusion of the Rajasthani language in the examination syllabus of the REET-2021, rendered infructuous since the recruitment process has been conducted and concluded, and attained finality long back – However, the issues raised touches upon broader questions of constitutional significance concerning the recognition of language in the sphere of education and public employment – Right to receive education in one's mother language finds its normative basis in Art.19(1)(a), for the guarantee of freedom of speech and expression necessarily encompasses the right to receive information in a form that is both meaningful and comprehensible – True value of this freedom lies not merely in the ability to communicate, but in the ability to understand, internalize, and process information so as to make informed choices – Thus, education, being a

* Author

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primary vehicle for transmission of knowledge, must, to the extent practicable, be imparted in a language that the child understands best – Instruction in the mother language, or a language of choice, fortifies the learner’s conceptual clarity, ensures deeper cognitive engagement, and secures the constitutional promise of meaningful access to knowledge – However, despite such clear policy articulation by the Central Government, there appears to be a substantial deficit in the actual implementation of these commitments by the State at the ground level – Continued inaction and inadequacy on the part of State Government in operationalising this mandate not only undermines statutory and policy directives but also risks infringing fundamental rights guaranteed under Part III of the Constitution – State submitted that only those languages as are enumerated in the Eighth Schedule to the Constitution are presently taught as subjects in Government Primary and Upper Primary Schools, and that, consequently, there exists neither any policy decision nor administrative framework to recognise or adopt the language in question as a medium of instruction or as a subject for recruitment – This approach cannot be regarded as satisfactory, for it reflects an utter failure to translate constitutional assurances into concrete action, and, if accepted, would risk reducing the rights recognised under the Constitution to a mere formality and the broader constitutional commitment to linguistic diversity and meaningful access to education – Court cannot remain a silent spectator to the stark dilution of rights so clearly recognised in constitutional text, legislative enactments, and binding precedents – Once the Union itself has, through legislative measures and policy frameworks, acknowledged the necessity of imparting education in a language intelligible to the child, a corresponding obligation arises for the States to take timely, effective and purposive steps towards its realisation – In the absence of an appropriate policy framework, this Court would be failing in its constitutional duty were it to remain indifferent to the continued non-realisation of rights and obligations so clearly envisaged under the Constitution – State of Rajasthan to formulate an appropriate and comprehensive policy for the effective implementation of the constitutional mandate relating to mother tongue-based education, particularly in the backdrop of the National Education Policy, 2020 – State to take necessary measures to recognise and accord due status to the Rajasthani language as a local/regional language for educational

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purposes and to progressively facilitate its adoption as a medium of instruction, initially at the foundational and preparatory stages of schooling and progressively at higher levels, in a manner consistent with constitutional principles and pedagogical requirements – State to take affirmative and time-bound steps towards introducing and providing Rajasthani as a subject in all schools, government and private, in a phased and progressive manner consistent with the constitutional and policy framework. [Paras 31, 32, 42, 44-52]

Constitution of India – Part XVII, Arts. 343 to 351 – Language – Role and significance of, in the context of education and constitutional guarantees – Constitutional recognition of the importance of the mother tongue in early education – Explained. [Paras 10-19]

Case Law Cited

State of U.P. & Anr. v. Anand Kumar Yadav & Ors. [2017] 10 SCR 428 : (2018) 13 SCC 560; *Devesh Sharma v. Union of India & Ors.* [2023] 11 SCR 167 : (2023) 18 SCC 339; *English Medium Students Parents Assn. v. State of Karnataka & Ors.* [1993] Supp. 3 SCR 934 : (1994) 1 SCC 550; *State of Karnataka & Anr. v. Associated Management of English Medium Primary & Secondary Schools & Ors.* [2014] 5 SCR 1104 : (2014) 9 SCC 485 – referred to.

List of Acts

Constitution of India; Constitution (Seventh Amendment) Act, 1956; Right of Children to Free and Compulsory Education Act, 2009.

List of Keywords

Rajasthan Eligibility Examination for Teachers, 2021; National Policy on Education, 1968; National Education Policy, 2020; Inclusion of Rajasthani language as medium of instructions for education; Linguistic minority; Inclusion of Rajasthani language in Schools; Examination syllabus for recruitment to the post of Teacher, under the Rajasthan Eligibility Examination for Teachers, 2021; Impart education to children in Rajasthani language or relevant local language; Establish enforceable legal right; Statutory duty; Role and significance of Language in the context of education and constitutional guarantees; Constitutional recognition of the importance of mother tongue in early education.

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Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7458 of 2026

From the Judgment and Order dated 27.11.2024 of the High Court of Judicature for Rajasthan at Jodhpur in DBCWP No. 5294 of 2021

Appearances for Parties

Advs. for the Appellant(s):

Dr. Manish Singhvi, Sr. Adv., Apurv Singhvi, Ms. Shalini Halder, Jitesh Saluja, D. K. Devesh.

Advs. for the Respondent(s):

Shiv Mangal Sharma, A.A.G., Ms. Nidhi Jaswal, Ms. Sonali Gaur, Ajay Singh.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

1. Heard.
2. Leave granted.
3. The ability to understand and be understood in one's own language is not a matter of convenience, but a matter of existential rights, for comprehension must necessarily precede meaningful participation in the society and day to day life activities. It is in this context that language, being the means of expression, is the very essence of an individual. It serves as the medium through which thought takes shape and identity finds recognition. Therefore, in a society governed by law, the accessibility of language assumes constitutional significance.
4. In light of the foregoing reflection, which underscores the fundamental significance of language as the most powerful medium of comprehension and meaningful participation, we shall now proceed to examine the present controversy.
5. The appellants have approached this Court by way of the instant appeal, under Article 136 of the Constitution of India, 1950¹, for

¹ Hereinafter, referred to as "Constitution".

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assailing the impugned final order dated 27th November, 2024 passed by the High Court of Judicature for Rajasthan at Jodhpur² in D.B. Civil Writ Petition No. 5294 of 2021 whereby the High Court dismissed the Public Interest Litigation filed by the appellants.

6. The appellants, by way of the aforesaid Public Interest Litigation, had approached the High Court seeking a direction to the respondents to include the Rajasthani language in the examination syllabus for recruitment to the post of Teacher, Grade-III, Level-I and Level-II, under the Rajasthan Eligibility Examination for Teachers, 2021³. The appellants also sought a direction to the respondents to impart education to children in the Rajasthani language or the relevant local language.
7. The High Court dismissed the petition on the premise that a writ of mandamus can be issued only upon the petitioners/appellants establishing an enforceable legal right and demonstrating a corresponding failure on the part of the State authorities to discharge a statutory duty.
8. Being aggrieved, the appellants are before this Court by way of the present appeal by special leave.
9. Before advertng to the merits of the controversy, it would be apposite to briefly take note of certain foundational aspects pertaining to the role and significance of language, particularly in the context of education and constitutional guarantees, so as to place the issues arising in the present appeal in their true and wholesome perspective.

HISTORICAL BACKGROUND

10. Language has existed in one form or other since times immemorial. It has served as the enduring thread through which successive generations have transmitted culture, knowledge, and values from one generation to the next.
11. The Constituent Assembly was deeply conscious of the pivotal role that language plays in shaping the unity and identity of a nation. The debates of the Assembly reflect an acute awareness of the unifying potential of language and its capacity to bind together the diverse

2 Hereinafter, referred to as "High Court".

3 Hereinafter, referred to as "REET, 2021".

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cultural fabric of India, particularly in the context of education and nation-building.

12. The framers of the Constitution devoted an entire Part to the subject of language, being fully conscious of its profound bearing on national integration, cultural identity, and access to education and justice. Part XVII of the Constitution (Articles 343 to 351) delineates the constitutional framework governing the official languages of the Union and the States, while at the same time preserving and promoting India's rich linguistic diversity.
13. The Constitution, in its original form, recognized fourteen languages in the Eighth Schedule, reflecting the linguistic diversity of the newly independent nation. However, pursuant to successive constitutional amendments, the list of languages in the Eighth Schedule has been progressively expanded. As it stands today, the Eighth Schedule comprises twenty-two languages, embodying the constitutional recognition of India's plural linguistic heritage and its commitment to fostering unity in diversity.
14. In the deliberations of the Constituent Assembly of India, the question of language was not confined to matters of official usage, but extended to concerns of far-reaching import, including the use of the mother tongue at the primary stage of education, an issue of enduring relevance in every multilingual society characterised by substantial linguistic diversity, as well as the determination of the medium of instruction in universities and other institutions of higher learning.
15. The significance accorded to these concerns did not remain at the level of principle alone but found concrete constitutional expression in the years that followed. By virtue of the Seventh Amendment⁴ to the Constitution, Article 350A came to be incorporated into the Constitution, with the avowed object of ensuring that the States shall provide adequate facilities for instruction in the mother tongue at the primary stage of education for children belonging to linguistic minority groups.
16. The constitutional recognition of the importance of the mother tongue in early education was further reinforced by subsequent policy developments at the national level, reflecting a consistent and evolving

4 Constitution (Seventh Amendment) Act, 1956, S. 21.

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consensus on the issue. In this regard, the Education Commission (1964-66), famously known as D.S. Kothari Commission, was constituted by the Government of India to undertake a comprehensive review of the state of education and to recommend measures for its comprehensive reform. The Commission placed strong emphasis on the centrality of regional languages within the educational system and recommended a three-language formula, under which the first language of instruction would ordinarily be the mother tongue or the regional language. It further underscored that the regional language ought to serve as the medium of education not only at the school level but should extend to higher stages of learning as well. The report of the Commission was subsequently adopted in the National Policy on Education, 1968, and its core recommendations came to be reiterated in the subsequent iterations of the National Policy on Education in 1986 and 1992, thereby lending enduring policy support to the constitutional vision.

17. In furtherance of the objective of securing inclusive and equitable education for all children between the age of six and fourteen years, Parliament enacted the pathbreaking statute i.e., the Right of Children to Free and Compulsory Education Act, 2009⁵, with a view to guarantee every child the right to full-time elementary education of satisfactory and equitable quality. Significantly, recognising the foundational role of the mother tongue in facilitating meaningful learning, the legislature incorporated Section 29(2)(f) therein, mandating that the academic authority, while formulating the curriculum and evaluation procedures, shall take into consideration that the medium of instruction shall, as far as practicable, be in the child's mother tongue, an expression of legislative intent whose full and faithful operationalisation would fall for consideration at a later stage. Section 29(2)(f) is extracted below for ease of reference:-

“29. Curriculum and evaluation procedure.—

- (1) The curriculum and the evaluation procedure for elementary education shall be laid down by an academic authority to be specified by the appropriate Government, by notification.

5 Hereinafter, referred to as “RTE Act, 2009”.

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- (2) The academic authority, while laying down the curriculum and the evaluation procedure under sub-section (1), shall take into consideration the following, namely:—
- (a) conformity with the values enshrined in the Constitution;
 - (b) all round development of the child;
 - (c) building up child's knowledge, potentiality and talent;
 - (d) development of physical and mental abilities to the fullest extent;
 - (e) learning through activities, discovery and exploration in a child friendly and child-centered manner;
 - (f) medium of instructions shall, as far as practicable, be in child's mother tongue;**
 - (g) making the child free of fear, trauma and anxiety and helping the child to express views freely;
 - (h) comprehensive and continuous evaluation of child's understanding of knowledge and his or her ability to apply the same."

(Emphasis supplied)

18. This legislative mandate has been further strengthened and elaborated in contemporary policy frameworks. The National Education Policy, 2020⁶, which seeks to comprehensively reform the education system in the country, places marked emphasis on the primacy of the home, local, and regional language in early education. It acknowledges, on a considered pedagogical basis, that young children grasp and internalise complex concepts with greater ease when instructed in their mother tongue. Accordingly, the Policy recommends that, wherever feasible, the medium of instruction up to at least Grade V, and preferably up to Grade VIII and beyond, ought to be the home or regional language, while also envisaging its continued use as a subject of instruction thereafter. Notably, this framework is intended to be uniformly adhered to by both public and private educational institutions, thereby embedding linguistic inclusivity at the core of the instructional paradigm.

6 Hereinafter, referred to as "NEP, 2020".

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19. NEP, 2020 further contemplates the deployment of technology as an enabling instrument to bridge linguistic barriers, so as to facilitate more effective communication between teachers and students and to enhance comprehension by allowing instruction and learning to take place in the child's home or regional language, in furtherance of the overarching objective of mother tongue-based education. Such technological adaptations are intended to aid teachers in instructional delivery and assist students in comprehending complex concepts in their home or regional language and are to be piloted and implemented in a manner that strengthens the overarching objective of imparting instructions in mother-tongue.

SUBMISSIONS ON BEHALF OF THE APPELLANTS

20. Learned counsel appearing for the appellants submitted that Rajasthani speaking population squarely falls within the ambit of a "linguistic minority" for the purposes of Article 350A of the Constitution. The expression "linguistic minority" is not to be understood in a narrow or rigid sense, but in relation to the dominant or official language of the State. In the State of Rajasthan, where Hindi is the principal official language, Rajasthani, being a distinct mother tongue with its own rich linguistic identity and cultural heritage, clearly constitutes a minority language for the purposes of Article 350A of the Constitution.
21. Learned counsel submitted that the right to choose the medium of instruction, particularly the entitlement to receive education in one's mother tongue, is implicit in Article 19(1)(a) of the Constitution, inasmuch as the freedom of speech and expression encompasses the right to receive and comprehend information in a meaningful manner. When read in conjunction with Article 21A of the Constitution, this forms a coherent interlinked constitutional guarantee, obligating the State to ensure that education is not merely formally imparted, but is intelligible and effective in substance, which necessarily entails instruction in a language understood by the child.
22. It was submitted that the State of Rajasthan has engaged in a form of hostile and invidious discrimination, inasmuch as languages such as Gujarati, Punjabi, and Sindhi are being included in the course curriculums prevailing in the schools, while Rajasthani stands conspicuously excluded, notwithstanding its widespread use and deep-rooted linguistic identity within the State. Such differential

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treatment, in the absence of any intelligible differentia or rational nexus with the object sought to be achieved, is manifestly arbitrary and falls foul of the equality mandate enshrined in Article 14 of the Constitution.

23. Learned counsel further submitted that the NEP, 2020, lends further reinforcement to this position by recognising that young children are able to grasp even complex concepts with greater ease when taught in their home language, and accordingly recommends that the medium of instruction should, as far as practicable, be the home language or mother tongue, at least until Grades I to V and VI to VIII.
24. On these grounds, learned counsel for the appellants, implored the Court to set aside the impugned order; allow the appeal and issue appropriate directions in terms of the reliefs prayed for.

SUBMISSIONS ON BEHALF OF THE RESPONDENTS

25. *Per contra*, learned counsel appearing for the respondents submitted that education is presently imparted, and recruitment to teaching positions undertaken, only in respect of those languages which are formally recognised in the Eighth Schedule to the Constitution. It was contended that, as on date, Rajasthani has not been included in the said Schedule and hence, no policy decision has been taken, nor does any administrative framework presently exist, for its adoption either as a medium of instruction or a compulsory subject.
26. Learned counsel submitted that the reliance placed by the appellants on Article 350A of the Constitution is misconceived and misplaced, as speakers of Rajasthani language do not constitute a linguistic minority within the State of Rajasthan. It was further urged that Article 350A is merely directory in character, inasmuch as it casts an obligation upon the State only to endeavour to provide facilities for instruction in the mother tongue and does not give rise to justiciable or enforceable rights capable of being enforced by way of a writ of mandamus.
27. It was further submitted that the NEP, 2020 is merely an executive policy statement without statutory force and does not, by itself, create legally enforceable rights or corresponding duties. While the Policy recommends the use of the mother tongue as the medium of instruction, it does not mandate the same, nor does it circumscribe

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the State's administrative/executive discretion in the formulation of curricula or the structuring of recruitment syllabi.

28. In light of the submissions noted hereinabove, learned counsel appearing for the respondents urged that the present appeal, being devoid of merit, deserves to be dismissed.

ANALYSIS AND DISCUSSION

29. We have given our thoughtful consideration to the submissions advanced at bar and have carefully gone through the impugned order and the material placed on record.
30. At the outset, it is necessary to note that the primary relief sought by the appellants, namely, the inclusion of the Rajasthani language in the examination syllabus for both levels, Classes I to V and Classes VI to VIII, of the REET-2021, does not survive for efficacious consideration at this stage. The said examination pertained to a recruitment process which has since been conducted and concluded, and the relief, in its present form, appears to have been rendered infructuous by efflux of time. This Court, therefore, finds that no effective direction can now be issued *qua* the said examination without unsettling a recruitment process that has attained finality long back.
31. However, the matter does not rest there. The issues raised by the appellants transcend the confines of the particular examination in question and touch upon broader questions of constitutional significance concerning the recognition of language in the sphere of education and public employment. To that extent, the grievance projected cannot be brushed aside as wholly academic and would require consideration in the larger context delineated hereinbelow.
32. Needless to state, the question of language in education transcends the confines of administrative convenience or pedagogical preference; it strikes at the very core of inclusivity, identity, and meaningful access to the learning process. Any adjudication in this domain must, therefore, proceed with due circumspection, bearing in mind the delicate balance between the domain of policy formulation entrusted to the State and the constitutional mandate of ensuring equality of opportunity alongside the preservation of linguistic diversity.
33. It cannot be gainsaid that education is the transformative force, capable of uplifting an individual from adverse circumstances and

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elevate him to the highest realms of personal, social, and economic development. It is not merely a means of acquiring knowledge and communication, but a tool for empowerment, enabling individuals to overcome systemic disadvantages, break cycles of poverty, and contribute meaningfully to the society. The influence of education extends beyond the individual, shaping families and successive generations by fostering awareness, critical thinking, and informed decision making. An educated person is thus equipped not only with intellectual acumen but also with the ethical, civic, and social consciousness necessary to participate effectively in a democratic society, uphold constitutional values, and contribute to nation-building.

34. Recognizing this, the Constitution of India, through Articles 21, 21A, 41, 45, 51A(k) and 350A, places a clear imprimatur on the right to education and the corresponding obligation of the State to ensure accessible, equitable, and quality education. These provisions, read harmoniously, affirm that education is not merely a policy objective, but a constitutional entitlement coupled with a public duty, integral to both individual dignity and the collective progress of the nation.
35. Significantly, the constitutional framework also recognises that the quality of education is inextricably linked to the medium through which it is imparted, reflecting the principle that education must be intelligible and accessible to the learner. Instruction that cannot be adequately grasped by the students due to language barriers or unfamiliar mediums of instruction cannot, in any meaningful sense, be regarded as quality education, for the very purpose of education is to equip the learner with knowledge, understanding, and skills. The constitutional mandate, thus, impels the State to adopt measures that facilitate effective learning through the use of child's chosen language, or mother tongue, thereby fulfilling both the spirit and the letter of the Constitution in delivering education that is truly substantive, inclusive, and empowering.
36. This Court has, on more than one occasion, underscored these principles. In ***State of U.P. & Anr. v. Anand Kumar Yadav & Ors.***⁷, while emphasizing the importance of quality education, the Court observed as follows:-

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“23. At the outset, we may note that **fundamental right to free and compulsory education is one of the most important rights as without education one may never know his other rights. It goes without saying that right to education is right to quality education.** Concern for unsatisfactory quality of education has been expressed by this Court on several occasions...”

37. Parliament, being alive to the pivotal role of education as an instrument of social transformation and substantive equality, enacted RTE Act, 2009 with the avowed objective of ensuring free and compulsory elementary education of satisfactory quality to all children, particularly those belonging to disadvantaged and weaker sections of society. The enactment serves to operationalise the constitutional mandate flowing from Articles 21A, 45, and 51A(k) of the Constitution, and is designed to dismantle barriers to access, foster inclusivity, and secure the provision of education that is not merely formal but meaningful, effective, and equitable in substance.
38. This Court in ***Devesh Sharma v. Union of India & Ors.***⁸, highlighted the transformative purpose of RTE Act, 2009 and the broad remedial purpose it seeks to achieve, and observed as follows:-

“18. In order to fulfil the above mandate the Right to Education Act, 2009, was passed by Parliament on 20-8-2009, which became effective from 1-4-2010. **The Object and Reasons of the Act declared loud and clear that what the Act seeks to achieve is not merely “free” and “compulsory” elementary education, but equally important would be the “Quality” of this education! The Preamble to the Act states “that every child has a right to be provided full-time elementary education of satisfactory and equitable “quality” in a formal school which satisfies certain essential norms and standards”.**

19. When the validity of the Act was challenged before this Court [In *Society for Unaided Private Schools of Rajasthan v. Union of India*, (2012) 6 SCC 1 : 4 SCEC 453], this Court, while upholding its validity emphasised that the Act, was intended not only to impart “free” and

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“compulsory” education to children, but the purpose was also to impart “quality” education!

“8. ... The provisions of this Act are intended not only to guarantee right to free and compulsory education to children, but it also envisages imparting of “quality” education by providing required infrastructure and compliance with specified norms and standards in the schools.” [See p. 28, para 8, *Society for Unaided Private Schools of Rajasthan v. Union of India* [*Society for Unaided Private Schools of Rajasthan v. Union of India*, (2012) 6 SCC 1 : 4 SCEC 453]

20. As we can see, the purpose behind bringing this pathbreaking legislation was not to complete the formality of “free and compulsory” elementary education for children, but to make a qualitative difference in elementary education and to impart it in a meaningful manner. Provisions like “Right to be admitted in a neighbourhood school” [Section 3 of the Right to Education Act, 2009.], “No denial of admission” [Section 15 of the Right to Education Act, 2009.] and “Prohibition of physical punishment and mental harassment” [Section 17 of the Right to Education Act, 2009.], are some of the heartwarming provisions of the Act.

21. The Act sets down certain norms and standards which have to be followed in elementary schools, and this is with the purpose of providing a meaningful and “quality” education...

(Emphasis Supplied)

39. Section 29(2)(f) of the RTE Act, 2009, is a key provision aimed at securing the delivery of quality education in a real and substantive sense. Proceeding on the well-established pedagogical premise that instruction imparted in the child’s mother tongue or regional language significantly enhances comprehension and learning outcomes, the provision intends to obviate situations where students are unable to meaningfully grasp foundational concepts at the very threshold. Education imparted in a language unfamiliar to the learner not only impedes effective understanding but also risks impairing foundational

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development and engendering a sense of alienation or apprehension in the child, thereby defeating the very purpose of elementary education. By mandating that curricular design and evaluation frameworks duly account for the medium of instruction, Section 29(2)(f) reinforces the principle that quality education must be intelligible, inclusive, and conducive to the holistic development of the child.

40. It is also pertinent to note that the Central Government has, in furtherance of the constitutional mandate, formulated the National Education Policy, 2020, which, as discussed above, accords primacy to the use of the mother tongue, home language, local language or regional language as the medium of instruction, particularly at the foundational and preparatory stages of schooling. The Policy does not merely reiterate a pedagogical preference but reflects a considered legislative policy stance acknowledging that education imparted in a language familiar to the child substantially enhances conceptual clarity, cognitive development, and long-term learning outcomes. In that sense, NEP, 2020 serves to reinforce, at the executive level, the constitutional vision underlying Articles 19(1)(a), 21, 21A, 41, 45, 51A(k) and 350A, all of which cumulatively stress upon the imperative of ensuring education that is accessible, inclusive, and meaningful.
41. This position has also received judicial affirmation. In ***English Medium Students Parents Assn. v. State of Karnataka & Ors.***⁹, this Court, while acknowledging the pivotal role played by mother-tongue instruction in the intellectual and emotional development of a child, underscored the constitutional obligation of the State to actively promote the language of the region. The Court emphasised that the mother tongue serves not merely as a medium of communication but also as a vital instrument for cognitive growth, cultural continuity and meaningful participation in the educational process and observed as follows:-

“20. All educational experts are uniformly of the opinion that pupils should begin their schooling through the medium of their mother tongue. There is great reason and justice behind this. Where the tender minds of the children are subject to an alien medium the learning process becomes unnatural. It inflicts a cruel strain on the children which

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makes the entire transaction mechanical. Besides, the educational process becomes artificial and torturous. The basic knowledge can easily be garnered through the mother tongue. The introduction of a foreign language tends to threaten to atrophy the development of mother tongue. When the pupil comes of age and reaches the Vth standard level, the second language is introduced. The child who has not taken Kannada as a first language is required to take it as a second language. At the secondary stage the three language formula is introduced. However, in cases of non-Kannada speaking students grace marks up to 15 are awarded. Certainly, it cannot be contended that a student studying in a school from Karnataka need not know the regional language. **It should be the endeavour of every State to promote the regional language of that State.** In fact, the Government of Karnataka has done commendably well in passing this GO Therefore, to contend that the imposition of study of Kannada throws an undue burden on the students is untenable. Again to quote Mahatma Gandhi:

“The medium of instruction should be altered at once and at any cost, the provincial languages being given their rightful place. I would prefer temporary chaos in higher education to the criminal waste that is daily accumulating.”

(Emphasis Supplied)

42. At a more fundamental level, the right to receive education in one's mother language finds its normative basis in Article 19(1)(a) of the Constitution, for the guarantee of freedom of speech and expression necessarily encompasses the right to receive information in a form that is both meaningful and comprehensible. The true value of this freedom lies not merely in the ability to communicate, but in the ability to understand, internalize, and process information so as to make informed choices. Viewed through this constitutional lens, it follows that education, being a primary vehicle for transmission of knowledge, must, to the extent practicable, be imparted in a language that the child understands best. Instruction in the mother language, or a language of choice, fortifies the learner's conceptual clarity, ensures deeper cognitive engagement, and secures the constitutional

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promise of meaningful access to knowledge.

43. This position stands authoritatively affirmed by this Court in ***State of Karnataka & Anr. v. Associated Management of English Medium Primary & Secondary Schools & Ors.***¹⁰, wherein, upon an exhaustive analysis of the constitutional guarantee under Article 19(1)(a) of the Constitution, it was unequivocally affirmed that the said provision encompasses the freedom of a child to receive primary education in a language of his or her choice. The Court held as follows:-

“39. This Court also went into the question whether receiving information or education by a citizen was part of his right to freedom of speech and expression in *Ministry of Information & Broadcasting, Govt. of India v. Cricket Assn. of Bengal* [(1995) 2 SCC 161] and held that the right to freedom of speech and expression in Article 19(1)(a) of the Constitution will not only include the right to impart information but also the right to receive information. In his opinion, P.B. Sawant, J. observed that the right to freedom of speech and expression also includes the right to educate, to inform and to entertain and also the right to be educated, informed and entertained.

40. In line with the earlier decisions of this Court, we are of the view that the right to freedom of speech and expression under Article 19(1)(a) of the Constitution includes the freedom of a child to be educated at the primary stage of school in a language of the choice of the child and the State cannot impose controls on such choice just because it thinks that it will be more beneficial for the child if he is taught in the primary stage of school in his mother tongue. **We, therefore, hold that a child or on his behalf his parent or guardian, has a right to freedom of choice with regard to the medium of instruction in which he would like to be educated at the primary stage in school. We cannot accept the submission of the learned Advocate General that the right to freedom of speech and expression in Article 19(1)(a) of the**

¹⁰ (2014) 9 SCC 485.

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Constitution does not include the right of a child or on his behalf his parent or guardian, to choose the medium of instruction at the stage of primary school.”

(Emphasis Supplied)

44. However, what is a matter of serious concern is that despite such clear policy articulation by the Central Government, there appears to be a substantial deficit in the actual implementation of these commitments by the State at the ground level. Little demonstrable progress has been made in taking concrete and affirmative steps to ensure that students are effectively imparted instruction in the language of their choice, or at the very least, in the regional language, as constitutionally and legally mandated. This Court has categorically held that the medium of instruction at the primary level must subserve the objective of genuine comprehension and has further located this entitlement within the ambit of Article 19(1)(a) of the Constitution, recognising it as an intrinsic facet of the right to receive information in a form that facilitates understanding. Therefore, the continued inaction and inadequacy on the part of State Government in operationalising this mandate not only undermines statutory and policy directives but also risks infringing fundamental rights guaranteed under Part III of the Constitution.
45. While frameworks, schemes and policies continue to be announced with much fanfare and panache, their absence in the lived experience of the child renders the entire exercise hollow. A right that exists only on paper, without corresponding administrative will or implementation, is in effect no right at all. Such a gap between normative declarations and actual delivery strikes at the very heart of constitutional governance, which demands not only the articulation of high principles but their faithful and measurable implementation at the ground level.
46. In this backdrop, it is particularly disquieting that the State of Rajasthan has consciously tried to justify its continued inaction by adopting a myopic stance. It has been urged on behalf of the State that only those languages as are enumerated in the Eighth Schedule to the Constitution are presently taught as subjects in Government Primary and Upper Primary Schools, and that, consequently, there exists neither any policy decision nor administrative framework to recognise or adopt the language in question as a medium of instruction or as a subject for recruitment. This lackadaisical response, rather than

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meaningfully engaging with the constitutional imperative highlighted hereinabove, proceeds on a technical premise that effectively sidesteps it. The absence of a policy is thus projected not as a shortcoming warranting prompt rectification, but as a ground to defend the existing inertia. This approach cannot be regarded as satisfactory, for it reflects an utter failure to translate constitutional assurances into concrete action, and, if accepted, would risk reducing the rights recognised under the Constitution to a mere formality and the broader constitutional commitment to linguistic diversity and meaningful access to education.

47. Under these circumstances, this Court cannot remain a silent spectator to the stark dilution of rights so clearly recognised in constitutional text, legislative enactments, and binding precedents. While it is not the province of this Court to enter upon the arena of policy formulation, it is nonetheless its solemn constitutional duty to ensure that the guarantees enshrined in Part III of the Constitution are not rendered illusory by executive inaction or indifference. Once the Union itself has, through legislative measures and policy frameworks, acknowledged the necessity of imparting education in a language intelligible to the child, a corresponding obligation arises for the States to take timely, effective and purposive steps towards its realisation. A failure to discharge such obligations cannot be countenanced, for constitutional rights, once recognised, must be translated into tangible outcomes and cannot be permitted to languish as mere abstractions.
48. In the absence of an appropriate policy framework, this Court would be failing in its constitutional duty were it to remain indifferent to the continued non-realisation of rights and obligations so clearly envisaged under the Constitution of India.
49. In light of the aforesaid discussion and having regard to the constitutional scheme, the legislative framework, and the policy directives noticed hereinabove, we deem it appropriate to direct the State of Rajasthan to formulate an appropriate and comprehensive policy for the effective implementation of the constitutional mandate relating to mother tongue-based education, particularly in the backdrop of the National Education Policy, 2020. The State shall take necessary measures to recognise and accord due status to the Rajasthani language as a local/regional language for educational purposes and to progressively facilitate its adoption as a medium

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of instruction, initially at the foundational and preparatory stages of schooling and progressively at higher levels, in a manner consistent with constitutional principles and pedagogical requirements.

50. We may note that Rajasthani is presently being taught as a subject in Universities across the State of Rajasthan, including Jai Narain Vyas University, Jodhpur (offering M.A. in Rajasthani Language), Maharaja Ganga Singh University, Bikaner (offering M.A. in Rajasthani), University of Rajasthan, Jaipur (offering B.A. and M.A. in Rajasthani Language). Yet, the procrastinating stand consistently taken by the State is that only those languages included in the Eighth Schedule to the Constitution are being taught as additional languages in Government Primary and Upper Primary Schools. Such a position, in our considered view, discloses an apparent pedantic approach, for the academic recognition of Rajasthani at the higher educational level itself belies all suggestions that the language lacks institutional or pedagogical acceptance. Accordingly, we also direct the State to take affirmative and time-bound steps towards introducing and providing Rajasthani as a subject in all schools, government and private, in a phased and progressive manner consistent with the constitutional and policy framework discussed hereinabove.
51. The aforesaid directions are necessitated by the palpable vacuum presently operating in an area of significant constitutional importance. Constitutional guarantees and policy declarations, particularly those bearing upon access to meaningful and inclusive education, cannot be permitted to remain dormant for want of executive action.
52. Accordingly, the impugned order is set aside and the appeal is allowed.
53. Pending application(s), if any, shall stand disposed of.
54. The State of Rajasthan shall file a compliance affidavit by 25th **September, 2026. List on 30th September, 2026** for receiving the compliance affidavit.

Result of the case: Appeal allowed.

List for receiving the compliance affidavit.

